Escorts Ltd. (ESCORTS)

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Escorts Kubota Limited
(Formerly Escorts Limited)
Corporate Se cretarial & Law
Registered Of fice - 15/5, Mathura Roa d, Faridab ad-121003, Haryana, India
Tel.: +91 -129-2250222 | E -mail: corp.secretarial@escortskubota.com| Website: www.esco rtsgroup.com
Corporate Identification Number L74899HR1944PLC039088

August 7, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE - ESCORTS

Sub: Earning Call Transcr ipt

Dear Sir / Ma ’am,

Pursuant to Regulation 3 0 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of t he conference call held on August 1, 2023 , for discussing the earning performance of the quarter ended June 30, 2023 , and the same has been uploaded on the Company’s website at the below link :

https://www.escortsgro up.com/investors/ financials.html?view=list

Kindly take the s ame on record.

Thanking you ,
Yours faithfully,
For Escorts Kubota Limited

Satyendra Chauhan
Company Secreta ry

“Escorts Kubota Limited (EKL)
Q1 FY ’2 4 Earnings Conference Call”
August 01, 202 3

MANAGEMENT : MR. BHARAT MADAN – WHOLE -TIME DIRECT OR AND
CHIEF FINANCIAL OFFICER -EKL
MR. HARISH LALCHANDANI – CHIEF COMMERCIAL
OFFICER – AGRI MACHINERY BUSINESS DIVISION
EKL
MR. SANJEEV BAJAJ – CHIEF OFFICER ,
CONSTRUCTION EQUIPMENT BUSINESS DIVISIONS
MR. ANKUR DEV – CHIEF OFFICER – RAILWAY
EQUIPMENT BUSINESS DIVISION -EKL
MR. PRATEEK SINGHAL – INVESTOR RELATIONS AND
ESG -EKL

Moderator : Ladies and gentlemen, good day and welcome to the Escorts Kubota Limited Q1 FY '24 Earnings Conference Call hosted by Kotak Securities Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Rishi Vora from Kotak Securities Limited. Thank you, and over to you, sir.
Rishi Vora: Yes. Thank you, Karen. Good evening, and on behalf of Kotak Securities Limited, I welcome you all for Escorts Kubota Limited Q1 FY '24 Resul ts Earning Conference Call. I also take this opportunity to welcome the management team from Escorts Kubota Limited. Today, we have with us, Mr. Bharat Madan, Whole-Time Director, and Chief Financial Officer; Mr. Harish
Lalchandani, Chief Officer, Agri Mac hinery Business Division; Mr. Sanjeev Bajaj, Chief
Officer, Executive Construction Equipment Business Division; Mr. Ankur Dev, Chief Officer Railway, Equipment Business Division; and Mr. Prateek Singhal, Investor Relations and ESG
at Escorts Kubota Limited .
We would start the call with brief opening remarks from the management and followed by an interactive Q&A session. Before we start, I would like to add that some of the statements that the company makes in today's conference call will be forward -looking in nature and are subject to risk as outlined in annual reports and investor releases of the company. At this point I would request management to make their opening remarks. Over to you, sir.
Prateek Singhal : Thank you Rishi. Good evening, everyone, and thank you all for joining us today. We are delighted to share strong start of financial year 2024 with the best ever quarterly financial performance so far, both on standalone and consolidated basis in Q1. Few highlights of Company's standalone performance for the first quarter ended June 2023 are as follows: Highest ever quarterly revenue from operations at INR 2,327.7 crores in quarter ended June '23, up by 15.5% as against INR 2014.9 crores in corresponding quarter. Tractor sales volume at 26, 582 tractors in quarter ended June '23, as against 26,797 tractors in the c orresponding quarter last year.
Construction equipment volume for the quarter ended June '23 was up by 42.1% to 1,373 machines, highest ever for Q1 as against 966 machines in corresponding quarter last year. EBITDA for the quarter ended June '23 was up by 62.2% at INR 326.9 crores as agai nst
INR201.6 crores in the corresponding quarter last year and sequentially up by 38.6% as against INR235.8 crores in Q4 FY '23. EBITDA margin for Q1 now stand at 14%, up by 404 bps as against 10% in corresponding quarter and sequentially up by 324 bps as against 10.8% in Q4FY'23, mainly led by operating leverage in Construction and Railway Business sequentially, better realization and so ftening in the commodity price.
PBT at INR 378.6 crores , highest ever, as against INR198.1 crore s in corresponding quarter last year. Net profit up by 91.8% to highest ever quarterly profit of INR282.8 crores , as against

INR147.5 crores in corresponding quarter last year. Company continued to be net debt free with sufficient available liquidity for growth and capacity expansi on.
Please note that, during the quarter we got approval for a scheme of capital reduction of 2,14,42,343 equity shares of face value of INR 10 each, representing approximately 16.3% of the paid-up share capital pre -reduction, which will become effective from 29th May 2023. The share capital of the company now stands reduced from 131,94,06,040 to 110,49,82

,610, divided into
11,04,98,261 equity share of INR 10 each.
Few financial highlights on consolidated basis for quarter ended June 2023 is as follows: Turnover, up by 15.9% Y -o-Y to all-time high quarterly revenue of INR2,355.2 crores . EBITDA margin at 14.1%, as against 10% in last year's same quarter. Net profit more than doubled to highest ever INR 289.9 crores . EPS stands at INR26.76 as compared to INR 13.01 in the corresponding quarter. Moving on to the segmental business performance.
Starting with the Agri Machinery business, the domestic tractor industry for the quarter ended

June 2023 was at 2.61 lakh tractors as compared to 2.65 lakh tractors in the corresponding quarter, down by 1.9%, due to preponement of the key festive season this time to March '23 as against April last year, combined with unseasonal rain and reduction of subsidies impacted sales.
Our domestic tractor volume went up by 2.5% to hi ghest -ever Q1 volume of 25,226 tractors, as against 24,608 tractors in the previous year, resulting in 41 bps gain in our market share to 9.7% in Q1 FY '24 as compared to 9.3% in the corresponding quarter. We continue our channel expansion to cover the whi te spaces for both. Powertrac and the Farmtrac brand, primarily in our opportunity market and our total dealer count in India at the end of June '23 quarter stood at 1240 plus.
On the export side in Q1 FY '24, the industry was down by 31.1% to 24,200 trac tors as compared to 35,000 tractors in the corresponding quarter. Our export volumes went down by 38.1% to 1,356 tractors, as compared to 2,189 tractors in the corresponding quarter. Sales through Kubota Global Network during the quarter ended June '23 contribute approx. 32% of the total export volume.
Segment revenue for the Agri Machinery Business Division was up by 4.4% to INR 1,666.8 crores , as compared to INR 1,595.8 crores in the corresponding quarter. EBIT margin for Agri Machinery Business Division we re up by 285 bps to 13.4%, as compared to 10.6% in corresponding quarter and was up by 348 bps, as compared to 9.9% in sequential quarter, mainly led by improved price realization and softening of the commodity prices.
Going forward, for FY '24, we expect the domestic tractor industry may register low -single digit growth, led by adequate reservoir levels, better crop prices, better liquidity, and adequate credit availability.
Coming onto the Construction Equipment business, our served industry volume of cra ne, backhoe loader and compactor were up by 30% in Q1 FY '24, as compared to the corresponding quarter, led by growth in the crane industry by 59%, backhoe loader industry by 23%, and compactor industry by 32%. Our total volume of manufacture and traded products went up by

42.1% to highest ever Q1 volumes of 1,373 machines, as against 966 machines in the corresponding quarter. Segment revenue went up by 46.3% to INR 360.1 crores , as against INR246.1 crores in the corresponding quarter.
EBIT margin for the qu arter ended June '23 went up by 658 bps to 7.6%, as against 1% in the corresponding quarter, led by operating leverage, better realization, and improved product mix.
Despite the onset of monsoon, there is a sustained demand for construction equipment indus try, led by government thrust and focus on faster execution of infrastructure projects. We expect current demand momentum to continue going forward and further accelerate post monsoon in balance of the year. Coming onto the Railway division.
Revenue for the quarter ended June '23 went up by 71.8% to our highest ever quarterly revenue of INR297.7 crores , as against INR 173.4 crores in the corresponding quarter. EBIT margin went up by 738 bps to 20.9% in quarter ended June '23, as against 13.6% in corresponding quarter.
Our order book for the division at the end of June '23 is approximately INR 950 crores , and we continue

our focus on expansion and diversification of Railway business product lines. Now I will request the moderator to open the floor for Q&A.
Mode rator: The first question is from the line of Raghu Nandhan from Nuvama Institutional Equities.
Raghu Nandhan: Congratulations to the entire team on stellar number. My first question was on the Agri segment. Can you provide a rough breakup of benefits Q -o-Q? I mean to say the margin expansion drivers Q-o-Q in terms of commodity deflation, price increase and any other factors? Also, if you can talk about a broad range for the full year that will be very useful.
Bharat Madan : Raghu, you are saying, quarter-on -quarter changes?
Raghu Nandhan: Yes sir.
Bharat Madan : Okay. So on the tractor front, I think the overall, commodity prices as we mentioned, have been softening. So in the last 3 quarters, we've seen the trend has been positive. So from the peak level, what we hit in Q2 of last year, from there the commodity prices have moved down significantly. So it's almost 2.5% reduction, which has happened now so far, then from the peak level which was achieved, which is what you are seeing and reflected in the margin too. On the prices from the last quarter, we've taken 1 price increase, which was taken in the middle of June. So the full impact obviously is not visible right now. So which was roughly 1% and that impact surely will come in the coming period.
Raghu Nandhan: And any other factors, sir, in terms of mix being better or anything which the company has been focusing on to support margins?
Bharat Madan : So, if you compared to the last year, the mix has not been better but maybe quarter -on-quarter, it may show some positive impact, but nothing significant as such.

Raghu Nandhan: For the full year sir, would you look at sustaining at the current range?
Bharat Madan : You are saying the mix or the margins?

Raghu Nandhan: Margins, sir, for the Tractor se gment.
Bharat Madan : Yes, it looks like we should be able to sustain. If you recall, we had given the guidance of hitting actually 13% to 14% range by the yearend. But fortunately, this time, because the commodity prices have softened, so that impact came much earlier. So we expect that should be sustained in the balance of year.
Raghu Nandhan: That's good to hear, sir. That's very useful. My second question was on the tractor industry outlook. Given how last 2 months of monsoon has panned out and of late t here is a very encouraging trend in both monsoons , as well as kharif sowing, how are you seeing, how are you reading the demand situation and you retain the single -digit growth outlook for the full year.
Harish Lalchandani: Raghu, this is Harish, right. As per the current estimate, we foresee the market to be low to mid - single digit growth this year as compared to the last year. So there are positive trends in the market if we see in terms of price s, at what level rain falls, et cetera, but we also see a softening in terms of some of the subsidies. So as a mix, we see around low to mid-single -digit growth.
Raghu Nandhan: Lastly, on the Railway side, wanted to understand, as you explained very strong revenue performance for Q1, 72%. So based on the order book, how do you see the full -year growth panning out? And if you can elaborate a little what is driving this full year growth? And related to that, even on the margin side, 20% plus margin is extremely strong number. Is it due to scale, or is there localization also contributing to the margin expansion?
Ankur Dev: Raghu, this side, Ankur Dev. So first about revenue. So in Q1, we have a lot of benefits. I would like to mention, 1 is higher sales of spare parts, higher sales of exports, and in terms of t he full year, we see that there will be a growth in terms of double -digit, which we will feel that we'll be able to achieve in financial

year '24. In terms of margin, so we got a benefit of operating leverage because of higher revenue and as I mentioned, w e had a higher portion of spare part sales, which has resulted into the margin in excess of 20%. On a full -year basis, I think our margin should be in the range of 16% to 17%.
Raghu Nandhan: Got it, Ankur sir. Just a clarification. When you see higher share of spares and exports, can you broadly indicate what could be the mix?
Ankur Dev: So spare parts is almost 25% more than what we normally used to have in any of the quarter, in terms of proportion.
Raghu Nandhan: You mean the share is higher by 25%?
Ankur Dev: Yes. Yes.
Raghu Nandhan: And what would be the share, sir?
Ankur Dev: So share is almost in the range of 12% to 16%.
Raghu Nandhan: 12% to 16%, Got it, sir. And what could be the export share?
Ankur Dev: That is in the range of 4% to 6%.

Moderator: The nex t question is from the line of Gunjan Prithyani from Bank of America.
Gunjan Prithyani : Yes. I have a follow -up to what Raghu had asked firstly on the margin. This 3.5 percentage point improvement Q -on-Q just seems very steep. So I'm just stepping back and looking and the sort of volatility that we've seen in the margins, dipping to 8% and then now back to 13.5%. I mean, great outcome, but I'm just sort of struggling to understand what have been the levers and from here on, all of that cost improvements that we had to do, all of those are behind and from here, it is just more about operating leverage and commodity or is there something else also that I should keep in mind?
Bharat Madan: Gunjan, this is Bharat Madan. So obviously the margin is not just 1 factor. This is the combination of multiple factors like you mentioned. So obviously, deflation was the larger part, which was there, but obviously, there are also other initiatives on the cost front, which have been taken. So both in mat erial cost, as well as on the fixed cost. So as you can see here, the fixed cost also have been kept under check in this quarter.
And cost saving also which is happening on the material cost front, which is a continuing effort. It's not a one -off effort, w hich will not happen. So this will continue to happen in the balance of months too. So these 2 levers will continue. Obviously, we can't control the commodity price. So that will be an external moment, which will be there for everyone. But the other factors are more internal to us, which we are trying to focus on now to improve the margin further from here.

Gunjan Prithyani : So, from 13.5%, these levels, you still have some more fixed cost rationalization as an upside to play out, right? I mean that's what you are indicating that there is more scope to -- scope of improvement there?

Bharat Madan: Yes, there is an improvement, but they can also be hidden costs, which we are not aware of right now. So that is why we are keeping that out of the question. So hopefully if everything remains constant the way it is today, yes then there is possibility of improvement. But as you know, the product mix also keeps on fluctuating quarter-to -quarter. So that could be another risk which will be there.

So even though this quarter we have seen a good performance, 41% to 50% HP market share, actually, share has also gone up and we've seen a very good growth numbers coming in more than 40 HP segment, so which is a positive sign. But whether that will sustain in future or not, is difficult to say. So that's why I think as of now, we think we should be able to maintain the sort of level in the balance of year, but yes, with a positive side to that.

Gunjan Prithyani : Okay. Got it. That's clear. And second, on the growth outlook, I had couple of follow -ups. When I look at the retail, they just seem very high in terms of there is a double -digit growth in r etails. If I look at YTD on th

e Vahan Number, then I mean, generally, from where we started the year expecting monsoons to be weaker and they've just -- they've turned out to be better. Is there a case that we are conservative in calling out low single -digit growth outlook? I mean -- and I saw that you had given about mid-single digit growth guidance in the annual report. So any change to the thought process in terms of seeing tractor has better growth in F'24 as well?

Harish Lalchandani: Gunjan, this is Ha rish. On retailing, the particular growth of the market as of now, speaking of retail, retail is more a function of our efforts in the market on the ground level. So lot of activations, lot of activities, lot of key dealer focus, focus on key segments and products have happened to drive the retail growth for us.

Gunjan Prithyani : But sir, what I was meaning is, that retail is actually showing double -digit growth for YTD F '24, whereas our outlook for whole of this year is low -single digit. So is there some disconnect between the Vahan number and the wholesale? Is that something tha t we should keep in mind, because the number on Vahan just seems very strong.

Harish Lalchandani: You're saying the market for retail is growing double -digit.

Bharat Madan: So the last year number actually on VAHAN portal seem to have some issue. If you al so looked at the retail data is showing very strong growth, which is actually not the case which is on the ground. So -- but the data looks like, more issue with the last year number than the current year number.

Gunjan Prithyani : Okay. Got it. And Harish sir, you mentioned that subsidies softening as an issue. Can you just clarify, I mean, the general MSP and farm sentiment looks okay to you, but what is the subsidy element that you had pointed out earlier?

Harish Lalchandani: There are times when the stat es bring out certain subsidies on tractors for the farmers. So in certain states, for example Maharashtra, you see a certain softening of the subsidies, whereas other states are picking up. Like Gujarat has picked up significantly, but Maharashtra is softe ning. But net -net, on a balance, because Maharashtra is a bigger state for tractors as compared to Gujarat, there is a bit of a lowering of volumes because of subsidy softening.

Gunjan Prithyani : Okay. Got it. And last question, any update on that Kubota m arketing, that merger that had to happen? Any refreshed timelines around it?

Bharat Madan: So we got the approval from stock exchange and SEBI now. So we have filed a petition with the NCLT. So we're just waiting for further hearing to happen on that front . And obviously, that will be followed with the meeting of shareholders and creditors before they finally given approval. So we are still expecting maybe another 6 months sort of time frame, looking at the past experience with NCLT. But all other approvals are in place now. So that's the last step, which is pending.

Moderator: The next question is from the line of Sonal Gupta from HSBC Mutual Fund.

Sonal Gupta: Just on the RM cost side, I mean like, have we seen because some other companies have said that there are steel prices have gone up in this quarter and then they expect it to come down next quarter. I'm just trying to understand, for us, has there been any increase or not really, I mean, in any sort of major change?

Bharat Madan: So there were some increases in between, but like I said, in tractor cases, it is not the steel, which really matters. So in our case, like we mentioned in the past, I think the ma jor cost is coming from casting and where the impact was not much. But in Construction Equipment business, we had seen that a bit coming in during the quarter. So that is where I think we are seeing that the effort will be there. But now, looks like, as of

now looks like there is no major pressure on those prices. But yes, that is one business which gets impacted because of these changes.
Sonal Gupta: Sir, it means, casting, you're saying with a lag, but that impact will come, right? Like the pig iron or wh atever?
Bharat Madan: It has come but it is not to the extent what you have seen happening in sheet market. But yes, the impact has been there. So we're seeing that impact now coming in.
Sonal Gupta: Got it. And just on the, I mean, related to that, the price increases, I mean what sort of price increase did you take in Q4 which would have had some follow through in this quarter?
Bharat Madan: So we had taken in Q1 actually, this quarter only, in June, which we had taken the price increase, which was done actually towards the middle of June. So really the impact will come in the next quarter. So in Q4...
Sonal Gupta: So there is no price increase in Jan to March?
Bharat Madan: In Jan to March, there is no price increase.
Sonal Gupta: Okay. And sir, lastly, could you just tell us about, I mean like, in terms of the export opportunity and export of tractors from Escorts for the Kubota network, how are -- I mean what's the time frame like? I mean, I understand you are sort of working on the products. So any updates there?
Bharat Madan: Yes. So some of the exports, obviously even now is happening to Kubota. So even in this quarter we have roughly 32% of our export was through Kubota network. But having said that, like you mentioned, so there are the products development which are underway and there are also some quality issues, which are getting addressed for exporting to Kubota globally. I think once those issues get sorted out, which we expect will start happening now from this quarter, from second quarter onwa rds, so, from September onwards we expect, I think the pickup will start happening in the export numbers.
Sonal Gupta: So I mean, like then the product -related stuff is largely done, is that the way to...?
Bharat Madan: No, we are really looking at the qua lity improvement in the existing product line. The development process will take some time, because that would be then for the new market, like U.S., et cetera, which we want to open. So that we've not yet started. So that will obviously happen once the products are in place. But obviously, we got a request now from Kubota side in terms of what sort of product lineup they want, and that work has already started happening now on that. So development process is on, but it will take some time. So we don't expec t that full benefit will likely happen now, this year. Maybe from next year, we can see a major improvement will start happening on those numbers.
Sonal Gupta: Got it, sir. Great. Congrats on a great set of numbers.
Bharat Madan: Thanks.

Moderator: The nex t question is from the line of Rishi Vora from Kotak Securities.
Rishi Vora: Yes. Congratulations on good set of numbers. Just a follow -up on exports. So basically, we have seen a double -digit number...
Moderator: Excuse me, sir. Sorry to interrupt. May I please request you to speak a bit louder?
Rishi Vora: Sure.
Rishi Vora: Just wanted to get a sense on exports, because the volumes have been declining now for a few months. So what is happening over there? Which geographies we are seeing some demand pressu re? So any color on that would be helpful.
Bharat Madan: Yes. So right now, export market is under pressure. So both, the European market, where the larger exports were happening, as well as U.S. market, the demand has slowed down, especially for compact tractors. Where during the COVID time, this segment, which is represented through the hobby farming segment. So you have seen, in the COVID time, most of the people were working from home. So there was a great demand, which came up and over the ent ire of '20 to '22.

So those 3 years were really good for the business there in these market. But now, after the markets has started opening up, people have gone back to work. So we've seen the demand actually is coming down, and then obviously, we have pre ssure on inflation and recessionary outlooks in the European countries. So again, the demand has been impacted. So in some countries, we have again, like country like Poland, where we are exporting there waiting for the subsidy program, which has not been started because of their own financial pre ssure from the government side.
So I think all those issues are impacting the demand in some way. So we expect, maybe, towards

the end of this year, we'll will see maybe some pickup will start happening in these ma rkets, and
then the export will start growing.
Rishi Vora: Okay. Understood. Understood. And just, how is our product portfolio shaping up on the farm implement side and what will be the contribution from that segment, let's say in 1Q FY '24 or
FY '23? Any color on that would be helpful.
Bharat Madan: So the numbers are looking up but since the base is very low for us, because we are essentially into the very basic implement right now. So the numbers are almost having 30%, 40% growth. But since the base is so low, it won't be really material even for this year. So that is on the implement side. But obviously, in addition, there'll be things like harvesters combined or transplanters, which will come into the company after the merger. So that is a sizable business which the JV adds. So if that also gets combined, then obviously, we will have a sizable business in implement and harvesters put together. So, for next year, we expect it will be a significant business for us, INR 400 crores plus, sort of top line com ing from this business alone.

Rishi Vora: That's great. And just lastly on the Construction Equipment side, what about revenue growth expectations for this year and margin also on a Y -o-Y basis or on a Q2, the dip is very low. So what is driving this margi n improvement and is this sustainable?
Bharat Madan: Sanjeev, you want to respond?
Sanjeev Bajaj: Yes, yes. So primarily, the margins are sustainable. That is what we see because it is, based on very high demand from infrastructure and mostly the equipment which are sold in the project and this demand looks to be very sustainable right through the year, and we see that the commodity also is not putting any pressure as of now, which was the case last year, and prices have settled and the price reali zation in the market is also very good. So it looks sustainable both in terms of volume as well as margin.
Moderator: The next question is from the line of Mitul Shah from DAM Capital.
Mitul Shah: Congratulations for a very strong performance. Sir, first question is on tractor inventory. Considering, this time festival getting delayed by 15, 20 days, so what is the industry-wide inventory at present and for us, and is it coming down, and for next 1 or 2 months, how one should look at that?
Harish Lalchandan i: Mitul, this is Harish. I won't comment on the industry inventory as of now because it's still something that we don't have. Second, our inventory, our focus is on bringing the inventory down currently. So if you take a look at our inventory at the end of Q1, both dealers , as well as our inventory, it is lower than what it was in the beginning of the quarter.
Mitul Shah: By how much in terms of days or numbers it's reduced, roughly?
Harish Lalchandani: So, you can say that currently our inventory is in the range of 4 to 6 weeks, is what we retained at dealerships. About 4 weeks, 4.5 weeks, which is still the same.
Mitul Shah: Okay. Second question is on localization for Kubota tractor. Sir, what is the status there and going forward, in next 2, 3 years, how one should look at product mix in terms of

Escorts' tractor
as compared to this Kubota tractor mix in overall portfolio?
Bharat Madan : So, in Kubota, Mitul, the major localization which has to happen is on the engine front. So which will only happen once we have the greenfield facility coming up. So which will start with the engine manufacturing, which will be Kubota -make engine, which will be made in India. So till that time, they will continue to import the engine, but there will be obviously plan to al so have mix and match like we mentioned.
So some engine from Farmtrac, will get used in the Kubota product. So that is something which will be worked out as an interim measure to save on the cost. So that is something which will happen. Otherwise, if you l ook at greenfield, I think the plan is to go live only by FY'26. So there is still some time before we cover the full -fledged manufacturing terms Kubota engine in India.
Mitul Shah: So non-engine part is largely localized?

Bharat Madan: Yes. Ours is all lo calized.
Mitul Shah: And lastly, sir, what would be our medium -term roadmap for Construction Equipment, as well as the Railway, considering Kubota is globally not present in Railway business, and on Construction side also, our roadmap for double -digit margin, if you can give some details on these 2?
Bharat Madan: So in Construction Equipment, Kubota is present. They've got a very large business in mini -

excavator, and they also supply engines to most industrial OEMs. So obviously, Construction Equipment is something which will continue. On Railway, so as we had mentioned and even in the beginning, we had directly mentioned that it's not a core strength for Kubota. So they can't add much value. So I think we got to look at options in the long-term, what we do with the business. Whether in terms of partnership, we will look for some partner who can help us in growing this business further or we will look at some alternate option.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi.
Mumuksh M.: Congratulation on good numbers, sir. Sir, how are you seeing the demand from the haulage segment in recent months? Some of the state governments have been stricter on regulations.
How do we see this impact on demand over the medium term?
Harish Lalchandani: See, if you technically get it today -- This is Harish here. We are seeing actually a growth in the haulage segment. It is primarily due to the infrastructure projects, which is coming up in lot of states. So if you take a look at the 31 to 40 segments in some states, it is declining, whereas, in other states it is growing. So if you take a look at the segment, overall, which is a 31 to 40 segment , it has been more or less flat for the year, but we feel this segment has potential going forward, especially for optics. Hello?
Moderator: Mr. Mumuksh, your line is unmuted. You may please go ahead if you have any further questions.
Mumuksh M.: Can you h ear me?
Moderator: Yes sir. Now it's better.
Mumuksh M.: Just on that, some of the state governments have been stricter on regulation side for tractor being used for haulage purpose. Are you seeing any impact on the demand because of that?
Harish Lalchanda ni: See, no significant change coming for us, because most of the expectations that we are seeing is more at the municipal corporations. Our tractors typically sell beyond municipal corporations.
Mumuksh M.: Got it, sir. Sir, second question on the JV. Com pany's profitability has improved in FY '23. What kind of profit numbers you see for FY'24? And do you see the lower margin dilution impact once the amalgamation happens? So earlier, you have guided for 1.5% to 2%. What kind of guidance do you see now, sir ?
Bharat Madan: It will be similar. I think the number which we had indicated, so it will be a similar drop, which will happen initially, before we

start working on improving the margin and getting the synergies out of the merger.

Moderator: The next quest ion is from the line of Mayur Milak from Asian Market Securities.
Mayur Milak: Yes. So just trying to understand the reduction of share capital. So we've got it down to 110. Is this going to be the final after the merger as well or there are going to be issue of new shares once the merger is done?
Bharat Madan: Yes, obviously, in the merger, there'll be some issuance of capital which will happen. But given the, I think the exchange ratio, we don't expect that material, because this is a small dilution, which will happen, but it's not going to be very significant.
Mayur Milak: Okay. And coming back to the business. So as we've been noticing, the retails for this fiscal has been pretty good compared to possibly where we started, but we do not really see that reflecting in either of the growth numbers. If I look at April to July, for most players now was, does this mean that till March end, there was a huge inventory and that has kind of got corrected in the system and now we have a scope for kind of building up inventory again, going forward?
Bharat Madan: So we responded to the similar question I think in the beginning, from Gunjan. So the retail data what we're looking at for last year seems some issue there. Some -- it looks like some incorrect data there.
Mayur Milak: No, sir. I'm not trying to compare this to last year's number. I'm just saying that, just the April, July number that I look for you. So you are at 32,000. So you are like a 0% growth in dispatches, but retail numbers have been pretty good onl y for April to July fiscal. So just trying to understand that, was there some inventory that was built up in March and that has seemed to got corrected?
Harish Lalchandani: If you see the total growth that we had on the leases, billings is around 2.5%. Whe reas our growth in retail is higher. It was not build up, because absolute reduction is not significant enough to cause a change, and yes, there is a reduction. There is a reduction in inventory.
Mayur Milak: Okay. And is there a way to read -- I'm just trying to understand. So since the trend came in on the 50 plus HP, you always had a theory that at least for the near term, the likes of, you and Mahindra will possibly see growth into the 30 or 40, since you are leaders in that segment, vis - a-vis th e other guys. Are you actually witnessing that into your retail markets?
Harish Lalchandani: So we are growth in 41 to 50 for us as compared to, let's say, greater than 50.
Mayur Milak: Right, so this means people -- so, there is some kind of shift right s ince the trend changes incurred on the 50plus number?
Harish Lalchandani: We are seeing that shift.

Moderator: The next question is from the line of Sameer Deshpande, an Individual Investor.
Sameer Deshpande : Congratulations, Mr. Madan, and the team for ex cellent results. And I would like to know new products from Kubota which are likely to be introduced, which maybe after the merger of the companies, would they be in the form of trading, or they will be manufactured by Escorts here?
Bharat Madan: It will b e mostly manufactured. Trading will be limited.

Sameer Deshpande: The excavators, mini excavators , as well as this transplanters and harvester combined system, all will be manufactured?
Bharat Madan: That will continue to be traded. So the implement, though they are the volumes are not very high right now. So manufacturing it in India, as of now, it doesn't make sense because they cannot be really viable. Business case will not be there for those small volumes. But obviously, once the volumes start growing up, so that is the intent, finally, to also start manufacturing gradually those things also in Indi

a. But as of now, we started developing some of the par ts for those products in India.
So we're already doing some parts for harvester for example. There is a plan to do that in India and we are also doing some excel for transmission, some of the parts which are getting already made. So those parts are getting exported. But as the volumes continue to grow, so, we'll also look at -- explore options of l ocalizing those and making them and testing also in India.
Sameer Deshpande: And actually, Kubota tractors and Escorts together, what will be the market share?
Bharat Madan: So it's in the range of 12.5% to 13%.
Sameer Deshpande: Currently we have about 9. 7% now. Escorts Kubota, this listed company, this together, it will add another about 3%.
Bharat Madan: Yes. 2.5% to 3% range.
Moderator: The next question is from the line of Saral Dilip Seth from IndSec Securities.
Saral Seth: Yes. Congrats for great set of numbers. I had one question. So wherever we are not strong, rest of the region, we've outpaced the industry by 370 basis points. Just wanted to understand what are we doing there differently, that we are being able to gain market share?
Bharat Madan: Which market did you say?
Saral Seth: So we mentioned that in rest of the region, we have grown by 8.7%.
Bharat Madan: Rest of region.
Saral Seth: While... Yes, sir. So what is driving this strong outperformance versus the industry where we are not that strong?
Harish Lalchandani: See, our focus in the opportunity markets has been there, especially, 2 things. One is, we are focusing on distributors in order to increase the coverage. So increase of coverage is happening in the opportunity markets for us, w hich is not so much of an opportunity in strong markets.
Second, we are also doing a segment -wise HP focus, which is, basically, if you see the 0 to 20 segments , it has grown significantly for us in this first quarter. Third, we are also using a lot of digital tools and activation to penetrate into the opportunity markets.

Saral Seth: Understood, sir. That was very helpful. And just a follow up on this. In the strong region, we have been unable to gain market share, but we are maintaining that. So any outlo ok on that in terms of market share in the strong region?
Harish Lalchandani: So our focus continues to remain in the strong markets. We will continue to do whatever we are doing so far, plus, we want to drive additional focus on the 31 to 40 HP haulage segment in strong markets.
Saral Seth: Right, sir. That was helpful. So overall market share guidance, anything you want to have as an aspiration for next 2 years, 2 to 3 years?
Harish Lalchandani: So obviously want to grow as market share. But I'm not putting a number to it right now.
Moderator: The next question is from the line of Chandrakant Dhanuka from CD Equisearch.
Chandrakant Dhanuka: Sir, I just have one question. Like, how do you think you -- like you will gain market share in internation al market?
Bharat Madan: So in international market, as you know, so we are really banking on Kubota Network, because in international market, your distribution is very important. Now if you look at the competition also, there are 2 ways you can do it. Eit her you have your own entity there and you set up your own retail distribution or otherwise, you go through a distribution route. Now wherever we are operating, we are operating basically through a distribution model, where obviously your margins come unde r pressure, but at least, your busi ness is secure.

But then now since we got Kubota as a partner, and they are present in more than 100 countries globally. They already got established network in most of the countries. So our idea is to use leverage of tha t network and they need products from India because they are facing lot of competition globally from players from India

, China, Korea, and they want those products which can be sold to compete with those players. So that's a win-win for both of us. So we g et established network, and they got the product portfolio from us. So this is something which we intending to use for the international market there.
Chandrakant Dhanuka: Okay, sir. But there are, actually, like there are established foreign players also there. So how you are going to tackle that, sir?
Bharat Madan: So like I said, India basically supplies the compact tractors, which are cheaper in value. So it's a value for money tractors, which go from India and there are similar tractors which come from China, Korea also, to those markets. So this is a segment which is unaddressed from the foreign players. The product which they make obviously having high-end cost and the higher horsepower tractors, but India supplies to the smaller HP segment, which is essentially less than 120 HP, which is the segment where Kubota is strong globally.
And this is a segment which we want to really contribute. It is in the low end of the market in those markets where you are already seeing lot of export is happening from India. So last year, the total export from India was almost 125,000 plus. So that export numbers are growing. So which is where we also want to contribute.

Chandrakant Dhanuka: Okay. So like we would differentiate in the pricing with the competitors?
Bharat Madan: Yes, that's right.
Moderator: The next question is from the line of Abhishek from Dolat Capital.
Abhishek Jain: Thanks for the opportunity. Sir, in Construction Equipment segment realization has gone up by 4% quarter-on-quarter. What is the reason?
Bharat Madan: So there is a favourable mix because we are selling the higher end of the cranes. So we are not really very strong player in the lower end of the crane. But the higher end of the crane, where your realizations are much higher. So that is one definitely the advantage and we have seen the realization also moving up and the margin profile is also better there.
Abhishek Jain: So going ahead by realization will be the same and we'll be able to sustain this part of the mix?
Bharat Madan: So as of now, the demand momentum is quite strong. So maybe I request Sanjeev to add to that.
Sanjeev Bajaj: Yes. This is Sanjeev. So yes, you are right. The demand has been shifting towards the higher tonnage, higher capacity machines because of the bulk infrastructure which is taking place. So that demand is definitely sustainable and at the same time, we are stronger in that segment compared to our competition. So that is helping us.
Abhishek Jain: And in this quarter, the Compactor volume jumped 88% versus industry growth of 32%. So what is the reason to outperform industry growth? Is there any new product launch in this segment?
Sanjeev Bajaj: Yes. There is a new product launched. But compactor, we have been working really hard during last year, but last year industry did not support. The industry was lower by 5% than the previous year. So the hard work which has been done in the market is really helping us. We also have introduced a new product which is 11-ton soil compactor. That is what is going to add volumes to the future. So I think it is more about penetrating this segment and penetrating this market which is untapped by us.
Abhishek Jain: So what is your full year guidance for the Construction Equipment segment, sir, in FY'24? Margin guidance?
Bharat Madan: So margin, we expect we should be able to sustain the level what we have seen now. So it should be high single -digit margin only.
Moderator: The next question is from the line of Raghu Nandhan from Nuvama Institutional Equities.
Raghu Nandhan: My question was to Harish sir. Sir, can you talk a bit about how you are looking at improving the product portfolio over the next 1, 2 years?

What would be the areas of focus for the introduction of new products? What white spaces you are trying to cover, I mean, specifically,
paddy specialist tractor, below 30 HP tractors? Your thoughts will be extremely useful.
Harish Lalchandani: So Raghu, that exercise is still an ongoing exercise and a continued exercise, is that we keep looking at. At any given point of time, the way we approach is in 2 ways. One is, whether the

segments where we don't have tractors and 2 is in which segments our tractors are. We take the lead in terms of competitiveness, of USPs, features, specifications. So if I take a look at the latter, that's a continuous ongoing process across all the HP segments.
Second, if you take a look at the new tractor introductions, we have. So if you take a look at that new tractor development, for example, we would soon be coming up with one of the flagship models in the Farmtrac series, which we would be launching sometime in the next 3 months. So these are new product introductions that we will come in, in order to take opportunities within the market, whether it's an entry space, the m ass segment, the premium or t he other entry premium segment.
So this is the way we approach. Third thing. The way we look at it is that we have 3 brands currently. Or going forward, we will have 3 brands, which is PT, FT, Powertrac, Farmtrac, as well as Ku bota. So we will structure the portfolio in such a way that Kubota occupies the premium segment, Farmtrac occupies the mid -segment and Powertrac occupies the entry to the mid-segment. That's the way that we're going to approach the market over the next 3 t o 5 years.
Raghu Nandhan: Got it, sir. And in terms of the pricing, if Farmtrac is 100, would Kubota be like 110 and Powertrac be 90? Would broadly that be the pricing guide?
Harish Lalchandani: I don't think there is a mathematical formula, like that we have worked out, but our products will be competitive within the markets and within the segments that they operate it.
Raghu Nandhan: And sir, in terms of cross selling, would you look at it as a low -hanging fruit and any steps there to leverage, where Kubota can leverage the existing network of Escorts?
Harish Lalchandani: So yes, I think going forward, we will look for opportunities for or how do call it, optimizing our network. If there are white spaces for any particular brand, we will offer the dealer of that particular area, the first right of refusal for some other brand's dealership.
Raghu Nandhan: Got it, sir. And to Bharat sir, in terms of component exports to Kubota, if you can talk a bit on that in terms of which are the parts that are being expor ted on a pilot basis? We know that $0.5 billion is the aspirational target, but how do you expect the ramp up in revenue to happen? What could be the revenue in FY'25?
Bharat Madan: So Raghu, right now, like I mentioned, the export component is happening t o the other 2 JVs, where they were already supplying earlier to Kubota Network, and they developed some vendor base. So, the Kubota products are also being made in those JVs only in EKI for example, in the manufacturing JV. So as Escorts is not making any Kubota product right now. So till the time merger happens, obviously we will not be doing anything on that front. But the export will continue to happen from both the JVs, which current ly is also happening.
So going forward, there is a plan. So as you go into the greenfield facility, there is plan to set up a global sourcing center from India and the purpose of this vertical will be essential to look at opportunities, where we can actual ly source component which are either developed in-house or through a third party where Kubota can save the cost globally, and most of the players are

looking at China Plus -One strateg

y and Kubota is also facing lot of challenges in the supply chain in the past 2 years in sourcing from China.
So they are obviously looking at India as the obvious choice in terms of strategy for developing those components . So yes, the expiration which we have given is something which we think is still an underplay. The opport unity is much larger. So we'll have to really see when the things clearly start happening here and more localization happen, so how the business really close. But in terms of our expiration, which is there, we think is definitely achievable and probably we should be better than that.
Raghu Nandhan: Understood, and which are the components being targeted? Like axles, transmission parts, gears, if you can talk a bit on that?
Bharat Madan: So like I said, so it will depend on what products get localized here i n India. And obviously, the major portion will be tractors. So the tractor parts will be something which will be consumed in major portion, and there is also a lot of demand coming from the U.S. market, since U.S. got their own manufacturing, but the parts they get is quite expensive and so, the price is quite competitive, because they are coming from multiple countries.
So they need to centralize those supply chains, which probably, where India can help. So right now, we don't have a list really. Obviously, the procurement team and the global sourcing team is working on this as we say, and they have developed some database in terms of what sourcing can happen. So I can't share that data with you as such right now, but like I said, the team is working on thi s, and we think we should be able to do better than what we really aspired for.
Moderator: The next question is from the line of Chirag Shah from White Pine.
Chirag Shah: Sir, just one small question. I see sequential market share loss for you. Can you tal k a bit about it? Is it driven by --- what are the drivers for the drop in sequential market share?

Harish Lalchandani: So Chirag, this is Harish. If you would traditionally look at it, the strongest quarters that we have are Q3 and Q4. So I can't compare a market share to market share sequentially, because it's just the differential nature in which the company operates in terms of in terms of where the tractor demand comes from. If you are taking a look at the quarter-on-quarter, if you compare a quarter this year versus last year same quarter, there is a growth. So that's a better way to compare.
Chirag Shah: Okay. So it's more of a regional nature, nothing else. Will take a note. Fair part.
Harish Lalchandani: Nothing else.
Chirag Shah: Yes, that's it. Sir, one last question was on Railway, if I can squeeze in. So we have seen a very strong growth in Railway. Is it driven by --- it is in general railway cycle you are seeing this or there a specific product or demand categories which is driving this? And any more tenders or anymore participations, if you can talk about on the railway front, including any expansion are looking at in your offering, bouquet of offerings?

Ankur Dev: Chirag, this side, Ankur Dev. So first of all, we are seeing a good traction from the Railway manufacturing side also. So there is a good momentum in terms of manufacturing of passenger coaches and freight wagons. Other than this, we have been introducing lot of new products. So in Q1, we have actually commercialized 2 of our produc ts, which were actually in the field trial for last one year, one -and- a-half year. So basic ally brake pads and brake disk.
So these 2 products have been commercialized and they have contributed in this revenue. And as I mentioned earlier in this call, we have also seen good momentum in the spare part sales and in our export’s revenue. So all these factors have really contribut ed in this growth momentum and I think in future also there are more products whi

ch will get commercialized. So and we will be launching many more products in the continuation.
So I can say that in first quarter, we have got first time order for one of the new products , which is the electric panel. So we --- and so, we are working on many such products and these introductions of new products will certainly help us in growing this top line for the Railway business.
Moderator: The next question is from the li ne of Mitul Shah from DAM Capital.
Mitul Shah: My question on Construction Equipment side. Any meaningful change in the inventory Q -o-Q here also? And any pricing taken for this? And also, if anything pricing benefit on the Railway side also?
Sanjeev Bajaj: Sorry, Mitul. Sanjeev this side. I could not hear your first question.
Bharat Madan: Mitul, can you repeat your question? I think Sanjeev was not able to hear it.
Mitul Shah: Yes. My question was on Construction Equipment side in terms of any meaningful change in inventory here similar to tractor on Q -on-Q basis? And on pricing side, we have indicated 1% increase for tractor. Any price hikes taken for Construction Equipment in last 1 or 2 quarters? And similarly, any pricing benefit, we have seen in Railw ay business also, price increase or anything?
Sanjeev Bajaj: Yes. So Mitul, related to the first question, if I understood correctly, the inventory is, for our business is not having a major impact, because we operate at roughly about 15 to 20 days of inventory and also channel partners operate at 15 days of inventory. So that does not impact so much because of quarter-on-quarter change, and this has been moving on for quite some time.
Coming to the price increase, we have taken one price increase in the st art of Q1, and the price realization has been reasonable in value because of the demand, and we do not see immediate opportunity to do price increase. We will wait till start of Q3 to see next opportunity.
Moderator: The next question is from the line of Mousumi Paul from Equentis Wealth. It looks like no response from the current participant.
Bharat Madan: Just to respond to the Mitul’s question on Railway business into the pricing. So I will request Ankur also to res pond to that.

Ankur Dev: Yes, Mitul, Ankur this side. So I think in Railway business it is quite different in terms of pricing. That is completely tender-based business and there are lot of vendors, approved vendors for each of the product categories. So i t is really different and that is really difficult there to increase the prices. So that's always the nature of the business.
Moderator: Ladies and gentlemen, there are no further questions. I would now like to hand the conference over to Mr. Bharat Madan for closing comments.
Bharat Madan: Thank you, ladies, and gentlemen, for being present on this call. For any feedback and queries,

please feel free to write into us at investor.relations@escortskubota.com Thank you very much
and have a good evening.
Moderator: Thank you. On behalf of Kotak Securities Limited, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

Escorts Kubota Limited
(Formerly Escorts Limited)
Corporate Secretarial & Law
Registered Office - 15/5, Mathura Road, Faridabad-121003 , Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com| Website: www.escortsgroup.com
Corporate Identification Number L74899HR1944PLC039088

November 9, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
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Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

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Sub: Earning Call Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on November 3, 2023, for discussing the earning performance of the quarter and half year ended September 30, 2023, and the same has been uploaded on the Company's website at the below link:

https://www.escortsgroup.com/investors/financials.html?view=list

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Escorts Kubota Limited

Satyendra Chauhan
Company Secretary

Encl.: As above

"Escorts Kubota Limited Q2 FY24 Earnings
Conference Call"

November 03, 2023

MANAGEMENT : M R. BHARAT MADAN – WHOLE -TIME DIRECTOR &
CHIEF FINANCIAL OFFICER , ESCORTS KUBOTA
LIMITED
MR. NEERAJ MEHRA – HEAD, FARMTRAC &
POWERTRAC SALES , ESCORTS KUBOTA LIMITED
MR. SANJEEV BAJAJ – CHIEF OFFICER , EXECUTIVE

CONSTRUCTION AND EQUIPMENT BUSINESS , ESCORTS
KUBOTA LIMITED
MR. ANKUR DEV – CHIEF OFFICER , RAILWAY
EQUIPMENT BUSINESS , ESCORTS KUBOTA LIMITED
MR. SANJEEV GARG - HEAD, FINANCE & TAX
INVESTOR RELATIONS TEAM, ESCORTS KUBOTA
LIMITED
MODERATOR : M R. MITUL SHAH – DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Escort s Kubota Limited Q2 FY24 Earnings Conference Call hosted by DAM Capital Advisor Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that the conference is being recorded.
I now hand the conference over to Mr. Mitul Shah from D AM Capital. Thank you and over to you, s ir.
Mitul Shah: Thank you, Akshay. Good evening a nd on behalf of D AM Capital Advisors Limited, I welcome you all to Escorts Kubota Limited Q2 FY24 Results Earning Conference C all.
I also take this opportunity to welcome the Management Team from E scorts Kubota L imited. Today we have with us , Mr. Bharat Madan – Whole -time Director and Chief Financial Officer ; Mr. Neeraj Mehra - Head Farmtrac and P owertrac Sales; Mr. Sanjeev Bajaj - Chief Officer, Executive Construction Equipment Business; Mr. Ankur Dev - Chief Officer, Railway Equipment Business; Mr. Sanjeev Garg - Head, Finance and Tax and Investor R elation s team.
We would start the call with brief opening remarks from management followed by an interactive Q&A. Before we start, I would like to add that some of the statements that the Company makes in today's call will be forward-looking in nature and are subject to risk as outlined in annual reports and investor release of the Company.
At this point, I would request management to make his opening remarks . Over t o you, sir.
Sanjeev Garg: Thank you, M itul. Good evening, everyone and thank you all for joining us today.
A few highlights of Company's standalone performance for 2nd Quarter ended September 2023 are as follows :
Operating revenue at Rs. 2,046 crores , up 8.64% year-on-year. Tractor volumes at 22,024 units , down 7.1% year -on-year. H ighest ever quarterly Construction Equipment volume at 1, 577 units, up 72% year -on-year and the Railway equipment revenue at highest ever in Quarter 2 of Rs. 234 crores, up 28.8% year-on-year . EBITDA for the quarter ended September 23 up by 72.5% came at Rs. 263 crores as against Rs. 152.7 crores year-on-year . EBITDA margins at Quarter 2 stands at 12.9% , up by 476 basis points year -on-year . This is mainly led by operating leverage in construction and Railway business, improved realizations, better product mix and softening in the commodity prices.
Net profit, which is profit after tax, more than doubled to Rs. 2 35 crores as against Rs. 87.7 crores year-on-year . This is after adjusting the exceptional loss of Rs. 54.5 crores s ame period

last quarter. Company continues to be net debt free with sufficient available liquidity for growth and capacity expansion.
Now, moving on to the few financial highlights for half year ended September 2023:
Operating revenue at Rs. 4,373.9 crores , up 12.2% year -on-year . Tractor volume at 48,606 units , down 3.8% year -on-year . Highest ever Construction Equipment volume at 2 ,950 units , up 56.7% year-on-year and highest ever Railway revenue at Rs. 532 crores , up 49.7%. Highest ever EBITDA at Rs. 590 crores up 66.6% and the margins are at 13.5%, up by 441 basis points year -on-year . Highest ever net profit at Rs. 518 crore s, up 120% and margins at 11.8% , up 581 basis point s and this is our highest ever half yearly financial performance so far in H1.
Now moving on to the segmental business performance :
Starting with the Agri business first :
The domestic tractor industry for the quarter ended September 23 was at 2.09 lakh tracto rs as compared to 2.2 lakh tractors in the corresponding quarter , down by 5.8%. This is due to the delayed festiv

e season this year. Our domestic tractor volume is 20,473 tractors as against 21,396 tractors in the previous year, down by 4.3% as compared to the industry's drop of 5.8%. This has resulted in a marginal gain in our market share to 9.81% in Quarter 2 FY 24 as against 9.66% in corresponding quarter. We will continue our channel expansion program to cover the white spaces for both PT and F T brands, primarily in our opportunity markets. Our total dealer counts in India at the end of September 23 quarter stood at 1230 plus.

On the Export side:

In Quarter 2 FY 24, the industry was down 26.7% to 25.9K tractors as compared to 35 .2K tractors in the corresponding quarter. Our export volume went down by 32.8% to 1,551 tractors as compared to 2 ,307 tractors in the corresponding quarter . Sales through Kubota's global network during the quarter ended September 23 contributed approx. 31% of our total export volume . Segment revenue came at Rs. 1,394.2 crores as compared to Rs. 1,454.9 crores in the corresponding quarter. EBIT margin for Agri machinery business was up by 381 basis points to 12.2% as compared to 8.4% in the corresponding quarter last year, led by improved price realizations and continued softening of the commodity prices. Going forward, all macroeconomic factors remain positive, and we expect the rise in demand momentum to continue for the remaining part of this fiscal year and the industry is likely to be plus minus 2% compared to last year .

Coming to the Construction Equipment business:

Our served industry, Back hoe loader and P ick & Carry crane and Compactors w ere up by 37.4% in Quarter 2, led by growth in Crane business by 73%, Compactor industry by 63% and Backhoe

loader industry by 28%. Our total volumes of manufactured and traded products were up by 72% to highest ever quarter to volume of 1, 577 machines as against 917 machines in the last year same quarter. Segment revenue came at Rs. 415.8 crores, our highest ever quarterly revenue and went up 71.9% as against Rs. 241.9 crores in corresponding quarter previous fiscal .

EBIT margins for the quarter ended September 23 went up to 10.2% as against -2.6% in the corresponding quarter led by operating leverage, better realization and improved product mix. Growth momentum continues across all product segments l ed by government thrust on faster execution of ongoing projects coupled with increase in bank credits in the sector and positive macroeconomic environment . Going forward, we expect current growth momentum to continue for the remaining part of the current fiscal.

Now coming to the Railway division :

Revenue for the 2nd Quarter went up by 28.8% to ever highest 2nd Quarterly revenue of Rs. 234.3 cross as against Rs. 182 crores in the corresponding. EBIT margin for the quarter ended September 23 went up by 383 basis points at 18.5% as against 14.5% in the corresponding period last year. Continuing our focus on expansion and diversification of the Railway product line, we successfully completed field trials for EMCBS , electric microprocessor-controlled brake systems and qualified as a development source in the last quarter . Order book for the division at the end of September 23 is approx. Rs. 870 crores.

Now, I request the moderator to open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and- answer session. First question is from the line of Gunjan Prithyani from Bank of America. Please go ahead .

Gunjan Prithyani : I had two questions , firstly , on the tractor industry demand outlook, if you can share some color on what we have seen in the Navarat ra festive season and I think bulk of the festive from a tractor perspective should have been behind by now, right? So, what have we seen on the ground and any change in the way in the growth guidance that we were calling out for F Y2

4, just some color on the industry outlook?

Neeraj Mehra : Gunjan, this is Neeraj this side . So, answering the first part of your question r egarding how the Navaratr a were , so the retails grow pretty good during the N avratr a. Only at the fag end of the Navaratra , the retails dipped a little bit, so overall we were satisfied with our plans and overall retails that had happened. Coming to the second part of your question, n o, the overall festive season is not yet over. The Big Bang festive season , Dhanteras and Diwali are still to come in and we are looking t o some very aggressive numbers in those 2 and 3 days. The third part of your question as regards to the guidance for the quarter and for the year, s o we believe quarter 3 would be slightly on the positive side , though October has been a bit negative, but I believe November would be positive raising on Dhanteras and Diwali sales and Quarter 4 to a certain

extent should be more or less on a single digit marginal growth. Overall, for the year , as Sanjeev has already mentioned in his opening comments, we are looking at plus minus 2% for the current fiscal.

Gunjan Prithyani : Sir, just two follow ups there because the N avaratra is usually pretty bunched up demand buying period, so if you can share some numbers around what is the growth that we have seen versus last year? A nd Q4, are we still expecting our growth because I thought there is a shift in seasonality, shift in the three N avratr as that fell together, there is a base effect which is there in Quarter 4 , so do you still think that Quarter 4 can be a growth quarter?

Neeraj Mehra : So, again, coming to the first part of your question, retail was more or less similar to what they were last year , for us marginally a bit higher. A s I have mentioned earlier, Navratr a is not the end of the season, the Dhanteras and Diwali are pretty big, actually very big. So, we are banking on them, and it is not for this particular year, it ha s always been a similar kind of a thing. Yes, the overall growth has not been there because this particular period was on a very high base as compared to last year vis-a-vis Quarter 4, Quarter 4 is a high base, but not as high base as this festive season or Quarter 2, I should say. So, we are optimistic that Quarter 4 should be a very marginal growth of single digit growth.

Gunjan Prithyani : My second question is on the exports , now of course the aspiration on exports is pretty high in terms of we leveraging on Kubota network and otherwise also we have been talking quite optimistically on exports , but when I look at the numbers right now, they are about 30%-35% down, so if you can give us some color on what is dragging the exports down and how should we see this ramping up over the next 12-18 months? Any change in terms of numbers that we should be keeping in mind for next yea r because it has just fallen off a lot ?

Bharat Madan : Yes, Gunjan, this is Bharat Madan . So, on the export front this year, as you know, I think the markets in Europe, which is the major market for us for export has been under recessionary conditions, so we are not seeing the major trigger happening on the demand side over there. So, that is one of the reasons why we are seeing a slight dip which has happened in this volume. Second, the re are also some issues on the product side , we had to the relay out of our production, other manufacturing factories, which also led to some dip in those numbers in the beginning of this year, so which delayed some of the number. So, this year looks like I think even compared to last year only the export will see a dip. T his is a n industry wise phenomenon, not just to Escorts , but I think over the industry for export is down about 26%-27% even though we are slightly down more because of these numbers which are going, Kubota has s

lightly fallen off
this time, b ut on a full year basis, we expect I think slightly lower than maybe about 10% to 15% lower number this year compared to last year and for next year, we are looking at going up to maybe somewhere around 20% to 30% growth over the current year base. So, some of the development of product side is slightly delayed and we expect from maybe 25-26 will be where we will see a maj or growth momentum will pick up in the Company, but for next year still they

will be better than current year which i s looking like , but it may not be the kind of number which we are hoping will happen in initial planning.

Moderator: Thank you. The next question is from the line of J inesh Gandhi from Motilal Oswal. Please go ahead.

Jinesh Gandhi : Quick question on the demand output which you have shared plus minus 2% growth a nd then when we look at that number vis -à-vis first half decline , it implies almost 8% -8.5% growth for the second-half , so this 2% more of an indicative number, not necessarily that might actually play out, is that the way we are looking at it because our commentary for 3Q and 4Q doesn't match with this 2% growth number?

Neeraj Mehra : So, see, the current decline in Q2 in terms of industry does not actually present a complete and a comprehensive picture. Yes, there have been couple of factors that have resulted in the slight decline in the industry in Q2, one is the erratic rainfall that has happened and in lot of areas in the country, it has been deficient. The second part is we a re working on a higher base compared to last year and the third part is that the festival season has actually moved on to quarter 3 . It has staggered over 3 months. So, for example, September only had Vishwakarma Pooja, October only had Navratr a and Dussehra and November will have Dhanteras and Diwali . November, we are very sure and very buoyant that November will be a decent growth industry and assuming December to be at a p ar industry, we are looking at about 2% growth in quarter 3. Now coming to Quarter 4 , Quarter 4 is not a very high base compared to the previous year. That is one part. The second part is Quarter 4 to a certain extent would be the last quarter of thi s fiscal before we get into the next year and the next year is the major year for election time. So, we have a feeling that there might be some s hops or this thing from the government side, which might help a bit of growth in the Quarter 4 industry. So, the base is not as high as Quarter 4 a nd secondly, there might be a certain stock building in March due to the Navratr a falling in the early fortnight o r the first fortnight of April, so that might take the industry slightly on a higher side.

Jinesh Gandhi : What are the trends that you are seeing for the commercial users or nonfarm usage of tractors? Are we seeing the pickup as expected or that is also lagging?

Neeraj Mehra : No, co mmercial usage is pretty decent that the government 's focus or the major focus on the infra and construction ac tivity, yes, the focus is there, currently more or less 35% of the overall sales, 30 to 35, it is just a ballpark figure is from commercial segment. So, the sales here are pretty decent.
Jinesh Gandhi : So, almost 30%- 35%, any sense how this was last year, this 30%- 35% number?
Neeraj Mehra : Should be more or less similar because governments focused in the last 12 to 18 months has remained on infrastructure and that has helped the overall growth of the industry as well as the commercial sector as well .

Jinesh Gandhi : And we haven't taken any price like in 2Q except for the June price hike right, is that correct in tractors?
Neeraj Mehra : No, we had taken a price hike in Quarter 2 as well.
Jinesh Gandhi : What was the quantum and when was

it taken?
Bharat Madan : The cumulative price increase is roughly about 1.7% because we have taken one price increase in Q1 and second, we have ta ken in the middle of September.
Jinesh Gandhi : Both put together is 1.7%?
Bharat Madan : So, the full impact of that will come in the coming quarter. So, it is not fully visible in Q2.
Moderator: Thank you. The next question is from the line of Raghunandhan from Nuva ma Institutional Equities. Please go ahead.
Raghunandan: Sir, f irstly on the tractor side, on the demand triggers ahead a s you indicated that the government support may play out in the coming month and also the non- tractor, non-agri sales are also quite healthy, h ow do you see the demand condition Q3- Q4 and the standard positive growth for FY25 through early days, do you expect tractor industry to see growth of days 6%-7%, which would be the industry mean growth?
Neeraj Mehra : So, I have already commented on Q3 and Q4 and I think it is a bit premature to comment as of now on financial year 25 . We will wait and watch how the next 2-3 months pan out and probably during the next call we can give you a better perspective for financial year 25.
Raghunandhan : On the Railway side, last quarter we had shared an expectation of 16% to 17% full year margin , but given the performance in the first half, would you see a better number for the full year and what is supporting this margin upgrade?
Ankur Dev : This side , Ankur Dev here. So, basically this good margin comes from 2-3 factors. One is that we are having a better product mix. As we mentioned in the last call, we are having good revenue from spare parts sales also and obviously we saw some softening of the commodities in the quarter 1. So, all this is resulting into these kinds of margins .
Raghunandhan : And to Bhara t sir, sir on the Company's vision , can you highlight status of certain key items? A, amalgamation of Kubota Agri when is the approval expected, B, in terms of ent ering into new export market, what is the status or when do we enter m arkets like US and Brazil and C, on export of component to meet the Kubota 's global requirements , any progress there ?
Bharat Madan : So, I will just respond to the first question. I think it shows about your amalgamation t hat you would agree. So, we haven't got the order from N CLT asking us to go ahead with convening the

meeting of shareholders and creditors for both the companies. So, on the 2nd of December, the meetings are scheduled to be held . So, after these meetings, we get the approval , then there is the second version, which will be filed with NCLT, which will happen by middle of December and after that you can say, roughly, in Q4, we expect the order from NCLT should come in for approving the merger. So, hopefully before the end of this fiscal year, we should have this merger completed.
Raghunandhan : On entering into new export markets, US ?
Bharat Madan : From the US market, as I mentioned in the beginning, so there i s some delay on the product side because the kind of product side they a re looking at, we need to develop those products right now. There are some changes which have been done by the R&D team , but we had a visit from the US team recently this month only and they have a lot of expectation likely from India, which was a very positive sign and they are looking at India being a big sourcing base for them too to be able to compete in th at market with a lot o f Koreans demand which is coming up i n US market and they are competing with those established players, so they need support from India, especially from Escort side, vendors are providing those products to them. So, they have shown good interest and for us also in our mid- term business plan , the US was one of the bigger market s where we expect the exports will start picking up. So, I think

l ike you mentioned, may not be
next year, so next year we won't expect US will be able to open , the product development will take some time, but at FY26 is the time and we think the export to US will also start and that will be a big driver for us in terms of the volume.

Raghunandan: And component exports , any progress on product development validation?

Bharat Madan : Yes, so the work there has only started. So, we expect adding some movement will happen within this fiscal in Q4. I think the thing will start, but the team is already in place, and they are working on the suppliers and Kubota team in terms of the requirements , so hopefully we wi ll see the numbers will start coming in from next year itself?

Moderator: Thank you. The next question is from the line of Abhishek from D olat Capital. Please go ahead.

Abhishek : Sir, you are looking for the merger Kubota Agriculture Machinery India Private Limited, which is a low margin business , so how do you see that turnaround in the margin and how much the current l ocalization in that business ?

Bharat Madan : See, there are two JV s which we a re looking at merging into this Company . So, one is the manufacturing JV, which is EKI, Escorts Kubota India Private Limited and seco nd is the sales Company, which is Kubota Agriculture India Private Limited, so both of these will get merg ed into Escorts , but the idea was to have a single entity structure in India which will do all the business for both the JV partners for the local promoters as well as for Kubota. So, that is one of the key drivers. I think the localization , right now the sales JV is importing some of the tractors

and farm equipment which we are not manufacturing like growing harvest ers, transplanters and some of the other smaller tractors. And in the manufacturing JV, also the major thing which is still being imported is the engine, which we are getting from Kubota , which i s the plan to localize now. So, once we go with the Greenfield facility where the Kubota engine will be one of the initial thing s which we intend to localize , but that will be a major cost reduction item in the overall m argin front for those JV. So, initially when you merge this Company, obviously since they are still more or less breakeven or minimal negative operation, b ut I think gradually the idea is to optimize on the cost structure and then look at the ways where we can improve the margin and bring them to the same level as where the Escorts st and. So, that really will happen with the plan which we shared in the mid-term business plan. I think when the merger gets completed, then the synergies on integration will start coming in.

Abhishek : And s ir, in previous con-calls , we were talking about some contact manufacturing business, some Kubota global, s o when can we expect this sort of business for as per Kubota?

Bharat Madan : For finished product s?

Abhishek : Yes?

Bharat Madan : So, like you mentioned, i t is not going to be a contract manufacturing, but it will be sourcing arrangement which they will source the Indian products from Escorts Kubota and like you mentioned it will be going to the US market, European market, African market and also to some of the countries in Asia where Kubota needs those products , so we are always exporting the Kubota . If you look at our export numbers, even now it is roughly 30% exports are happening to Kubota network only and that number will only continue to grow in future as we develop our product as we mentioned earlier and we start our open export in the US market, which will happen from FY 26, so numbers will keep continuing t o go up.

Abhishek : So, any business, can we expect post FY 26 only or can it be possible for FY 25 as well?

Bharat Madan : So, like I mentioned Europe, we are already exporting. So, even now this year al so, we exported

roughly 30% sale has happened to Europe, which is through Kubota network only and that will continue to happen even next year. So, the US will be new market for us because we exited that market way back in 2008 and after that we had not entered that market. So, now we intend to enter that market through Kubota only, which will happen in FY26 from the product requirement which they have is ready at our end.

Abhishek : And my last question on the inventory side, how much is the current inventory at the dealer level and what is the industry level in inventory on tractor segment?

Neeraj Mehra : Currently, at the dealer level, we are at about 4 .5 to 5 weeks, which is going to come down in November end. At this point of time , it is for me to comment on the industry figures, it is a bit

difficult, but I believe our stock levels with the dealers are at a pretty decent level and these we intend to win them further by the end of this month once the season tapers down.

Abhishek : Sir, the inventory is at a higher level , can we see some sort of the discounting pressure in the coming days?

Nehra Mehra : See discounting because of high inventory is not a regular phenomenon. Higher discounts

normally happen during the peak season time . So, once the season gets over, the discounting levels also are brought to normal regular levels. So, I don't see this as a one -off scenario wherein additional discounts are to be given to reduce the inventories. It is a peak season phenomenon for everyone for almost all the industries and the discounts are brought to regular levels once the season tapers down.
Moderator: Thank you. The next question is from the line of Chirag Jai n from Emkay Global. Please go ahead.
Chirag Jain : Sir, just wanted to check on the broader thought process for setting up the capital financing on all these years we have been operating with independent financ ier, so how this would help us in terms of financing our market share gain in the domestic market probably if you can share some idea around that?
Bharat Madan : So, this is one of the issue s which has been raised, so I think pointed again that all most of the manufacturers, OEM s in India have their own captive finance arm and we were the only one who are not having that arm . And if you recall, we had this tie -up with DLL earlier , DLL India, which was earlier working as an exclusive captive finance provider for our Company, and it worked for about 4-5 years and during that period we actually had our peak market share which went up by almost 2% w hen those financing solutions were available . So, idea is to obviously help in the overall market growth. So, there are certain areas where the current financing options are not available, if we don't get from the other financiers and second the turnaround time is not really what we require it to be, so that puts some pressure on the working capital and as a result we feel we are losing some of the customer base which we should not be doing. So, this captive finance arm will definitely be going to help us in reducing the turnaround time and also in terms of helping us in our expiration of market share growth going forward. So, right now , I think the board has already approved the setting up of the Company and then we will go to RBI and apply for the NBF C license in the process of servicing that Company. So, hopefully by end of this quarter, we will be ready with the Company and next quarter in Q4, we should be making application to RBI before getting this license.
Chirag Jain : And would this be restricted only to our tractors or apart from our tractors, it can say finance, other product segment as well because most of the other captive financing arm, when they started as a pure captive arm, but over the years ?

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harat Madan : No, so this is meant only for captive financing. So, this will be for tractors, farm equipment as well as Construction Equipment , so basically the product category in which Company is operating and will be doing only our brands, no outside brand.
Chirag Jain : Second thing in terms of the overall competitive scenario, could you throw some light, what we understand that let us say, Mahindra or Swaraj who are market leaders, we are getting quite aggressive especially on the Swaraj brand and same is the case with Mahindra also with their Oja brand of tractors , so how the overall competitive landscape is shaping up from the next let us say 2-3 years perspective, any thoughts around that?
Neeraj Mehra : This competitive scenario ha s been there for quite a few years. It is nothing new here. So, yes, the brands that you mentioned have come in with some new product lines which has given them some g od impetus, both in terms of volume and market share . In the coming months, we as well are looking at some product launches in both the brands, especially on the F armtrac front. So, we feel that as we go forward, these new launches will actually, and these are top of the line launches with some change in the overall look of the tractor as well as the features. So, we feel as we go forward, this will help us compete in the major segments of the industry as w ell as in the major markets where these applications or these brands are prevalent.
Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi . Please go ahead.
Mumuksh Mandlesha : Sir, can you talk about the reasons why we are seeing the strong growth in the Construction Equipment segment and particularly what is driving the c rane segment to do much better? And how do you see the FY25 growth particular ly post the election as there may be slight slowdown on the CAPEX side from government?
Sanjeev Bajaj: This is Sanjeev Bajaj . So, first part of your question, this current year, the growth is largely coming from t he speed of the project and the government 's urgency on completing a lot of infrastructure projects and their commitment to fund these projects and it is driving both because of the government agency and at the same time there is a performance linked incentive for contractors also to finish the job in time and you get rewarded. So, this is fueling the overall growth in Construction Equipment. W e see that for the current year will look similar to what we have seen in the first half of the year and it will continue to be at the same growth phase and the only catch here is that next year we are going to get into elections and also there is emission norm change which is originally slated from April, but it is also expected to get deferred. So,

there is a bit of uncertainty in terms of where it will pan out. So, maybe for next year, the best time to estimate would be when we get closer to Q4 of this financial year , but for the current year, it looks like on the macro demand side, there is no change going to happen and it will continue to have the same growth which we have seen in the first half of the year.

Mumuksh Mandlesha : And s ir, can you talk about the farm implement growth plans for the Company for next few years?
Bharat Madan : Yes, as you know, Escorts' standalone basis right now we a re not a very strong player in the farm equipment segment , but this Kubota JV, which is getting merged into E scorts, so they got a strong business on the harveste r and transplant er side. So, even though we are in the process of developing some products and there are some good orders which we expect will start coming in Escorts also from next year, I think post-merger , it will become a sizeable business for us and there i s also a good intent from the management side to grow that business fur

ther . So, today, I
think the sales JV in Kubota are close to Rs. 300 crores of topline coming from the farm equipment si de and Escorts is still small at ordering Rs. 50-Rs. 60 crores sort of topline and it should be there , but combined business will obviously be strong, and they intend to grow and get into the new category a s well. So, I think if you look at our mid-term business plan, there is a good aspiration to grow that business , maybe to Rs. 1,000 cores sort of topline in overall business, so it is a very good potential into that category.
Mumuksh Mandlesha : Sir, h ow do you see the raw material cost going ahead due to increasing steel prices?
Bharat Madan : So, as of now, I think the first 6 months we did not see much pressure, so softening only which happened, although of late we have seen some impact started coming in and especially in the Construction Equipment , we have seen some impact which has happened now. So, obviously, if there i s a strengthening of prices, it will have an impact, but we don't expect inflation will be to the extent what we have seen in the last 2 years. So, right now , the position where we are sitting across all businesses, I think we have been able to pass on and the entire inflation has been fully absorbed now and it has all been passed onto the market. So, I think as of now most of us, all businesses are sitting on a clean s late. So, if some more inflation comes in, obviously we have to see the market and see if w e can pass it on to t he market, but we don't see it wi ll be a major pressure looking at the market dynamics right now.
Moderator: Thank you. The next question is from the line of Jaimin Desai from Emkay Global. Please go ahead.
Jaimin Desai : Firstly, I wanted to check on the Construction Equipment segment margins, very strong performance there in this quarter , wanted to know what are the factors driving it and how do you see the sustainab ility of these levels of margins ?
Sanjeev Bajaj: Sanjeev Bajaj , this side. So, the margin aspect of the business has been good this year and primarily whatever price increases we have taken a t the start of the year, recovery has been very good primarily because of higher demand in the market , so price stabilization has been good. Also on the commodity side , first 6 months did not see any increase , in fact there was a slight deflation , although there is a bit of inflation which is looking like coming last 1 to 1.5 months ,

but we will see that in the current demand cycle , we should be able to pass it on. It will not impact the overall margins going forward for rest of the year also.
Jaimin Desai : So, broadly you can maintain the current level of margins right above early double-digit growth?
Sanjeev Bajaj: We should look at it from an H1 perspective because quarter-on-quarter there will be variation because the volumes are very different. On an H1 basis, we should be able to continue till the end of the year. That is what it looks like.
Jaimin Desai : And with respect to the Railway equipment division, can you provide medium -term outlook on both growth as well as margin trajectories on that business?
Ankur Dev : Ankur Dev this side. So, as we have mentioned in our previous calls also, we are continuously launching new products and we are trying to get into products for the new type of rolling stock which Indian Railway is coming up with mainly the Vande Bharat trains. So, with the launch of these new products, we feel that we will be able to maintain the double-digit growth in the current year as well as the near future also. In terms of margins , we believe that we should be able to maintain the margins plus minus 100 or 200 basis points from the current levels.
Jaimin Desai : And just last question, if I can squeeze in , is there any update on the timeline for the emission norms

implementation in the below 50 HP trac tor category and what would be the ballpark cost
increase that we can expect whenever it is increasing ?
Neeraj Mehra : This is Neeraj this si de. So, these would be actually the TREM -5 norms, and the current
scheduled formal launch is from April 24, but what had actually happened was the TREM -4
norms had got delayed by about 18 months or so and it takes time for the various upgraded technologies to get established in
the market. So, from TREM -5 perspective there is, I believe,
a discussion going on if the TREM -5 norms can be extended further from April 24. Coming to
the cost impact, the cost impact would be substa ntial. At this point of time, it is very difficult to
comment on that , but I think it will be in the sub-50 HP tractors the increase would be 1.25 lakhs
for TREM -5 because on those set of tractors we will be moving from TREM -3 to TREM -5.
TREM -4 set of tra ctors which are above 50 , the incr ease would not be that substantial . So, this
is just a ballpark figure.
Jaimin Desai : Sorry, s ir, I lost your voice there for a second, can you repeat the number in terms of cost
increase?
Neeraj Mehra : It is pretty early to comment on the numbers, but what the numbers that I had shared was that in the sub50
HP segment, those are currently TREM -3 tractors , so from TREM -3, we will be
moving to TREM -5. So, the increase would be substantial in the case of tractors which are 50
HP and above the increase would be less because an increase has already been taken and passed

on with effect from January 23. So, in the case of sub-50 HP tractors, the inc rease could be above
Rs. 1.25 lakhs.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motiwal Oswal . Please go
ahead.
Jinesh Gandhi : My question is on the broader CAPEX at a console level , first half you had invested just about
Rs. 51 crores in CAPEX, would we expect CAPEX for the full year FY24 and potentially for
FY25 given our growth plans ?
Bharat Madan : So, Jinesh F Y24, initially we have indicated it will be Rs. 300-Rs. 350 crores, but the first 6
months we have not seen much of the CAPEX in terms of cash flow and the commitments have
been given for those CAPEX, but the cash flow hasn't happened, and we don't expect it will be
to that extent even on a full year basis. So, maybe it will be somewhere in the range of Rs. 200
to Rs. 225 crores actual cash outflow, which will happen, so most o f the cash flow will be carried
forward to next year, t o next fiscal.
Jinesh Gandhi : And next fiscal we could see bunching up and could be close to about Rs. 400-Rs. 4 50 crores?
Bharat Madan : Yes, next fiscal will be higher, so they will give the guidance as our internal budgets are
approved.
Jinesh Gandhi : And secondly on the Railway side, so we used to share this data on new product contribution to
revenues, how it could have trended in 2Q ? Would that have come down to support margins or
any direction or any number which you can share on that?
Bharat Madan : Sorry, contribution to re venue for Railway products?
Jinesh Gandhi : New product contribution to overall revenue ?
Ankur Dev : Ankur Dev this side. So, yes, so new products' contribution to the overall revenue is on the
higher side and as we have mentioned, it is more than 50% as we are continuously launching
new products and Railway s is also building up the new rolling stock. So, obviously all those
falls in the new products category,
Bharat Madan: yes, it is more likely conventional products are going down. Yes, it is almost stagnant now, so
no growth is happening. So, all growth which is coming is all coming from the new product
category?
Moderator: Thank you. The next question is from the line of Raghunandhan from Nuv ama Institut ional
Equities. Please go ahead.

Raghunandhan : Firstly, to Neeraj s ir, sir, can you talk about those new products in Fa rmtrac , you said specific
applications, they should cater to, and would that be focusing on the opportunity markets? What
are the applications which are being prioritized? Would it be like the below 30 HP or the pa ddy
specialist, some color if you can share there ?
Neeraj Mehra : So, at this point of time, it will not be very prudent to give too much detail, but in FT, altogether,
a new range is in the offering. These will actually be very high -end technology a dvanced
products, which will actually be targeting em erging specialized applications, for example, an
application like a Creeper application. So, it is altogether a new series, and this would be in the
50 HP and above category. Also, we are looking at some introductions in both the brands ,
Farmtrac as well as Power trac in the utility segment as well. So, from a F armtrac perspective,

the differentiators will actually be game changer a nd both in terms of technology and when you talk of technology, it is about hydraulic, it is about transmission, it i s overall vehicle, and the second part is also about the styling and the looks.

Raghunandhan : And my second question was on Construction Equipment , sir, you alluded to the emission on change in April , if you can talk a little bit more about it and I understand there could be a deferral if you can just give some color on what does the norm change and what could be the price increase?

Sanjeev Bajaj: We have two ranges of products and there are two emission norms prevailing right now on the products. So, there are 50 HP and below and higher than 50 HP , so 50 HP and below is still on BS3 level and 50 HP and above is on BS4 level, so it is slated to go to all to B S5 level from April 24 . So, this was the original plan which there are discussions with ICEMA and other entities with the government in order to defer it ; however, there is yet to have any official confirmation on it, but there is only one discussion. Now products which are moving from BS3 straightaway to BS5, the impact could be anywhere between 6 % to 8%, although it is too early to estimate , but for a customer probably it could be say around 8% to 10% whereas the products which are moving from BS4 to BS5, the impact will be much lower, maybe about 4% to 5% only or even lower, but these are very early estimates because most of the manufacturers they are yet to showcase the final version of those variants and also the most of the manufacturers they are into the test ing stage of these variants, so the final cost flow in the final market pricing is yet to be decided and also will be dependent on when actually the deferment happens when actually the product slated to be launched.

Raghunandhan : L astly , again to Neeraj sir, sir, if you can talk about that Escorts ' Farmtrac , Powertrac dealers were offered a chance to set up Kubota dealerships in terms of working towards cross selling , so any progress there and how are you looking at the synergy or cross selling opportunity?

Neeraj Mehra : See you mentioned it correctly, there is a huge opportunity in cross selling. Kubota products have their own strengths and so do Power trac and Farmtrac brands. So, we are working on this model on how the current set of dealers, they ought to actually have the bandwidth to sell the

additional set of tractors. So, over a period of time , we might look at t his cross-selling aspect of the tractor business, but as of now, it is pretty early days.

Moderator: Thank you. The next question is from the line of Mitul Shah from D AM Capital. Please go ahead.

Mitul Shah: Sir, I have question on last one- or two -months performance during ongoing festival , in terms of region wise color if you can indicate that which are the geograph

ies are still continue growing healthy and which geographies are indicating some weakness because of the monsoon deficit or drought like situation, especially in South and West?

Neeraj Mehra : Mitul, South has actually degrown from a festive perspective and so has the eastern market. There has been some growth in the northern markets. West has been a mixed bag, whereas Maharashtra has dropped considerably in terms of volumes. Gujarat has been a surprise package wherein the industry has done well. Also, Gujarat industry has ris en on the subsidy aspect of the business. That is one market across the country which has risen well on the subsidy business. So, it is a mixed bag. W est, Gujarat has grow n, Maharas htra has degrown, East m arket has degrown, Southern markets have degrown, Central and the Northern markets have grown. UP to a certain extent is the biggest market in the country, but UP to a certain extent has been at par. It is neither degrown nor grown.

Mitul Shah: As in going forward in next 6 months where we are indicating plus minus 2% for full year , so what we are assuming in terms of geography wise performance post this drought situation in Telangana and Karnataka particularly? A nd lastly, follow up on to this that as these northern market is growing then since we have much higher market share in those market, can Escorts grow disproportionately or can it outperform the industry?

Neeraj Mehra : So, you are very right. We are very sure that Q3, I have already shared before, also that Q3 will be ending the industry at about approximately 2 % to 3% growth. November will be the main driver of the industry growth b ecause of this extended season and extended festive season. Coming to Quarter 4 , which I have already shared , we are looking at a very marginal growth in Quarter 4 on account of a lower base compared to last year. Now , on the second part of the question in terms of E scorts ' market share and E scorts being stronger in the northern markets and the central markets, you are actually right, if you look at not the last couple of months, but the H1 performance , Escorts overall from the release figure has grown by about 0.3% market share in H1 . Market share in the auto industry, especially tractors is a bit sticky and over the last 6 months, only three major players have grown in market share and EKL is o ne of them. Our focus this year has primarily been on the retail side and our retail market share is substantially has grown higher than the release market share. So, yes, quarter 3 and Quarter 4 traditionally are

higher market share quarters and yes, you are right, we have that aspiration to outperform the
industry i n quarter 3 as well as Quarter 4.

Mitul Shah: Lastly, what was the inventory at the beginning of festival and what is target for end of November post festival?
Neeraj Mehra : I can comment on the E KL inventory. So, at the beginning of the festival, we had taken it up to about 5 to 5.5 weeks , we intend to bring it down to about 4 weeks at the end of November.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take last question from Jinesh Gandhi from Motilal Oswal. Please go ahead.
Jinesh Gandhi : One last question on the Railway business side, so we have seen a continuous decline in order book from almost Rs. 1,100 crore to Rs. 870 crore , is this primary reflection of lower tendering pace from the Railway side or is there something else over here?
Bharat Madan : So, Jinesh, these are the outstanding orders and as you know, the pace of execution has increased. If you look at the numbers also last two quarters, the growth has been almost close to 50%. So, your pace of execution of the orders has increased. A s I said, your outstanding order book has gone down, but we keep getting those orders continuously and also executing it faster, so

that
will be leading to the increased turnover, but the order book may not look very healthy b ecause the execution has increased, but otherwise there is a very strong visibility into the order flow s.
Jinesh Gandhi : So, orders have c ome back to normal levels to pre -COVID, is giving the pace of ordering?
Bharat Madan : Yes, that is right .
Moderator: Thank you. Ladies and gentlemen, which was the last question for today. I would now like to hand the conference over to the management for closing comments.
Bharat Madan : So, thank you, ladies and gentlemen for being present on this call. F or any feedback and or queries , please feel free to write in to us at investor.relation@escortskubota.com . Thank you very much and wish you all and your family a very happy and prosperous festive season and New Year. Thank you. Good evening.
Moderator: Thank you. On behalf of DAM Capital Advisor Limited, that conclude s this conference. Thank you for joining us and you may not disconnect your l ines.

Call: Feb 2024

"Escorts Kubota Limited
Q3 FY2024 Earnings Conference Call "

February 08 , 2024

MANAGEMENT : MR. BHARAT MADAN – WHOLE TIME DIRECTOR &
CHIEF FINANCIAL OFFICE R
MR. NEERAJ MEHRA – CHIEF OFFICER – AGRI
MACHINERY BUSINESS DIVISION - DOMESTIC
SALE S
MR. SANJEEV BAJAJ – CHIEF OFFICER -
CONSTRUCTION EQUIPMENT BUSINESS DIVISION
MR. ANKUR DEV – CHIEF OFFICER - RAILWAY
EQUIPMENT BUSINESS DIVISION
MR. SANJEEV GARG – HEAD FINANCE & TAX
MR. PRATEEK SINGHAL – INVESTOR RELATION S &
ESG
ANALYST : MR. ANNAMALAI JAYARAJ – BATLIVALA &
KARANI SECURITIES INDIA PRIVATE LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the Escorts Kubota Limited 's Q3 FY2024 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference, please signal an operator by pres sing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities . Thank you and over to you Sir !

Annamalai Jayaraj : Thank you Darwin . Good evening. On behalf of Batlivala & Karan i Securities India Private Limited I welcome you all for Escorts Kubota Limited 's Q3 FY2024 e arnings conference call. I also take this opportunity to welcome the management team from Escorts Kubota Limited. Today we have with us Mr. Bharat Madan, Whole -Time Director, and Chief Financial Officer; Mr. Neeraj Mehra, Chief Officer - Agri Machinery Business Division Domestic Sales ; Mr. Sanjeev Bajaj, Chief Officer - Executive Construction Equipment Business Division; Mr. Ankur Dev, Chief Officer - Railway Equipm ent Business Division ; Mr. Sanjeev Garg - Head Finance & Tax; and Mr. Prateek Singhal, Investor Relations & ESG . We would start the call with brief opening remarks from the management followed by an interactive Q&A session. Before we start, I would like to add that some of the statements that the com pany makes in today' s call will be forward -looking in nature and are subject ed to risks as outlined in the annual report and investor releases of the company . At this point I would request management for their op ening remarks.

Prateek Singhal : Thank you, Mr. Jayaraj . Good evening, everyone and thank you all for joining us today. Few highlights of company's s tandalone performance for third quarter ended December 2023 are as follows : Operating revenue at ■ 2,320.4 Crores up 2.5% year -on-year , tractor volume at 2 5,999 units down to 7.2% year -on-year , highest ever quarterly construction equipment volume at 1 ,800 units up 48.9% Y -o-Y, r ailway equipment revenue at ■ 205 Crores down 17.8% year -on-year. EBITDA for the quarter ended December 2023 up by 64.3% came at ■ 312.7 Crores as against ■ 190.3 Crores Y-o-Y. EBITDA margin at Q3 stands at 13.5% up by 5 07 basis point s year -on-year mainly led by improved realization , effective cost control , and softening in commodity price . Net profit PAT up by 48.8% to ■ 277.3 Crores as against ■ 186.4 Crores year-on-year.

Few financial highlights for nine months ended December 20 23 are as follow s: Operating revenu e at ■ 6,694.3 Crores up 8.6% year -on-year, t ractor volum e at 74 ,605 units down 4%

Y-o-Y, h ighes t ever construction equipment volume at 4, 750 units up 53.6% year -on-year,
highest ever railway equipment revenue at ■ 737.1 Crores up 22% year -on-year, h ighest
 ever EBITD A at ■ 902.9 Crores up 65.8% year -on-year, EBITDA margin at 13.5 % up 465 basis points year -on-year, highest ever
net profit in nine mo nths at ■ 795.1 Crores up 88.6% year-on-year, n et profit margin at 11.9% up 504 basis point s year-on-year. This is our best ever nine months' financial performance so far.

Moving on to the segmental business performance. Starting with the agri machinery business, d uring the quarter ended December 2023 t he domestic tractor industry experienced 4 .9% decline in sales with 2.35 lakh tractors sold compared to 2.47 lakh in the corresponding quarter. This decrease was primarily due to erratic and deficient rainfall resulting in delayed crop harvest and lower Rabi sowing. Our domestic sales were down by 5.9% to 24 ,628 tractors in Q3 FY2024 as against 26, 181 in the previous year. Our market share stands at 10.5% at the end of Q3 F Y2024 . In Q3 FY2024 the export industry saw a 27.2% decrease to 21.3K tractors as compared to 29. 3K tractors in the corresponding quarter . Our export volume declined by 25.7% to 1, 371 tractors as compared to 1 ,844 tractors in the corresponding quarter resulting in a market share of 6.4% in the export market . Now approximately 47% of our total export volume come s from the Kubota global network in the quarter ended December 2023 . Revenue for the segment came at ■ 1,658.3 Crores down from ■ 1,708 Crores in the same qu arter last year . The EBIT margin for the agri machin ery business increased by 550 basis point s to 13.8% as comp ared to 8.3 % in the previous year's corresponding quarter . This improvement was driven by softening in the commodity price, improved price realization and effective cost control measures . As we move towards the h arvest period, we anticipate a rise in the demand in the upcoming months as agriculture activity improve overall . On a full year basis, we expect FY2024 Indian domestic tractor industry to degrow at around 6 to 7% as compared to record industry volume of FY 2023.

Coming on to the construction equipment business in Q3 our serve d industry s egment for Backhoe loaders, pick & carry cranes, and compactor s experiences significant growth of around the 30 % odd led by crane industry 47% growth, compactor 49% and Back hoe loader industry up by 25%. O ur total volume of manufactur ed and traded product s reach ed all-time high in the quarter of around 1 ,800 machines, a 49% increase from the previous year . Construction equipment segment revenue came at ■ 457.2 Crores, up 49.3% as compared to ■ 306.1 Crores in the corresponding quarter . EBIT margins for the division improved by 607 basis point s to 8.3% as against 2.2% in the corresponding quarter led by operating leverage, improved product mix, and better realization . The construction equipment industry strong performance across all segment s attributed to increase infrastructure development project n ationwide with the government focus on faster project execution and adoption of advanced technology and sustainable practice, we anticipate continued growth momentum in the construction equipment industry.

 Coming on to the railway division revenue for the third quarter came at ■ 205 Crores as against 249.3 Crores in the corresponding quarter . The E BIT margin for the quarter ended December 2023 improved by 532 basis point s to 18.4% compared to 13.1% in the same period last year driven by more favorable product mix. Looking ahead we remain committed to expanding and diversifying our product line . At the end of December 2023, the order book for the division stands at more than 900 Crores plus.

Now I will request the moderator to open the floor for Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Gunjan Prithyani from Bank of America. P lease go ahead .

Gunjan Prithyani: Hi team thanks for taking my questions . Just reconfirming that in the opening remark s did you call out minus 6 to 7% decline for the tractor industr y in FY2024?

Neeraj Mehra : That is correct that is minus 6 to7 % for the entire year .

Gunjan Prithyani: Then if I use that as a base, we are basically looking at almost nearly low teen decline in the Q4 can you just share some insights on what is really that we are seeing on the ground, is this inventory correction , is it genuine weakness in demand and how long do we see this persisting ?

Neeraj Mehra : So, you are right Q4 we are looking at about 12 to 13% decline vis-à-vis last year so overall the year would end between 890 and 895 units, and this is on a high base . Last year was a very high base, the highest ever in the tractor industry so if we end at about 890 or 895 for the current year that would still be about second highest in the history of the tractor industry . Now one of the key reasons for this decline primarily is as already mentioned in the opening remarks it is basically erratic and deficient rainfall in the w estern and the southern part of the country so the tractor industry has a direct correlation to the rainfall that is one of the primary reasons basically and another reason is that the commercial segment primarily when I say commercial I am talking of the brick industry and the mining segment that was a bit slow so these two are primarily the reasons for the decline .

Gunjan Prithyani: Just two followups on that because if I look at the water reservoir levels, they are also quite meaningfully down from what typically has been the trend for last couple of years that really does not give confidence of things improving meaningful ly or how should I read beyond Q4. I get Q4 is a demanding base and some of these issues around commercial segment is reflected in CV industry as well but beyond Q4 is water reservoir level a concern or how are you approaching FY2025 if you can share more colo ur around that?

Neeraj Mehra : It is a bit premature to comment on financial year 2025 as of now because I have already said that tractor industry has a direct correlation to the rainfall so till we get a meaningful indication on how the rainfall, or the monsoons will be next year it is a bit difficult. We can get to it around March or early April o n how financial year 2025 would look.

Gunjan Prithyani: Inventory levels in the channel are that something that we should be worried about, it is at the high levels any comments there?

Neeraj Mehra : So, from EKL's perspective actually not to worry on the inventory levels . We are currently at about 35 to 38 days of inventory levels, so we have been very cautious on this aspect over the last n ine months, so our inventory levels are pretty much in control .

Gunjan Prithyani: Second question from my side is on the export now clearly the expectations here were of a significant ramp up with the Kubota network and what I see is almost 20 %, 25% decline in the volume numbers even when the volumes are quite small right now in context of what we are looking over the next three, five years so how should we look at the ramp up of the export business is it the merger that we are awaiting to close or is there anything t o call out on exports ?

Bharat Madan : So Gu njan on export like we mentioned in the last call also was export will really pick up for Kubota network once the product development is ready which is what Kubota really needs but if you look at overall export still the share of Kubota export actually is going up even the total volume , whatever volume we have even now, I think it is almost 40 -45% now which it has already touched and normally if you look at the markets both US and Europe are going through downwar d trends on the tractor industry perspective so we are seeing some pressure there but still Kubota actually has been buying these tractors and ther

e is
some new products which we are in the process of introducing which will happen in FY2025 and that will actually help us in picking more volumes for Kubota network too so I think long-term trend obviously you look at m id to long-term trend obviously is positive on export . There is lot of lineup which is happening now on the Kubota development side but obvious ly if you look at the short -term perspective there are obviously some conc erns. T he overall industry is down by 30% roughly.

Gunjan Prithyani: Got it. I will join back the queue. Thank you.

Moderator : Thank you. The next question is from the line of Raghunandhan NL from Nuvama Research . Please go ahead .

Raghunandhan NL: Thank you S ir for the opportunity and congratulations on good margin performance. S ir firstly following on the tractor demand there are triggers like the timing of that Chaitra Navratri festive period, IMD and Skym et both have initially indicated expectations of normal to above normal m onsoon and there could also be government support in terms of favorable policies so given these factors would you expect that the trend would be positive for FY2025 on the tractor side and also you will have a low base of 890000 to work with?

Neeraj Mehra : Thank you for the question, Raghu. F irst of all, 890 is not a low base it is pretty decent base, secondly what all factors that you have mentioned if all tho se factors come into play positively then of course we can see a positive upsw ing.

Raghunandhan NL: Got it S ir and second question was on railways part nine month s growth is strong and even last two years growth was strong for this quarter there was a decline Y -o-Y would you consider it as te mporary given that there is an order book of 900 Crores w ith things improve going forward if you can talk a little about what happened this quarter and the o utlook ahead .

Ankur Dev : I believe you are right as you are saying it is a temporary phenomena and the major revenue for our business comes from Indian railways and the supply happens based on the schedule which is received from them so it is basically low because of the supply schedule for Q3 which we were having and if I talk about the order book we have done a order intake of more than 40 -50% higher than what we had in Q 1 and Q2 so it is a temporary thing and we will continue our growth momentum in the coming periods also.
Raghunandhan NL: Got it S ir and lastly to Bharat Sir in terms of company 's progress towards v ision 2028 can you highlight status of certain key areas in terms of A amalgamation of Kubota Agri would you expect it to happen in the next two, three months , B in terms of export s of component would that start-off will p ay next three to six months ?
Bharat Madan : Yes Raghu on the merger front I can give you an update so obviously all the approvals are in place so the matter is no w pending with N CLT so I think it is up to NLCT when the final order com es so as you mentioned it can happen in next two three months so we are expecting it should happen within that time frame so on the component export side yes like I mentioned last time also so the team has been now working on this area and they have already shortlisted some of the component which they will be looking at expor ting and as you mentioned in the manufacturing JV in Escorts Kubota there is already exports happening to US and Thailand for the component so obviously those business will come to us, it is a decent business right now, 100 to 150 Crores components are exported from E KI and I think K AI is also exporting some component t o Thailand say another 60 to 70 Crores
 so it is a decent side of business and there is an intent to grow that business further because there is a lot of export which we are expecting wil

l happen from India so definitely the team will work on that so the y already started contacting suppliers and building a big portfolio but it is a good wish from Kubota side to shift part of the sourcing business from other countries to India.
Raghunandhan NL: Got it S ir. Thank you very much. I will fall back to the queue.
Moderator : Thank you. The next question is from the line of Hitesh Goel from CSLA. Please go ahead.
Hitesh Goel : Thanks for taking my question, Sir. This question is on TREM V norms so basically you had indicated that this will get extended beyond April 2024 for less than 50 HP segment so what is the indication you are getting from the government because I think in one of the concalls you had talked about September 2025 as the date for these norms ?
Neeraj Mehra : So, there is a formal communication now, so these have been actually extended to April 1, 2026, s o no impact for the next fiscal at least.
Hitesh Goel : Got it Sir. Thank you.
Moderator : Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.
Mitul Shah : Thank you for opportunity Sir. Sir, first question is on inventory. W e are hearing industry wide inventory level of around 45 to 50 days primarily with higher inventory leader so we are saying our inventory 35 days so such a huge deviation, we plan to increase the inventory in March ahead of the C haitra Navratri and how do you see that inventory situation for industry because C haitra Navratri starting in second week so would that be filled up in March itself to boost the March number or it will happen only in April ?
Neeraj Mehra : I mentioned in my earlier comments that our inventory levels are currently between 35 to 37 days so for the current fiscal we do not intend to increase our inventory and we intend to continue with this inventory as we go forward. Wit h a lot of thought we have worked on this inventory, and we intend to continue as we get into the next season.
Mitul Shah : Sir, second question on exports side again. Nearly 47% of the sales now coming from Kubota channel and without Kubota we were doing about 400, 500 kind of number per month and even after getting support from Kubota the number is not changing so sizeable deviation so how the strategy is wor king in terms of after this tie -up and Kubota channel,
 still we are selling F armtrac, P owertrac, EKL how the branding on a broader basis the strategy ch ange after this tie -up?
Bharat Madan : There is a strategy paper which has been rolled out so obviously there are markets where both the brands are present today so we have got Kubota network as well as our Fa rmtrac network and there are countries where there is only Kubota network present and we are not there and now there are countries where only Farmtrac is present and Kubota is not there so obviously where there is no overlap there is not an issue so both brands will continue independently but where ther e are overlaps in the same country where both brands are operating so the idea is to integrate the channel which is why you have seen some impact

coming on the numbers also where I took some time to really integrate the channel so there are some countries and with the distributors for both which brand will operate with whom
but obviously now the idea is whosoever is the best distributor they will operate whether it
is FT distributor then we will continue with FT distributor, if the Kubota network is strong
we will continue with Kubota network but the same distributor itself for both the brand so
the brand will continue in all markets so we are not discontinuing any brand from the
company side and whosoever is the stronger channel partner we will continue with that
channel partner and the other partner will be discontinued.
Mitul Shah : By when do we expect completion of this dealer consolidation and any

m eaningful ramp up
in export volume?
Bharat Madan : So hopefully within next year they should get completed w e already started working on
this, but they are going market -to-market with Kubota, and I think the total market we are
present is more than 60, 70 countries and Kubota is even more than that so obviously wherever there are ov erlaps we are addressing one- by-one on these markets. What we
expect I think within next one year the entire integration will happen.
Mitul Shah : Thank you and all the best.
Moderator : Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi .
Please go ahead.
Mumuksh Mandlesha : Thank you so much for the opportunity and congratulations on margins in agri segment. Can we talk more about the vision plan related to new products which we plan to launch for
domestic and exports markets just to get more sense what kind of products we are looking,
which segments we are looking, can you help us understand more on this ?
 Bharat M adan: See in the mid term basis plan we have identified the wide spaces both individually because we said we will continue with all three brands , Power trac, Farmtrac, and Kubota and they
have w hite spaces in each brand so we are not present in all three brands across all segment
and application so idea is to fill those w hite spaces so the product line obviously will
include wherever there are gaps we intend to bridge those gaps so there is plan on the
product development side on the next four years on how these works will really fill that gap
because we are looking at increasi ng market share, so obviously the entire universe needs to
be covered so th at has been the plan and the R&D team and product development team is
working along with the sales team for the development of this product and we will see the
line up starting coming in from next year, new product launches will start happening from
next year itself.
Mumuksh Mandlesha : Something similar w hat is plan for exports market, w hat kind of products we are looking Sir
to particular ly develop for Kubota markets ?
Company Speaker : So, one obviously the emission norms are advanced so it is not something but we sell in
India so that is roughly one requirement, second the quality standards if we were to sell
under Kubota brand are quite high and stringent because their positioning is totally different
so that means some changes are required. Even in the existing portfolio if we want to export obviously for Kubota brand or cobranded products some changes are being done to match
their quality stan dards so those things are there, so essentially see if you look at the exports
from India essentially we are always sub 75 HP segment which really sells in India now the
maximum export we are seeing happening in sub 40 HP segment especially if you look at
the European market 30 HP segment is the biggest export segment which is now happening, almost 13 ,000 tractors got exported last year under this segment so this is one segment
which is a priori ty and not just Escorts I think there are all other manufacturers also
targeting this segment now so it is becoming quite competitive but this is a segment where
the product gaps are being addressed and the first priority which will cater to European
market and then as you go to the north America or central American market then it will go
with the higher HP segment which we will get into.
Mumuksh Mandlesha : Got it S ir and just any update on the engine plant for the localization of the JV company?
Bharat M adan : So engine plant will come up when we go ahead with the Greenfield facility which is a plan
but certainly the engine line may not come up immediately , it may come up in second
phase , the first phase we intend to look at first setting up the tractor capacity which will be
doubled now and post that then we will start the

engine line but right now I think is still in
the discussion stage so the timing is yet we do not know which one will happen , it can also
happen together , it can happen in phases so we have to come back . We have not really yet

 submitted the final plan to both the Kubota board and to our board but obviously the land acquisition plan has got the go ahead from both the boa rds so I think we are starting this process from this month so hopefully next three , four months we should be able to close that.

Mumuksh Mandlesha : Got it S ir just lastly on the agri margin improvement which we saw this quarter has there been any price hike or a lower input cost benefit ?

Bharat M adan : Yes, both were there so if you recall in the last quarter in September we had taken a price increase so we did not get the full benefit last quarter so that imp act obviously has come fully in this q uarter and there has also been some deflation benefit which we got from the commodity prices in this quarter in tractor business so that is also reflected as part of the margin .

Mumuksh Mandlesha : Got it S ir thank you so much for this .

Moderator : Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi : Continuing on the previous question on the commodity side have we seen large part of the benefit reflect in 3Q or you are expecting further benefits i n coming quarters ?

Bharat Madan : Actually now we are seeing some tightening started happening actually in construction equipment we saw some inflationary pressure in last quarter so that is why you see the margin s in construction equipment are slightly down, so we took the price increase there in January to off set that inflation and in tractors again we are hearing there is some possibility of inflation coming in Q4 even though the quantum may not be high but those numbers still need to be finalized but we do not see a significant deflation benefit now coming in . I think the softness in commodity has a lready been I think more or less more even if it remains stagnant, I think we are good but otherwise basically your margin will increase.

Jinesh Gandhi : Effectively the impact which we have seen in construction equipment on margin usually 3Q is materially stronger quarter than second quarter is it predominantly because of commodity price increase or there is something else there ?

Bharat Madan : So, it is a mi x of the product mix obviously which is also one impact and partly of the commodity prices, so it is a combination of both .

Jinesh Gandhi : Got it and lastly continuing on the construction equipment we are expecting this momentum to continue ; however, if we go by outlook which industry has given which also there is

 reasonable contribution coming from construction end markets and the usual weakness seen in construction activity post election you expect reasonably good growth or this growth percentages will moderate substantially in FY20 25?

Sanjeev Bajaj : So in the short term we see that there might be a little bit of uncertainty when code of conduct co mes in at the time of elections, which is early part of the Q 1 of next year and also we can anticipate some caution when BS V kicks in January next year so these are the two factors which we need to keep in mind , but otherwise if we look at overall demand and the speed of the project and the kind of application of these equipments I think the average demand will continue like what it has been in this year other than these two factors which can be a littl e bit of disruption next year .

Jinesh Gandhi : Got it thanks and all the best.

Moderator : Thank you. The next question is from the line of Pramod Amthe from InCred Equities . Please go ahead.

Pramod Amthe : Hi Sir thanks for t

aking question so first question is with regard to the new emission n orms which I think got implemented for above 50 HP tractors what has been the experience there at the consumer level ?

Neeraj Mehra : The TREM IV norms which got implemented last year there has been an industry shift so basically there has been a movement downwards into the 41 to 50 HP segment so normally the industry size in this segment is about 7% which has actually now come down to 2% so industry for this particular segment will be around 20 to 22000 units for the entire year, there has been a drop of about 30000 units for the first nine months .

Pramod Amthe : Can the industry take the entire price required to pass on these regulations or there is a challenge?

Neeraj Mehra : So, the entire price has been passed on.

Pramod Amthe : Second one is with regard to the tractor industry o utlook which you alluded to compared to a single digit decline in December quarter you were already talking about double digit decline does it keep a substantial heavy lifting from the government or other agencies to do a revival post April ?

Neeraj Mehra : As I had mentioned earlier the linkage to the tractor industry is primarily on account of the mons oons so we will need to see how the mons oons pan out for the next fiscal year that is a prim ary thing the government ’s focus remains there, also it will depend on when the elections happen in the Q1, if the elections are announced for the period April or May then it will impact the industry because normally the farming c ommunity gets involved in these kinds of e lections so that is the scenario .

Pramod Amthe : The second question is with regard to the ra ilways sales how do you read the C PEX plan for this year and there are no plans for next four to five years if you can give more details on what part should go with that segment ?

Ankur Dev : As you know that we are basically into the business of supplying components for various kind of rolling stock which is being manufactured in India and majorly if we divide this into two segments the first one is a freight wagons and the government has already given long-term orders for manufactur ing of freight wagons to various wagon b uilders and there has been I would say continuous good tracking in this business and the wagon manufacturing is increasing month -on-month and I think this momentum will continue as they are laying out the dedicated freight corridor also to accommodate this newly manufactured freight wagons . If I talk about the passenger segment in this we have been hearing there is a lot of traction in terms of V ande Bharat coaches so I believe the rolling stock manufacturing will be having a good growth in the coming years and with that we are also developing a lot of new components for these V ande Bharat kind of passenger coaches so I believe we will be having a good growth in terms of industry and we should also be getting a good benefit out of that .

Moderator : Thank you. The next question is from the line of Abhishek from Dolat Capital . Please go ahead.

Abhishek: Thanks for opportunity. S ir what was the nine -month revenue and EBITDA of Kubota Agri Machinery and E scorts Kubota India Private Limited ?

Bharat Madan : We do not have the ready number because it is a joint venture which get s consolidated, so we do not do line -by-line consolidation there but like said roughly it is 500 Crores average revenue which comes each quarter so last quarter being a season quarter the average was about 600 Crores revenue. O verall EBITDA is positive so if you look at consolidate d numbers for manufacturing and sales combined they were positive but obviously EBITDA numbers are lower than what Escorts has.

Abhishek: In the last year EBITDA was in the range of around 1 or 2% so it has moved up because of the localiza

tions ?

 Bharat Madan : No Sir the re was a very good traction on the h arvesters and transplanter business last quarter so we got a decent margin in the sales company on that account so overall combined if you look at integrated EBITDA margin I think for both manufacturing and sales JV are roughly I think about 5 to 6% now so it is improving which is a positive sign and that is the idea because ultimately the idea is to take it to the level where Escorts post merger and then that is the direction on which we will be wo rking.

Abhishek: In export business how does the geography mix in Europe and US market ?

Bharat Madan : As I mentioned both the markets are seeing a downtrend so there is a degrowth it is not just for us . I think globally we are seeing that and Kubota has seen that sort of degrowth now coming in the tractor , post COVID when the lockdown was there , there was lot of demand for the smaller tractor which is what has actually given this b ig boost to the small tractor segment in both these markets and now once the lockdown is open we are seeing some traction is coming , the demand is slowing down and then again huge inflation which has happened that is another thing which is impacting the demand in these m arket s plus obviously competition from other market s with the players from India and Korea which are becoming very aggressive so that is another reason we are seeing some sort of slowness in the global numbers for Kubota but that is the reason which is the advantage which is why Kubota wants to leverage Indian operatio n to use it as a sourcing base where they can compete in those m arket on cost front with the other players , the competitors so that is why you see the good opportunity going forward in the next two, three years , good numbers coming in from export .

Abhishek: What is your target for the export mix by FY2026 or FY2027 in overall tractor volume?

Bharat Madan : So overall we are looking at least getting to the number two position in the export . Last year we did only about 1 7,000 tractors in export but looking at t he potential I think we nearly reach 20 to 30,000 tractors in the next two, three years .

Abhishek: Thanks. T hat is all fr om my side.

Moderator : Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar : Thanks a lot for the opportunity, Sir. Before the question, just a clarification Sir when you talk about the inventory numbers in terms of days, we are taking the last three-month average or what is the denominator what we are using?

 Bharat Madan : It is annual numbe r.

Pramod Kumar : Annual number is it .

Bharat Madan : That is right.

Pramod Kumar : Thanks a lot for that and Sir on the Chaitra Navratri in April if you can just help us understand how big is that in terms of seasonality for the industry and for yourself as to how much of the volumes come from that particular season because we understand Dussehra is a very large one for the industry in the annual calendar but just to provide a context as to how big this season could be if you can just help us understand that?

Neeraj Mehra : So, these Navratr i's compared to the N avratr is in October -November season are relatively smaller , they are relatively smaller yes, they do have some impact, but they are relatively much lesser in terms of volume business compared to D ussehra , Navratr i, and D iwali Dhanteras period .

Pramod Kumar : But is it fair to assume that it should be more like half of what you typically see in the Navratr i-Dussehra season in September -October, or it is bigger than that ?

Neeraj Mehra : It is slightly lesser than that.

Pramod Kumar : Slightly lesser than thanks a lot and S ir on the network side because compared to the market leader i

f you can just help us understand what would be a network gap right now and which are the regions where there is opportunity for you to expand your network especially with the given product portfolio which you are trying to build with Kubota what could be the network opportunity here in the domestic m arket ?

Neeraj Mehra : See in terms of the network our current focus is actually the western and the southern markets, primarily it is the western market because w estern India that is basically Gujarat and Maharashtra they contribute about 20 to 21% of the total TIV so our primary focus is on those markets, in our stronger markets our network is more or less in place . There are some actions related to restructuring but in our stronger markets it is more or less in place. The primary focus going into the next year will be in the western part of the country and a bit in the southern part of the country.

Pramod Kumar : South how much will be the gap Sir is there also meaningful gap between you and the other larger players in the region on the network side ?

 Neeraj Mehra : Yes there is a gap, but honestly south industry has shrunk over the last 18 months it now actually contributes only 15 to 16% of the total all India T IV so our primary focus now after the northern markets is the western part of the country.

Pramod Kumar : Fair enough and last question on the pricing environment because we do understand it is a pretty fragmented industry there are a lot of smaller b rands which are powerful in certain regions any given small town has like 15 b rands available nowadays in tractors even in southern market which is shrinking so how is the pricing discipline been for the last couple of months when demand has been weak and how do you see that going forward given the fact that the profitability of the industry is inherently pretty high so how should one look at the pricing environment because it is not about only two, three players holding the price line but it is a pretty long list of industry participants so how should one look at the pricing environment given that we are having this down cycle after a fairly long period of gap. W e have had a pretty good run for the last several years now so how should one look at the pricing discipline going forward Sir.

Neeraj Mehra : Over a period of time the pricing discipline has been maintained so there is a slight change in the pricing when the peak seasons com e in wherein all the manufacturers do le out certain discounts or certain customer schemes and that is for a set period of time so once that period is over the discounts or the customer schemes are rolled b ack and a normal pricing level comes into play so the pricing more or less is similar , it is different in different segments but more or less across the major players it is at a similar level .

Pramod Kumar : Before I go just a confirmation in Vahan there was some problem with the database which you had highlighted earlier is it still continuing, or you see the V ahan data with a lag is now kind of getting reflecting the updated retail environment for practice ?

Neeraj Mehra : So the V ahan data, the upgra ded data, the last data which came in was for the December period and also for the YTD period, so it has corrected now i t is more or less in line .

Pramod Kumar : Thanks a lot S ir and best of luck Sir.

Moderator : Thank you. We have the next question from the line of Kishore from JK Capital. Please go ahead.

Kishore: Thank you for the opportunity. I had a question more around the long term in terms of
where do you see the industry size stabilizing is it mostly penetrated in terms of new growth
and when will it move to a replacement cycle?
 Neeraj Mehra : So we are looking at 6 to 8% CAGR over a long-t erm perspective t

hat will continue looking
at the focus of the government and various other aspects I think 6 to 8% C AGR should be a
decent enough growth .
Kishore: For how long S ir like do you see any saturation coming in at least let us say next five to 10
years sort of a window or is it well b eyond in your opinion?
Neeraj Mehra : It is very difficult to comment but not in the near future not at all no sat uration at all.
Kishore: Got it thank you. S econd question I had is on the equipment beyond your tractors especially
with your now K ubota getting amalgamated how you see that other equipment b eyond like
your transplanter and harvesters how you see that market evolving in the next to three to
five years .
Bharat Madan : So implement market obviously has a good potential so as we know India has more
tractorization so need for mechanization is still to happen so it is only the basic implement
which are getting used in India so all the high-tech products I think will get introduced
gradually and we are seeing the growth happening like harvesting already 7 0% penetration
has reached in this , roughly in the earlier stages where you need to really have better
implements and better attachment which will come so this one segment which we think
should continue to grow I think in future even though like you said tractor industry made a
saturation finally some days we do not know when that day will come but that is where the
opportunity really exist and for other equipment to come into play which is why we are
looking at most of the OEMs now going into that category.
Kishore: Got it and last thing are you looking for any sort of external support from let us say the
government or any big leaders which can help you sort of grow this space a little faster in
the long er term ?
Bharat Madan : Well, I think in terms of support government policies are favoura ble for the agriculture
sector and we expect the same t rend will continue . I think the sectors in which we are
operating in fra and agr i I think both are the favora ble sectors from any government respect
of what government comes to power but yes of late you have seen the support from
government side in terms of like MGNREGA outlay has come down so you are seeing the
liquidity issues are coming up in the rural area right now which is why the last one year
seeing some demand got imp acted not only across only tractor segment even in other
segment we see the rural market has some imp act on the demand side, but we expect that
really will improve going forward like the MSPs are going up now so the government is
 going up so which is a fa voura ble sign I think from government perspective we think the
policies are favourable as far as the farmers are concerned .
Kishore: Got it and anything particular on the implement side and with that I will come back in the
queue. T hank you.
Moderator : Thank you. The next question is from the line of Pramod Amthe from InCred Equities .
Please go ahead.
Pramod Amthe : So, thanks for this followup you had planned to or taken a permission to set up a NBFC
right so in the context like recently there have been some instances of NPA would you be
going aggressively on this layout ; would you be setting up all by yourself the channels or
what is the plan on captive financing?
Bhara t Madan : So the idea of setting up captive finance company was to make sure the customers are not
lost to competition so there are areas where we are seeing some sort of pressure with the
financing is an issue so the idea of having this finance company is to supplement the main
business , core business which is on EV side s o obviously that is the objective but at the
same time the company will operate inde pendently so the idea is not to really get into the
NPAs and start getting into the full quality of customers so obviously that

aspect will also
get addressed and be taken care of so I think it will be a good balance which we intend to
achieve and if you look at all captive finance companies I think most of the OEM s are
operating with roughly 30% penetration on the cap tive finance arm so which is what I think
we are also looking at going forward, it is not only 100% financing the other finances are
already working with us they will continue to work with us and wherever the financing is
easily available that is not our target segment the idea is to approach the customer and

markets where there are difficulty in getting finance and there good quality customers available so that is a segment which we will really target in the finance company .
Pramod Amthe : Any timeline Sir when you want to roll it out and what penetration you will achieve this year or next year ?
Bharat Madan : We just incorporate d the finance comp any last month and we intend to apply to R BI for license now in this month so it takes I think some time six to eight months fr om RBI to issue the license and once we get that registration in place till that time mostly the entire backend action will be done and hopefully within next fiscal, we should be able to launch those company and start financing .
 Pramod Amthe : The second one is the follow up for this TREM emission , there were also discussion s to classify tractors as agr i and non -agri and give conc ession only for agr i anything agreed by the government how this concession will apply to non-agr i tractors ?
Neeraj Mehra : So, there is nothing of that kind as of now, so all tractors are primarily from agr i perspective.
Pramod Amthe : But the concession was sought with the thinking that the tractors are sold to agr i but as we know there is a 30, 40% which goes to transport right any thoughts there , any conclusion arrived ?
Neeraj Mehra : See like you said the main purpose of tractor is to be used in agriculture application . The use in haulage or other activi ty is the secondary use it is not a primary use for the t ractor . No one buys a tractor only to put for commercial activities, so the main purpose still remains agriculture which is why this distinction has not been done by the government .
Pramod Amthe : Sure, thanks and all the best.
Moderator : Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.
Pramod Kumar : Thanks a lot Sir most of the questions have been answered but if you can just help us understand on the replacement cycle given that we have been having both agr i and infra doing very well and normally in such c ycles the tractor var iant is also higher so if you can just help us understand how do you see replacement cycle or by when do you expect replacement cycle to kick in , in a good way for the industry given the strong growth what we have seen in the last three, four years ?
Neeraj Mehra : Replacement cycle of a tractor depends on the application it has been used and also on the geography so more developed markets actually and from agr i perspective the replacement cycle varies between 5 to 8 years . If a tractor is actually being used for both agr i and commercial perspective then the replacement reduces a bit, so it varies between 3 to 6 years or even 7 years but a normal replacement for a natural tractor varies between 5 to 7 years on an average.
Pramod Kumar : Thanks a lot S ir. Thank you.
Moderator : Ladies and gentlemen, we have no further questions . I would now like to hand the confe rence over to the management for closing comments . Over to you Sir!
 Prateek Singhal: T hank you, ladies, and gentlemen, for being present on this call . For any feedback or queries please feel to write us on investor.relation@escortskubota.com . Thank you very much and

have a good evening.
Moderator : Thank you. On behalf of Batlivala & Karani Securities that concludes this conference. Thank you all for joining us . You may now disconnect your lines.

Call: May 2024

Escorts Kubota Limited
(Formerly Escorts Limited)
Registered Office - 15/5, Mathura Road, Faridabad - 121003, Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

May 15, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE - ESCORTS

Sub: Earning Call Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on May 9, 2024, for discussing the earning performance of the quarter and financial year ended March 31, 2024, and the same has been uploaded on the Company's website at the below link:

https://www.escortskubota.com/investors/financials.html?view=list

The aforesaid transcript was uploaded on the Company's website at May 15, 2024 at 10:56 A.M.

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Escorts Kubota Limited

Arvind Kumar
Company Secretary

Encl.: As above

"Escorts Kubota Limited
Q4 FY '24 Earnings Conference Call"
May 09, 2024

MANAGEMENT : E SCORTS KUBOTA LIMITED
M R. BHARAT MADAN – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER –
MR. NEERAJ MEHRA – CHIEF OFFICER , AGRI
MACHINERY BUSINESS DIVISION (DOMESTIC SALES)
MR. SANJEEV BAJAJ – CHIEF OFFICER ,
CONSTRUCTION EQUIPMENT BUSINESS DIVISION
MR. ANKUR DEV – CHIEF OFFICER – RAILWAY

EQUIPMENT BUSINESS DIVISION
MR. SANJEEV GARG – HEAD, FINANCE & TAX
MR. PRATEEK SINGHAL – INVESTOR RELATIONS AND ESG

MODERATOR : M R. MUMUKSH MANDLESHA -- ANAND RATHI SHARES AND STOCKBROKERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Escorts Kubota Limited Q4 FY '24 Earnings Conference Call hosted by Anand Rathi Shares and Stock Brokers Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance during the conference

call, please signal an operator by pressing the st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mumuksh Mandlesha from Anand Rathi Shares and Stock Brokers Limited. Thank you, and over to you, sir.
Mumuksh Mandlesha: Thank you, Steve. Good evening, on behalf of Anand Rathi Shares and Stock Brokers, I welcome you all for Escorts Kubota Limi ted Q4 FY '24 Earnings Conference Call. I also take this opportunity to welcome the management team from Escorts Kubota Limited. Today, we have with us; Mr. Bharat Madan, Whole-Time Direct or and Chief Financial Officer; Mr. Neeraj Mehra, Chief Officer, Agri Machinery Business Division, Domestic Sales; Mr. Sanjeev Bajaj, Chief Officer, Construction Equipment Busine ss Division; Mr. Ankur Dev, Chief Officer, Railway Equipment Business Division; Mr. Sanjeev Garg, Head of Finance and Tax; and Mr. Prateek Singhal, Investor Relations and ESG.
We would start the call with a brief opening remark from the management followed by Q&A session. Before we start, I would like to add that some of the statements that company makes in today's call will be forward-looking nature and are subject to risks as outlined in the annual report and investor releases of the company.
I would request management for the opening remarks.
Prateek Singhal: Thank you, Mumuksh. Good evening, everyone, and thank you all for joining us today. A few highlights of the company's stand-alone performance for the fourth quarter ended March 2024 are as follows: Operating revenue was INR2082.5 crores, down by 4.6% Y-o-Y. Tractor volume as 21,253 units, down by 14.2% Y-o-Y.
Construction equipment volume at 1,798 units, up by 17.7% Y-o-Y, Railway equipment revenue at INR213.4 crores, down by 10.1% Y-o-Y. EBITDA for the quarter ended March 24, up by 12.8% at INR265.9 crores as against INR235.8 cr ores Y-o-Y. EBITDA margin at Q4 stands at 12.8%, up by 197 basis points Y-o-Y, mainly led by effective cost control, softening in commodity prices along with operating leverage in Construction Equipment division. PBT before exceptional item was INR323.7 crores, up by 19.3% Y-o-Y. Net profit came at INR242.1 crores, up by 30.5% Y-o-Y as against INR185.5 crores.
Some highlights of our stand-alone financial performance for the year ended March 2024 are as follows: Highest ever operating revenue at IN R8,776.7 crores, up by 5.2% Y-o-Y, tractor volume at 95,858 units, down 7.2% Y-o-Y. Highest-ever construction equipment volume at 6,548 units, up 41.7% Y-o-Y, highest ever ra ilway equipment revenue at INR950.4 crores, up 12.9% Y-o-Y. Highest ever EBITDA at INR1,168.8 crores, up by 49.8% Y-o-Y, margin at 13.3%, up by 396 basis points Y-o-Y.
PBT before exceptional item at INR1,389.8 crores, highest ever, up by 54.0% Y-o-Y. Highest net profit at INR1,037.2 crores, up by 70.9% Y-o-Y. PAT margins at 11.8%, up by 454 bps Y-o-Y.

CapEx for the year FY '24 was at INR175 crores. Book value per share as on 31 March '24 stands at INR833.8 per share. Net cash and investment as on 31st March '24 stand at more than INR6,000 crores. The Board of Directors have recommended a final dividend of dividend at 180%, i.e., INR18 per equity share for the financial year ended 31st March 2024, as against 70%, i.e., that INR7 per equity share in the previous fiscal.
On a consolidated basis, company financial performance for the year ended March 2024 is as follows: turnover up by 5% Y-o-Y at INR8,849.6 crores, EBITDA margin at 13.2% as against

9.2% Y-o-Y. Net profit up by 64.8% Y-o-Y at INR1,049.1 crores. Fiscal year '24 has been a significant milestone in our financial performance as we achieved our best ever results on both stand-alone and the consolidated basis.
Moving on to the segmental business performance, starting with the A

gri Machinery business.
In FY '24, the total tractor industry volume, domestic plus export decreased to 9.74 lakh unit, a 9% decline from the previous ever highest of 10.7 lakh. Our total tr actor volumes show a decrease of 7.2% to 95,858 tractors compared to 103,290 tractors in the previous fiscal.
The domestic tractor industry in FY '24 went down by 7.4% to 8.76 lakhs, down from a record high of 9.45 lakhs in the previous year. This decline was attributed to factors such as festive ship, erratic uneven and deficient rainfall, as well as lower water level in the reservoir, leading to delay crop harvest and sowing and lower output.
Our domestic tractor volumes saw a decrease of 5.3% to 90,239 tractors as compared to 95,266 tractors in the previous year. Despite this decline, our market share increased to 10.3% from 10.1% in the previous fiscal. Additionally, our market share for the quarter ended March '24 increased to 11.6%, a 69-basis point rise from 10.9% in the same period last year.
On the export side, during the fiscal FY '24, the industry was down around 21.4% to 0.98 lakh tractors as compared to 1.24 lakh tractors in the previous fiscal. Our export volume, however, went down by 30% to 5,619 tractors as against 8,024 tractors in the previous fiscal. Sales through Kubota Global network during the year contributed more than 38% of the total export as against 30% in the last year.
The segment revenue for the year-end ended March 2024 was at INR6,110.1 crores, slightly lower than the previous year revenue of INR6,316.1 crores. However, the EBITDA margin improved to 12.7%, up from 9.3% in the previous year. This increase was primarily due to more favorable product mix, better price utilization, effective cost control measures and a decrease in the commodity prices.
In the first few months of the fi scal '25, we might expect a slight decrease in the domestic tractor industry due to the ongoing election, low reservoir water levels, reduced haulage activity and a moderate rabi output. For the full year, however, we expect the domestic sector industry to do well and may register lower mid-single-digit growth, led by the near to our normal monsoon this year.
We are optimistic about the growth potential fo r our export market with Kubota Global Network and component export as we continue to expand into new markets, improve efficiency and

broaden our product portfolio.We are confident that the demand for our mechanized products will continue to grow worldwide.
Coming to the Construction Equipment business, our served industry of crane, backhoe loader and compactor was up by 29% as compared to FY '23, led by growth in the crane industry of 52%, backhoe loader by 23% and the compactor industry by 42%. Our total volume of manufacturing and traded products went up by 41.7% to ever highest 6,548 machines as against 4,629 machines in the previous fiscal.
Segment revenue went up by 45% at INR1,709.7 crores as against INR1,179.0 crores in the previous year. EBIT margin went up by 640 bps to 9.3% as against 2.9% in the previous fiscal. The ongoing election have temporarily impacted industry momentum, but we remain optimistic that the demand will increase following the election, the government focus on infrastructure development will support this growth . We anticipate demand to escl ate further in the fiscal year '25 as we may go forward.
Coming on to the Railway division. The revenue for the year ended March '24 went up by 12.9% to our ever highest yearly revenue of INR950.4 crores as against INR841.9 crores in the previous year. The EBIT margin for the year ended March '24 improved by 510 basis points to 18.9% compared to 13.8% in the previous fiscal, driven by a more favorable product mix, showcasing our commitment to enhance profitability and financial performance.
Division launched 3 new products in FY '24, which include electric

al control panels and brake pad for Metro coach and damper for Vande Bharat Coach. Electrical Control panel is a new product category and was supplied for the first time in the last fiscal. At the end of March '24, the division order book stood at a robust level of approximately INR950 crores. By maintaining a steady fast commitment to product diversification and expansion into new export market, we anticipate that the Railway Equipment business segment will sustain its double-digit growth trajectory throughout the fiscal year '25
Now I will request a more late r to open the floor for Q&A.

Moderator: The first question is from the line of Hitesh Goel from CLSA.
Hitesh Goel: So, my question is on this construction equipment division, right? We have never seen such kind of margins in history. And this is true for not only you but the industry also, right? We've seen a significant increase in margin in this year , right? So, can you please explain what has happened? Is it product mix or there is capacity on the supply side, which is helping pricing power? Can you give us more color why these margins are so high now in Construction?
Bharat Madan: Yes, I think it's a mix of all 3 factors. One, obvi ously, the industry has grown very well. This is the record industry this year FY '24 for the Construction Equipment segment also largely driven by the infrastructure project, which has been pushed by the government. Second, because the cost pressure, which was there earlier on the Construction Equipment space, obviously, now commodity prices have softened. And most of those cost increases were passed on to the market. So that means the realizations in the product category have been much better and the commodity prices continue to now remain soft compared to what we've seen in the last 5, 6 quarters.

So that impact has been fully passed on, even though impact of the initial emission changes which happened in this segment about 1.5 years ago that has also been passed on fully and absorbed by the market. So, FY '23 actually has seen a decline because of all these factors, but FY '24 saw a certain pickup, good pick up. So that's why adding combination of all these sectors now are leading to a good mix and better realizations and obviously the better margins across the industry.
Hitesh Goel: Just a follow-up there. So previously, there were a lot of imports from China because -- which was impacting the margins as well, right? So, there has been there a reduction in imports some policy has come through which a domestic industry is making good margins?
Bharat Madan: Sanjeev, you want to respond. Okay. Maybe Sanjeev got disconnected now. So, we're not really seeing the Chinese import more on the high-end segment, especially when we are dealing with this higher RT cranes and larger cranes, major imports are happening from China. So, in the Pick & Carry segment, which is our main category there, we've not seen the impact coming from the Chinese players right now.
So that impact hasn't been there. It's more on the earthmoving side where we are not a very large player as of now. So, our market share is only about 1% to 2% range, So, that is not really a significant impact for us. The Pick & Carry segment, if you look at the overall industry segmentation has seen the maximum growth and within the Construction Equipment space this year, that's where I think the benefit has been coming to us and the competition in this industry.
Moderator: The next question is from the line of Gunjan P. from Bank of America.
Gunjan Prithyani: I had two questions. Firstly, on the industry guidance of low to mid-single-digit growth and also calling out first half will be slightly negative. I just want to unders tand the -- what is it that we are seeing on the ground that gives us confidence that second half can actually sort of translate into 10% plus growth.

I mean, to get to low to mid-single digits, we would need double-digit growth in second half. So, if anything you can share in terms of on ground that you're picking up, which gives us the confidence on this growth guide for fiscal '25?
Neeraj Mehra: Good evening, Gunjan. This is Neeraj this side. So primarily, see, it's a bit premature to give guidance for the entire year at this point of time. The industry at now is a bit subdued, owing to the various factors that have been shared in the opening comments. But the positive part is that the forecast or the guidance for the rainfall is pretty good. It's positive. The two or three agencies will give this guidance. They have given a very positive outlook to this thing. So, the first quarter will be subdued. We feel that the industry might pick up post August, September onwards.
Gunjan Prithyani: Okay. So basically, the guide is more hinging on the fact that th ere will be normal monsoons or better than normal monsoons. At this point of time, you are not gauging any bottoming out of sentiment in terms of tractor purchases?
Neeraj Mehra: See, yes, the primary reason is the positive outlook on the rainfalls. Also, we are not on a low base. If you look at the last four, five-year indust ry base, 9.75 for last year was a decent enough base. So, we do not see any bottoming out per se as of now.

Gunjan Prithyani: Okay. And there's no channel inventory issue, right? I mean, is there anything to call out that channel inventory is above normal because the festive didn't go as well as the industry anticipated?
Neeraj Mehra: So, the channel issues primarily from EKL's perspective are well in control. Our channels are, from our perspective, probably lower than what the industry levels are.

Gunjan Prithyani: And can you quantify that? Like where would industry be or you be?
Neeraj Mehra: So, I can quantify for myself. Our stock levels or inventory levels are at a level of between 37 to 39 days.
Gunjan Prithyani: Okay. Got it. The second question I have is on the margins. I mean, the quarter-on-quarter contraction that I see in the Agri Machinery segment seems a bit steep, like I do see the volume decline quarter-on-quarter, but st ill just operating leverage by itself I feel will not probably explain the downtick. So, anything else that's reflected in terms of the EBIT margin in Agri Machinery. And if you can also share thoughts on how we should be thinking about fiscal '25 margins? Are there any levers to keep in mind? There was a price hike, which was announced recently. So some of those moving parts on the margins?
Bharat Madan: So Gunjan, essentially, this was the operating leverage impact only but the volume drop has been significant and also there's some production drop because of which some variances come into play with overhead absorption in this quarter. But going forward, we don't expect any major issue. If you look at the full ye ar margins for tractor business also, which has been closer to 13%, so we expect -- I think the margin should be actually recovering slightly from this level. And we should be able to be in 13% to 14% range, which has been the range we've been guiding now for the full year basis.
Gunjan Prithyani: And what led to the price hike, Bharat? Is there any cost pressure that we're seeing?
Bharat Madan: So there is some inflation which we saw last quarter. So there is also some increase in, obviously, the overhead costs. So the end of the early inflation has been fully passed on to the market. And there's also a reaction which was visible in the market from the competiti on. So we have been following the competition on that front which is why we also take a minor hike. So it's not a significant increase. So it's a very small nominal increase has been taken from 1st of May, which will likely take care of your overheads increases, which we project for next year.
G

unjan Prithyani: Okay, got it. Thank you so mu ch. I'll join ba ck the queue.
Moderator: The next question is from the line of Mr. Mumuksh Mandlesha from Anand Rathi Shares & Stock Brokers. Please go ahead.
Mumuksh Mandlesha: I just want to check; we are setting about a large plant in Rajasthan. So can you share some plans for this new plant? What would be the investment size, what kind of capacity you are seeing and how we see the ramp-up of the plant? And also, we had guided about INR40 billion of capex for the whole vision plan. So will that number also change because of the larger plant we are thinking about?

Bharat Madan: Yes. So we are actually still in discussion with the state g overnment for acquisition of land. So we are in the process of -- given the expression of interest to them, even though the deal has not been concluded with them, we are still negotiating on the fiscal incentives what the state can offer to us. So only after the land acquisition gets completed, I think we will be getting more formal indication on the project cost because obviously there's been inflation. We've been talking about this for the last now almost a year in shortlisting this thing. So some impact may happen.
So the guidance of about INR40 billion is broader number as of now because obviously, we will build over capacities in phases. So we intend to build our, double our tractor capacity there. We also intend to build our engine plant. We also intend to build gradually construction equipment plant in the same location. So this will happen, I think, over the period of four to five years. So overall, I think project size will be large. But as of now, I th ink we're still in the very initial phase. So hopefully, in this year, we should be able to complete the land acquisition and some work will start on the constr uction side in this place.
Mumuksh Mandlesha: Got it, sir. Sir, can you update on the progress of the NBFC setup and just want to understand how is the finance ability in the market? Are you seeing any stress due to some weakness in the demand or the monsoon challenges?
Bharat Madan: Okay. I'll respond to the first part of the question. On the NBFC side, we had made an application to Reserve Bank of India for getting a license. We made this application sometime in March. So we are still in touch with RBI. We got some queries back from them, and we responded to them. And typical time from RBI for giving a license is anywhere within six to eight months. So we hope we are able to get the license within this fiscal year, and we should be able to start our operation. Meanwhile, all the backend activities for readying our backend IT system, everything is getting ready. So that will want to be ready by the time we get the license so that we can start the operation well in time. I thi nk on the second part, maybe I'll ask Neeraj to respond to that.
Neeraj Mehra: So overall, there isn't much of an issue on the retail side. What normally happens is post a peak season, finances normally withdraw the temporary limits in terms of trade advances and all that they offer, working capital limits to the channel partners. And that is the reason there was some tightness post December fo r a couple of months. Also, the financ es were a little bit watchful in the states where the industry was dipping slight ly. But overall, the finance issue is pretty

comfortable and we don't see any challenge on the retail finance side as we go forward.
Mumuksh Mandlesha: Got it, sir. And lastly, Madan, sir, can you update on the JV financial performance for FY'24, sir?
Bharat Madan: So JV, I think our consolidated results include the portion of our share as a minority interest. So I think, overall, for the full year, and obviously, they were positive. So luckily, the last quarter was good for both the JVs and the full year was not as good, but the last q

uarter, I think the activity picked up. The margins were good, I think across both the JVs. And actually, if you look at the last quarter alone, our consolidated result will actually see an improvement in the margin if we combine the JVs. But obviously, that won't be the sustainable number in the immediate quarter because that was the peak season when the harvester sale was quite good and very good margin profile there.

So overall, I think like we mentioned, it will be close to roughly about INR2,000 crores of top line, which we get added. And initially, it will be a margin dilutive merger. So we are still in the process and the thing is pending with NCLT. So I think as soon as we get that order, we'll make it effective. So hopefully, we are hoping we get this within this first qu arter but let's be keeping our fingers crossed let's see when we get this.
Moderator: The next question is from the line of Raghunandhan N. L. from Nuvama Research.
Raghunandhan N. L.: Congratulations on strong FY '24. So firstly, to Neeraj sir, for FY '25, given a positive outlook for the tractor industry. Within that, how do you see the outlook for various regions? My checks indicate that North, Central and West regions are likely to do better and South is likely to see a decline. Would you agree with this? And would this put Escorts at a favorable position as our strong markets are expected to do better?
Neeraj Mehra: So thank you for the question, Raghu. So you are right in what you have actually shared. Yes, the South and to a certain extent, the Western part of the country, would be under pressure from the industry perspective. Though the industry drop has been substantial last year. So the drop because of the low reservoir levels and also from the rainfall perspective, might not be as steep as was in the last fiscal year. But yes, in comparison, North, Central would be much better off.
Raghunandhan N. L.: And given that these are our strong markets, we should get an advantage here. And also on the new product development in tractors, considering own efforts, Kubota support, what are the focus areas? And can we expect launches in FY '25, any area for any thoughts you can share here?
Neeraj Mehra: First, on the industry part and our strength area s. See yes, North has traditionally been our strong pocket. And -- but over the last couple of years, we have lost market share there. So our focus remains in the North as we go forward in this fiscal year. Also, I had mentioned in the last call as well, that our second focus actually is now West. West is a booming industry. And despite the fact that Maharashtra dropped in terms of industry -- overall, West industry, contributed to about 20% of the tota l all-India industry.
South has declined substantially and remains at 15%. So yes, you are right, to a certain extent, it's a favorable position for us as we go forward. Coming to the product launches, yes, we have a certain series of product launches lined up during the course of the year. I believe it will not be prudent enough for me to speak early on those launches as of now. But yes, there are certain white spaces in our product line, and these launches will actually help us cover those white spaces.
Raghunandhan N. L.: Got it, sir. Thank you. To Bharat sir. Sir, for FY '25, can you share what would be your capex plan? And how would you see the breakup of this capex?
Bharat Madan: See, next year, our initial plan is to do about INR300 crores of cash flow this year. Now this is obviously excluding the greenfield project, which will come up. So that will be additional. So depending on what stage we end up this year with -- on the project, it's only land acquisition or going beyond that. So that will be over and above this. But for the pure normal capex, it's roughly about INR300 crores. Now most of this will be in three categories.

One is on the product side. Roughly one third will get spent on the product development side. One third of the spend is actually on the building infrastructure in the factories. It's more on the sustainability front, both on renewable energy and rain water harvesting and also on the conversion of our diesel gensets to gas gensets, which is a government directive being in NCR,

we're not allowed to use the diesel gensets now. We are gradually converting all the gensets into gas based gensets. So these will be the major categories and there will be some capex, which we make low construction and real business group. So basically, the balance capex, which will happen. So broadly, this is the sort of you know split which will be there.
Raghunandhan N. L.: And in the JV, sir, like the effort is there on increasing gradually the loca lization part for Kubota tractors, would there be any meaningful capex there?
Bharat Madan: So major capex is only on the work side, even in the JV right now because the localization, which has to happen is essentially for the engine, which is the major part, and that will happen along with the greenfield project. The engine line, which we are setting up right now for our existing product portfolio, which is for Powertrac and Farmtrac will be coming up in this year, which is also part of our capex plan for this year. Some capex will happen this year, but I think the major one will ha ppen the year after on this engine line.
Raghunandhan N. L.: What should be the land acquisition cost, sir, at Rajasthan?
Bharat Madan: Well, like I said, it's still being negotiated, but th e ballpark number, what we are getting is close to INR400-odd crores.
Raghunandhan N. L.: Got it, sir. And first, like on the Agri exports, if you can talk about the efforts on network management, integration with Kubota, new product development, homologation status. And do you see that by end of FY '25, you'll be in a position to enter U.S., brazil? Any updates there?
Bharat Madan: Yes. So they are slightly products under development, and we expect by third quarter, the development should get completed, and we are expecting good numbers to come from Kubota now, especially on those products which we are specifically making to them and that should actually help us in driving the export volumes. Likely this year, we'll see more growth maybe probably in the export volume side than on the domestic side.
Raghunandhan N. L.: Got it. So you wouldn't see that the boost in exports will go to next year. You are saying this year itself; we should see the be nefits starting to flow through.
Bharat Madan: The reason being the base has gone down. If you look at our last year numbers, so we had reduced -- we've gone down on export by almost 30%, so which is why the base is low. So if you grow by 25%, 30% this year, we'll probably come back to the same level what we were in FY '23. So essentially, to your question, I think, yes, the major growth will actually start coming from FY '26 on export number. FY '25, we'll still see the growth in terms of it does personally look very high. But given that the base which has been corrected now for last year, so we don't think it will be a very significant increase. So maybe FY '26 full year benefit will really start flowing from there.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: What could be the production for the JV capital capacity of 50,000? Would it be operating at 60%, 70% utilization or lower?
Bharat Madan: So in the JV, we are doing 2 activities. One is their own tractors, which they're making for Kubota brand, which last year was, I think, close to 18,000, 20,000 tractors made for these, which is only 40% utilization. Then they're also doing job work for Escorts. They are making the Farmtrac range o

f tractors in that factory, which essentially is a jo b work activity. So you say roughly 50%-odd utilization th is year. But going forward, that number will continue to grow.
Jinesh Gandhi: Okay. So effectively, for our Indian operation overall, this next couple of years, we have enough capacity, 130 Escorts 50 in the JV, so is there a plan to push back Rajasthan plan I mean if we start to work next year, it will take a couple of years for it to come.
Bharat Madan: No. I think if you look at the capacity wise, it costs was at about 120,000, 150,000 of the JV. So combined capacity is 170,000, so if you look at our existing number, Kubota has sold roughly 18,000 - 20,000 tractors last year and we sold roughly 95,000 this year on the year before, we were at 105,000. So combined numbers will still be today about 130-odd thousands. So there's not much scope. So if you see slight industry growth and maybe some market share movements, so that capacity will not be enough.
So if you were to start planning for capacity increase with, we started doing now because it will take some time. The lead time will be roughly about 3 years for the project to go live. So when they look at how will end up. And if the export numbers also start going up. So that will be another issue, I think, which we need to address.
So we think tractor capacity addition is something which will happen, and that has happened because this will also give us more growth going forward even on the tractor export with most of the tractor export from Kubota will happen on the factory and also to prepare for any potential increase in the industry going forward, which we should be able to address.
Jinesh Gandhi: Sure, So Rajasthan plant is actually coming in FY '27 '28.
Bharat Madan: Yes, that's right.
Jinesh Gandhi: Okay. And secondly, on the engine capex, which is being done. So what's the kind of capex and

capacity that we've come up for that?
Bharat Madan: The new greenfield field or the existing one you're saying?
Jinesh Gandhi: Both existing and greenfield. Existing is what the capacity and greenfield is what kind of addition are we doing?
Bharat Madan: So existing plant will take care of the requirement for our total -- both the brands, Powertrac and Farmtrac, also the requirement for our engine business. So it'll be roughly 150,000, 160,000 capacity line, which will come up here. And then the greenfield will be more for Farmtrac and Kubota engines, which will be additional.
Jinesh Gandhi: Okay. That is adding 50,000 or more in terms of engine capacity?

Bharat Madan: No, double because tractors being double, engine will also get doubled.
Jinesh Gandhi: Got it. And that's part of that INR4,500 cror es capex, which been talked about Rajasthan.
Bharat Madan: Yes, that's right.
Moderator: Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.
Mitul Shah: My question is on the…
Moderator: Sorry to interrupt you sir. I would request you to please use your handset while speaking.
Mitul Shah: Yes. Am I audible?
Bharat Madan: Yes. Now we can hear you, Mitul.
Mitul Shah: My question is on tractor growth and market sh are, which in earlier comments, we highlighted that the industry probably would be doing better on the North and Central side and we have stronger position, so we may get benefited from that in terms of market share gain. However, considering this FY '24 for itself , industry decline of 7.2% North and Central put together, there is a marginal growth.
On the other end, we declined despite our stronger markets growing or there is a meaningful market share loss in those regions. So for next year, when the South base itself is very low and there is almost -- it is 25% below the peak level, so when we are saying normal monsoons, South should revive more strongly and which is even challenging market for us. So market share

maintaining itself would be a chal lenge. So what is our strategy to maintain that or increase.
Neeraj Mehra: So thank you for the question, Mitu l. So I'll put some figures in perspective, okay? So first of all, in terms of North and West, if you combine together, there has been a marginal growth in the market share. Overall, if you look at Zone wise, our highest growth in financial year '24 has been in the western part of the country. In North, if you go back a couple of years, we have been consistently dropping. And this is the year we have to a very large extent, curtailed that drop. The drop is actually very miniscule, which has been consistently going on for the last 3 to 4 years.
So from our perspective, we look at both these things from a very positive perspective. Coming to the south part, South industry at this point of time is only 15% of the total all-India industry.
The 4 big states combined together. So for example, if you take Tamil Nadu, Telangana and AP, industry put together is le ss than the industry of Gujarat for financial year '24.
So our -- even if the industry grows in South, the industry overall volumes will not be very, very substantial. So as I had mentioned in my earlier call as well, and I reiterate that point, our focus will be in the northern part of the country. Where this year onwards intend to gain, we have done a lot of corrections. The corrections are almost complete. So we see a clear-cut path for growth as we go forward in North, plus, as we have gained in the western part of the country, our strategy

is very clear on what we need to do both in Maharashtra and Gujarat. So the focus will be in 2 zones, the northern part of the country and the western part of the country.
Mitul Shah: Sir, then on the market sales side, even in case of Kubota also, market share from 3% is consistently now below 2% or around 2% since last almost 12 months. So any specific reason?
Neeraj Mehra: So Kubota primarily the volumes, the majority of their volumes are primarily from 2 states. The Southern part of the country, that is Karnataka and Maharashtra. And you already know that the drop in the southern part and Maharashtra has been substantial. So one of the reasons -- one of the key reasons of Kubota getting hit in terms of market share is primarily because of the steep drop in the industry. Yes, if the industry in Maharashtra and South grows, one of the key beneficiaries going forward will be Kubota.
Moderator: Thank you. The next question is from the line of Abhishek Jain. Please go ahead.
Abhishek Jain: Sir, if you can give some colors on the revenue of Escorts Kubota India Private Limited and

Kubota Agriculture Machinery Private. Limited. in FY '24?
Prateek Singhal: Sorry, Abhishek, can you repeat your question? We lost in between?
Abhishek Jain: Are you able to hear me?
Prateek Singhal: Yes, we can hear you now. Can you repeat your questions?
Abhishek Jain: So sir, can you give some color on the revenue of Escorts Kubota India Private Limited and Kubota Agriculture Machinery Private. Limited. in FY '24?
Bharat Madan: The revenue?
Abhishek Jain: Yes.
Bharat Madan: Yes. I mentioned, I think 1 of the earlier questions. So it's roughly around INR2,000 crores between these two JVs which obviously post-margin will get it added to our top line.
Abhishek Jain: And how is the margin structure of this -- as you said that there is improvement on margin on quarter-on-quarter basis, but it is down on an annual basis. So what is the current margin and what is your target for the next 2 years in this margin expansion?
Bharat Madan: See the combined impact of the margin for both the JVs was more or less breakeven. Even though the last quarter like you mentioned has been good for them. So if you look at our consolidated numbers we're showing increase in th e PBT because of this mi nority interest which, is I think about

INR15-odd crores. So the last quarter both the JVs put together did almost INR40 crores, INR45 crores of PBT which is qu ite good in this particular quarter.
So going forward we expect the margin will improve. That is what the purpose of the merger is also when the integration starts happening, the co st rationalization will happen. There's a lot of overlap which exist today when the separate entities are being operated. So those will be getting addressed gradually.

And then the major lever like we mentioned wa s on the localization of component which today are getting imported in both these JVs. So once the localization starts happening then you will see the major benefits start coming. So end objective is we should be able to clearly bring down -- bring the margins for these JVs up to the same level where we exist today in Escorts on a standalone basis. So that's our purpose, that's our objective for the next 3 years to 4 years. So that's why I think in the midterm business plan which we indicated on a combined entity basis we are looking at maintaining the similar margin profile but exist today in Escorts Kubota.
Abhishek Jain: And major localization would be for the engine parts localization to Greenfield projects?
Bharat Madan: It's not just engine even the products which are getting imported today and they are getting sold in India and he has to also localize those products. So I think those are compared tractors which we are today importing from Japan or Thailand they will get localized gradually. So right now they have a well limited number of models we are making in the manufacturing JV. The other things we are still importing. So once that localization happen s so that will also improve the margin profile for these JVs.
Abhishek Jain: Okay sir. Thanks sir. That’s all from my side.
Moderator: Thank you. The next question is from the line of Karan Sanwal from Niveshaay. Please go ahead.
Karan Sanwal: Thanks for the opportunity. I have a question regarding the Pick & Carry segment. So the Pick & Carry crane volume in the industry and for us have grown significantly. So just wanted to have your outlook for it going forward? And if you could highlight the market share that we have in the segment and how are you planning to improve those market share?
Sanjeev Bajaj: Yes. Thank you, Karan. This is Sanjeev Bajaj. So this industry, of course, has done well over a small base of previous years. So -- so this year we've seen this industry particularly growing at about 53%. And we do about 40% market share in this segment. And most of the volumes for us comes from the high-end segment of the Pick & Carry crane which are we believe is the future of these cranes and generally go for captive usage and generally are deployed in the larger projects. And of course these are better margin products also.
So we believe that going forward in the next fe w months there might be a little bit of pressure on the industry because of the elections and a slight slowdown might be visible and also due to the monsoons. But after the monsoo ns, I think the demand will pi ck up. And so this year the growth may not look very, very attractive because the base already is very high last year.
But nevertheless, it will still be -- there will be high demand as far as the end user is concerned because of the large number of projects which are announced and the capex investment of government is again 10% higher than last year. So we believe that the demand will continue, maybe a little delayed because of th is short-term election impact.
What we are doing to grow the business is we ar e playing very well in the segment which is the future high-end segment of the Pick & Carry crane. We -- our customer loyalty is quite high in that segment and we also are doing a lot of micro marketing in the various segments, project wise as well as indust

ry wide to grow our market share for that. So we have been able to sustain

close to 40% market share plus minus few deci mal places, but going forward we have plans to improve it and as the industry moves favorable towards the high -end crane it will help us to grow market share also.

Karan Sanwal: That was very helpful. And the other question would be if you could highlight the major reasons for the degrowth in the agri equipment industry?

Neeraj Mehra: So the question was degrowth in the agri equipment industry?

Karan Sanwal: Yes. Industry as a whole.

Neeraj Mehra: Okay. So -- The -- I think the same has been act ually well articulated in the opening comments. I'll reiterate that. So the primary reason was erra tic and deficient rainfalls in the majority of the states. Also because of the low rainfalls the reservoir levels were pretty less. So Rabi crop is primarily dependent on the reservoir crops and kharif on the rainfall. So that is one key reason. Apart from that, one main reason was that the commercial activity, the commercial haulage segment and the mining segment were also the Br ick kiln industry were also pretty slow. So these were the two primary reasons for -- due to which the agri segment was a bit down.

Karan Sanwal: Understood. And one last question just we have done a few channel sanctions we have come to know that we have seen any decrease in our distributor number of distributors, if you could confirm or is it the peak?

Bharat Madan: No. So the number of distributors or the dealers what we call them has not reduced.

Moderator: The next question is from the line of Sonal Gupta from HSBC Asset Management India. Please go ahead.

Sonal Gupta: Good evening. Thanks for taking my question. Just one question from my side. Essentially, on the railway equipment like we've been saying we have a strong order book. We started the year very strongly, but then last two quarters we've been showing a year-on-year decline despite a good order book. So could you just highlight what exactly is happening there?

Ankur Dev: So in railway industry actually based on tenders and the supply schedules are defined by railway based on the stock availability, the production pl ans which they have. So obviously the order execution is as per the purchase order conditions and the schedule is mentioned there. So obviously there will be some variation quarter-on-quarter. But if we see on a full year basis, we have achieved a double-digit growth. So we are su re that this kind of variation could be there quarter-on-quarter. But obviously we anticipate that we will continue this growth momentum and we will continue to grow with double digit.

Sonal Gupta: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Joseph George from IIFL. Please go ahead.

Joseph George: Thank you for the opportunity. Just one question. When we talked about the midterm plan, I think about 1.5 years, 2 years back one of the biggest levers is going to be supply of parts to

Kubota Global and that was supposed to be a very big opportunity. Can you give an update on where we stand there and how we plan to ra mp up over the next 3 years, 4 years?

Bharat Madan: So the export will start this year. So we have already put the team into place, and they are working with the suppliers on this. So the agreement also getting signed with Kubota now on this particular aspect. So there are two parts. On e is the JV is already exporting -- both the JVs are exporting right now to Kubota group companies. So obviously post-merger, those exports will also come into the EKL b ooks. And lastly, the direct expo rt from EKL will also start from this year. So the activity will start. Obviousl y, it will get ramped up gradually as the vendor development happens and those ports developed in India.

Moderator: The next question is from the line of Gunjan from Bank of America.

Gunjan Prithyani: I just had a quick one on the farm implement business. What's the revenue on that in fiscal '24. And we were also talking about a lot of work in terms of mark et development and relooking at our product portfolio. So if you can sort of share some thoughts on the business development on farm implement side?

Bharat Madan: So Gunjan, obviously, this year, we have seen growth in the implement business within EKL too, even though it's a very small part of the port folio right now, because we only deal essentially in cultivators, rotovators. So the major part will come from the JVs because they have larger range, but they're dealing in harvesters and transplanters, whether value-wise, it's a much bigger chunk.

So I think on the combined busine ss side, we'll still be , I think, maybe INR300 crores to INR400 crores sort of range, even though if you look at stand-alone implement business for us this year, so you've done much better

than last year even on the cultivator front. And I think that's one
other growth lever for us, which will continue along the tractor business.
Gunjan Prithyani: Okay. And what is the overall market size? I mean is there this shift that you're seeing happening
more towards because every tractor company, I mean, including your peers are talking about
building this business, taking it from unorganized to organized, looking at affordable launches. Is there a change that you are noticing, acceptance you're seeing on the farm implement side
more broader three, four year view, I'm trying to understand on this part of the business?
Bharat Madan: Well, we're not at the market data right now with me. Maybe we can share that separately with
the other business that looks after this implemen t business. But like I mentioned, the focus is
obviously on integrating the channel because if you look at most of these implement
manufactures who are non-tractor OEM manufacturers, they got their own distribution setup,
which is quite strong. So the tractors OEM don't have much patience into this business, even
though our penetration right now, I think, is still about 5%, 6% only in the implement space
looking at our tractor populatio n and what we sell in India.
So that is still to grow. So still the major sh are remains with the non-tractor OEMs. But I think
everyone is trying to increase that pie and especially with the changes happening and the
emission norms. So most of the self-propelled machines are seeing transition to the OEM space

now because the engines are getting expensive and for non-tractor OEMs, it's become difficult
to continue to sustain that sort of business.
So we hope -- I think going forwar d, this will become a sizable business for us, and we will also
be trying to expand the portfolio there, like I said, going to the players, which is another big
category and it's going to bail us, etcetera. So expanding the category beyond what we are doing today. So overall, I think there will be a lot of focus within Kubota Group also. They got a
separate vertical for the implement space. It's a sizable business for them. So we expect the
similar story should get repeated in India too.
Moderator: The next question is from the line of Abhishek Jain from Alfaccurate Advisors Private Limited.
Please go ahead.
Abhishek Jain: Sir how you are looking synergy benefit to the channel of Kubota plus Escorts both. Have you
started to sale a product of Kubota to from the Escorts channel?
Neeraj Mehra: So we have not started that yet, but we are ex ploring that possibility and the synergies between
the channel as well as the products. So yes, that is in the pipeline. But to answer to your question
directly, no, we have not yet started that.
Abhishek Jain: And how much benefit you are looking in FY '25 because right now that Kubota total market
s

hare is just 2.5% or 3%. So can we see a sign ificant volume jump on that this synergy benefit
because that -- as you already said that Kubota project is only in the two states majorly. So once
this will be -- this product will be sold thro ugh the many Escorts chan ges, can you see that
volume jump would be around 35,000 to 40,000 in the coming year?
Neeraj Mehra: See, Abhishek, I'll correct you a li ttle bit. I did not say that they sell only in two states. I said
that majority of their volumes are in two states. So their market share could be 2.5% on an India
basis. But in the states where they are present, the market share is higher. And in a couple of states, their market share is even higher than our two brands, Powertrac and Farmtrac. So yes,
when I said that there will be synergies and answering to an earlier question as well on how do
we grow in South?
So Kubota is one lever through which we can take advantage and grow in South. And similarly,
Kubota, we are stronger in the northern part of the country. So similarly, Kubota brand can take that advantage in the northern part of the country. So geographical advantage in all the three
brands will get accumulated as we go forward.
Abhishek Jain: So what kind of the market share are you targeting combinedly in the next two years because of
this synergy benefit.
Neeraj Mehra: So it's very difficult to comment at this point of time. Once this synergy starts happening, and
we get some results over the next couple of quarters, it will be better to quantify at that point of
time.
Abhishek Jain: Okay, sir. And my last question on this component and -- Railway and Construction Equipment
business, what -- will the margin be sustainable?

Ankur Dev: Yes, So from a railway perspective, I would like to mention that EBIT margin, what we have
achieved in financial year '24, we see that in the coming period , it will be within the range of

100 basis points, plus/minus, considering as we will be launching new products. So there could be some impact of that, but it will be in the range of 100 basis points, plus/minus, so what we have seen in financial year '24.
Abhishek Jain: And this construction equipment business.
Sanjeev Bajaj: Yes. On construction equipment, also, we see this 9.3% EBIT is sustainable, and we should be able to do similar numbers for the coming years.
Abhishek Jain: And one more question that what kind of the revenue you can assuming from the component business? Have you talked about INR300 crores kind of the revenue -- incremental revenue will come through export. For next two years, what kind of the numbers we can take?
Bharat Madan: We had indicated in our midterm basis plan, the potential with this business has. Obviously, the major portion will depend on how much and how quickly the localization of the product happens in India. because essentially, if you localize their products in India, only those components will get exported from India, will also be a good margin profile. So the potential is huge because we also looking at a China plus one strategy in Ch ina, they are doing sourcing of close to USD1 billion currently for the production requirement in Japan and they intend to shift the significant part to India, I think as we're going along.
So the growth will be obviously significant. So I can't really tell you year-by-year, how much will happen, but it's more internal to us. but we already indicated the potential, which is there in the midterm business plan. So we'll suggest you'll be guided with that.
Moderator: The next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Sir, I had two questions. Firstly, earlier in the call, you spoke about expectation of export or tractor export volume recovery. So is it dependent on the demand in those markets? Or we will be replacing some of the supply source for Kubota and hence,

it's fairly safe to assume that we can see strong volume recovery in '25.
Bharat Madan: Yes. So I think is essentially the second part. So we'll be replacing some of the product, which will be sourced from India. They are facing co mpetition from India, Chin a and Korea in certain pockets, and they need products which are approval and cost effective and can compete with those product portfolios. So this is something whic h is what we are trying to do. And that's why for them Indian market is ve ry important and does the sourcing for meeting the global requirement.
On the recovery front, I think it's too early to say. Right now, the markets still continue to be under recession, both in U.S. as well as in Europe. So we can't really say that will be the major driver, but I think it will be the product which are introducing to supplement their portfolio right now to meet that competition, I think, which is what is going to drive the volume growth for us.

Ashish Jain: Right, right. Sir, secondly, on the farm equipment business, can you just clarify, sir, today, whatever -- whether Kubota or Escorts is doing is all in the nature of trading or we are also manufacturing either of these products in India?
Bharat Madan: So right now, it's all trading. Even though we're exporting some of the component for harvesters from India through the JV. And basally we'll localize those components, and we'll also continue to export them. But I think on a full product basis, we are mostly trading in this activity or doing a contract manufacturing with the third party.
Ashish Jain: And that's true even for the JV farm equipment revenues, right?
Bharat Madan: Yes.
Moderator: Thank you. As there are no further questions, I wo uld like to hand the conference over to the management for closing comments.
Prateek Singhal Thank you, ladies and gentlemen, for being present on this call. For any feedback or queries, feel free to write us to a investor.relations@escortskubota.com . Thank you very much and have a good evening.
Moderator: On behalf of Anand Rathi Share and Stock Brokers, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

Escorts Kubota Limited
(Formerly Escorts Limited)
Registered Office ■ 15/5, Mathura Road, Faridabad ■ 121003, Haryana, India
Tel.: +91■129■2250222 | E■mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

August 06, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE ■ ESCORTS

Sub: Earning Call Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on August 01, 2024, for discussing the earning performance of the quarter ended June 30, 2024, and the same has been uploaded on the Company's website at the below link:

https://www.escortskubota.com/inv estors/financials.html?view=list

The aforesaid transcript was uploaded on the Company's website on August 06, 2024 at 01:08 P.M.

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Escorts Kubota Limited
Arvind Kumar
Company Secretary

Encl.: As above

"Escorts Kubota Limited
Q1 FY '2 5 Earnings Conference Call"
August 01, 2024

MANAGEMENT : MR. BHARAT MADAN – WHOLE -TIME DIRECT OR AND CHIEF FINANCIAL OFFICER – ESCORTS KUBOTA LIMITED
MR. NEERAJ MEHRA – CHIEF OFFICER , AGRI MACHINERY BUSINESS DIVISION (DOMESTIC SALES)
MR. SANJEEV BAJAJ – CHIEF OFFICER , CONSTRUCTION EQUIPMENT BUSINESS DIVISION
MR. ANKUR DEV – CHIEF OFFICER – RAILWAY EQUIPMENT BUSINESS DIVISION
MR. SANJEEV GARG – HEAD, FINANCE & TAX

MR. PRATEEK SINGHAL – INVESTOR RELATIONS &
ESG
MODERATOR : MR. SAKSHAM KAUSHAL – PHILLIP CAPITAL

Moderator : Ladies and gentlemen, good day, and welcome to the Escorts Kubota Limited Q1 FY '25 Conference Call hosted by PhillipCapital India Private Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Saksham Kaushal from PhillipCapital.

Saksham Kaushal : Thank you, Sumit. Good evening. On behalf of PhillipCapital, I welcome you all for Escorts Kubota Limited's Q1 FY '25 Earnings Conference Call . I also take this opportunity to welcome the management team from Escorts Kubota Limited.

Today, we have with us Mr. Bharat Madan, Whole -Time Director and Chief Financial Officer; Mr. Neeraj Mehra, Chief Officer, Agri Machinery Business Division, Domestic Sales; Mr. Sanjeev Bajaj, Chief Officer, Executive Construction Equipment, Business Division; Mr. Ankur Dev, Chief Officer, Railway Equipment Business Division; Mr. Sanjeev Garg, Head Finance and Tax; and Mr. Prateek Singhal , Investor Relations and ESG. We will start the call with brief opening remarks from the management, followed by Q&A.

Before we start, I would like to add that some of the statements made by the company in today's call will be forward-looking in nature and are subjected to risks as outlined in the annual report and investor releases of the company.

Over to the management for their opening remarks. Thank you.

Prateek Singhal: Thank you, Saksham. Good evening, everyone, and thank you all for joining us today. Few highlights of the company's stand -alone financial performance for quarter ended June '24 are as follows; operating revenue at INR 2,292.5 crore s, down by 1.5% Y -o-Y; tractor volume at 25,720 tractors, down 3.2% Y -o-Y; construction equipment volume at 1,325 machines, down 3.5% Y -o-Y; railway equipment revenue at INR 244.7 crores , down by 18% Y -o-Y; EBITDA at INR 327.1 crores , up as against INR 326.9 crores Y-o-Y. EBITDA margin now stands at 14.3%, up 22 basis points Y -o-Y, mainly led by better product mix and price realization, effective cost control and softening in the commodity prices; PBT at INR 388.1 crores , up by 2.5% Y -o-Y. Highest ever net profit PAT at INR 289.6 crores , up by 2.4% Y -o-Y.

On a consolidated basis, company financial performance for the quarter ended June '24 is as follows; total revenue at INR 2,416.2 crores as against INR 2,449.5 crores Y-o-Y; EBITDA at INR 325.3 crores with margin of 14.1%; net profit at INR 293.1 crores , up by 1.1% as against INR 289.9 crores Y-o-Y.

Moving on to the segmental business performance, starting with Agri Machinery business. In Q1 FY '25, total tractor industry volume, domestic plus exports, was at 2.87 lakh tractors as against 2.85 lakh tractor in the corresponding quarter. Our total volume was at 25,720 tractors as against 26,582 tractors in the corresponding quarter.

On the domestic front, the tractor industry in Q1 FY '25 at 2.62 lakhs tractor was almost at par with respect to the corresponding quarter, and our domestic tractor volume stood at 24,759 tractors as against 25,226 tractors in the corresponding quarter. On the export front, the tractor industry in Q1 FY '25 at 24,600 tractors as against 24,200 tractors in the corresponding quarter. Our export volume came at 961 tractors as against 1,356 tractors in the corresponding quarter, impacted primarily due to challenging in our key market of Europe, which are experiencing recessionary conditions and higher interest rates, thus leading to inventory correction across continent. During the quar

ter, sales to Kubota Global Network account for approximately 21% of the total export.

Segmental revenue was up by 0.6% to INR1,676 crores as against INR 1,666.8 crores in the corresponding quarter. EBIT margin for Agri Machinery business were at 13.2% as against 13.4% in the corresponding quarter and added against 11.2% in the sequential quarter.

Moving forward into FY '25, we anticipate that the domestic tractor industry may experience mid-single -digit growth. This growth will be driven by various fa ctors, such as increased monsoon coverage, government assistance , improved Crop prices, enhanced liquidity and expanded access to the credit.

Coming on to the Construction Equipment business, in Q1 FY '25, our serve industry volume for crane s, backhoe loader and compactors saw a modest increase of 1.5% as against corresponding quarter last year . This growth was primarily driven by compactors industry w hich experience d growth of roughly around 17%.

Our total volume of manufactur ed and traded products was at 1,325 machines as against 1,373 machines in the corresponding quarter. Segmental revenue went up by 2.7% to INR 369.7 crores as against INR 360.1 crores in the corresponding quarter.

EBIT margin for the Construction Equipment business in the quarter ended June '24 went up to 10.4% as against 7.6% in the corresponding quarter, led by better realization and improved product mix. Construction activities on the ground are currently slow on account of timely and good monsoon progressing in the country and due to formalization and stabilization of the government post -election. However, with the government continuing thrust on infrastructure development, we anticipate demand to improve post monsoon season.

Moving on to the Railway division. Revenue for the quarter ended June '24 at INR 244.7 crores as against INR 297.7 crores in the corresponding quarter. EBIT margin for the quarter ended June '24 came at 20.5%. During the quarter, we successfully supplied the first -ever electric control panel order to prominent metro organizations . Additionally, we successfully completed the refurbishment of the train project with DMRC. Our order book for the division at the end of June '24 is at approximately INR 880-odd crores .

Now, I will request the moderator to open the floor for the Q&A.

Moderator: Thank you very much. We’ll now begin the question-and-answer session. The first question is from the line of Raghunandhan N. L. from Nuvama Research. Please go ahead.

Raghunandhan N. L: Thank you, sir for the opportunity. First question was on domestic tractor industry growth. The start has been reasonably good, as you alluded to in the opening remarks . North region, Central region, West region seem to be seeing growth and the rainfall progress has also been positive. And even in the South region, the worst seems to be behind. So I'm just trying to understand how you see the trends in the coming quarters. And do you see the trigger for upgrading the full year estimates? And also, if you can talk about how you think about market share of Escorts for the full year and your focus on new products?

Neeraj Mehra: Hi. Good evening, Raghu, this is Neeraj Mehra. On the industry front, the industry has, to a certain extent, been at par with respect to last year, against the normal t hought of the drop that almost everyone was expecting. So this is a very positive sign. This is primarily due to the fact that all the forecast of about normal monsoons, have made the rural sentiments pretty positive. Also, the kharif swing exceeded last year's levels by about 7-odd percent. Also, the government initiative in terms of raising the MSP of kharif crops has helped improve the positive sentiment. Now it is a bit premature to comment on the entire year on how the industry will progress, but as of now, we see tha

t about -- we're looking at about 5% or so, 5% to 6% of industry growth for the entire year. We'll see how the industry pans out over the next two months. And then more prudent call can be taken.

On the TIV side, at a zonal level, it was very surprising to see the Eastern part of the country. That is basically the rice bowl or what we call our opportunity markets. The industry growth was pretty substantial over there, close to about 40%. South, the industry drop still persists. It's come down to 20%. It was higher last year. It's come down to 20%, and this continuous drop in South has actually reduced the contribution of the Southern markets to 12%.

North has seen a growth, which is a good sign for us. The rest, again, Maharashtra has improved over last year, but Gujarat has dropped in terms of industry. So overall, rest was marginally less than last year. So the signs are positive, and we are hopeful for a pretty good financial year, starting with the festive season in September.

Raghunandhan N. L.: Got it. Thank you. And if you can talk about your market share expectations, your efforts on new products and the Worldmaxx tractor, that would be helpful?

Neeraj Mehra: Hi, Raghu. So overall, I had mentioned in the previous call as well, our focus in terms of growth of market share remains in the northern and the western part of the country, which currently contributes about 75% or thereabouts of the total all -India indus try. And we have, in the last quarter, grown market share overall in the North Zone as well as in the West Zone. So things are looking positive for us. We have dropped market share to a certain extent in the eastern part

of the country, where the industry growth was phenomenal to extent of 40%, and our volumes
were not in sync with that. Status on the industry part. Yes, we are pretty positive of market share growth, though the quarter one has been a bit subdued.

On the new product side, yes, the Worldmaxx launch is actually -- we have started the introduction of Worldmaxx in a very phased manner in select locations, but our full -fledged launch is expected around the festive season. Also, there's another series on the Farmtrac bench, which is on the anvil . And hopefully, we'll be able to launch that also in October, November period.

Raghunandhan N. L.: Thank you, sir. Wishing you all the best. My second question was on exports. Export through Kubota channel, I think you said 21%. Earlier, it had gone as high as 30% plus. If you can talk about the update on integration of distribution network globally and by when that could happen? And also, if you can provide a status on the launch time lines for Brazil and U.S., and if you can give some color on the growth prospects?

Bharat Madan: So Raghu, as Prateek mentioned, so our major exports, 60% of the exports happen to the European market. So if you look at the industry, the growth which is coming in export, which is very nominal, but still it's a growth about 2.5%, 2% in the first quarter. Has been exactly because the dispatches happening to the North American and Latin American market, where we are not present . But the players who are actually exporting to European countries are seeing a decline because in Europe because the increased inflation and stocking with the dealers, the correction is happening in the inventories and the demand also has been subdued for multiple quarters now. So our export to Kubota will also happening to Europe, which has been impacted right now, but they are also expecting maybe the pick -up will start happening towards the end of this year. So in regard a discussion with the Board members who is also there, i s having the European operation. So we saw it positive towards the end of the year, but I think initially, there have been some -- in fact, because of these changes, which has happened and the infla

tion evidence has been seen in this market. But we expect the pick -up will happen.

I think regarding our entry to North American and Brazil market, I think we have already mentioned it will take time. This first we need to be ready with the product portfolio is required for market. Large portfolio is dependent on the greenfield facility which has come up, which is still 3-4 years away. So it will take some time. And there are certain products which we are now looking at developing for those markets , that will happen only by sometime in the next year, middle of next year, in FY '26. The European products are being made ready, like we mentioned in the last call, so that will be ready by third quarter this year. So there, we said the exports will start picking up towards the last quarter of this fiscal.

Raghunandhan N. L.: Thank you very much, sir. I have more questions, I'll come back in the queue.

Bharat Madan: Sure.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yes. Hi. Thanks, team, for taking my question. I just had a follow -up on the industry outlook. Could you refresh us if there is any update on the emission norm time lines and what does it

mean for the industry outlook? And also, where are we on the merger with the Kubota India entities, if there is any progress in that direction?

Neeraj Mehra : So on the emission norms, the date is fix, as of now, there is no change, April 1, 2026. So for the current year and better part of the next year, we don't see any much impact on the tractor industry. The Tractor Manufacturers Association is in talks with the government regarding the finalization of t he date, but currently, the date remains on April 1, 2026. On the merger part, I will ask Bharat sir to take the question.

Bharat Madan: So Gunjan, merger, we had this hearing in the first week of July, where the order for merger has been reserved by NCLT bench. So it can be pronounced any day, and we are expecting it should happen soon now. Within this month, we should get this order so that we are able to make it effective from first of September, the chances are very fair that we'll get it in, this month.

Gunjan Prithyani: Okay. And directionally, what does it mean from execution of the midterm plan or strategy that we had laid out? Because I think, correct me if I'm wrong, I think this exercise took longer than

what we were expecting earlier now that once it's done, we have the approvals in place. Is there a case that you see acceleration on some of the initiatives that you had laid out for the midterm plan? Is there a change that we should keep in mind after this merger is approved?
Bharat Madan: So I think given the integration, which is slightly delayed, but I think the idea was that we should be able to cross leverage each other channels and the product portfolio. And this is one of the other concern area for Kubota. We don't have enough product range in India. So that's why we have a restricted and limited market player with very small market share. I think the idea is once the merger happens and the integration starts happening, we should be able to utilize their channel also. They've got about 300 dealers' network in India and E scorts have around 1200 dealers . So if we are able to leverage the strengths and also cross -sell our products, so it should actually lead to some positive momentum on the sales and market share side. So that is something which is in plan, which we actually intend to do, provided the integration is completed. Obviously, it will take some time with post-Merger , there are some obviously integration issues which need to be sized out. So maybe it will take a few months before you see this impact coming in the results.
Gunjan Prithyani: Okay. And the other question that I

had was on the -- on this whole new -- the new structure to
the organization. It's quite interesting that you've now carved out different subsegment for engines, different subsegment for agri product solutions. So anythi ng that you want to share why
the change in structuring? Are you seeing some of these businesses scaling up meaningfully? Just some thoughts around what does it mean in terms of operating structure of these businesses?
There are six segments that you call out. So some thoughts around that.
Bharat Madan: So Gunjan, the idea of carving out these businesses was to align with the Kubota Group. So they also have the similar verticals in terms of revenue. So then within agri, they got four verticals for tractors and then they are for agri solutions, which is es sentially implement, I would say, transplanters. And then they've got engine which is a very large business for them. And then there's a space and service, which is again another large vertical.

So since the boarding for the organization is also dotted line to the head office to the parent company, so the similar division at who are there in Kubota head office will be also looking at these businesses independently. So which is one of the reasons w hy we segregated these four businesses, and these will remain focus area for us.
So if you look at individually on other three verticals, which we think can actually drive your revenue significantly higher w eather it is Agri solution business, our Indian business, which is also picking up significantly now within Escorts as well as Kubota and spares and service. So, all three have the potential to cross INR 1000 crores business in the next four to five years, which is also a mid -term business plan. You know we have an objective to do that. So we think that this revised structure, a lot of focus will come from the teams in releasing and driving those numbers. So which is the reason we want to align it with the parent company.
Gunjan Prithyani: Okay, got it. Thank you. And just last question, commodity, anything that we should bear in mind because steel sort of remains benign? So, should we things still work with 13%, 14% EBIT margin or there is a case that it sorts of shoots above the 14% range also given as operating leverage picks up in second half?
Bharat Madan: So, in first quarter, we did not see the inflation impact of commodities. But I think in the second quarter, we are getting the impa ct now, already started getting in price increases that are being given to the suppliers. So there is pressure on the rubber prices globally and the rubber are going up and there's also some compliance issue with the tire companies, which is leading to price increases. And we also passing it on in Q2, same way as I mean we happen in the c asting too. This is based on -- we're only passing on the lag of the quarter. So based on the last quarter numbers, we are going to pass it on in this quarter. So there will be some inflation pressure which will come in Q2, but in anticipation, the pricing deals was t aken in the Q1 itself. I mean we've taken the price increase from sometime in May. So we should be able to offset the cumulative cost impact for f irst hal f. So on the margin front, I think we expect the margin should remain within this thing because the indication we have given. On tractor, we see some positives. Possibilities are there that going forward the volumes pick up; the operating leverage should play. So that should be able to drive some betterment in margin.
Gunjan Prithyani: Got it. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, the next question is from the line of Mitul Shah from DAM Capital. Please go ahead.
Mitul Shah: Thank you for the opportunity. Sir, first question is again on tractor volume growth outlook for FY 2025 and 2026 also. So, in terms of thi

s mid -single -digit growth of about say 5%, how do
you see geography-wise growth coming in? Because as last two, three years, North has witnessed very high growth, all -time record high volumes coming from UP for the month of July, roughly 11%, 12% growth coming in. So do you see this trend to continue? Or because South was almost 30% lower than the previous peak, the South and Maharashtra can record a much higher growth or there would be disproportionate growth from these geographies?

Neeraj Mehra: Hi Mitul, this is Neeraj this side. So, overall, if you see the western part of the country and southern part of the country, though they are still showing a negative trend, the quantum of degrowth has reduced. So we feel that going forward, this will furt her reduce and we should be able to see some improvement in terms of industry, both in the western part of the country and the South.
In the North, the industry growth is -- for the first quarter is 5%. It's not very high. And looking at the current sentiment and overall scenario, we feel that this growth will be there. The surprising element last quarter was the eastern part of the country or the rice bowl, which witnes sed a 40% growth. We do not see that kind of growth coming in again as we go forward.
So to summarize, north we'll see a continuous -- a similar growth. South and West will -- the degrowth will get substantially reduced as we go forward.
Mitul Shah: Still South and West will continue degrowth, so it will be at a very low quantum. Is it right and understanding, right?
Neeraj Mehra: So, West could show a positive trend because Maharashtra has already shown a positive trend.
Only Gujarat is negative. Maharashtra has already come into a positive. So we feel this will certainly be -- show a positive movement. In terms of South, at this point of time, it's very difficult to comment because the reservoir levels, though has improved from a very low 20% to the 40% in the latest report that has been shared, we still feel that South will not perform on the positive side.
Mitul Shah: That should help us on the market share side, right, as we are stronger again on the North?
Neeraj Mehra: Yes, hopefully.
Mitul Shah: And sir, second question, again on this trem which is indicated April '26 as an implementation date. Any possibility, as indicated by a few other tractor players, it may get delayed by two or three years?
Neeraj Mehra: No. As of now, there is no significant communication on this front, though the TMA and the government is in discussion on what needs to be done. But as of now, it's difficult to comment on whether this will be delayed. The ministry has been firm in their l ast communication to go ahead with the April 1, 2026, date.
Mitul Shah: Sir, last question, on Construction Equipment margins. Despite Q1 seasonally weak, we have recorded double -digit margin. How sustainable are these? And in context of commodity prices going up, particularly tire and steel prices, which is a higher portion of the overall commodity for construction equipment, how one should look at coming quarters?
Bharat Madan: So this sort of volume -- Sanjeev, you want to go ahead?
Sanjeev Bajaj: Yes, you can carry on.

Bharat Madan: So at these levels of volume, we expect the margins are sustainable, even though there may be some upward movement in the pricing, but we think the commodity side, we should be able to pass this on to the market. So the margin is also driven by better product mix and also there is a gain in our market share in pick and carry crane segment, which is pretty important in this industry. So that is also helping us and we expect these margins should be able to sustain.
And we really expect the growth to happen post monsoon in the equipment space too, and the

re
should be a double -digit growth, maybe growth and go onwards we should see that growth happening. So that should only help them maintaining those margin levels at the current level. Sanjeev, you want to add on the market perspective?
Sanjeev Bajaj: I think, yes. So we are expecting that the volumes will improve post monsoons. So that should help us to sustain momentum, but at the same time, there is a little bit of risk of commodity shooting up when the volumes go up and the demand go up. So that is the only caution which we have in mind. But we feel that this level should be sustainable.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from AMBIT Capital.

Jinesh Gandhi: Hi. My question p ertains to the price hikes you mentioned you have taken from M ay this would be, what, about 2% or would be lower than that?
Bharat Madan: No, it was a marginal price increase, I think closer to 0.5%, 0.6%, which is because the commodity price has not gone up in the last quarter. So we have seen that trend happening early now. So in anticipation, we have taken the increase to offset any possible inflation which will happen, I mean which you will see now in Q2.
Jinesh Gandhi: Okay. So we do not need to take any material price increase going forward unless there is further inflation in commodities. Is that the right understanding?
Bharat Madan: Yes, we do not expect industry will pass on. There is a nominal increase which is happening on the commodities . So, so far in the first half while I look at cumulative basis, there is not much impact. So we do not expect industry will take their view and further price increase. But obviously, we will closely keep watching the competition to and is there a possibility, we'll definitely follow them.
Jinesh Gandhi: Got it. Got it. And secondly, you mentioned about the export side where in North American LatAm , we will need to develop products which should be in sync with the greenfield plant which we are looking at. Are any other midterm business plan targets, the market share target which we are talking about or A gri machinery revenues target which you are looking at, depending on the greenfield plant or that should be attained irrespective of the greenfield plant comes before that period or not.
Bharat Madan: See for the American market, it was dependent on greenfield facility only because they are totally new product different from what we are making in India. So we will have to really start from scratch and there, the work is already starting now and discussions have started happening

with the North American team. So obviously, we come up only with the greenfield facility, and that is what the plan was also in the midterm business plan that this will happen from there. The existing portfolio like we mentioned we are exporting is most to the European market other than the SAARC countries and then some of the African countries.
So Europe is a big market, which is the growth for – has happened into industry also for smaller tractors, so these are compact segment is doing extremely well there. So let us say, I think the product development is happening, and we -- this is also part of our existing portfolio, which is only to rebranded with some tweaking, which has been done. So these were the low -hanging fruit, which we were able to get. And that we will continue till the time we see more product development happens with these markets.
Jinesh Gandhi: Sorry, my question was more so for the India market share target of mid-teen or high -teen market share. Would we need the greenfield plant also to support that aspiration or we can get it from the total capacity which we have today between now Escort stand- alone and the JV plan t?
Bharat Madan: No, obviously, if we are looking at the volume expectation for the midterm business plan, we will need greenfield facility definitely. So that is also the reason why we had planned it there. So besides export, it will also help in the domestic market volume. From the existing capacity, as you know, between the JV and us is closer to 170,000 tractors. And I think you look at the numbers of JV and us we already 125,000 - 130,000 sort of numbers which with us. So we do not expect this capacity will be enough going forward. Maybe after a year or so in any case looking at alternates. So let us say, greenfield is important for domestic aspiration goals.
Jinesh Gandhi: Got it. Got it. And last question, on the railway business. So we have seen a stagnation in order book, or in fact, has moderated over the last two years. What is happening in the business? Is the tendering activity yet to come back post COVID or the focus of government is on different segments where we are not present? How should we look at this business going forward?
Ankur Dev: Yes. Hi. Good evening, Jinesh, Ankur Dev here. So there are different types of rolling stock which are being manufactured in India. The existing one is LHB type of passenger coaches and now the government is moving towards Vand e Bharat platform . Moving on to the, I would say, passenger coaches within that, they are doing the sleeper type of coaches, chair car and metro. So right now, the industry for LHB type of passenger coaches is almost flat in the last two to three years, where we have all t ype of components. Whereas the industry is growing in Vand e Bharat passenger coaches, so right now, we are in the development stage of developing these components for this type of rolling stock where the industry is increasing.
We have already secured the initial orders for these coaches, whether it is brakes, couplers, dampers. Now we will be supplying the first orders in these product families. Once these are supplied, we complete the necessary field trial, we will be able to s upply these components for Vande Bharat coaches for the regular orders, also the bulk orders. And with that, we should be able to see the growth momentum in the ra ilway also with the desired Vande Bharat growth.

Jinesh Gandhi: Understood. Yes. So this year, we should be looking at mid-teen growth or it will be lower than that.
Ankur Dev: So with the introduction of many new products, we expect that we should be able to continue the double -digit growth as we have done in the last few years.
Jinesh Gandhi: Okay. Great. Thanks. All the best.
Moderator: The next question is from the line of Pramod Amthe from InCred Equities. Please go ahead.
Pramod Amthe: Yes, hi. So this is with regard to the tractor industry and your inventory. And I also wanted to check where they are. And if I had to look at your volume, they are up almost around 20% on Q-o-Q, but your capital employed in the business has shrunk by almost around 8%. And this is -- we are entering the peak of the season. So any change in the way you guys are looking at this business?
Bharat Madan: No, there is no significant change in the capital, I think in the business has to reduce only by about INR 200-odd crores . So at least some improvement in working capital which has happened. Some inventory creation which has been there across the organization. So as I saw the first quarter, we had a lower production number to correct the own inventory, which we had within the plants and depos. So but we do not expect -- there's no significant change in the business model as such We think the similar trend will continue. So as of now, we're seeing some liquidity pressures which have still been there in the rural markets, so looking from a dealer's working capital perspective, which still has some pressure on the receivables side, but we expect as we get into this post monsoon period with the festival season, we expect, I think

,
that pressure should start easing out. And then you see more money in hand of customer. So that should actually ease out. So we should see further improvement actually in the working capital across the year-end.
Pramod Amthe: And what is the spend now for the new plant ? And what is your status going to expect it to come through?
Bharat Madan: New plant, the earlier proposal was to set it up in Rajasthan in the area called Ghilot , but there are some issues there, and the water availability was a major issue for industry use, which is not available. So obviously, for us to go ahead with that project is not possible. We will be looking at it 20, 30, 40 years in future. So that is why we had actually withdrawn the expression of interest turning to the RIICO with the Rajasthan I ndustry Investment Corporation.
So we are looking at alternate sites now in the states of Haryana, UP, Maharashtra, Gujarat. And obviously, the preference is to be within N orth, so obviously we will look to for different choices, but we are still open to look at a full state. So we are still not shortlisted. We got some interesting propositions from the state government, but we are still evaluating. And I think after that is finalized and we will keep the market informed.
Pramod Amthe: Thanks a lot.

Moderator: Thank you. The next question is from the line of Abhishek Jain from AlfAccurate Advisors Private Limited. Please go ahead.
Abhishek Jain: Thanks for opportunity. Sir, what was the revenue of Escorts Kubota India Private Limited and Kubota Agriculture Machinery Private Limited in first quarter FY '25?
Bharat Madan: Closer to INR 500 crores roughly for the two JVs combined.
Moderator: Mitul Shah, please go ahead.
Mitul Shah: Yes, thanks for follow -up opportunity. Again, I have a question on this 5-year vision plan and this global strategy, expanding global footprint with help of Kubota. In view of this cancellation of Rajasthan related project and searching new lands as well as product launches getting delayed, any possibility of revising our 5- year vision plan guidance downward or delaying the target by maybe 2, 3 years?
Bharat Madan: Yes, there will be some work which will happen. So obviously, there will be the revision which we intend to do this year. So based on the current product development, obviously, the earlier plan was based on certain assumptions on what sort of products will come, how the integration will work for the company and the channel, how the cross -selling will happen. So there is some changes which has happened in the assumption. And based on that, they need to rework on this midterm business plan, which we intend to revise m aybe sometime during this year.

I think that was certainly the reason happens. So there will be some delay there, I guess, starting
from the numbers we are looking at, but I think it's difficult we're trying to cut down on this time
line and see how much we can expedite. So I think right now, the engineers are working on that
product development themes , and they will come back and they will have a better idea in terms
of overall, we are looking at those numbers, probably will come back to you guys.
Mitul Shah: secondly, on the export side, again, as we have done some consolidation of the dealers in overseas markets as well as we're planning to launch new products next year. But considering ongoing slowdown in Europe and USA, particularly in the tractor side, wha t would be change
in strategy for near term or maybe next one to two years? So, do we go slightly slow for next
one or two years? Or will it still intend to be remained aggressive with a number of new launches
under EKL brand with a homologation and all completed by this next one or two quarters?
Bharat Madan: On expand front, I think the team will remain aggressive, because that's one opportunity

which
is one of the reasons for this partnership with Kubota, so that is something which the global team
also is very keen when they are looking at India as a major sourcing base for them. So actually,
that aspiration remains. So the idea is to expedite th e things -- expand the product portfolio,
which we can use for exports and start executing that. So I don't think there will be a slowdown
in the aggression, I think, on this front.

Yes, they are maybe temporary. Like you said, we've got a product development cycle and some
of the quality improvement issues which they need. There will be some delay which may happen,
but I think the long-term direction remains similar on export .
Mitul Shah: Thanks and all the best, sir.
Bharat Madan: Thank you.
Moderator: Thank you. The next question is from the line of Abhishek Jain from AlfAccurate Advisors
Private Limited. Please go ahead.
Abhishek Jain: Hello. So sir, as you mentioned that the first quarter revenue from both revenue was around INR
500 crores . Last year, it was around INR 2,000 crores . So can we expect that the revenue growth
would be in line with the industry growth of around 5% to 6% in this year? And the second that what kind of the margin improvement we can see over there?
Bharat Madan: So first of all, INR 500 crores , we said is for the first quarter and INR 2,000 crores , what we
mentioned is the annual number.
Abhishek Jain: Yes.
Bharat Madan: They are at a similar level, so they are not different. But since the market in South and West way Kubota is a stronger name and they've got a better market share, was under pressure. So their
numbers have also gone down, which is the impact we are seeing in the market share to which slightly move down. But I think both the recovery starts happening in this market, which we are
looking at now, like in -- as Neeraj mentioned about Maharashtra picking up, so that is something
which we obviously will give good to Kubota numbers, but they are obviously large players in
the compact tractor segment in that sta te.
The South is still slow, but they expect maybe the recovery should start happening. It may not
be to the extent what we've seen the degrowth in the last year to almost 40%, 50% degrowth
happen in certain states. Recovery will start happening post monsoon, with the monsoon been
good in most of these states now. So we expect -- I think those numbers should start picking up.
But if you look at the mix also from the JV perspective, it's not totally dependent on the tractors. They are already largely also in the Agri Solutions business, harvester, trans planters , which is a
larger portfolio and also selling the engines and some of the exports of that which is happening
from there.
So tractor in terms of volume , I think, comes only about 50%, 55% from the JVs. Balance comes
from the other businesses, which we are not really strong there, which is where we see the
integration should help us. And this is also the reason I mentioned in the beginning why we are
dividing in 4 vertices where focus will be on .
Abhishek Jain: Last year, the total revenue was around INR 2,000 crores . So can we expect a 10% to 15%
growth in that business and a better EBIT margin in the business?

Bharat Madan: Obviously, they will also grow along with the industry growth. So they're not going to be different from the industry. The challenge you mentioned when the beginning was with the product portfolio, which is not very strong with them. They've got very limited models to sell, so which is why they are not able to expand on pan India basis. I think the post -merger, post integration, they will be able to leverage our platforms and we should be able to look at some maybe co-branding opportunities or combine in the channel. It should help

both of our companies and the brands in terms of growth.

Abhishek Jain: So it means the second half will be much better than the first half, because of the integration of the business?

Bharat Madan: Yes. Even otherwise, second half is better industry perspective, also with the first four months are more or less flat for the industry. So the growth that you're talking about essentially means the second half should give you double -digit growth to really maybe mid-single digits for the whole year. So we are looking at a good second half for this year.

Abhishek Jain: Okay, sir. And my last question, on the component business. What is your target for the next two years on a component business level?

Bharat Madan: The business is just starting. So as we mentioned last quarter two, I think the team is in place now, and they are looking at opportunities where they can do the sourcing from India and the export. The potential is large, but it will take some time because most of the products need to be localized also for them before we start looking at large exports. So right now, what we do will be more like trading opportunities sourcing from some suppliers and then sending it to them. It not really in -house manufactured products, which will happen only once your localization gets completed. I think in the number we'll be having; we're looking at maybe INR 500-odd crores maybe next two years.

Abhishek Jain: Okay, sir. Thanks sir. That's all from my side.

Moderator: Thank you. The next question is from the line of Krishna Agarwal, an individual investor. Please go ahead.

Krishna Agarwal: Thank you for the opportunity. My first question is on the tractor business. So ar e we focus on the small farm mechanization equipment for, let's say, below 20-horsepower tractors, tiller or let's say rotavators , as there are other industry players who are focusing on this segment as maybe there are subsidies that government are giving, what's your view on this, and how are some teams focusing on this segment?

Neeraj Mehra: So, yes, we operate in the sub -20 HP segment through a separate brand, which is called Steeltrac, and we're doing relatively well on that. The volumes are slow are less primarily because the segment size is not too big. As of now, there is no intent to go into the power tiller segment or rotary tiller segment.

Krishna Agarwal: And sir, my next question is like next you have to cover the whole Indian market, how many dealers we would require, how many are currently in our dealership network and for let's say we talk about a specific region, how many dealers do you see that a region required? Like then in a 50 kilometer you require three dealers or one dealer, how this dealership count can go on?

Neeraj Mehra: So Krishna, currently, we have around 1,200-odd dealers at EKL , spread across the length and breadth of the country. Defining a dealer territory is based on the potential of that market in terms of the tractor industry, and how the coverage can be done for that territory. So in geographies, which are smaller, like states like Haryana or Punjab, the dealers are to a certain extent at a distance of 30 to 40 kilometers.

But when you move towards states like MP or Maharashtra or the southern states and Rajasthan, so the distances are very huge. So overall, the dealers are -- it's very difficult to quantify, but the dealers are based out of -- from a distance between 75 to 100 and even 150 kilometers. That is one part. Also, there are in such locations where the geographies are very, very big. There are outlets and sub- dealers that are there. So the dealers have their own outlets at a smaller Tier 4, Tier 5 locations. So t hat is how the coverage is done. So it is geography-specific and potential -specific.

Krishna Agarwal: Okay. So like right now it is 1,200 dealers. So how much are we

planning to grow in that dealership count of coverage or not seeing much there?

Neeraj Mehra: No. So see, in the northern part of the country, we have a pretty decent network. And our coverage in our stronger markets is to the tune of 80% plus. So our focus for growth is on the west and in the southern part of the country. So yes, over the next two, three years, basically up to financial year '28, the intent is to have a coverage of about 90% across both the brands.

Krishna Agarwal: So how much dealers would be required to cover that?

Neeraj Mehra: So it will be very difficult to quantify at this point of time. So I think it should be around between 1,700 to 1,800 dealers.
Krishna Agarwal: 1,700 more dealers?
Neeraj Mehra: No, no, no. Total.
Krishna Agarwal: Total. Okay.
Moderator: Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.
Mitul Shah: Sir, thanks for opportunity again. Sir, my question on your reply to previous question related to Kubota under pressure due to South geography. So South has been declining, Q1 is also 20% down even in the month of July, and our South is down 18%, AP 19%, Telangana 25% decline. And so all these key markets are declining in a heavy double digit on a lower base, and Kubota, of course, got impacted from a peak market share of 3% plus now, it is 1.5%, 1.6%. So what

strategy we are doing for Kubota tractor to become stronger in the other opportunity markets? And is there any possibility to launch any product for a Mass category wherein we can gain market share?
Bharat Madan: Yes, that is the intent. So that's what the midterm business plan also talks about – again since you do the integration, so there should be availability of product from our portfolio which we can use in Kubota network. And right now, their issue is they ar e of limited models of tractors, and they are not able to compete fully with the competition. So that's why the presence is also not pan-India. Once we expand the portfolio, they'll be able to leverage the network, both our network as well as their own network. So that's what the company is working on right now, what product we can offer to them from our portfolio and how they can be branded maybe in the co-branding arrangement, which we can sell through the channel. So that should definitely help the brand to gain more market share, which is also one of the levers which we want to deploy.
Mitul Shah: But positioning will remain premium only?
Bharat Madan: Yes. So positioning will remain premium .
Mitul Shah: Okay. So then lastly, on the railway side, what one should take as a sustainable margin? This time it's coming 20% despite double -digit decline, of course, because of the product mix becoming favorable. But how do you see this product mix going forward, ne xt two, three years point of view and margin territory?
Ankur Dev: Yes. Hi. Good evening. There are -- other than product mix, there are a few points which will have impact on the margin. One, I would say we will be having the positive impact is the localization of components, which as of now we are importing. That will be a favorable benefit.
Second, I would like to mention that as we are introducing a lot of new components as well as getting into the components for Vande Bharat passenger coaches, there will be some impact because as we launch new products, there are low margins initially. So I think with both these points in mind, I believe margin should be in the range of plus/minus 200 basis points.
Mitul Shah: Okay. So can that go plus 200 bases also from this range or maybe in the range of 17% to 20% is the right?
Ankur Dev: Yes, that's what I mean, it can be both ways, plus/minus both ways from current levels.
Mitul Shah: And sir, we have continued giving some details on the new product side on the rail way side. If yo

u can help me with the new product and this import content over the last two, three years, how it has come down or what could be the target? That will be the last question.
Ankur Dev: Okay. So if I talk about the new product contribution, it is certainly higher than the earlier version as we are introducing a lot of new products. What was the next one?
Bharat Madan: Import content.

Ankur Dev : Yes, import content, obviously, it is going down as we are regularly localizing our components, whatever we are importing. So it is going down.
Mitul Shah: Yes. So any approximate number for this quarter, how much import is still we are there and what is the potential?
Ankur Dev: So as of now, I don't have the numbers readily available. Maybe we can give later on.
Mitul Shah: Okay. Sir, thanks and all the best.

Ankur Dev: Thank you.
Moderator: Thank you. That was the last question. I would now like to hand the conference over to the management for the closing comments.
Prateek Singhal: Thank you, ladies, and gentlemen, for being present on this call. For any feedback or queries, feel free to write us to us at investor.relation@escortskubota.com . Thank you very much and have a good evening.
Moderator: On behalf of PhillipCapital India Private Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

Escorts Kubota Limited
Registered Office - 15/5, Mathura Road, Faridabad - 121003, Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

November 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE - ESCORTS

Sub: Earning Call Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on November 07, 2024, for discussing the earning performance of the quarter and half year ended September 30, 2024, and the same has been uploaded on the Company's website at the below link:

https://www.escortskubota.com/investors/financials

The aforesaid transcript was uploaded on the Company's website on November 12, 2024 at 06:36 P.M.

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Escorts Kubota Limited

Arvind Kumar
Company Secretary

Encl.: As above

"Escorts Kubota Limited
Q2 & H1 FY '2 5 Earnings Conference Call "
November 07, 2024

MANAGEMENT : MR. BHARAT MADAN – WHOLE -TIME DIRECT OR AND
CHIEF FINANCIAL OFFICER
MR. NEERAJ MEHRA – CHIEF OFFICER , TRACTOR
BUSINESS DIVISION
MR. SANJEEV BAJAJ – CHIEF OFFICER ,
CONSTRUCTION EQUIPMENT BUSINESS DIVISION

MR. ANKUR DEV – CHIEF OFFICER – RAILWAY
EQUIPMENT BUSINESS DIVISION
MR. SANJEEV GARG – HEAD, FINANCE & TAX
MR. PRATEEK SINGHAL – INVESTOR RELATIONS AND
ESG

MODERATOR : MR. MITUL SHAH – DAM CAPITAL ADVISORS
LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Escorts Kubota Limited Q2 and H1 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mitul Shah from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Mitul Shah: Thank you, Del. Good evening, all. On behalf of DAM Capital, I welcome you all for Escorts Kubota Limited's Q2 and H1 FY '25 Earnings Conference Call. I also take this opportunity to welcome the management team from Escorts Kubota Limited. Today, we have with us Mr. Bharat Madan , Whole -Time Director and Chief Financial Officer; Mr. Neeraj Mehra , Chief Officer, Tractor Business Division; Mr. Sanjeev Bajaj, Chief Officer, Construction Equipment Business Dividend; Mr. Ankur Dev, Chief Officer, Railway Equipment Business Division; Mr. Sanjeev Garg, Head Finance and Tax and Mr. Prateek Singhal , Investor Relations and ESG.

We will start the call with brief opening remarks from the management, followed by Q&A.

Before we start, I would like to add that some of the statements made by company in today's call, which will be forward -looking in nature and are subject to risks as outlined in annual report and investor release of the company.

Over to management for their opening remarks. Thank you.

Prateek Singhal: Thank you, Mitul. Good evening, everyone, and thank you all for joining us today. The current fiscal year marked a significant milestone for our company , as we celebrated 80 years of spreading prosperity and impacting lives, sharing key milestone that we have achieved in the current financial year that are aligned to our midterm business plan share d with you all earlier.

We got approval from National Company Law Tribunal NCLT for scheme of Amalgamation consolidating Escorts Kubota India Private Limited, EKI and Kubota Agricultural Machinery India Private Limited, K AI into Escorts Kubota Limited, EKL. This marks a significant step towards becoming one of the largest Indo -Japan machinery equipment collaboration operating from India.

We obtained the certificate of registration from RBI for Escorts Kubota Finance Limited (EKFL), and we are gearing up to begin operations for captive finance of EKL products in the current fiscal year itself . Inaugurated a state -of-art export hub spanning over 58,000 square feet in Faridabad, exclusively dedicated to supplying components to Kubota Group company worldwide.

Quarter ended September '24, marked the first reporting period following the merger of Escorts Kubota India Private Limited and Kubota Agriculture Machinery India Private Limited with Escorts Kubota Limited. All figures for the current quarter as well as t he earlier period has been updated considering Merged financial of EKI and K AI with EKL to make meaningful comparisons.

Here are some key highlights for EKL stand -alone financial performance for the quarter ended September '24. Operating revenue at INR 2,476.2 crores, EBITDA at INR 267.6 crores, marginally up as against INR 266.7 crores year -on-year. The EBITDA margin in Q2 is at 10.8% are more similar to last year level. Post -merger margin dilution impact is there as the merged entity are currently not as profitable as EKL was premerger. However, we are actively working to improve post -merger margin by focusing on integrating synergies, enhancing our product mix, and implementing cost rationalization measures.

PBT at INR 310

crores, up by 5.6% Y -o-Y. Net profit at INR 326.7 crores, up by 53.2 % Y-o-
Y. This growth was primarily driven by a onetime TAX impact of INR 91 crores approx. resulting from change in long -term capital gain provision as well as impact of broad forward losses of the am algating companies. EPS stands at INR 29.7 as compared to INR 19.4 Y -o-Y; company continue to be debt -free with enough liquidity on its balance sheet to support future growth plans. The company repaid debt of INR 347 crores approx. of Amalgamating companies EKI and K AI upon merger.
On consolidated basis, company financial performance for the quarter ended September '24 is as follows: total revenue at INR 2,488.5 crores, as against INR 2,477.7 crores year -on-year. EBITDA at INR 264.7 crores with a margin of 10.6%, net profit at INR 324.2 crores, up by 54% as against INR 210.5 crores Y -o-Y.
Moving on to the segmental business performance, starting with Agri Machinery business. On tractor business in Q2 FY '25, the total tractor industry domestic plus export was at 2.35 lakhs tractor at par with that of corresponding quarter last year. Our total volumes were at 25,995 tractor as against 26,241 tractor in the corresponding quarter. On domestic front, tractor industry in Q2 FY '25 was at 2.10 lakh tractor was almost at par with respect to the corresponding quarter last year.
Our domestic tractor volumes stood at 24,768 tractor as against 24,690 tractor in the corresponding quarter. Our domestic market share in Q2 FY '25 stands at 11.8%. We have currently around 1,500 exclusive dealers fo r our Kubota , Farmtrac and Power trac brand.
For FY '25 full year, we expect the domestic tractor industry to continue its Growth trajectory with mid -single -digit growth. The industry experienced record breaking growth in October demand due to concentrated festival period and also driven by above average rainfall and higher water level reservoir, anticipated higher crop yield, increased crop production, higher MSPs and improved Terms of trade.
On export front, the tractor industry in Q2 FY '25 came at 24,500 tractors as against 25,900 tractors in the corresponding quarter. Our export volume came at 1,227 tractors as against 1,551 tractor in the corresponding quarter, impacted primarily due to ch allenges in our key market of Europe, which are experiencing recessionary condition. During the quarter, sales through Kubota Global network accounted for almost 20% of our total export sales.
With the merger of our Agri Machinery, product revenue is getting diversified. And non tractor revenue now counts for around 17% to 19% of our overall agri machinery revenue as compared

to 10% to 12% pre -merger. Non -tractor business comprised of agri solution business, we are offering a wide range of Agri mechanization applications such as Rotavators, Harvester, rice transplanter, Bailers, Sprayers and More, all under Farmpower and Kubota brand.
Engine business specialized in high performance diesel engines with power output range of 7.5 kVA to 58.5 kV A in Escorts engine. These engines are primarily supplied to genset OEM with third -party engines also being used when needed. Additionally, our Kubota engine are supplied to construction machinery OEM and 10 -kilowatt to 55 -kilowatt range.
Service and spare part business, catering to a wide range of agri machinery products, ensuring that our customers have access to support they need for their equipment. For global sourcing by Kubota Group by leveraging China plus One strategy and cost effic iencies of Indian manufacturing, Kubota is partnering with EKL for a robust global sourcing strategy . With EKL well-established large vendor base and Frugal cost structure along with Skilled workforce Kubota is looking at India as a key sourcing base for goods and service to cater this global requirement. The po

tential of sourcing from India to the world is enormous and establishing first
part export warehouse, this year is a step towards achieving the larger objectives.
By clearly distinguishing between our tractor and non -tractor business and making these independent business vertical, we intend to unlock the full potential of each business through focused strategies and efforts going forward. On the revenue side, for th e segment agri machinery was up by 5.3% to INR 1,884.2 crores as against INR 1,789.4 crores in the corresponding quarter. EBIT margin for agri -machinery business division were at 9.1% as against 9.2% in the corresponding quarter.
Coming on to the Construction Equipment business. In Q2 FY '25, serve d industry volumes of crane s, back hoe loader, mini excavators and compactor s were down by approx 2% as against corresponding quarter last year. This degrowth was primarily driven by the crane industry, which was down approximately 18% as compared to the corresponding quarter last year.
Our total volume for Construction Equipment business were at 1,394 machines, as against 1,709 machines in the corresponding quarter. Construction Equipment segment revenue came at INR 379.9 crores as against INR 440.2 crores in the corresponding quarter. EBIT margin for the quarter ended September '24 came at 9.3% as against 9.9% in the corresponding quarter.

As we move forward in the fiscal year, we expect an increase in demand due to the government initiative to stimulate the economic and upcoming changes in the emission norm regulation, starting from January 1, 2025, which may result in pre -buying opportunity. Overall, the outlook for the later part of the fiscal is optimistic.

Moving on to the Railway Equipment business Division. Revenue for the quarter ended September '24 came at INR 211.2 crores as against INR 234.3 crores in the corresponding quarter. EBIT margin for the railway segment for the quarter ended September '24 came at 15.2%. Our order book for the railway division at the end of September '24 stand at more than INR 1,100 crores, this order book, however, includes BMBS orders for the freight wagon for approx. INR 382 crores, supplies of which have been temporary on hold by RDSO.

In line with our strategic focus on agri and the Construction Equipment sector, we have made the decision to divest our railway equipment business to Sona Comstar, the purpose of this sale is to streamline our operations, reallocate capital and enhance the scale and efficiency of our core businesses . The selection of Sona Comstar as a buyer and pricing of the deal were a result of a comprehensive competitive process that involved multiple potential buyers across the globe and was facilitated by a reputed global investment banking firm.

Now we request the moderator to finally open the floor for the Q&A.

Moderator: Thank you. The first question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: when I look at the farm business, of course, there's been a huge change with the merger of these 2 companies. I mean, for the benefit of the group at large, if you can give us some sense on what was the revenue and EBIT for the companies that got consolid ated? And also directionally, how to think about margin? I mean, of course, Prateek spelled out few measures, but how should we think about margin recovery or margin build out from here because it is just a pretty big reset down, right? So, if you can give us better color on the 2 subsidiaries financials and how do we see the margin shaping shaping up going forward?

Bharat Madan: Gunjan, this is Bharat Madan: So, I think as we've been indicating in our earlier calls too, so these 2 JVs are combined levels were more or less breakeven operation, and they had about INR 2,000 crores of sales as a top line with very

nominal operating margin. So that is why we had syndicated this will lead to about 1.5% to 2% dilution in the overall margin on a short -term basis till the time we work on the profitability improvement for these companies.

The major issue there, obviously, the contribution with the material cost levels are high. The reason is because many products are still getting imported from outside. As a result, the margins are not really high. So, as you localize those products, the margin improvement will happen. So that is a process which will continue in the next 2, 3 years, which is what we are working on, and last quarter what will also depend on the Indian localization, which will happen once the greenfield factory gets set up.

So, till that time, obviously, these numbers will remain under pressure. At the same time, there are some synergies, which will come from the integration of these companies now with the Escorts , especially on the overhead parts, the manpower and other fixed overhead, which are there which also almost 10%, 11% top line, which can get rationalized. So, a lot of common function, obviously, which we perform. So those cost savings will start coming in.

So, we expect, I think, in the next 1 to 1.5 years, you will see, I think the improvement will start getting visible. So, I used to go back to the level of margin that is said, which is, again, at the entity level, we're looking at 12%, 13% sort of margins. So that is the sort of margin which we intend to continue to maintain, and after the registration bases are put into place.

But in the long run, for tractor business per say, we have been indicating the mid -teens sort of margin including these JVs. So that will be the thought process when you go for the localization.

Gunjan Prithyani: Okay. Got it. And just to be clear, this 12% to 13% margin that you are mentioning factors in the localization of engine or 12% to 13% is basically synergies and some interventions which are low? I mean I'm just trying to get what is low hanging versus what engine localization, the greenfield plant will still take time, right ? So that potentially I'm assuming is 2 years out.

Bharat Madan: Yes, 12%, 13% is a low hanging one. Then in the long term, we said it will be mid -teens. So, engine. Etc. will also get localised,

Gunjan Prithyani: Okay. And the 1%, 1.5% drag that you -- sorry, 1.5% to 2% drag that you mentioned, when I look at actually the numbers this quarter, it seems a bigger drag. So, is there anything in the underlying business besides the drag from these 2 subsidiaries? Is there anything else to call out? Because if I look at just, let's say, I'm not even looking at adjusted numbers. I'm just looking at quarter -on-quarter margin decl ine. It seems pretty steep even factoring the operating deleverage. So, anything else from a cost perspective that we should bear in mind was dragged down or impacted the margins in this quarter?

Bharat Madan: So, this quarter, Gunjan, is normally still the weakest quarter for the industry. So that's why you see the bigger impact in the margin dilution looks more. But like I said, on a full year basis, it will remain in the range of 1.5% to 2% only, maybe less than 2% from around 1.5%. So, the next 2 quarters, you will see actually, it will be more positive that was negative impact what you saw in this Q2.

Gunjan Prithyani: Okay. Okay. That's good to know. And second, again, a bit more strategic around this merger now concluded. I think this was one of the large steps we were sort of waiting for to conclude before we could start executing and full flow on our midterm targets. So now with this behind, would you want to like sort of call out what is that can play out more comfortably? Is it exports? Is it components, some bit of update on the midterm strategy or targets that we had laid down? How do we s

ee the progress from here on, on those metrics?

Bharat Madan: Yes. I think Gunjan, as Prateek mentioned in his opening remarks, the 2 companies which we merge are not totally dependent on tractors. So, tractor for them was only 60% of the business roughly. And the balance, 37% - 40% was coming from the non -tractor side.

So, which is a positive side, so dependence will not be only on one product line So the other product line and verticals, which we created, which is for spare parts and service for the engine business or the Agri solution for the implement, harvest er, transplant er the line or for the global part sourcing. So, these 4 verticals which have been created will continue to be the growth driver other than the tractor business, of course, which will be there.

So, dependence will also be then more on the other verticals, which we also expect will be a good line for growth purposes. So, in these all verticals, we expect the growth should be significant in the coming years, and we'll see very large potential across all 3 verticals, especially on the parts part and the engine part.

Gunjan Prithyani: Okay. Got it. Just last question, outlook on the industry. We had even your competitor report some time back in the guidance on the industry, so just trying to get your thoughts on any change

from your perspective on industry demand looking far more stronger and gearing upside to the guidance that you all giving for the industry?

Neeraj Mehra: Gunjan, this is Neeraj Mehra , so we are positive on my industry. We feel that fiscal year '25 will probably end with the growth of about mid-single digits. So mid -single -digit growth we are looking at for this fiscal year.

Moderator: The next question is from the line of Raghunandhan N. L. from Nuvama Research.

Raghunandhan N. L.: Festive greetings. Sir, continuing on the margin part, so was there any other impact on the margin with reference to commodity costs either in Q2 or expected in Q3? And also, in terms of the margin improvement, localization is a very important trigger. So, if you can share in terms of the greenfield plant, what is the current status? When is the construction work expected to start? Any thoughts on the timeline ?

Bharat Madan: So, Raghu, on the greenfield, obviously, like I said, the localization will do a large extent, depend on the greenfield plant going live and kicking. So, as we indicated last time, so we have submitted an expression of interest to the UP government now with the Rajasthan government was not able to give us the assurance for the water supplies were to withdraw the expre ssion of interest on Rajasthan.

And now we are discussing with the UP government and the discussions have been very positive. So, we expect within the next 6 months, we should be able to close on the land part. And if we get the land alloted in the next 6 months, then we will next 2.5, we should be able to go live on no commercial production on the tractor side. So, I think our original plan of FY '27, '28 remains there. So, we are still sticking to that. So hopefully, that will come on time if it's all.

Raghunandhan N. L.: Got it, sir. And any near -term issue, sir, on the commodity cost? Was there any impact?

Bharat Madan: So, in Q2, we had seen some inflation, but very nominal, it will not be significant. We have taken a price increase in the first quarter in anticipation. So especially on the rubber side, the tire prices have gone up. You would have seen in the tire industry also, so both because of the environment issue and the normal natural rubber price is going up. So, it's a short supply and the costs were going up. So, there is a pressure on that front only, but it's not something significant which will lead to any major description. So, this quarter also is more or less softness only in the commodities. If we don't expect an

y significant change in the material cost side.
Raghunandhan N. L.: Got it, sir. And in terms of the midterm business plan, a couple of areas where I will request some update. One is in terms of the entry into export markets like Brazil and U.S., would you expect that to happen at the beginning of FY '26? And second, on th e new product launches, the Farmtrac, Worldmaxx had come out how is the initial feedback? And apart from that, what other new products can we expect in the coming months?
Bharat Madan: So, on export, our first priority is to cater to the Mexican market and the Southeast Asian market for which the products are being developed now. So, as we mentioned earlier, from this fiscal year-end, we'll have the product ready partly for European market. And next year, we'll have a product label for southeast Mexican market, too, and that will start. I think the export for the

American market and South America will largely depend on the greenfield facility. Those products are right now not in our portfolio. So, they will obviously come up along with that. But we expect from Q4, you will see a growth momentum to start on the export so far, exports have not done well for the European market, which is our largest market, has been under pressure. But now from Q4, we expect the numbers to start improving.
Raghunandhan N. L.: Okay. And Neeraj sir, you can talk about the new products?
Neeraj Mehra: So first, on the Worldmaxx thing. So, as you know, Worldmaxx was a slightly higher horsepower product and primarily for our next segment. So, we have gone slow and steady on that, and the initial response has been very, very good. And seeing the initial response, we now intend to extend the geographies. Currently, it was restricted to certain geographies only.
Going forward, we also intend to introduce a new range again in the Farmtrac brand, this should be out by about January, February. It's a 41 to 50 HP segment range, where we had certain product gaps, both on the 2 -wheel and 4 -wheel front. So, it will massively cover those gaps and help us grow volumes and market share in key markets. So that should come around February.
Raghunandhan N. L.: Got it, sir. My last question was on the tax rate, Bharat sir, that tax benefit, what we have got this quarter, given the accumulated losses and the merger impact how much more tax benefit can we expect in the coming quarter or for full year FY '25, what c ould be the tax benefit that we could book?
Bharat Madan: So, I think the tax impact has all been taken now in this quarter. So, all carried forward losses benefit has flown into this quarter. And for the treasury income side, also, the tax impact on the capital gain has also been considered. The only good thing will be, I think, going forward since the treasury income is still large for the P&L, so effective tax rate will go down from 25% to maybe 22%, 23% level. So that will be continuing going forward.
Moderator: The next question is from the line of Amit Goela from Rare Enterprises.
Amit Goela: Bharat, just one question. Could we keep reading or hearing that crop prices are good rains have been good, crop prices are good at is doing better. But at the same time, we keep seeing that there's solid pressure on consumption you're talking of like mid -single -digit growth. What exactly is happening? And like can you give us some color? Or can you tell us like exactly what you are seeing and what you are experiencing on that side?
Bharat Madan: Okay. I'll ask Neeraj to respond to this. But just to give you an idea about this mid -single digit. But if you look at the first 6 months, the industry has been flat. So, when you're talking about the full year, which will be the second half has to grow in double digit to give you a mid -single digit sort of growth. So that was the growth momentum will start from

October, which we've already seen has happened.
October has been very good for the industry, and we expect a similar momentum will continue in the balance 5 months also. So, we think the green shoots are already there. So rural recovery is happening, and we've seen that happening in October and will continue going forward. But maybe Neeraj can also throw some light on this.

Moderator: Mr. Amit, does that answer your question?
Amit Goela: Yes. Can Mr. Neeraj also explain what you're saying...
Neeraj Mehra: Yes, yes. So, Bharat has already explained what has happened in the past 6 months and how we see the industry over the next 6 months. But overall, the rainfall has been pretty good. So, it's been 8% to 10% surplus growth. The major issue was the reservoir levels. So, the reservoir levels at this point of time are between 85% to 90%. So now that impact will actually culminate in growth in H2. So that is why we are a little positive on a double -digit growth in H2.
Also, looking at the initial impact of the kharif crop, the output is positive, and the Mandi arrivals

have started happening in October and the output is higher than last year. MSPs of the Rabi crops with respect to last year, are also slightly higher. Government's focus on infrastructure as well as on the agri sector remains there.

So, all these combined together, and it might look like a single -digit growth for the entire year. But we need to look at the fact that last year base was not a low base. We ended the last year at about 8,75,000 units for the industry. So mid -single -digit gro wth would take it to about 920, 925 which is probably the second highest ever in the history of India in terms of industry. So, we think it's a positive, and this will move further forward for the next year.

Amit Goela: Okay. Neeraj, can you throw some light also on what's happening on the agricultural equipment side?

Neeraj Mehra: So, on the Agri equipment side, see, we have -- earlier, we were operating with a single brand, which was Farmpower. Now with the Kubota coming in, our focus on the agri equipment side, primarily, we were focused on the r otavator business. And now with Kubota coming in, the combined harvesters and the Rice transplanters . So, all these -- including the Sprayers as well as the super speeders . So, the portfolio has, to a large extent, increased, so we intend to -- we are hopeful for a very positive growth in the next 6 months and the subsequent year also.

Bharat Madan: So, Amit, Kubota actually has almost grown more than 100% on this business of agri solution this year in the first 6 months. So, the harvester’s growth has been significant. So overall, if you look at value terms also, it's more than 100% growth that Kubota have seen. So, we expect this will be a very positive growth driver for us going forward.

Moderator: The next question is from the line of Shubham Patel from JPMorgan. As there is no response from the participant, we'll move on to the next question. The next question is from the line of Mumuksh Mandlesha: from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: So firstly, can you just help us understand how was the festive period good for the tractor industry and for us?

Neeraj Mehra : So, the festival period was very good. Probably, for a single month, the best ever industry figures as well as for us. So as Prateek has mentioned that we did highest ever sales in the month of October. This was primarily due to the fact that all the festival s have combined together and were falling in a single month. So, we have done our best ever sales this festival season.

Mumuksh Mandlesha: So, if we compare to festive period to festive period, would it be double digit, sir?

Neeraj Mehra : Sorry?

Mumuksh Mandlesha: If we compare festi

ve period to festive period last year, where last year it came around October to November and this year from October to start of November. So that growth will be double digit, sir?

Neeraj Mehra : Yes, yes. That growth is double digit. It's a decent double digit.

Mumuksh Mandlesha: Okay. And sir, how would be the dealer inventory post the festive season?

Neeraj Mehra : So, our current inventory levels are between 35 to 37 days of stock on an annualized basis.

Mumuksh Mandlesha: Which would have come down post festival, sir?

Neeraj Mehra : Yes, substantially.

Mumuksh Mandlesha: Got it. And sir, how do you see the region wise strength, sir, particularly where you're seeing like Gujarat and Rajasthan will be very heavy rains had dent in the volumes earlier. So how do you see the trend regionally, sir?

Neeraj Mehra : So, see, in quarter 2, the industry in the eastern part of the country, except Bihar grew tremendously, especially Chhattisgarh, Jharkhand market grew tremendously. It was primarily driven by, to a certain extent, some subsidy sales and certain shops given in Chhattisgarh. But with pretty adequate rains happening, we see -- we feel that West and especially South will actually pick up now.

West has already started picking up. Gujarat is a slight concern, but Maharashtra is doing pretty well for the past 3, 4 months. And last month, though it was not part of H2, in October, the industry in the certain part of the country was pretty good. So a s the reservoir levels are now alright close to a level of 85%, 88%, we feel that the south industry will also move.

Mumuksh Mandlesha: So, we also -- with support to the Kubota brand, which was muted last year in terms of the tractor volume?

Neeraj Mehra : Absolutely. Absolutely.

Mumuksh Mandlesha: Got it, sir. Sir, in this quarter -- in the Q2 quarter, the other expenses and the employee costs have increased Q -on-Q despite the lower revenues. Any reason for the increase in both these expenses? Anyone -of there, sir?

Bharat Madan: Yes. So sorry, I think we lost you in between. So, there was actually -- so the other cost basically includes the contractual manpower. So, as you know, this quarter typically is a quarter where the production levels are very high. and the sale number is low. So that leads to high contractual manpower costs.

And it's happening both across the Construction Equipment business as well as on the tractor side. So, the sale typically happens in the next quarter in the season time, which has happened in October. So, the inventory buildup has started in the Q2. So that leads to the higher contractual manpower cost, which is more variable in nature linked to production and non -linked to sale, but we'll see this getting diluted in the next quarter.
Mumuksh Mandlesha: Understood, sir. And sir, lastly, on the Construction Equipment, sir, it has been negativing till now for the industry and for us. How do you see the recovery going ahead, sir?
Bharat Madan: Sanjeev, can you respond to that?
Sanjeev Bajaj: Yes, yes. Sanjeev Bajaj this side. So, first half of this year, we've seen little subdued performance of the industry, primarily because of the elections in the first quarter and then heavy rains in the second quarter and extended monsoon till September in many parts of the country.
So -- but -- and the overall speed of the project's execution was evidently very slow . So therefore, buying has been less but we believe that from Q3 onwards and in Q4, this thing, we will turn around. We also expect that there will be some pre -buying before the BSV norms cutting, which will be from 1st of January. So that also will add to some demand in Q3 as well as Q4. So, at an overall level, I think there will be some correction of slower growth in the first half.
Moderator: The next question is from the line of Priya Ranjan from HDFC

AMC.
Priya Ranjan: So, my question is on the construction equipment, we are closer to around double -digit margin. And -- what is the path to maybe mid -teen margin in the construction equipment because the profitability from the past has substantially improved. But I think for t he full company to have a double -digit margin -- I mean the mid -teen margin in this segment also has to go to somewhere around mid -teen margins. So -- and a longer -term outlook in terms of growth, I mean, which are the segment because backhoe, we are still not able to grow meaningfully in terms of market share. So, what are the levers of growth in that segment?
Sanjeev Bajaj Yes. So, I will respond to this in terms of the actions which we are taking to improve the margin. But I mean the direction of mid -teens would be probably Bharat sir would be able to respond better. So -- so you are right. Currently, we have improved from very low levels in the past few years to 10% around that. And the next levers for growth would come from, of course, the industry is expected to grow tremendously o ver 5 to 6 years because of the focus of the government on infrastructure.
And we believe that the overall Construction equipment , which was 1.37 lakhs last year will go to more than 2 lakhs by 2030 and around that. So therefore, there is an opportunity in terms of volume, which will come to us, and we represent close to 50% of the total industry. So that in that way, the opportunity will be available for us also.
Going forward, I think, as you see in back hoe loaders, so there is a lot of work being done on back hoe loaders because this product is now getting ready for sales in global channels, including the Kubota channel worldwide and we are coming up with the new platform of back hoe loaders

along with the BS V introduction, which will happen in first quarter of next year. So that is going to make this product more globally acceptable and will lead to larger volumes.
Even on the crane side, the product portfolio which is being worked out for midterm business plan, and we are expecting that there will be industry growth, and there will also be need for larger models, which, of course, will contribute more in terms of ma rgins. So, we have a healthy plan of introducing new models in the coming time.
Priya Ranjan: And do you see the financing arm as a lever in this segment as well?
Sanjeev Bajaj Yes definitely.
Priya Ranjan: Have the financing arm mostly.
Sanjeev Baja j Yes, sir. So, we believe that financing arm will definitely help us in especially in the retail segment, especially on the back loader where first -time buyers and first -time users number is quite high in the industry. Crane financing is still not a problem because they are quite consolidated customer base, but a large volume headroom is available on backhoe and financing will really help in that area.
Priya Ranjan: Understood. And just on the -- you mentioned about 50% addressable market, I mean, you see as of now. So, in the next 2, 3 years, what is the kind of addressable market you want to capture in that?

Sanjeev Baja j From -- so we will be looking at expanding the current range of products. And apart from that, there are opportunities of bringing some more products from Kubota table So like Kubota also does scrip share loaders and compact truck orders. So, there is a possibility of bringing those products also. We are doing a market study on that. And apart from that, there are other revenues, which are our R&D and product planning function are working, which can expand the portfolio. But it is too early to give an indication on that.
Priya Ranjan: Bharat, can you...
Bharat Madan: Yes. So just to respond on the margin question. So, Priya, obviously we don't expect with the kind of portfolio which we have today on the construction space.

The margins, I think, will be somewhere around this high single digit or maybe just on the double -digit number. We don't look at going up to mid -teens. But when you look at the current portfolio, I think among all 3 businesses on return ratios, I think are the base for the construction equipment even now. And if you look at the capital employed is very, very low in this business and the kind of return which we're generating, I think is the highest ever of all 3 business which we have today. So even if we are able to maintain these levers, we'll be very, very happy if we are able to get this because we don't see a major uptick in the volumes given the limited segment we operate in in this space. And backhoe is the largest market where we are a very nominal player as those volumes go up to the level which actually gives a push, or it will be difficult for us to go beyond these margin levels.

Priya Ranjan: But because some of your competitors in the crane, et cetera, is already doing mid -teens margins. So, I mean, so that's why I was wondering whether is possible.
Bharat Madan: Yes. It all depends on the mix; I think what we sell. So, if we go to the higher end mix better, then we will see a better opportunity there, but that again keeps on changing. So, I think as of now, we've seen the best so far is only the double -digit number. So, let's see, I think if we are able to cut costs somewhere, maybe we'll be able to do something better there.
Priya Ranjan: Sure. Okay. And on the export side, I mean, the end market has been bad, but as you mentioned about with the new product launches, et cetera, in the Southeast Asia and probably Mexico. So can we expect very very high growth next year because some of the markets might not be doing well at this point of time. But I mean when the things changes, it can be very high because your number is very, very small at this point of time. So can we expect a very substantia l jump in the numbers. I mean, the growth will look very high, but I mean on an absolute term, it will be, like I say, in mid...
Bharat Madan: Yes, it's quite possible because as you rightly mentioned, the base is very low for us. I think this year we'll be doing close to 5,000 the same level as last year. So, it's not going to be a major number for us if you look at the industry perspective. So, if you look at top of this number, the industry's export start picking up from next year, then definitely the smaller numbers will give you a very high base in the growth number.
But I think, as we mentioned, the idea is to keep growing this number with the export is one area where we want to have more focus on and is much easier compared to the domestic market. So that's one area which we'll continue to remain our focus on. And I think you should see that sort of growth, maybe it will only high double -digit gr owth, which will be there next year on this.
Priya Ranjan: Sure. And just lastly on the Kubota after this amalgamation the brand Kubota last year has suffered because I think the South has been weak. The south and western market was weak. So that -- so as we look at the brand, I mean, how should we look at the Kub ota brand doing in next 6 to 9 -- I mean, 12 months?
Bharat Madan: So good thing is, like you rightly mentioned, the markets where Kubota was strong, were degrowing. So that's why we have seen a decline in the market share. But when we've seen the revival now in the South and East market, they are growing very well. They have done better than the industry growth in October. So, we expect the next 6 to 12 months should be good at even from Kubota brand as that market will outperform, so I think we should see the good performance coming from Kubota brand also there.
Moderator: The next question is from the line of Jinesh Gandhi from AMBIT Capital.
Jinesh Gandhi: Yes. My questi

on pertains to the industry outlook which you have given. So, if I look at the growth for the industry until October would have been 4.5% or so. So, are we looking at -- is the remainder of the year to be about 5%, 6% only or that number is given the positives which you're looking at?

Neeraj Mehra: So, this is Neeraj this side. So, for H1, the industry was more or less flattish at about 1%. October actually grew by about 23%, 24% overall. So, for the balance period, we're looking at a double -digit growth for the industry. So overall, what we're looking at is mid -single digits to a marginal high single -digit growth for financial year '25.
Jinesh Gandhi: Got it. Got it. That's right. And secondly, Mr. Madan if you can also talk about how how stand -alone business performed excluding merger that could give us some reference points through the previous quarters back say. So, if you can share revenue , EBIT , PAT EBITDA, Standalone excluding merger that would be helpful.
Bharat Madan: Sorry, your voice was not very clear, Jinesh. Can you repeat your question?
Jinesh Gandhi: Yes. I'm referring to the stand -alone business performance, excluding a merger, if you can share the broader numbers, revenue, EBITDA, PAT, that will be useful.
Bharat Madan: Okay. So, we are not actually captured this of the quarter where we did the consolidated numbers. But like you mentioned, so roughly, if you look at the performance, it's more or less similar. So, I think on an overall basis, the company had done close to similar 12% to 13% sort of EBITDA, which was more or less similar as last year. So, the impact of the merger, obviously has in the dilution. So, this quarter dilution impact is slightly higher because this is a very low revenue number. But going forward, we expect the direction will be slightly lower. So, we expect about 1.5% dilution on a full year basis will happen when you end this year.
Moderator: The next question is from the line of Vijay Sar thy from Sub hkam Ventures.
Vijay Sarthy: Just 2 questions, sir. One -- so with respect to your railway business, the business is actually in structural growth, and there's a tailwind ahead given that is that we sell at just 10x of current annualized PAT when business is very ripe. I just wanted to understand that thought process. Second question is, given that we are operating close to around 60% utilization, and the fact that with mattress are exposed from the existing plant, do we need the new facility why this urgency ?
Bharat Madan: So, I'll respond to your first question on the railway business. So, I think as you mentioned, so yes, the multiple has been low. It's about 12x likely of the PAT for the railway business, if we look at this. So obviously, the expectation for everyone was very high, but we have run a very competitive process where we approach almost 34 buyers, potential buyers and not only in India, but it was also the globe, including some private equity players who actually are interested into this line of business .
But the interest that we've seen was not very strong. So, the issue with most of the multinational player was, they've got a parallel product range, which is competing with us. So, they don't see much value into our existing portfolio. So, their interest was very low. So, the value also which we got from the table was very, very low.
So, idea was to look at a player who is totally new to this line. The product we make will be valuable. So, which is why we went to the local players now, where we saw some interest and Sona to be the highest bidder among all the other local players and that's why we went to Sona.

The idea is also that our focus on the railway business has not been that high because we have been now constraining on setting up the greenfield, se

tting up the captive finance arm and focus from Kubota perspective will always be on the core businesses.
So, this is one business which has a potential to grow. But because of our focus not being there, this will not be at full potential. So also go to a partner who can actually do full justice to the business and taking it to the right reputation with the busin ess users. So, I think it was in that interest only, we thought it would be good now to think, take care of this business and divest it to Sona.
So, valuation -wise, expectation is one. But second is what do you get to the market. There's also another thing which we need to keep in mind. When we also started, we had very high expectation. But when we came to reality, and there was issues obviously arou nd and the general reason for the buyers had that we can't have a value coming from the same product line. The railway doesn't allow you to sell the same product category in 2 different brands in the same entity.
So, there's a restriction there. So, this is the kind of business is very unique and it's its own complexities, so which is not something which is easily understood by the industry. So that's why we decided to go with this, and we think this is a good value, and there's also something on the table for Sona and that's the incentive for them to also grow this business further. And it's good for our employees of our customers running anyone.
Vijay Sarthy: Okay. On the second question?

Bharat Madan: So, second on the capacity utilization. So, if you look at our total numbers today on a combined basis, we are almost at 125,000, 130,000 tractors selling annually. And our capacity today is about 170,000. So, which means it's very little scope actually to grow. If you're looking at industry growing next year also the double digit, then you will have very limited scope especially when you've got sea sonality also in this industry.
So, you will actually hit your peak very soon. So, we don't see – even much scope, if we don't set up the industry in greenfield now will be left out of pace. So, we will start the work now. So that in the next 3 years or 4 years when we have a project is ready and with greenfield capacity expansion happens unless we are able to cater to that market. Otherwise, the entire growth plan for export and domestic, which is there in place, so that won't be able to really equitable.
Vijay Sarthy: So, for the next 6 months, we can surely see some amount of land allotment and then we can get -- we'll have the capital equipment order. All of this can happen in the next...
Bharat Madan: So capital equipment order will not happen. So, first priority is to get the land. So right now, so far, whatever discussion we had with the UP government have been positive, and they were assured it will be able to help us and get the land alloted, if that happens, obviously, the ordering will start a fter the land allotment is done .
Vijay Sarthy: So, by -- so next year this time, we would have done the ordering of capital equipment, am I right?

Bharat Madan: Yes, we hope so.
Moderator: The next question is from the line of Shubham Patel from JPMorgan.
Shubham Patel: Just a question from my side. That's a drag in the dilution impact of in Q2 versus Q1 is coming to around 1.6%. But when we compare with Q2 of current year with previous year, the drag is coming to 2.9%. So, the dilution impact is appearing higher, so can you just elaborate? And point number 2 is that there will be inventory levels will be at higher levels. So, what is the amount of inventory credit that is sitting right now on the P&L in the current quarter?
Bharat Madan: Sorry. So first, I think your question is on the dilution in Q2, the dilution you're saying is more than the dilution in Q1, right?
Shubham Patel: The Q2 versus Q2 the comparison and then the

dilution impact is appearing 2.9% and Q3 versus Q1, which is appearing 1.6%. So, dilution impact is around 1.3% higher when we see it in the previous year. So, if you can just elaborate any reason -- specific reason for the same?
Bharat Madan: Yes. So last year, obviously, they had a positive EBITDA. And this year, they did not have this EBITDA and most of it is typically because of the issues around the product costs, which are getting imported, versus why I said they were importing the product , so they sit on a high inventory level. And that obviously as a better view carrying inventory with a high buying price and that it comes in the quarter. But going forward, the price reduction has happened because of this the positive impact will start coming in from Q3, so if you look at the full year level, we expect the dilution will be about 1.5%. So not in what we see in Q2.
Shubham Patel: Okay. And sir, what is the amount of LH credit that is sitting inventory projects because since Q2, we'll be building up the inventory, so compared to Q1, we would have got the inventory gain benefits in the P&L.
Bharat Madan: Yes. So, like whatever production has happened in Q2, the positive effect of that has already come into this. So, the sales number will obviously happen in Q3, but you will not get the production benefit here. But then so are your costs being also higher? Like you mentioned the question about other costs, other cost higher so your costs are also higher. So that actually utilizes the impact of higher production with the higher costs. But in Q3, when you get a higher sale obviously that will hav e some positive impact.
Moderator: Mr. Shubman, does that answer your question?
Shubham Patel: Yes.
Moderator: The next question is from the line of Mitul Shah from DAM Capital.
Mitul Shah: Just before going for the questions, I have one clarification on the margin side, current reported margins roughly 10.8%. If we take out the railway business, it comes closer to 10%. So, we earlier guided that over the next 2, 3 years once this new plant, localization, et cetera, it will go to 12% to 13%. So, this 10% will go to 12% to 13%. So right now, we are considering railway business as a normal continued operation?

Bharat Madan: In 2, 3 years' time, obviously Railways business will not be there because we expect within in the next 1 year, I think the divestment should get completed. So, what we mentioned is without railway business.

Mitul Shah: And now a question on the second half. In terms of double -digit growth, as we highlighted for the industry, which are the regions or geographies will see much higher growth. And also, after this combined entity and after merging of the Kubota, which are our opportunity markets and which are the stronger market because without Kubota , South and West Maharashtra was earlier considered to be weaker opportunity. But now Kubota already has 7%, 8% market share in Maharashtra and Karnataka. So combined entity, what is the situation now?

Neeraj Mehra: So, Mitul, this is Neeraj Mehra this side. So first, on the industry side, we feel that overall industry will grow across the country, but the higher growth will come in from south and the western part of the country. The second part, as regards to which are our opportunity markets and strong markets. So, at the beginning of the year, we had started our focus on West to be our growth market for the next couple of years.

Now with Kubota coming in, we feel that South and West are the 2 markets where we will focus more and where we see an opportunity to grow substantially because over the last couple of years, we have had put in place our channel strategy for both Maharashtr a and Gujarat and also a couple of states for South. And with Kubota coming in, we think that our growth in South and West will be higher than what

it has normally been.

Mitul Shah: Okay. Sir, last question on your policy on the cash strategy on that, we are already having about INR5,000 crores, INR6,000 crores kind of cash and other this cash will generate from the sale of Railway business, about INR1,400 crores, INR1,500 crores. So, by end of next FY '26, '27, it goes to INR8,000 crores, INR10,000 crores kind of a cash, whereas capex requirement is also much lower even if we consider land acquisition and all. So, what would be our strategy? Or what is our thought process on the cash management going forward?

Bharat Madan: So, Mitul, there are 3 important I think the spends which will happen. So, I think we indicated, I think, in earlier calls also. So, 1 honestly, we already done is the debt repayment after the merger. So, there are about INR 350 crores of debt is repaid for the JV over liquidity on the balance sheet. The greenfield project, we're estimating will cost somewhere around INR 4,500 crores, which will obviously spend over the next 4 years' time, it is not upfront. And then our finance company, we have marked INR 700 crores of capital for that to grow.

Now this put together takes care of almost INR 5,600 crores - INR 5,700 crores. In addition, there will be normal capex will continue. So what we're banking on really will be the divestment proceeds which will come from railway and the normal cash generation, which will happen every year, which will be in the range of -- I think if you look at the last maybe INR600 crores to INR800 crores of free cash flow gets generated each year.

So that is kitty which obviously we need to use, and we already indicated our dividend distribution policy now, which we have increased. We said we'll take it up to 40% level of the retained earnings. And also, I think we'll have to keep discussing. Proceeds in the railways

proceeds; we are not really met above mind. So, this still discussion has to happen in the board, but that is still some time before we get the money into the company after we get all the approvals. But yes, I think that's, as you mentioned. So that's one obvious thing which will happen.

Moderator: The next question is from the line of Zubin Khurshed from Karma Capital.

Zubin Khurshed: So, apologies if this question has been answered, I joined this meeting late. Sir, now that we've sold off our railway business as well as we've seen a delay in terms of the greenfield capacity for engines. So just wanted to know if -- of course, there will be some changes with respect to our midterm plans which we have set in the beginning 2, 3 years down the line. So just wanted to know if there are any revised targets that the company is thinking about? Because in the midterm plan, we did have certain numbers for the Railway division as well, but now we've also seen changes happen to the entire setup. So just wanted you have tho ughts on that .

Bharat Madan: Yes. So that's right, we had mentioned. So, we will be working on the revised midterm business plan, looking at the current scenario and whatever developments have happened so far in the last 2 years. So, we expect -- I think next year, we should be able to come out with this revised plan. Obviously, first, we need to discrete the board level, which we are planning to do some time towards the end of this fiscal year. And then after that, probably, we'll be able to initiate it with all of you.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Prateek Singhal: Thank you, ladies, and gentlemen, for being present on this call. For any feedback or queries, please feel free to write us to investor.relation@escortskubota.com . Thank you very much and

have a good evening. Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes t

his conference. Thank
you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Escorts Kubota Limited
Registered Office - 15/5, Mathura Road, Faridabad - 121003, Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

February 13, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE - ESCORTS

Sub: Earning Call Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 read with sub-para 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on February 10, 2025, for discussing the earning performance of the quarter and nine months ended December 31, 2024, and the same has been uploaded on the Company's website at the below link:

https://www.escortskubota.com/investors/financials

The aforesaid transcript was uploaded on the Company's website on February 13, 2025 at 12:22 P.M.

Kindly take the same on record.

Thanking you,
Yours faithfully,
for Escorts Kubota Limited

Arvind Kumar
Company Secretary

Encl.: As above

"Escorts Kubota Limited
Q3 FY '25 Earnings Conference Call"
February 10, 2025

MANAGEMENT : M R. BHARAT MADAN – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER – ESCORTS KUBOTA
LIMITED
MR. NEERAJ MEHRA – CHIEF OFFICER , TRACTOR

BUSINESS DIVISION – ESCORTS KUBOTA LIMITED
MR. SANJEEV BAJAJ – CHIEF OFFICER ,
CONSTRUCTION EQUIPMENT BUSINESS DIVISION –
ESCORTS KUBOTA LIMITED
MR. SANJEEV GARG – HEAD, FINANCE & TAX –
ESCORTS KUBOTA LIMITED
MR. PRATEEK SINGHAL – INVESTOR RELATIONS AND
ESG – ESCORTS KUBOTA LIMITED

MODERATOR : M R. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA LIMITED
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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '25 Earnings Conference Call of
Escorts Limited hosted by Batlivala & Karani Securities India Limited. As a reminder, all
participant lines will be in the listen -only mode and there will be an opportunity for you to ask
questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Limited. Thank you and over to you, sir.
Annamalai Jayaraj: Thank you. Good evening. On behalf of Batlivala & Karani Securities India Private Limited, I welcome you all for Escorts Kubota Limited Q3 and 9 months FY '25 Earnings Conference Call.
I also take this opportunity to welcome the management team from Escort s Kubota Limited.
Today, we have with us Mr. Bharat Madan, Whole -Time Director and Chief Financial Officer;
Mr. Neeraj Mehra, Chief Officer, Tractor Business Division; Mr. Sanjeev Bajaj, Chief Officer, Construction Equipment Business Division; Mr. Sanjeev Garg, Head, Finance and Tax; and Mr,
Prateek Singhal, Investor Relations and ESG.
We'll start the call with brief opening remarks from the management, followed by question-and-answer session. Before we start, I would like to add that some of the statements made by the
company in today's call will be forward-looking in nature and are subject to risks as outlined in
the annual report and investor relations of the company.
Over to management for their opening remarks. Over to you, sir.
Pratee k Singhal : Thank you, Mr. Jayaraj. Good evening, everyone, an

d thank you all for joining us today. Please
note that from quarter ended December '24, Railway Equipment Division business profitability
is shown separately a s discontinued operations. The financial statement for prior period has been
adjusted accordingly. Continuing operations now consist of Agri Machinery and Construction
Equipment segments.
Few highlights of the company's standalone financial performance for the quarter ended
December '24 are as follows: O perating revenue from continuing operations at INR 2,935.4
crores, up by 8.5% year-on-year. EBITDA at INR 335.3 crores, up by 3.6% year-on-year.
EBITDA margin in Q3 is at 11.4%. PBT from continuing operations at INR 380.2 crores, up by
6.4% year-on-year.
Net profit from continuing operations at INR 290.5 crores, up by 7.7% year-on-year. Net profit
including discontinued operations at INR 323.2 crores, up by 8.5% year-on-year. EPS stands at
INR 29.39 as compared to EPS INR 27.14 year-on -year.
The Board has approved the sales and transfer of approximately 33,000 plus square yards of the
land adjacent to Railway Equipment Business Division to Sona Comstar for a total of INR 110
crores. This industrial plot is currently being used for a spare part business division of the company. We will relocate the spare part division to a new location before finalizing the sale. Escorts Kubota Limited

Board declared interim dividend at 100%, i.e., INR 10 per equity share. On consolidated basis,
company financial performance for the quarter ended December '24 is as follows: Revenue from
continuing operations at INR 2,948 crores, up by 8.1% year-on- year. EBITDA at INR 332.8
crores, with margin of 11.3%. Net profit from continuing operations at INR 287.9 crores, up by
6.5% year-on-year. Net profit, including discontinued operations at INR 320.6 crores, up by
7.4% year-on-year.

Moving on to the segmental business performance. Starting with the Agri Machinery business.
On tractor business, in Q3 FY '25, the total tractor industry domestic plus export was at 2.89 lakh sector, up by 12.7% as that of the corresponding quarter last year. Our total tractor volume
was at 32,556 tractors, up by 4.5% as against 31,155 tractors in the corresponding quarter.
On the domestic front, the tractor industry in Q3 FY '25 was at 2.67 lakh tractor, up by 13.5% as that of corresponding quarter last year. The industry in the North and Central region grew by
2.5%, while the rest of the country saw a substantial growth of 28.6%. Our domestic volume
stood at 31,585 tractors , up by 6% as that of 29,784 tractors in the corresponding quarter.
We also reduced our channel inventory and our domestic market share in Q3 FY '25 stands at
11.8%. Continuing with our strategy to offer innovative products, recently, we have launched “Promaxx s eries ” under Farmtrac brand in 30 to 50 HP category, Promaxx Series delivered
exceptional performance with advanced technology and a sleek design, offering superior comfort and versatility for various applications. We currently have around 1,540 exclusive dealers for our Kubota Farmtrac and Powertrac brand.
For FY '25 full year, we expect the domestic tractor industry to continue its growth trajectory
with a growth of around 6% to 7% for the full year. On the Export front, the tractor industry in
Q3 FY '25 came at 22.1K up by 3.9% as against 21.3K tractors in the corresponding quarter.
Our export volume came at 971 tractors as against 1,371 tractors in the corresponding quarter.
During the quarter, the sales to Kubota global network accounting for approximately 27% of our
total export volume.
Non-tractor revenue comprises of Agri Machinery business, Engine business and the service and
the spare part business in Q3 FY '25 constitute 21% of the Agri Machinery revenue as that of
19% in the corresponding quarter and 18% in the sequential quarter.
Agri Machi

nery Products segment revenue was up by 9.4% to INR 2,416.6 crores as against
INR 2,209 crores in the corresponding quarter. EBIT margin for the Agri Machinery business
was at 10.4% as against 12.1% in the corresponding quarter.
Coming on to the Construction Equipment business. In Q3 FY '25, served i ndustry volume for
crane, back hoe load and mini excavator and compactor were up by approximately 14% as against
corresponding quarter last year, mainly led by backhoe loader industry of around 18-odd percent
grow th. Our total volume for CE business were at 1,989 machines as against 2,008 machines in
the corresponding quarter. CE segment revenue came at INR 515.7 crores, up by 4.1% as against
INR 495.4 crores in the corresponding quarter. Escorts Kubota Limited

EBIT margin for the quarter ended December '24 for the Construction Equipment business up
at 11.0 % as against 8.1% in the corresponding quarter. CE industry has moved to higher
emission norms from January '25. During the quarter, we have introduced a range of Stage 5 emission standard compliant product and also showcased a new entry level Hydra crane and a
new BLX 75 backhoe l oader product. This is new addition under E-Kubota brand featuring a
sleek design and cutting edge in functionalities .
Looking ahead, we anticipate a temporary volume impact due to price escalation within Construction Equipment industry due to transition to BS -V standards. Despite the short -term
impact, we remain optimistic about the mid - and the long-term growth prospects driven by
government initiative in infrastructure products such as roads, smart cities, railway, and
irrigation system.
Moving on to the Railway Equipment business division, which is the discontinued operations.
Revenue from the quarter ended December '24 came at INR 200.4 crores, down by 2.2% as
against INR 205 crores in the corresponding quarter. Order book for the division at the end of
December 2024 stand at more than INR 890 crores. This order book however excludes BMBS
orders for trade variance for approximately INR 380 crores, supply for which have temporarily
been hold by RDSO.
Now I will request the moderator to open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question-and- answer session. The first question
is from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: Thanks team for taking my questions. I just wanted to get your thoughts on the market share.
Because if I look at the industry as a whole, it seems to be doing quite well. But I think our
growth has been lagging the industry across regions. So, if you can just share some thoughts on
what is it that is dragging the performance? And how should we think about market share
improving from here on?
Neeraj Mehra: Gunjan, this is Neeraj Mehra. Thank you for your question. So actually, for quarter 3, the
geographic growth of the industry is actually a bit unfavourable from EK L's perspective. As you
heard in the opening comments, the growth has been to the tune of about 28% to 30% in non-
strong EK L market. So, one of -- that is one of the factors that has impacted the quarter 3 market
share.

Also, secondly, our retail are substantially higher. Our retail market share is better than what is shown in the wholesale market share. And thirdly, what we have done is, in quarter 3, we have, to a certain extent, reduced the channel inventory of our dea lers. So, all these three combined, to a certain extent, gave the performance that you're seeing at the moment.

Gunjan Prithyani: And where does the channel inventories stand now? The reason I'm asking this is because I thought when this whole Kubota - once the Kubota entities were merged, there were a fair bit of product interventions that were due and even the captive FinCo, so when do we see the impact of all this st

art to reflect in terms of market share improving and growth coming back? Escorts Kubota Limited

Neeraj Mehra: So, there are a lot of questions in one question. So, the impact of various product integrations and the captive finance, to a certain extent, you will see in the next fiscal year, that too in the second half of the next fiscal year. As regards to your initial question at what level the inventory levels are, currently, the inventory levels are at about 4 weeks.

Gunjan Prithyani: Okay. And maybe just a follow -up, and I'll join back the queue. On these product interventions, if you can share more what is it that we are doing in terms of the Kubota portfolio as well as your own portfolio. How can that help in terms of bringing back the growth? And again, captive Finco, is that a big lever, if you can touch on that? I'm just trying to get comfort on, when this integration plays out, how should we think about market share?

Neeraj Mehra: So, you heard in the opening comments, Gunjan, that we have very recently launched a new product range in Farmtrac, which is known as the Promaxx series. So Promaxx series is primarily for the western market, that is Gujarat, Maharashtra, and certain markets where we are not present currently. That is basically Chhattisgarh, Orissa and some parts of MP. Of course, we will sell it across the country, except South, but with the introduction of this range, which wherein the models are primarily s ome 37 HP category to 47 HP category.

So, the range actually caters to the mass segment, and it has a variety of models, 2-wheel, 4 - wheels. So, there were a lot of product gaps. So, we see our market share improving. Again, it will take time. It's not going to be overnight. So, over the next couple of quarters, you will see the Farmtrac market share going up.

As regards to the captive finance, it has been initiated in some states. Pilot is going on. We've identified certain dealerships and certain districts where it has got started. But the due impact of the captive finance will actually come into play in the second half of next fiscal.

Gunjan Prithyani: Okay, got it. Thank you so much. I’ll join back the queue.

Moderator: Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah: Thank you for the opportunity. Similar to the previous question, sir, if you can quantify, as you highlighted, the retail market share were much higher. In terms of the number is against 31,500 wholesale number, what would be approximate difference between retail versus wholesale? Or how much retail was higher?

Neeraj Mehra : So, as shared, one aspect is that we have reduced our stock. So, one way to look at it is , the stock reduction that we have done. So, we are currently at about 4 weeks of dealer stocks. The second aspect is that -- to quantify it, it will be -- on the retail side, it will be a bit difficult for me. But the growth is -- if I might say so, the growth is pretty decent in terms of retail.

Mitul Shah: Okay. Sir, second thing on this again adverse geographical mix, which impacting overall performance, but it seems that even that is also not so bad, for example, for the month of January or last few months, North seems to be as an industry-wide more or less flattish whereas our volume instead of flat, declining in double digits. Escorts Kubota Limited

So, what is exactly happening either it is in terms of the product -related challenge or what we are hearing from the channel is that post new management it's the stricter norms on the credit side or we are reducing our d ebtors than all those type of initiatives, which has some impact? So, if you can to give some qualitative perspective here that would be more helpful ?

Neeraj Mehra : Mitul j i, you are, to a certain exten

t right. It's a combination of all these things that you have mentioned. It is a combination of all these aspects. There is no issue pertaining to the product aspect as such, but the other aspect that you have mentioned, it has all those things, all those corrective actions that we are taking.

Mitul Shah: Sir, and lastly, again, on the market share side also as we earlier also as a stand alone E scort entity, we reached to about 6% to 7% market share in our opportunity markets like AP, Telangana and all. But after amalgamation, where the Kubota was even more stronger still our market share seems to be about just 4%, 5% in those markets. On the other ha nd, Gujarat and Maharashtra, where it is even higher than our blended market share it's about 13% type. So, despite that, why the adverse geographica l things should play out?

Neeraj Mehra : So, Mitul, I'll take a couple of minutes to explain this. So, in my previous two or three conversations during these calls -- these quarterly calls, I had mentioned that our focus -- initial focus was in North and in the West because these two markets actually together contribute about 72%, 73% of the total industry. And for the past 3 years , 4 years, we had been continuously dropping our market share in our stronger markets. So intent was to first get back that market share. So, in the last 12 months or so, we have been working on that, and our market share game have been pretty decent in our stronger margins. In the West, though this year we have not gained market share, we have not dropped market share as we normally do when the industry grows substantially. So West also there are certain channel related issues, channel capacity related issues. So, because as the industry grows exponentially, the capacity of the dealers to grow with the industry is a little limited. So that aspect is there in the Western part of the country.

Yes, what has actually happened is the industry growth post September has been phenomenal in South, in West and in certain opportunity markets like Chhattisgarh, Odisha, Jharkhand. So -- and the growth was so phenomenal that it was unforeseen. And we have a lot of white space available at these locations. So, post September, we have started working on these opportunity markets on how to cover the white space. The product has come in for these opportunity markets.

So, I believe over the next 3 months to 6 months, you will see a gradual improvement in terms of market share. Now coming to the Kubota aspect that you have mentioned as regards to Kubota being strong in South and in West, you are right. But as you already know that for the past 12 months or maybe more, the industry was in a very declining trend in West and South. So, the dealer s -- liability and the dealer's profitability got impacted severely. Yes, they are a strong player, but relatively still , with resp ect to the industry they are still comparatively smaller. Escorts Kubota Limited

So, the dealers and the brand is slowly limping back. They have done reasonably well in the quarter 3. And we will see if the industry keeps up its momentum of quarter 3. In the West and South, we will see growth in Kubota market share and overall EKL market share as well.

Mitul Shah: Understood, sir. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from A mbit Capital. Please go ahead.

Jinesh Gandhi : My question pertains first to -- any update on the G reenfield plant which we are looking for -- what are hurdles there because it's now almost more than 6 months since we cancel led the Rajasthan plant location. So, any update on this?

Bharat Madan : Yes. So, I think as we mentioned in the last call, so we had already given expression of interest to UP government for the land. And now it's the government who has to acquire the land from the farmers

. So earlier they had told us they'll be able to complete the acquisition by January end. But since there has been some delay in the acquisition process, so it's still going on. I think once they complete the acquisition, they will ask us to complete the balance formalities . So, we're waiting for government to revert when they complete the acquisition of the land.

Jinesh Gandhi : Okay. Got it. And secondly, the non- tractor machinery which we are talking of, which contributed at 21% to revenues, how much of the non-tractor machineries will be from non-tractor farm machinery?

Bharat Madan : See, like in Agri m achinery we mentioned there are three , four verticals like we've got engines, spare parts and then you've got this Agri solution which is essentially the implement business. So, the larger business obviously is the implement business in this. So out of the 21% sales, spare parts and engine gave about 8% and balance really comes from - 12% to 13% comes from the Agri solution, which includes harvesters, transplanters, and other implements.

Jinesh Gandhi : Okay. And would it be fair to say some -- given that implement business has been seeing a reasonably good ramp up faster ramp-up than other categories, but we will be having some negative impact on our margins given it could be either lower margin or loss -making business at current sc ale?

Bharat Madan : Yes. So that's the reason you're seeing there's a di p in the Agri business margin even though the top line has grown and in the harvester business has done very well in this quarter and have seen almost 30% plus growth, but since it’s a traded item right now and we are importing, so the margins are not similar as you do in the manufactured component or manufactured product in India.

So, which is why you're seeing the dilution is happening and the growth of top line will continue to be there. I think once you start localization of a certain part, then you'll see the margin improvement will start happening there. But first, I think objective is to capture market shares. Escorts Kubota Limited

As you know, Kubota in the tractor and harvester has got significant market share in India. It's almost 30% plus.
And the other categories, the numbers are not that high, in the transplanters and other implementers, the volumes are low, but harvester is the one which is driving the entire growth right now.
Jinesh Gandhi : Got it. Got it. And lastly, on the construction equipment business, given that emission norms have been implemented from Jan '25, what would be our outlook for FY '26 and what kind of price increases we have taken in this segment?
Sanjeev Bajaj: Yes. So, it has come into effect from 1st of January and our intent initially is to pass on the cost to the customer and we will try to recover that cost. It will be slightly difficult because in about 3.5 years it has been the second emission norm change and the cost to the customer is going up consistently without much of an increase on the rental rates.
So, there will be a pressure in terms of recovery of that cost, but that's how every time when the price increase happens, it takes a bit of a time for price recovery. So, we have increased in line with what is our contribution margin on the increased RMC . And we will see that in the next 3, 4 months, we will try to recover it, but, however, given the condition that we are also approaching monsoon in Q1, so it might take a little longer. So that will be dependent on market conditions at that time.
Jinesh Gandhi : Okay. But what would be the total cost increase because of the emission norm. We may take it standard manner the pass-through, but the total cost increase because of norm. And in that context, would FY '26 be a flattish year or you see a decline?
Sanjeev Bajaj: So, we are not expecting a decline, it will be a flattish year. But, in terms of c

ost it varies from product-to -product. So, there are certain products which are moving from BS -III straightaway to BS -V, where the cost increase for the customer is to the tune of 10% or so or slightly more than that. And products which are moving from BS-IV to BS -V, which is about 5% to 6%. So, it's quite a steep increase for the customer.
And therefore, we are not very bullish of a huge jump in profitability, but we would -- over a year of period, I think we will be able to recover the cost to be slightly positive to flattish kind of profitability growth.
Jinesh Gandhi : Got it. And lastly, possible to share r ailway business PBIT for the quarter?
Bharat Madan : It's about INR 44 crores and this is about 22%, 21.9% in this quarter.
Jinesh Gandhi: Got it. Great. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.
Vijay Pandey: Sir, j ust wanted to check about what the industry outlook, both for the fourth quarter and for the next year after the -- like the recent government budget announcements. If you can just give us Escorts Kubota Limited

a brief overview about how the industry looks like, what will be the growth like in FY '26 and then 3 to 4 years time frame, t hat will be very helpful ?
Neeraj Mehra : So, Vijay, we're looking at about 14% to 15% of growth in quarter 4. So, this quarter is going to be a robust quarter. So, we're looking at a growth of about 14%, 15%. And for quarter 1 also, we are looking at a pretty decent good growth in industry. So, for financial year '26, actually, it's a little bit early to comment. It will actually depend on the monsoons.
So, what actually has happened, if you see in the current fiscal year also, we were able to -- we were a little bit pessimistic before the monsoons. But as the monsoons were very, very good, the industry has taken a sharp upturn post September. So, to comment on financial year '26 as of now will be a little bit premature. We can look at it post the monsoons for the entire year.
Vijay Pandey: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh Mandlesha : Just firstly, on the -- just on the inventory correction. I just want to understand, are we done with the inventory correction as of Jan or do you see more correction ahead as well?
Neeraj Mehra : No. So, we are almost through with the inventory correction. So, I will not call it an inventory correction, it's more of rationalization, bringing it to a level primarily to look at the profitability of our channel partners. So that is what we've done, and we are more or less through with the correction.
Mumuksh Mandlesha : Got it. Sir, mostly, sir, basically, as a co mpany going ahead, mostly the 4 weeks would be like a normal range, but then a 5 to 6 earlier we used to have break, sir?
Neeraj Mehra : Earlier, we were at about 5 weeks, 5.5 weeks. Prior to that we were at 6 weeks. So, the last year, we have, to a certain extent, operated a little more than at 5 weeks. So, we brought it down to about 4 -- a little over 4 weeks kind of a thing now.
Mumuksh Mandlesha : That should be the normal levels going ahead for us, right, sir?

Neeraj Mehra : Yes.
Mumuksh Mandlesha : Got it. Sir, in the export side, we have seen a recovery -- very good recovery in recent months. I just want to understand what is driving the recovery a nd any outlook for the exports tractors?
Bharat Madan : So, this is essentially the export to Kubota has started. As we indicated earlier that from this quarter, the numbers will start improving. So that's what we've seen now. And in January, also these are good numbers and we're expecting similar numbers will continue. So, the growth has started there. So hopefully, things should only

continue to improve from this level.
Mumuksh Mandlesha : And sir, which market generally we are exporting now through Kubota, sir?
Bharat Madan : Mostly Europe.

Mumuksh Mandlesha : Got it. And the re the new products have been launched, sir?
Bharat Madan : So that is being introduced. So that will also go along with the product volumes.
Mumuksh Mandlesha : Got it. And sir, in this quarter, we have seen a notable gross margin change Q -on-Q around 350 bps change in the gross margin. Can you just help us understand what has happened Q -on-Q, sir?
Bharat Madan : See, major reason was because in the second quarter, there is an inventory buildup which happened because the production levels were high. And in third quarter, the sale number is high. So, all your overhead absorption actually get addressed in second quarter itself which is the reason you're seeing a swing happening. So, the production benefit has come in the second quarter. While in Q3, that impact is missing, which in a normal quarter your production sale would have been equal, then you would have seen a better margin, but this major string is because of that.
Second is also because of there's some inflation on commodity we've seen in this third quarter, which hopefully, in Q4, we are seeing again softening. So Q4 should be better than Q3. And then in the season time normally the discounting levels in the industry are higher. So, most of the schemes still get floated in this festival season time of September to November, which is also the impact, which is there, so -- which will not be there continuing month basis . So there, we will see better margins coming forward because of th ese two reasons.
Mumuksh Mandlesha : Got it, sir. Sir, on the component exports, sir, just can you share some details, how is the current run rate for the component exports and you have the new warehouse there also, so how is that is ramping, sir?
Bharat Madan : So, it takes some time. They are already talking to the suppliers now and building up those product inventory which they need to really start exploring. So obviously, this is subject to lot of quality checks. The Kubota team also will be visiting the suppliers and informing the suppliers before they start sourcing.
So, we expect, I think that pickup will start happening from next year. So, we have taken some targets for next year for the sourcing team and the numbers should start looking up for next year onwards. This year, it will not be much, really.
Mumuksh Mandlesha : Got it. So, a notable jump next year is something we can expect from like a INR 250 crore s current run rate, sir, yearly?
Bharat Madan : So, it will really depend on how the Kubota requirement for global market really start picking up. If the demand picks up there, then we expect the sourcing from India should also start picking up over this number.
Mumuksh Mandlesha: Got it sir. Thank you so much for this opportunity.
Moderator: Thank you. The next question is from the line of Harsh from Marcellus. Please go ahead.

Harsh: My question was with respect to margins in the Agri m achinery business. There has been 160 bps impact on a year-on-year basis. So, is this impact largely because of the production s wing, which happened from Q2 to Q3 o r is there something more to it, the margin decline?
Bharat Madan : So, I said three reasons. One obviously is the production s wing . Second was the inflation in this quarter which you've seen on the commodity side which is provided for which is roughly 0.5%. And then there's also the discounting which is slightly higher this year in the September to November festival season time, which is in line with the competition. So that has also an impact. But this was only for the season months. S

o going forward, this will not be there. So, we'll see, assuming there will be a positive impact going forward on the margin front.
Harsh: But shouldn't the production swing in the festive season impact last year's Q3 margin result?
Bharat Madan : So, it again depends on which month the festival season falls in. So, this time since everything

happened in October, so the inventory buildup was more until September which came -- the
benefit of which came in the Q2. Last year, it was spread between October and November, so
the production continued into Q3 also. So those string will always be there depending on the
seasonality, how the season moves. So, these ranges will be normal.
Harsh: Okay. Got it. And on a sustainable basis, you -- do we roll it out initial guidance or margin
improvement in the consol e entity?
Bharat Madan : Yes. So, like I said we are continuously working on improving the margin in this business. So,
this similar trend will continue even in next year. So, you will see the gradual improvement will
be there. But we don't see a significant jump certainly on the margin front. So, unless you see a
major operating leverage playing out and the volumes start picking up, otherwise at the normal level the kind of inflation which is there and the kind of commodity price we have, we expect
will have marginal improvement over the current year level next year. And we'll continue to
work on cost line items to see where we can have further improvement possibility.
Harsh: Okay. Got it. And secondly on the exports bit with – not getting access to the Kubota network,
especially in the European market, can you give some guidance with respect to how the -- how
you see the export business growing in FY '26?
Bharat Madan : So, we expect the next year we should see double digit growth and for high double -digit growth
could be anywhere between 20% plus, 20%, 25% sort of growth should be there. One, because the base is also very low this year. We're not going to do much numbers. I think overall export will be close to 5,000 -odd numbers. So that base is very low. So, I think once your European
markets start picking up, the export number should start looking good. So, we expect next year
should be a good level of growth.
Harsh: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Nandan Pradhan from Emkay Global Financial
Services. Please go ahead. Escorts Kubota Limited

Nandan Pradhan: Sir, just a follow up on the export bit, we have talked about introducing some specialized
products in European markets, if you could just give some flavour on that aspect as well?
Bharat Madan : So, like I mentioned the product has already gone into production. So, the export is starting from
this quarter, which is going to be part of the volume, which we'll see coming in.
Nandan Pradhan: Yes. Sir, that answered my question. And sir, in terms of margins how would this product vary?
Would it be better than a domestic sale or how would that work out ?
Bharat Madan : Generally, export margins are, I think, more or less similar to what we have in domestic, even
though contribution is slightly lower. S o, your realizations are better in export. But now, with
the exchange rate the way it is, I think the margins are more or less in line with the domestic market.
Nandan Pradhan: Okay, sir. Thank you sir. All the best.
Moderator: Thank you. As that was the last question, I now hand the conference over to the management for
closing comments. Over to you, sir.
Prateek Singhal: Thank you, ladies and gentlemen, for being present on this call. For any feedback of queries,
feel free to write us on investor.relation@escortskubota.com . Thank you very much, and have
a good evening. Thank you.
Moderator: Thank you. On behalf of Batlivala & Karani Securities India Private Limited, that concludes this
con

ference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2025

Escorts Kubota Limited
Registered Office - 15/5, Mathura Road, Faridabad - 121003, Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

May 14, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE - ESCORTS

Sub: Earning Call Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 read with sub-para 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on May 8, 2025, for discussing the earning performance of the quarter and financial year ended March 31, 2025, and the same has been uploaded on the Company's website at the below link:

https://www.escortskubota.com/investors/financials

The aforesaid transcript was uploaded on the Company's website on May 13, 2025 at 18:40 P.M.

Kindly take the same on record.

Thanking you,
Yours faithfully,
for Escorts Kubota Limited

Arvind Kumar
Company Secretary

Encl.: As above

Escorts Kubota Limited

"Escorts Kubota Limited Q4 FY'25 Earnings Conference Call "

May 08, 2025

MANAGEMENT : M R. BHARAT MADAN – WHOLE -TIME DIRECTOR &
CHIEF FINANCIAL OFFICER , ESCORTS KUBOTA LIMITED
MR. NEERAJ MEHRA – CHIEF OFFICER , TRACTOR
BUSINESS DIVISION , ESCORTS KUBOTA LIMITED

MR. SANJEEV BAJAJ – CONSTRUCTION EQUIPMENT
BUSINESS DIVISION , ESCORTS KUBOTA LIMITED
MR. SANJEEV GARG – HEAD (FINANCE & TAX), ESCORTS
KUBOTA LIMITED
MR. PRATEEK SINGHAL – INVESTOR RELATIONS & ESG,
ESCORTS KUBOTA LIMITED
MODERATOR : M R. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Escorts Kubota Limited’s Earnings Conference Call hosted by Emkay Global Financial Services Limited.
Before we start, I would like to add that some of the statements made by the Company in today's call will be forward -looking in nature and are subjected to risks as outlined in the annual report and investor releases of the Company.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “* ,” then “0” on your touch tone phone.
I now hand the conference over to Mr. Chirag Jain – Emkay Global Financial Services Limited.
Thank you and over to you.
Chirag Jain: Thank you, Navya . Good evening, everyone. On behalf of Emkay Global Financial Services, I would like to welcome you all to E scorts Kubota Limited Q4 & FY25 Earnings Conference Call .
I also take this opportunity to welcome the management team from Escorts Kubota Limited. Today , we have with us Mr. Bharat Madan – Whole -Time Director and Chief Financial Officer, Mr. Neeraj Mehra, Chief Officer, Tractor Business Division, Mr. Sanjeev Bajaj, Chief Officer, Construction Equipment Business Division , Mr. Sanjeev Garg, Head , Finance and T ax, and Mr. Prat eek Sing hal, Investor Relations and ES G.
We will start the call with “ Brief Opening Remarks from the Management ,” followed by the “Q&A Session. ” Over to you, sir.
Prateek Singhal : Thank you, Chirag. Good evening, everyone and thank you all for joining us t oday.
Fiscal year 2025 has been a remarkable milestone for our Company, making 80- years of spreading prosperity and impacting lives with a successful merger , starting operation in captive finance arm, EKFL, and our best -ever financial performance wit

h the highest revenue and net profit.
Few Highlights of the Company's Standalone Financial Performance for the Q uarter-ended March '25 are as follows :
• Operating revenue from continuing operation at Rs. 2,430.3 crores , up by 6.1% year -on-year
• EBITDA at Rs. 292.9 crores , up by 0.7% year-on-year .
• EBITDA margin in Q4 now stands at 12.1%.

• PBT before exceptional item from continuing operation at Rs. 358.4 crore s, up by 9.7% year-on-year.
• During the quarter, there is an adverse impact of Rs. 27.1 crore s on account of impairment of investment in Poland, a wholly-owned subsidiary and a joint venture Company in Gujarat for small tractors.
• Net profit from continuing operation is Rs.250.7 crore s, up 5.9% year -on-y ear.
• Net profit including discontinued operation at Rs. 297.5 crores , up by 8.2% year -on-year .
• EPS stands at Rs. 27.05 as compared to Rs. 25.05 year -on-year. The Board has recommended a final dividend of 180% for the Fiscal Year ‘2 5 equivalent to Rs. 18 per share with the interim dividend already paid. The total payout for FY '25 will amount to Rs.28 per share for the face value of Rs. 10 each, an increase of 56% as compared to previous year.
On the consolidated basis the Company's financial performance for the quarter ended March '25 is as follows :
• Revenue from continuing operation at Rs.2 ,444.9 crores , up by 6.3% year -on-year.
• EBITDA has Rs. 287.6 crore s with the margin of 11.8%.
• Net profit from continuing operation at Rs. 271.6 crores , up by 11.6% year -on-year.
• Net profit including discontinued operation at Rs. 318.4 crore s, up by 17.9% year -on-year.
Moving on to the “ Segmental Business Performance,” starting with the Agri Machinery

Business Division :
On the tractor business :
In Q4 FY25, the total tractor industry volume, domestic and export was at 2.28 lakh tractors , up by 15.5% against the corresponding quarter last year . Our total volume w as at 26,633 tractors , up by 7.6% over the corresponding quarter previous year.
On the domestic front :
The total industry in Q4 FY25 was at 2.00 Lacs tractor s, up by 17.3% as against the corresponding quarter last year. Industry in the North and central region experienced growth of 10 %-odd percent whereas the rest of the country saw a substantial growth of 25.1%. Our domestic tractor volume stood at 24,801 tractors, up by 6% as compared to the corresponding quarter last year. Escorts Kubota Limited

Looking ahead, with favorable macroeconomic conditions such as good rab i harvest, higher crop prices a nd above normal monsoon prediction this year, coupled with sufficient water level in reservoir, we expect the industry to continue growing across various regions in the next fiscal too.
On the export front, the tractor industry in Q4 FY25 came at 27,500 tractor s, up by 4% as against 26,500 tractors in the corresponding quarter. Our export volume came at 1, 832 tractors , up by 36.6% as against 1 ,341 tractors in the corresponding quarter . During the quarter, sales to Kubota Network account approximately 70% of the total export.
Non-tractor revenue comprising of Agri Solution business , engine business , spare parts business in Q4 FY25 constitutes 19% of the Agri Machinery segment revenue as against 18% in the corresponding quarter and 21% in the sequential quarter.
Agri Machinery product segment revenue was up by 11.1% to Rs. 1,974.8 crores against Rs. 1,776.7 crores in the corresponding quarter. EBIT margin for Agri Machinery business division were at 11.4% as against 11.5% in the corresponding quarter.
Coming onto the Construction Equipment business :
In Q4 FY25 , CE industry volume comprising crane, back hoe loader , mini excavator and compactors, which was down approximately 8% as against the corresponding quarter last year. This degrow

th
was primarily driven by the crane industry, which was down approximately 13% as compared to the corresponding quarter last year . Our total volume in the C E business were at 1 ,719 machines as against 1 ,958 machine s in the corresponding quarter .
CE segment revenue came at Rs. 453.9 crores, again st Rs.505.8 crores in the corresponding quarter .
EBIT margin for the quarter e nded March '25 came at 9.1% as against 11 .0% in the corresponding quarter, adversely impacted due to change in emission norm regulation .
As our commitment to innovation and focusing on the introduction of the new product , during the year, we introduced product in the backhoe loader and hydra segment, complying with the higher emission norms. Our latest backhoe loader product is engineered for the mass market in domestic and the international market. The new crane models meet customer demand for performance, safety and comfort in non-industrial crane segment .
The construction equipment industry is currently navigating challenges in retail demand, primarily due to cost escalation on account of changes in the emission regulation. However, as the government prioritizes infrastructure development across various sectors and price stabilization following the liquidation of old emission inventor y, we anticipate an upt ick in the demand during the lat ter half of FY26. The Government of India has allocated Rs. 11.21 trillion for capital expenditure in this year Escorts Kubota Limited

budget, which is a significant portion designated for the development of roads, railways, port and urbanization initiative .
Moving on to the Railway Equipment Business Division :
That's a discontinued operation, r evenue for the quarter ended March ' 25 came at Rs. 256.5 crores as against Rs.213.4 crores in the corresponding quarter. PBT for the quarter ended March ' 25 came at Rs.62.7 crore s as again st Rs.35.6 crores in the corresponding quarter . Order booked for the division at the end of March ' 25 stands at more than Rs. 900 crores. This order book however excludes BMBS order for the freight wagon, a pproximately Rs.383 crores suppl y for which have been temporary he ld by RDSO.
Now I will request the moderator to open the floor for the Q&A.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
M Mandlesha : Thank you so much for the opportunity. S ir, firstly , on the tractor industry growth outlook for this year? And also s ir, how have you been seeing the response for the new Prom axx Series ? And going ahead, what are the focus area for the new launches?
Neeraj Mehra: Hi, good evening. This is Neeraj Me hra this side. So the industry outlook is positive as it has been in the past couple of quarters. So we see growth in the industry in the coming quarter as well a s for the

entire year. Coming to your second question on how the Promaxx S eries is doing, so it's early days yet, we have yet to get into a peak season for Promaxx , but the initial response is pretty good. And I believe you had a third part of your question also?

M Mandlesha : What are the new launches f ocus ahead, which are the areas launches are focu sed?

Neeraj Mehra: So see, we have a launch in Power trac which is planned in the third q uarter . That is primarily an entire series for the southern markets . And also we have a product in Kubota in the mid segment which is planned in Q uarter 2. So , these are the visible product launches for the current fiscal.

M Mandlesha : Got it, s ir. Sir, how is product development going for the exports market , any update around that ? And what are the plans to enter the Europe market, sir?

Bharat Madan: We are already export ing to the European market . So as Prat eek mentioned, even in the last quarter the exp

ort growth has been quite good. So almost 36% growth which has come, although the base is low. But 70% of the export has gone through Kubota Network . So I think the export to Europe has Escorts Kubota Limited

started even though the market conditions are not really good even as of now as I speak. But I think the numbers for us has started improving now.

M Mandlesha: So how do you see the growth for FY26 sir for exports?

Bharat Madan: We are assuming 20 %, 25% growth this year o ver last year on export numbers.

M Mandlesha: Got it, s ir. Sir, any update on the Greenfield plant in the UP?

Bharat Madan: So we're in touch with the U P government. I think we already completed the acquisition of land. So there's certain formalities we need to do internally like there's some tests which we need to do for soil, water and topography, etc., So those things are happening right now as we speak. UP government is keen for us to go f ast. So I think once our internal processes are completed, I think we should go ahead with that.

M Mandlesha: So FY28 would be the timeline, s ir, broadly around that time should be the plan?

Bharat Madan: Sometimes I think by end of second quarter or beginning of third quarter t he acquisition of land would get completed.

M Mandlesha: Got it, s ir. How is the dealer i nventory for the tractor, s ir?

Bharat Madan: It's in the range of four to five weeks for all the brand put together.

M Mandlesha: Got it. And the dealer network has seen expansion over the last few quarters . For next year, how do you see the expansion, sir?

Neeraj Mehra : Hi, this is N eeraj again. So the expansion is happening. Primarily the expansion focus is different for the different brands. So for Power trac, it's primarily in the southern markets . For Farmtrac, it's more in the eastern side and the western side, a nd for Kubota, it is primarily in the northern and central part of the country. So that is the plan, and the white space coverage is happening as per the plan.

M Mandlesha: Any target sir, what kind of network expansion we plan to do?

Neeraj Mehra : So it's not very feasible to give the exact numbers at this point of time, but the intent is to improve our white space coverage substantially in this fiscal year .

M Mandlesha: Got it, s ir. Thank you so much for the opportunity. Escorts Kubota Limited

Moderator: Thank you. Next question is from the line of Chirag Jain from Emkay Global Financial Services Limited. Please go ahead .

Chirag Jain : Sir, just wanted to get your sense, I mean obviously in the last con call we did mention that we are largely done with the correction that we were supposed to do on the sales front and probably second half of this financial year, we were supposed to gain market share. So , any update in terms of how things are likely to play out in terms of our market share within the tractor industry?

Neeraj Mehra : So Chirag, you're right to a certain extent the inventory levels have been brought down to the level that we had aspired for . As regards to market share, as you see the industry is growing exponentially in the southern part of the country and EKL has traditionally been pretty weak over there. S o our focus as we go forward is in the w est and to a certain extent in the east where the industry is growing. So, the intent is as we go forward to be at par with the industry growth in these markets.

Chirag Jain: Understood. Understood. And I think over the medium term, we have been expecting a major increase in market share. Can you share some light over there as well , over the next two, three years what kind of initiatives we are undertaking to improve, let's say, market share in the domestic market?

Neeraj Mehra : See, one good that has happened in the last fiscal. Since that we have been able to grow market share though marginal

ly in our stronger markets . That was an area of concern over the last four , five years , wherein in the previous calls also , I had mentioned that the focus primarily will be in the North and the Western part. So , in our stronger markets, we have actually gained in the last fiscal year. Now for the next couple of years, the focus actually or the strategy is primarily two -fold, one is how do we grow through the product side in the 31 to 50 HP category, which contributes almost 90% of the total

segment . We have already introduced Pro maxx. The second phase of Promaxx is also expected in the beginning of Q uarter 4. So Farmtrac will primarily grow on the basis of these c omplete product s range that and the new product s range that we have introduced. In terms of Power trac and Kubota, the strategy primarily is two -fold. One, on coverage improvement , and secondly, introduction of products, especially in Powertrac for the Southern markets and the Paddy markets, which we intend to do early on in the third quarter of this fiscal .
Chirag Jain: Okay. On the export front, you mentioned that we might grow at about 20 %, 25% this financial year. Any thoughts on the component business because that was also supposed to start scaling up, s o any update on that front as well , and also guidance if you want to share for the next two, three years?
Bharat Madan : Yes. So there also I think the work is happening. So this year also the exports have been there, but it's not much high, it's only about 100 crores plus which has been done this year and next year we are targeting to double this number. But it's a slow start, but I think the work is happening there with all the suppliers and the Japanese team also continuously working on t his with the Indian team. So I'm

sure that's a business which has good potential to grow . But whenever it happens, I think we will see exponential growth maybe over the next three or four years.
Chirag Jain: In terms of profitability, how do we see let's say this financial year or at least let's say next one or two quarters considering various drivers?
Bharat Madan: I think overall the trend will continue. I think the way you have seen for this year too we expect those similar numbers should hold good and maybe some improvement w e are working on over and above maybe 0.5% to 1% sort of improvement. So , it depends on how the commodity prices move in the coming year and how the market reacts to that. So otherwise broadly it should be in the similar range . Obviously in the certain new product category, we will see some pressure on the margin initially till the time the product stabilizes, and we achieve volumes and then the margins will start improving there. So initial introductory prices will really have some impact there. But overall, we don't expect it to be lower than this year , next year.
Chirag Jain : Understood. That is it. Thank you so much. I will come back in the queue.
Moderator: Thank you. Next question is from the line of Mitul Shah from DAM Capital. Please go ahead.
Mitul Shah : Thank you for the opportunity, s ir. The first question again is on market share . Seasonally , Q4 is very strong for our Company and generally it has been roughly 100 to 150 basis improvement on a sequential basis. This time it is marginal improvement, or it is not appearing so strong . So any specific reason apart from South has reported high growth in this quarter and is it to do anything with this merger of Kubota that combined entity market share will not get that benefit which we used to get during Q4.
Neeraj Mehra : So Mitul , good evening. See, you have actually asked the question and answered it also. So yes , what you are saying is correct. It's a bout the South also, it's about a bit about Kubota merger also, it's also that the industry ha s grown in the eastern part where

there have been certain dealer legacy issues in terms of capacity. So all these have to a certain extent resulted in the performance that we have shared for Q uarter 4.
Mitul Shah: And then the second question is on margin for t ractor segment. Seasonally , it's a slightly weaker quarter compared to Q3. Still margins are much stronger also for the leaders also. So , any specific reason apart from commodity, are they sustainable or it was one quarter effect to some extent ?
Bharat Madan: Yes. So there are two , three reasons actually for this quarter to report better margin . One in the last quarter as you know since we normally build up inventory , second quarter to cater to the high season volumes in Q3. So normally Q3 margins or material costs is slightly higher and that's almost 2% impact, which you can say. So if you normalize so which is what is reflected in the current margins

also, the material cost t his quarter is lower than last year and that the numbers are lower. So that is one reason. Second, obviously, there is a softness in the commodity prices. In this quarter also we saw deflation coming in. So that benefit is also accrued in Q4. So that's also helping us in getting to the better margin.
Mitul Shah: So taking Q3 , Q4 average is the right understanding?
Bharat Madan: Yes, that is right . If you look at the full year numbers, I think more or less that reflects the normalized margin.
Mitul Shah: Okay. Last question is on construction equipment si de. D espite there is a variation in the volume, margins have now stabilized around 9 %, 10% or even 11% in previous quarter. So going forward, do you see any further expansion with help of any synergy benefit coming from Kubota global on this side with new products , so we should assume around this level ?
Sanjeev Bajaj : Yes, hi, Mit ul, Sanjeev this side . A very good evening. Mit ul, as far as the margin is concerned, I think we do not expect too much upward jump from here. It will remain consistent for some more time until and unless the demand from the market g oes up, which is expected in the next one or two years. So , probably we will get the advantage of volumes and scale. But as of now, this level seems sustainable, but huge upward movement from here is not expected immediately.

Mitul Shah: Yes, sir. Thanks. So one clarification. In an initial remark on Agri Machinery you highlighted something about non-tractor revenue or anything like that within the Agri Machinery components and spare part and other revenue stream ?
Prateek Singhal: Yes, Mitul . So we mentioned about the non-tractor revenue comprising of Agri Solution, engine business and service and spare parts business in Q4 constitute 19% of the Agri Machinery segment revenue.
Mitul Shah: Yes. Versus last time 18%, right?
Prateek Singhal : Yes.
Mitul Shah: Yes. Thanks. Thanks a lot a nd all the best.
Prateek Singhal : Thank you.
Moderator: Thank you. Next question is from the line of Gunjan P rithy ani from Bank of America. Please go ahead. Escorts Kubota Limited

Gunjan Prithyani : Yes, hi. Thanks for taking my question. Just a few follow -ups. On the industry side you mentioned positive growth. You usually do end up giving us some guidance for the year. If you can sort of share thoughts how positive, what are the underlying on-ground sentiment you a re seeing ? And also an update on TREM- because we were expecting some easing there, right? But I don't think that anything has so far come through. So maybe just t alk us through the regulatory emission as well ?
Neeraj Mehra : Hi, Gunjan, Neeraj again. So on the industry side, as I have said, we're expecting a growth. So you can actually look at a mid -to-high single digit growth this year. This is for sure that the industry is looking at the highest ever volume in the In

dian tractor market this y ear. And if all things fall into place, we are probably looking at a 10-lakh number this year …it is quite possible because all the factors that impact the industry, the initial forecasts for the rains have been good and all the other factors the government 's focus on agri, infra, e verything is positive. So w e are actually looking at the highest ever industry this fiscal year. Now your second question was regarding emission norms. The earlier date was 1 st April 2026 . We do not see as of now the norms getting implemented on that date as of now.
Gunjan Prithyani: O kay, got it. But there is nothing officially out yet on that , right ?
Neeraj Mehra: Nothing official.
Gunjan Prithyani: O kay. And in this mid -to-high single digit, is it fair to now assume that lot of the product s gaps, etc., being plugged, there should be market share gain on a fiscal year basis in fiscal ' 26?
Neeraj Mehra: See, yes, in Farmtrac to a very large extent the gaps have been plugged . In Powertrac as I have mentioned in my initial remarks also that we are looking at a launch of an entire series for the southern market, the Paddy Special Series. So that to a certain extent a gain w ill cover up a lot of gaps . On the Kubota side , the product range is not there. We are i n the midst of the introduction of a product in the key segment of the 40 to 45 HP category. So once that gets introduced, the coverage of Kubota will also improve. So , yes, all these will impact in the growth of market share. But as I have again mentioned in my initial comments , with the industry growth looking this year again in the southern part of the country a nd in the eastern part, the ask is tough, but with the introduction of these products and certain measures on the coverage side, we hope to be at par with the industry or marginally better.
Gunjan Prithyani: O kay got it. And just moving to margin, maybe just like sort of two-part question there . One is when I look at the margin for the second half roughly at about 11% EBIT margin for the Agri Machinery business. Now there is certainly going to be some of these issues that we faced post the consolidation of subsidi aries there has been some cost synergies , etc., s hould no t we be expecting a better EBIT margin in fiscal ' 26 from this 11% range? The comment that you made was it should be p retty much the similar zone. I would have expected some improvement there. So any thoughts there? Escorts Kubota Limited

Bharat Madan: Gunjan, obviously we do not have this number separately mentioned in the public domain, but actually the margin on the domestic business of E scorts Kubota especially on the old brand , FTP, etc., the margins have improved. But actually since in Kubota b rand most of the stuff is getting imported and there we got an impact of the exchange losses also because the rupee has depreciated . So there the cost increases , pressure has been there, so that ha s actually further impacted the margin. So, over all EKL standalone margin have actually i mproved this year compared to the last year. So going forward, I think it is difficult to predict how things will look because the localization is still some time away , it is not happening immediately. And as mentioned, the product which Kubota is selling there's still lot of import content is there . In the next two years we expect those margins will remain in a similar range. Though we will continue to work on the domestic margin for our product, there will be some possibility of improvement there, but depending on how t he exchange w ork out going forward on these product s, so that can actually impact the margin adversely too. So that is why we are not really growing very bullish on the margin front, but maybe a half percent here and there can happen.

Gunjan Prithyani: Just the last question on this import bit that you ta

lk about Kubota . I mean this will change basis your
comments only when the Greenfield plant commissions, which is still a couple of years out, is not
the alternative available to us that we use some of the engines that are there in the Escorts earlier
legacy plants , so is that substitution possible at all or we have to wait for Greenfield to come?
Bharat Madan: So obviously this will not happen on their platform. They will not allow us to use the E scorts engine
on their brand or their product platform. But like you mentioned we are working on a hybrid structure.
We will be using our platform and selling it may be under their brand n ame. So that's where the
margins will start improving. We wil l have the total local content in those models, but that's again
there are challenges around e mission norm because there i s no clarity right now, so there is a
confusion, if norms come, whether I should work on the TREM -3 norms or we should work on
TREM -4 now. So that is the issue I think which is coming up. W e will start working on the total
product series now for Kubota based on TREM -3 norms and the norms undergo a change, and the
entire efforts will go waste. And same thing if we start working on TREM -4 and they do not come
then again we will have to start again working on TREM -3 norm otherwise the cost increase will
make it unviable to sell. So there are some challenges we are facing o n that front, but obviously the
strategy as you mentioned is what we are following also. But there again the lineup will some time
come maybe after say an one and half , two years. So it is not really something it will come
immediately . But after that comes the Kub ota brand will also have complete coverage like we have
for FT and PT range but we are still having some time away.
Gunjan Prithyani: O kay, got it. Thank you so much. Escorts Kubota Limited

Moderator: Thank you. We take the next question from the line of Raghunanadan from Nuvama Research. Please
go ahead.
Raghunanadan : Thank you, sir, for the opportunity. Firstly, on the margin side, how has the trend been in terms of
commodity prices, what is the expectation for the next three to six months given that there has been
some increase of late? And second one is to Neeraj, s ir. One of your peer s commented that there has
been some reduction in the competition intensity. If you can talk about how it is, how is the discounting trend, that will be very
helpful ? Thank you.
Bharat Madan: So on the commodity side, I think last year has been more or less flattish. So I think two quarters
some increase was there, then two quarters we saw deflation. So net -net, I think that was a positive
year only from com modity's perspective. So we're not seeing any major pressure on the com modit y
side right now. So I think it's four to six months unless something really moves against us in the
geopolitical scenarios which we don't know right now and difficult to comment . Otherwise it looks
like the market will continue to be soft.
Raghunanadan : Thank you, sir.
Neeraj Mehra: Yes. Hi, Raghu. So as regards to the market intensity, the intensity remains the same. A ctually the
buildup in terms of intensity and discounts and customer schemes it is primarily once a year when
you get into the peak season of Navratra and Diwali. So everybody gets very aggressive there. Post
that, the additional discounts of the customers schemes are rolled back. And that is precisely the case
with us also . We are at the normal level of pricing and a normal level of discounts. So once we get
into peak seasons, that would obviously change. So, currently , we are at a pretty normal level of
discounts in pricing.
Raghunanadan : Got it, s ir. Thank you. One last question is on the construction equipment outlook for F Y26. Given
the emission norm changes , what is the kind of outlook expected for the served industry?

A nd also
if you can throw some light on given the blended shifting from TREM -3, TREM -4 towards TREM -
5 or C3, C4 towards C5, what is the kind of blended price increase that is expected and how much
price increase we have already taken ? Thank you.
Sanjeev Bajaj: Hi, Raghunanadan , Sanjeev Bajaj this side. This changeover from B S3, BS4 to BS5 already it has
happened. So it was applicable from 1st of January and whatever stocks industry they are holding, most of these stocks a re
about to get liquidated. F or us t he residual stock was over in the Q4 of last
financial year itself and for many products and for the large number of high volume products we
moved to BS5 already . This one i s the impact . To the customer it has been to the range of about 10%
for products which have moved from BS3 to BS5 and about 7% for products which have moved from
BS4 to BS5. All of that impact on the cost for the customer is not fully recovered. So we have built that in the pricing, but since
that mix of BS4 and BS5, both products are moving in the market by Escorts Kubota Limited

different manufacturers , so complete realization of that price increase is yet to happen, and since we
are also entering into monsoon period couple of months down the line , so my sense is that by end of
August and then September when the new season starts , that is the time when full recovery of these

price increases would happen. I hope I have answered. Raghu . If there is anything left, you can let me know.
Raghunanadan : Got it. That was comprehensive. So basically the volume and margin, we should see it normalizing in the second h alf of the year ?
Sanjeev Bajaj: So from a volume perspective, this year first half is expected to be impacted because of this BS5 changeover because the 10% increase on one type of product and there are products which are 6 % to 7% cost lier for the customer. So it is d efinitely expected to impact the overall demand because the product viability for a customer is at st ake. But we also believe that with such high CAPEX plans for the government this year, there will be fund flow which will start going into the market into various projects which are getting announced , but those fund flows are yet to happen. Once that happens on-ground, then the demand which comes up probably will be the balance of that price increase and people will come back buying equipments again.
Raghunanadan : Understood, sir. Very comprehensive. Thank you. Just one follow up to Bharat, s ir. Sir, over the next two years, there are various efforts you had made earlier indicated in previous calls in terms of synergies, cost savings and h ow you could try and get the margins towards the 12 %, 13% range. Just trying to understand how would your thought process be over the next two years on the margin part.
Bharat Madan: Yes, I think will be something similar as you mentioned . As you mentioned the major change will happen once you have this localization I think for Kubota which is still two years away, I think till then I think we will remain in this range only 11.5% to 13% sort of range u nless the operating leverage pay very well for us and the volume shoots up.
Raghunanadan : I hope so, s ir. Thank you so much.
Bharat Madan: Thank you.
Moderator: Thank you. Next question is from the line of Vikram from the Damani Family Office. Please go ahead.
Vikram Damani: So, given where we are today, what is the best estimate for the new plant starting date?
Bharat Madan: So if we complete the land acquisition , Vikram , this year, which is likely I think like you said by end of second quarter or beginning of third quarter , so the work will start from next year, so it will take

at least three years time to go live on production there. So maybe end of February ' 28 or '29 beginning is what we are loo

king at.
Vikram Damani: O kay, thanks. In an earlier call, you had indicated that our export should ramp up to geographies like Mexico, Southeast Asia around maybe starting FY 26. Is there anything sort of moving along those lines?
Bharat Madan: Mexico I think it has already started. The distributor which was a common distributor of Kubota and us so that it started working and it is operational. So you will see the numbers will start coming in from this quarter . US market is where we thought, which is a bigger market , but now I think obviously there i s some based on the tariff unless we see a stability coming in post some sort of negotiation agreement on that. But in the long -term I mean there i s one market which will really work for us and you would have heard from I think Kubo ta globally has also talked about using India as a major hub for supplies to the world market for Kubota . So they are working on larger plan, so all the basic tractors they want to shift to basic and high end also they want to shift to India. So that is the strategy what Kubota is working on. And I think we had mentioned in the last call also there is a mid -term business plan which is being reworked now. So with Kubota and you have this new st rategy now is taking some time and they expect their st rategy will get approved some time, I think the first cut we will get approved maybe by middle of this year and then by end of last quarter or middle of last quarter of this fiscal, they will be clearing it from the board. So once that gets done , then obviously we will put it into our plan, and we will also then make it public.
Vikram Damani: O kay, lovely. I think in the opening remarks you mention that the finance Company has started operations . Do we expect some sort of outside market share gain coming through the finance support to our customers?
Bharat Madan: So not immediately, because right now the Company has just started operation , it is only I think about four months, and they a re still testing the systems and gradually opening the market . We opened in UP, MP and Bihar, but in a very selected district. But as we go along, the number of s tates and the districts will keep on increasing , more dealers will get added. So I think it will take two, three years time to start making that impact. So , I think right now the numbers will be small. But I think as you go along, the idea is they should be able to hit the similar penetration level a s the captive finance Company are, which is roughly 30%, 35%. And once that starts happening that will start impacting market share numbers too.
Vikram Damani: O kay. But that ramp up will take some time?
Bharat Madan: Yes, obviously it takes time to build up.
Vikram Damani: O kay, lovely. Thank you. All the best.

Moderator: Thank you. Next question is from the line of Ja imin Desai from Emkay Global. Please go ahead.
Jaimin Desai : Yes. Hi, good evening, team . Thank you for taking my question. My first question pertains to exports to Europe where you mentioned that we are looking at about 20 % to 25% growth this year. Just wanted clarification . Is this because of the Europe -specific products that we have introduced or are you also seeing some early signs of let us say some specializing in the European market as a whole ?
Bharat Madan: So this growth is coming on overall export number. It is not specific to Europe. So like you said, we are exporting to Mexico now. We are also starting exporting to South Africa. There is a good market in Tanzania and Kenya w e are seeing good demand now. There are large orders which are in the pipeline which we expect will materialize this year. And then Sri Lanka is the big market, and we are also looking at Myanmar, Cambodia, Thailand and other markets where we can really look at export . So I think the overall strategy

is the export numbers will continue to go up well. We wi ll open the markets one-by-one as our product availability becomes viable, and you have the required products for their market. So those markets will get opened up. So this year the expectation is we should have 20%, 25% growth.
Jaimin Desai: Got it. You highlighted upon the US being a good potential market for us going forward over the medium to longer term . There we had plans for some US g eography specific products to be introduced. What is the update on the product development still continue?
Bharat Madan: The US, like you said, will take time. That will leave with the last market they will open because the product profile they need is different from what we are producing here. And then again, that will be something which will be coming up in the new product development program. That is where the Kubota strategy will come into play which is what they are looking at shifting some of the production volume from other c ountries to India a nd that is linked with good products which are getting exporte d to US market too. But that will take some time. I think once we get a plan from Kubota Japan in this year and then we will be able to form a st rateg y on the overall operation for that. But the US is the biggest market for Kubo ta. I think it i s almost 8.5, 9 billion turnover comes from that. So Kubota is the biggest market outside Japan . So obviously the numbers are g ood there and Kubo ta is market leader in the compact tractors in that market. So obviously we expect them . As and when the product s getting exported , we get the numbers for them.
Jaimin Desai: Understood. And finally, I know you spoke about the slightly gradual ramp up of the component exports, but just from an opportunity point of view, the overall opportunity at about US$ 500 million assuming about 5% shi ft from Kubotas to current global sourcing, t hat sort of opportunity still remains intact.
Bharat Madan: Yes. So like you said, the potential is huge. Obviously, a lot will depend on how many products get localized because your margins on the manufactured products in India will be much better compared

to the source product from the outside vendor, which will be more like a trading activity. So, even though the revenue may come up, but the margins may not be good enough to really co ntinue building of that. So our idea is to have a good mix of the manufacture product as well as the credit products from the supplier. But K ubota is sourcing more than a billion dollars' worth of component from China today a nd they are also looking at China and India obviously has an obvious advantage over there. I think issue they are facing is getting good v endors which can meet their quality requirements, which is where I think is taking time for them to build up. T he testing processes are stringent and I think the team from Kubota as well as India, they are working jointly to you promote this business in India.
Jaimin Desai: Understood. Thank you. Thank you. Those are my questions.
Moderator: Thank you. Next question is from the line of Vijay Pande y from N uvama. Please go ahead.
Vijay Pande y: Hi, sir, t hank you for taking my questions. I just wanted to check with you about the industry outlook in the domestic market if you can guide and also region wise whether North or south, which will be the dominant region for the growth in FY 26?
Neeraj Mehra: Hi, Vijay. So as I have already mentioned, we are looking at an industry growth this year probably in mid -to-high-single digit which will actually take the overall industry to the highest ever for India. Now, coming to the regional s pread , we believe that the focus or the growth of the industry primarily will be in s outh and to a certain extent e ast. The northern part or the central part of India last year also was k

ind of stagnant ; it was a marginal 2.5%, 3% growth and we expect that similar growth will remain in the North , but the primary growth actually will come from down s outh and the eastern part of the country.
Vijay Pandey: Okay. And s ir, can you share what is your strategy on the construction equipment side because the sales has been declining and probably we have also lost market share in construction equipment, so if you can ju st briefly tell us w hat is your mid -to-long term v iew on the industry and how are you planning to tackle the decline in sales ?

Sanjeev Bajaj: Yes, Vijay. Good evening. Sanjeev Bajaj this side. So, first of all, I would want to correct here that market share is not declining. So we should see this product -by-product. So as we have two sections of business, one is material handling and compact ors and the other businesses are moving, which includes m ini excavators of Kubota and back hoe loaders . So for last full year, our crane market share is intact, t here is a small decimal percentage of decrease there, and also we have gained market share in mini excavator. Currently , we are #2 player in the crane segment, and we are #1 player for this calendar year and financial year in mini excavators . The challenge products for us are back hoe loaders and compactors a lso largely the market share is down because there is a huge volume increase in the exports business for the industry which of course is not a strong play for us, because all the Escorts Kubota Limited

multinationals they have their manufacturing in India, and they are exporting through their subsidiaries. But , as far as back hoe loader is concerned, yes, there is a huge headroom available, and we have lost a bit of market share this year ; it is about 0.2% down from last year a nd it has also not been traditionally a very strong segment for us . And that is the reason we are focusing on creating completely a new platform which we introduced and showcased in January to the public in B auma Exhibition and then Bharat Mobility E xhibition . And that platform has been developed which is a very modular which will take care of the domestic demand as well as it also can be adapted for various different specifications in various markets worldwide. And this product , we believe that we have done a very good job and the initial reaction from the customers who have seen this product and the dealer is very, very positive , and we believe that this segment were very weak, we should be able to turn it around. Now , this is the first platform which we have introduced this year and there are a couple of more versions of this product line which is expected to c ome along with a premium range which can come with Kubota Engineering and other interventions. So I do not see that for us the challenges having retaining the good position in the market. Overall industry is going through a tough phase . Last year, of course, because of the assembly election , every year the industry is down , and this year also our main industry which is crane industry is down by 13% in the last quarter and overall about 8% for the whole year. But I think in the second half of this year, as I said, things should start doing well and next financial year is expected to be again a very high year because all the emission norms and other things which are currently the intent w ill go away. So we believe that we will do well and also on the strategic front we are very focused on our product line up for the future . Our focus is creating more value for the customer s, bringing the cost down as ownership of the customer as well as the operation cost and also giving the right products for the right application. And that focus we will bring more products in the next two to three years' time, which I think will give us in a very strong position. So we are very confident. So let's go from here.

Vijay Pandey: Thanks for a detailed answer. Just want to clarify, you mean the construction equipment industry will start improving F rom second half of FY26, right ?

Sanjeev Bajaj: Yes.

Moderator: Thank you. Next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vo ra: Yes. Hi, s ir. Thank you for the opportunity. Just one small question. What was the CAPEX guidance for th is year FY2 6 and even if you could give it for FY 27?

Bharat Madan: So for FY26, we expect to be somewhere between around Rs. 350 crores to Rs.400 crores. And mostly this is excluding any investment towards Greenfield. So the land acquisition gets done , so it will be another Rs.450 crores to Rs.500 crores this year.

Rishi Vo ra: Okay. So most likely we should do around Rs. 1,000 crores including land acquisition approx .? Escorts Kubota Limited

Bharat Madan: Yes, less than that , I would say about Rs. 800 crores .

Rishi Vo ra: Understood. And should we expect that run rate to sustain going into FY27 as well given that the overall CAPEX outlay is around Rs.4,500 crores for the next three or four years?

Bharat Madan: So that still needs to be worked out with slight loss and the projected delayed now. So I think they also need to look at the existing capacity, how much we can ra mp up in the existing place at the end of day. We are also looking at the way to be there on the investment which we do. So the volumes have to justify any fresh investment which will happen. So land acquisition is one part, but I think we will get enough time to commercialize ther e know in that area if you require the land. And so I think as the volumes come, then we'll obviously follow that because there will be lead time which will be required as many 24 to 36 months for any capacity to come up. So we will have to take that into account based on how the volume ramp up happen and then based on that plan, how the produc tion should come into Greenfield .

Rishi Vo ra: Understood. Thank you, sir.

Moderator: Thank you. Next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah : Yes, sir. Thanks for the opportunity once again. J ust a clarification. You said that after land acquisition o ur plan t to become operational, it will be 24 to 36 months, right?

Bharat Madan: Yes, that's the minimum lead time a fter you co mmission the construction there.
Mitul Shah: And s ir, this Rs.400 to 500 crores related to land you highlighted is purely land purchase related cost or it will include anything on the building the plant also?
Bharat Madan: No. This is essentially land related cost.
Mitul Shah: So lastly on the cash and cash equivalent s, this 1600 plus from the Sona BLW already received and excluding that, how much is the cash on balance sheet?
Bharat Madan: No, no. So you would have really seen the intimation. T he closing date was extended to 1st June. Certain approvals which are required , did not come through. So we had extended by another month. So it was supposed to happen on 1st of May. Now we are planning to do it on 1st of June . So after the closing, there will be some money which will flow into our account . And since the approvals will be received post the closing only so some money will still lie in t he escrow account. So free money will not be 100% available to us upfront. I think once you get the approvals in place with the long stop date, I think September or October , and after that, only that money will get it released towards

100%, some money will get released to us but not 100%. So hopefully within this fiscal year, everything should get c ompleted in there.
Moderator: Thank you. Next question is from the line of Raghunanadan from Nuvama Research. Please go ahead.
Raghunanadan : Thank you, s ir for the opportunity. Sir,

just a follow up on the finance business. If you can indicate what has been the equity investment so far and the plan for F Y26 and also if you can tell the book size?
Bharat Madan: So far we have done investment of about Rs.60 crores in the finance Company. The total investment right now I think it is about Rs. 200 c rores in the initial phase , then finally it will go to Rs.700 crores . So the balance amount will get injected in F Y26 into that Company gradually as and w hen the book really build up. So as of now, the book size is very small. I think like you said, they are more testing the systems and o pening the dealerships . I think by end of FY 26, they will be sitting on a book size of maybe close to Rs. 100-odd crores. But the ramp up would have happened. So I think we expect maybe would have happened by now and then next year, I think the ramp up should get completed on a pan India basis. So we will see the faster book building happening at that time.
Raghunanadan : So by end of next year, we will be investing Rs. 700 crore s?
Bharat Madan: So initial approval right now with us is for Rs. 200 crores of capital, the authorized capital is Rs. 700 crores . So I think we still need to get from Kubota Japan from the head office for the balance. But yes, the overall outlay which we have projected was Rs. 700 crores in capital, the balance will be more leveraged.
Raghunanadan : Got it, s ir. And I think the previous question, Mitul was asking on the cash reserves , if you can share that?
Bharat Madan: Yes. So I think the line got disconnected. So I was telling him the March end we have almost Rs. 6,500 to Rs.6,600 crores of liquid ity and this is after paying off the debt of the merged companies, which is almost Rs. 350-odd crores. So with railway deal getting close d post taxes will get maybe another Rs.1,400 to Rs. 1,500 crores sort of net cash. So maybe by next year end after taking into account the fresh cash generation and the CAPEX and the land investment, maybe we 'll be sitting at somewhere around Rs.7,500 to Rs.8,000 crores of cash on the balance sheet.
Raghunanadan : Got it, s ir. And would that mean that, would you consider anything on the dividend policy where the payout can increase?
Bharat Madan: So we ar e gradually increasing the payout So as you can see on this year the dividend which is announced is almost 25% of our profit and I think our policy says to go up to 40% gradually in the

mid-term business plan. So that's what Kubot a follows globally . Even though from the free cash perspective, obviously this is almost 30 %, 35% now this year. So I we will continue to expand that. So that is the idea. The idea is also to maintain the dividend, sustain the level, so not go down from the level, but we already distributed so. So that is having the momentum which we would like to continue with.
Raghunanadan : And also payout could be in the form of buybacks also , would that be possible?
Bharat Madan: So buyback would have been a good option actually, but because this tax changes, so do not think for the investor perspective this is really attractive now as an option in the first preference, I mean to do that , but I just go to buyback 5% to 6% of equity from the market and given the cash. So I have not really made sense, but I'm not sure from the tax perspective now if it really makes sense to go with that option. So maybe distribution will be better option than that.
Raghunanadan : Understood, sir. Thank you very much.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Prat eek Singhal : Thank you, ladies and gentlemen, for being present on this call . For any feedback or queries, please

feel free to write in to us at investor.relation@escortskubota.com . Thank you very much

and have a
good evening. Thank you.
Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Escorts Kubota Limited
Registered Office - 15/5, Mathura Road, Faridabad - 121003, Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

August 08, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE - ESCORTS

Sub: Earning Call Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 read with sub-para 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on August 04, 2025, for discussing the earning performance of the Company for the quarter ended June 30, 2025. The same has also been uploaded on the Company's website at the below link:

https://www.escortskubota.com/investors/financials

Kindly take the same on record.

Thanking you,
Yours faithfully,
for Escorts Kubota Limited

Arvind Kumar
Company Secretary

Encl.: As above

Escorts Kubota Limited

"Escorts Kubota Limited Q1 FY'26 Earnings Conference Call"

August 04, 2025

MANAGEMENT : M R. BHARAT MADAN – WHOLE -TIME DIRECTOR &
CHIEF FINANCIAL OFFICER , ESCORTS KUBOTA LIMITED
MR. NEERAJ MEHRA – CHIEF OFFICER , TRACTOR
BUSINESS DIVISION , ESCORTS KUBOTA LIMITED
MR. SANJEEV BAJAJ – CHIEF OFFICER , CONSTRUCTION
EQUIPMENT BUSINESS DIVISION , ESCORTS KUBOTA
LIMITED
MR. SANJEEV GARG – HEAD FINANCE & TAX, ESCORTS
KUBOTA LIMITED
MR. PRATEEK SINGHAL – INVESTOR RELATIONS & ESG,

ESCORTS KUBOTA LIMITED
MODERATOR : M R. VIVEK KUMAR – ICICI SECURITIES

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Escorts Kubota Limited {I /CIC/ Securities
Escorts Kubota Limited
August 04, 2025

Moderator: Ladies and gentlemen, good day and welcome to Escorts Kubota Limited Q1 FY26 Earnings Conference Call hosted by ICICI Securities Ltd.
As a reminder, all participants' lines will be in lis ten-only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during this conference call, please signal an operator by pressi ng "*" then "0" on your touchtone phone. Please note that this conferenc e is being recorded.
I now hand over the conference to Mr. Vivek Kumar from ICICI Securities. Thank you and over to you, sir.
Vivek Kumar: Thank you, Pari. Good evening. On behalf of ICICI Securities Limited, I we lcome you all for Escorts Kubota Limited's Q1 FY26 Earnings Conference Call.
I also take this opportunity to welcome the Management Team from the Company. Today, we have with us Mr. Bharat Madan – Whole-Time Director and Chief Financial Officer, Mr. Neeraj Mehra –
Chief Officer, Tractor Business Division, Mr. Sanjeev Bajaj – Chief Officer, Construction Equipment Business Division, Mr. Sanjeev Ga rg – Head Finance & Tax, and Mr. Prateek Singhal – Investor
Relations & ESG.
We will start the call with "Brief Opening Remarks" from the Management followed by "Q&A."
Before we start, I would also like to add that so me of the statements made by the Company in today's call will be forward-looking in nature and are subject to risks as outlined in the annual report and investor releases of the Company.
Over to the "Management now for their Opening Remarks." Thank you.
Prateek Singhal: Thank you, Vivek. Good evening, everyone and thank you all for joining us today.
Few highlights of the Company's standalone financ ial performance for the quarter-ended June 2025 are as follows: Operating revenue from continuing operation at Rs. 2,483.4 crores. EBITDA at Rs.325 crores, up by 2.6% YoY. The EBITDA margin in Q1 now stands at 13.1%, up 69 bps YoY.
PBT, before exceptional items from continuing operation

at Rs.417.9 crores, up by 19.3% YoY.
During the quarter, there was an exceptional gain of Rs.76 crores on account of sale of land and building of Agri Machinery Spare Parts Business Divi sion. Net profit from continuing operation at Rs.372.6 crores, up by 40.0% YoY.
During the quarter, the RED's business divestment was concluded and the income of Rs.1,601.7 crores, net of transition cost from the divestment has been accounted for in the financial statement under discontinued operations. Net profit including di scontinued operations at Rs.1,400.2 crores. Escorts Kubota Limited
Escorts Kubota Limited
August 04, 2025

EPS stands at Rs.127.29 as compared to Rs.27.63 YoY.
On consolidated basis, Company financial performance for the quarter ended June 2025 is as follows:
Revenue from continuing operations at Rs.2,500.1 crores. EBITDA at Rs.321.4 crores with margin of 12.9%, up 61 bps YoY. Net profit from continuing operations at Rs.369.5 crores. Net profit including discontinued operation at Rs.1,397.1 crores.
Moving on to the "Segmental Business Performance", starting with Agri Machinery Business:
On tractor business, in Q1 FY26, the total tractor industry volume domestic plus export was at 3.11 lakh tractors, up by 8.7% against corresponding qu arter last year. Our total volume was at 30,581 tractors as against 30,370 tractors in th e corresponding quarter previous year.
On the domestic front, the tractor industry in Q1 FY26 was at 2.86lacs tractors, up by 9.2% against the corresponding quarter last fiscal.
Industry in north and central regions shows a slight growth of 0.5%, while the rest of the country experienced a substantial growth of 19.3%. This has impacted our domestic volume with our domestic volume at 28,848 tractors as compared to 29 ,409 tractors in the corresponding quarter last year.
Continuing with our strategy to offer innovative prod ucts, during the last quarter, we launched Promaxx in Farmtrac brand, resulting in an increase of our Farmtrac market share in most of the states where it was introduced, covering nearly 70% of the industry.
Recently, we have launched Kubota MU series under Kubota brand in 41 to 50 HP category, powered by advanced and efficient KQ-4P engine, the MU4 201 incorporate balancer shaft technology, delivering superior comfort and smooth performance. The impact of this launch will be visible in the

next quarter.
Going forward, we will be launching the Wetland series in the coming quarters under Powertrac brand. These product launches across all brands are expected to drive market share growth with the full-year impact becoming clearly vi sible in the next financial year.
Looking ahead, with timely and widespread above -normal monsoon rain and improved reservoir levels, rural sentiment remains positive and farmer cash flows are strengthening. We remain optimistic about sustained growth in the tractor industry and expect the current momentum to continue to the later part of the current fiscal. Escorts Kubota Limited

On the export front, the tractor industry in Q1 FY26 had 25.3K tractors, up by 2.7% as against 24.6Ktractors in the corresponding quarter. Our export volume came at 1,733 tractors, up by 80.3% against 961 tractors in the corresponding quarter.
During the quarter, sales through Kubota Global Network account for approximately 52% of the total export.
Non-tractor revenue comprising agri solutions business, engine business, and service and spare parts business in Q1 FY26, constitute 18% of the agri machinery segment revenue against 19% in the corresponding and the sequential quarter.
Agri Machinery product segment revenu e came at Rs.2,181.5 crores as against Rs.2,171.7 crores in the corresponding quarter. EBIT margin for the agri machinery business were up by 92 basis points at 12.6% as against 11.7% in the corresponding quarter led by softening in the material cost.
Coming on to the "

Construction Equipment Business":
In Q1 FY26, served industry volume comprising cr ane, backhoe-loaders, mini-excavator, and compactor was down approximately 14% as against c orresponding quarter last year. This growth was primarily driven by the crane industry which was down approximately 29% as compared to the corresponding quarter. Our total volume for const ruction equipment business at 1,055 machines as against 1,382 machines in the corresponding quarter.
Our crane segment outperformed the industry resulting in a market share gain of roughly 150 basis points to 41% as compared to the corresponding quarter. And mini-excavator gained strong traction with a market share of increase of around 600-plus basis points YoY, reaching 19% in the quarter.
Construction equipment segment revenue came at Rs.301.5 crores as against Rs.380.6 crores in the corresponding quarter. EBIT margin for the quarter ended June '25 for the construction equipment came at 5.8% as against 10.3% in the corresponding quarter, adversely impacted due to clearance of inventory of old emission norm product and transitio n to new emission norm compliant product.
As our commitment to innovation and focus on introducing of new product, recently we have launched Hydra 12 Pick and Carry Crane. This mode l features advanced hydraulics and a powerful engine to deliver optimal performance. With this in itiative of control and enhanced safety feature, the Hydra 12 is designed to offer superior efficiency and reliability, making it a preferred choice for operators across dive rsified job sites.
The construction equipment market is facing chal lenges due to decreased construction activities during the monsoon season, project delays and slow sales caused by high product pricing following changes in the emission norm. However, with the government allocating a larger budget for CAPEX Escorts Kubota Limited

this year, we anticipate an increase in infrastructu re products which could lead to boost in demand for construction equipment after the monsoon seas on. We expect to see improvement in demand during the second half of the current financial year 2026.
Moving on to the "Railway Equipment business" that is a discontinued operation. During the quarter-ended June '25, the Company transferred the railway equipment business to Sona BLW Precision Forgings Limited, Sona Comstar. Upon completion of the conditions specified in the business transfer agreement effective from 1st June 2025, the profit after tax from the sale of RED business at Rs.1,004.4 crores has been accounted for the financial statement as income from discontinued operation.
Now I will request the moderator to open the floor for the Q&A.
Moderator: We will now begin the question-and-answer sessi on. The first question is from the line of Raghunandan from Nuvama Research. Please go ahead.
Raghunandan: Thank you, sir, for the opportunity. Sir, starting w ith exports for tractors, it has been a very strong performance; in the first four months , there is a 63.5% growth. Can yo u talk about what is helping the strong exports? How do you see the outlook for this year?
Bharat Madan: Yes, thanks, Raghu. This is Bharat Madan. So, I think if you look at the numbers, the last year our base was very low on export in this first three mont hs. That is why you are seeing almost 80% growth coming in. But if you look at the numbers now, we have stabilized export at about 500-600 tractors per month. So, we expect similar momentum will continue in the balance of the year. So, it indicated we will be looking at

25%-30% growth this year and the total export volume over last year. But now,
since the base will also keep on improving for the last year numbers, so maybe the growth rate will
be slightly lower as you would have noticed in the month of July also. But we expect the momentum
will be there and will continue to be in this range of 500

-600 tractors each month.
Raghunandan: And which markets are doing well, sir?
Bharat Madan: So, major exports are to the European market only. Mo st of the compact tract ors are being dispatched
to Europe. But obviously, we are catering to more than 80 countries in export and obviously, the
numbers will continue to be there. But the major volume is still coming from European market.
Raghunandan: Thank you for that, sir. And on the UP plant construction and land acquisition, if you can give some
updates, what is happening there, do you think that this calendar year, we would get the land and
commence the construction? And are you seeing any delays happening on the regulatory side?
Bharat Madan: Yes, there have been certain delays with the UP government because we have been in constant touch
with them. I think there has been some delay in acquiring the land from the farmers. So, still I think

from the land parcel which we are interested in, some portion of that land is still to be acquired from
the farmers. So, the government is committing they wi ll be able to complete the requisition within
the next one month or so. I think once the acquisition is completed by them, then our process will
start. So, to your question, yes, we expect we shou ld be able to close it. So, I do not know whether
this calendar year, but definitely within this fi scal year, the acquisition should get completed.
Raghunandan: Got it, sir. Thanks for that. To Neeraj, sir, on the new products, you have a very strong pipeline.
Promaxx, Farmtrac has done initially well and also you have the Kubota MU, the Powertrac Paddy
Specialist, and I think even the Promaxx second phase to come by end of the year. If you can talk about how do you expect
these products to help in terms of positioning of Escorts, the market share
potential, and especially in the south region where Paddy Specialist tractors, how they can strengthen
the position there? Thank you.
Neeraj Mehra: Yes. Hi, Raghu, this is Neeraj this side. Yes, so you have rightly said, the new products are actually
helping us grow, because the industry growth actually to a very large extent is not favorable from
EKL's perspective. So, Promaxx phase one is doing well. And in whatever states that we have introduced, Farmtrac market
share has grown. Thou gh it is early days yet, and the growths are
marginal, but we are seeing positive trends. Also, now, with the very recent introduction of Kubota,
and the Wetland series, by the end of Quarter 2 or early Quarter 3, in Powertrac, we should see some
positivity in the southern markets or the eastern part of the country where the paddy is there. So, we
can see some positive results starting Quarter 4, but next financial year would actually be the game-
changer in these markets.
Raghunandan: Got it, sir. I was trying to understand that we have a adverse regional mix. Can the new products
offset that for us? And say, H2, do you expect to grow in line with industry on all India basis?
Neeraj Mehra: Yes, you are right. So, the Kubota introduction, as well as the Powertrac, Wetland series, they will,
to some extent, help in bridging this industry gap, th at deviation is there. And also, next year, a couple
of other launches will be introduced, are planned act ually, as you have already mentioned, Promaxx
phase two, and also Wetland phase two. So, I think the pipeline is very strong, and we should see our
market share growing in our erstwhile weak markets.
Raghunandan: Thank you very much, sir. Bharat sir, we have st arted off on a good margin trajectory in Q1. So,
given the focus on margins, the synergy benefits, how do you see the broad range of markets for FY26? That is the last
question from my end.
Bharat Madan: So, in the first quarter, the commodity prices were soft for the tractor industry. So, we do not see
much impact really coming in from the infl

ation perspective. But now, of late, we have seen the metal prices started hardening. So , that impact will start getting visible
now from Q2 onwards. So, I think
overall, our guidance for full year will still remain in the range of around 12%-12.5% sort of margin for the overall business.

Raghunandan: Thank you very much, sir. I will fall back to the queue.
Moderator: The next question is from the line of Vaishnavi from Craving Alpha Wealth Fund. Please go ahead.
Vaishnavi: Good afternoon, sir. Thank you for this opportunity. I have just two questions to ask. The first one is
related to exports. What percentage of export revenue is routed to Kubota Network? And what is our
target of export revenue as a percentage of total revenue by FY27?
Bharat Madan: I think as Prateek mentioned in the opening comments, in the first quarter, 52% of the exports
happened to Kubota Network and we expect the number will only keep on improving as we move
forward in the future. I think overall, right now, our total export revenue is quite low; it is about 5-
6% only for the total top line. But our mid-term business target for next 4-5 years is to take it to about
15% level.

Vaishnavi : Sir, can you please repeat the number again, 15-16%?
Bharat Madan: So, right now, it is 5-6%. But going forward in the mid- term business plan, our target is to take it to 15% level.
Vaishnavi : Okay. Sir, my second question is regarding the UP plant. When can we expect the phase one of the production to commence in the UP plant?
Bharat Madan: See, right now, we are still waiting for the land acquisition process to be completed, where the government is delayed now on that project by almost six months. So , they have not been able to complete the land acquisition from the farmers. I th ink once they complete the acquisition, then our process will start, which will include all testing for soil, water, environmen t testing and all other formalities. So, we expect within this fiscal year, we should be able to complete the land acquisition and from next fiscal year, we can start wo rking on the construction of the facility.
Vaishnavi: Okay. Thank you, sir.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh Mandlesha: Yes. Thank you so much for the opportunity, sir. Sir, can you just update what kind of a tractor industry growth expected for this year from earlier gu idance of mid to high single digit? And with the second half, particularly the base catching up, w ill it be still a positive trajectory or do you see it flatten out in the second half, sir?
Neeraj Mehra: Hi, Mumuksh. So, we stick to our earlier guidance of mid to high single digit growth for the entire year. Last year, the base was very high. So, in H2, the industry growth last year was close to about 15%. So, this continuous growth in H2 might not be th ere. It will ac tually depend on how the sowing

season performs. So, the tractor seas on this year actually starts fr om August instead of September, and hopefully, the entire season would be over by the end of October. So, post the season, actual picture will emerge on how the industry will actually end for the current fiscal year.
Mumuksh Mandlesha: Got it, sir. And how is the dealer inventory now? And for this year, what kind of dealer expansion plan from the 1,600 currently, sir?
Neeraj Mehra: So, the dealer inventory is curren tly between four to five weeks for all the brands put together. And yes, we have a network expansion plan. So, we are looking at white spaces for all the three brands individually and working on them. So, yes, over the next three to four months, the dealer count should also improve significantly, primarily in the white spaces.
Mumuksh Mandlesha: Got it, sir. Sir

, how has been the particularly Kubo ta brand doing over the last four months and just if you can indicate what kind of growth we have seen there? And how is the profitability of the Kubota business, sir?
Bharat Madan: Yes. So, I think overall if you look at the numbers, since we got three brands, so Powertrac, Farmtrac and Kubota, so, in the last few months, the Kubota brand has not done well in the South and Western markets. So, we think some drop which has happened because the product introduction there was delayed. I think the last product introduction they had was about three years ago. So, that led to some issues with the channel. So, we have introduced a new product now, upgraded product as well as the new model, which will help them in growing the volume. So, we expect at least in the next quarter and going forward, the things will start improving for Kubota brand. I think as far as margins is concerned, as we mentioned to you, since the localization is still some time away, even though we started working on some of the parameters for certain equipments, but mainly the engine localization is still some time away. Till the time we do that, the margins will continue to be under pressure under Kubota brand name. But if you look at the margins w ithout Kubota brand, I think we are in line with the historical averages what Escorts used to have.
Mumuksh Mandlesha: Got it, sir. Sir, on the export side, how has been the initial response in the new markets like Mexico, Southeast Asia a nd Africa, sir?
Bharat Madan: These are not the new market for us. We were already exporting to Mexico. The only thing is the change which has happened is the integration of the channel with Kubota network. So, earlier we were exporting directly under Farmtrac brand name and we had our own channel, but now we are synergizing the channel and integrating. And if one of the distributors is strong, whether it is from Farmtrac or Kubota, then we are continuing with the same distributor under that brand name. So, the markets are already open. So, Mexico, we are expor ting, South Africa, Europe, Sri Lanka, all these markets, we are already exporting now. So, the number s will start improving, I think, as we move forward. The new products are coming for export marke t too, which is catering to specific markets,

so, they will see the improvement will happen in the overall numbers. So, that is one segment where we see the continuous improvement will be there on the export front.
Mumuksh Mandlesha: Got it, sir. And sir, how was the input commodity cost movement for this quarter and what is outlook for next quarter, sir?
Bharat Madan: See, we get the impact of the commodity prices only with the lag of a quarter. So, the last quarter

was soft. So, we saw some deflationary trend actually on the commodity side, especially for the tractor industry. Even though the steel price has st arted moving up, construction equipment did have some impact. But now, this quarter, in the Q2, we are seeing the negative impact will be there on tractor margins too. There is some increase in cost, which we have seen happening on the metal side, which will likely impact the margin in this quarter. So, let us see. But it is nothing significant as of now, which we can really see as threatening as we have seen in maybe two years ago. So, that sort of inflation is not there. There will be less than 1% impact actually.

Mumuksh Mandlesha: Got it, sir. Thank you so much for the opportunity.

Moderator: The next question is from the line of Vipul Agarwal from HSBC. Please go ahead.

Vipul Agarwal: Sir, thank you for taking my question. Sir, a couple of questions. First is on the channel expansion. Can you comment on network expansion of Kubota in North India and Escorts in South India? And how is it working with existing Escorts and Kubota dealer in the respective regions?

Neeraj

Mehra: Hi, Vipul. This is Neeraj again. So, yes, we ar e working on the three brand s, Powertrac, Farmtrac and Kubota. So, I will take a couple of minutes to explain. Powertrac to a very large extent is a pan-India brand. We do have white spaces in the south and some states in the eastern part. Kubota and Farmtrac to a very large extent are very regional -specific and the focus at the moment is on both these brands to expand the reach. So, currently, the integration is not there full hog. We are thinking of integrating on how the Kubota dealers in south can be integrated with either the Powertrac or the Farmtrac brand and vice versa in the north. So, we have initiated that and working on a pilot on that integration.

Vipul Agarwal: Understood, sir. So, just trying to understand wh at is your marketing strategy for these brands like for Farmtrac in south and for Kubota in North India ? Because as per my unde rstanding, tractor being a mature industry, it is tough to crack market share of another player in a particular market or I would say in a particular village. That is what my unde rstanding is. What is your marketing strategy for these two brands when you are opening a new dealership or trying to merge a dealership over there?

Neeraj Mehra: Vipul, your understanding is very right. So, the fo cus is on strengthening our weaker markets, not necessarily with all the brands put together. So, as I have mentioned to an earlier question, the introduction of new products will strengthen our reach and help us in appointment of dealers in our Escorts Kubota Limited

white spaces. So, it is absolutely not necessary for us, for example, to appoint Farmtrac dealers in the southern part of the country. Strengthening Kubota dealers, appointing Kubota dealers as well as Powertrac dealers in south, that is an example I am giving, will help us g row market share overall for EKL. So, it is absolutely not mandatory for us and we are not thinking of growing all the three brands in the entire country. So, depending on the suitability of the product with the application and the past presence of that particular product, we are expanding our channel.

Vipul Agarwal: Thank you for that, sir. Sir, my second question is on the discount. So, right now, like Bharat sir has mentioned, the base was low for first half and in second half the base is catching up. So, how are we seeing discounts from that perspectiv e, are you saying the industry might go with higher discounts in second half to maintain the growth momentum? Monsoon is not pretty good. So, demand is expected to remain quiet only in second half as well. So, what is your view on the discounts going forward and any color on current discounts?

Neeraj Mehra: So, Vipul, the discounts are not basis the industry growth or de-growth. These are seasonal. So, when the peak seasons come in, customers actually expect discounts and almost all manufacturers going for slightly higher discounts. Our strategy would be to be competitive in the market and if needed, the discounts would be there. But the higher discou nts primarily to look at industry growth or de-growth are not there. It is primarily season specific. Discounts are given during the season and then those discounts are reduced once the season gets over.

Vipul Agarwal: Sir, my last question is on the farm implements. How are you seeing the penetration going over there? It has been slower than expected what we were talking about like five years back, seven years back. It is far slower than what we expected. So, how do you see automation happening in the implement side of the agriculture business? That is my last question.

Bharat Madan: I think the long-term trend obviously is what we ar e seeing will really follow what we have seen in the developed countries. So, gradually things should st art looking up there. In fact, if you look at our number also, like I said, i

n the farm segment in a gri-machinery also, signific ant portion really comes from the farm equipment now for us after this merg er of Kubota JV. So, obviously like I mentioned, still it's only about 20% of the total industry by valu e for the tractor industry which is represented by farm equipment. And most of th is is still with the smaller non-OEM players who dominate this industry. So, I think for the OEMs to come into play with a large number, I think still it is going to take some time. We have not really seen a major change happening there in the last few years. But we expect the long-term trend probably will be th ere only. Obviously, it has to follow a lot of other reforms from the government side on the land and labor. So, that is still to happen. So, once your

farm reforms happen, then maybe the land conso lidation will become busi er, your mechanization
will improve. That will lead to your demand for the fa rm equipment too. So, I think in the short-term,
we do not see that happening with the way the government is doing it and the last what was done by the government which
was not very successful. So, hopefully in the long run, I think these reforms
will happen which can lead to this demand coming up.
Escorts Kubota Limited

Vipul Agarwal: Thank you, sir. Thanks a lot for the answers.
Moderator: The next question is from the line of Amit Hiranandani from Ph illipCapital. Please go ahead.
Amit Hiranandani: Sir, thanks for the opportunity. Sir, first of all, congrats for the good margin performance. Sir, my
question is basically from the previo us participant on the farm implem ents thing. So, at present, are
we outsourcing this or we are making it in-house?
Bharat Madan: No, we are only buying it from third-party. So, the large part is actually imported from Kubota. With
the harvesters and transplanters, we are importing from Kubota from Thailand, Japan and China. So,
only the implement part, the rotavat ors, etc., that we are sourcing locally, the boom sprayers, baler,
etc., they are all being sourced locally through the third-party arrangement. We are not making
anything in-house right now.
Amit Hiranandani: Right. And just if you can help us with the annual revenue number for this farm implements?
Bharat Madan: I think last year was about Rs.600 odd crores. So, we expect the number will be probably growing this year.
We are seeing a good growth coming in from the back of this demand, the harvesters in the
southern and eastern markets.
Amit Hiranandani: Right. And my second question is on the construction equipment business. Just a clarification. Please
correct me. So, this time, we have sold ol der emission stocks at lower rates, right?
Bharat Madan: No. Since the emission norm came into play from 1st of January this year, so most of the
manufacturers were carrying bulk inventory from last calendar year. So, they had built inventory in
anticipation till 31st December. So, the major production actually happened in that period. And in
this period of January to June, the production volu mes have been quite low for the new emission
inventory. So, most of the manufacturers have been liquidating the old emission. Because of that, the
overhead absorption has been very low on this lower production. So, that is the reason which has
impacted the margin. And also, 30th June was the la st date for liquidating most of this inventory, so,
which is also some of the reasons for impacting the ma rgin in this quarter. But we expect, I think,
once the demand picks up going forward from next qu arter, the volumes will start improving, both
on production and sales front.
Amit Hiranandani: Right. And sir, on the construction equipment margin, any steps we are taking to bring back the EBIT
margin to 10%-11% range?
Bharat Madan: So, I think on a full year basis, we should be in same margin level, I think, what we had last year.
This quarter

, like you said, since this was a temporar y impact of cut down on the production and also
liquidation of inventory, the impact came. I think th e second half normally the demand is good for
Escorts Kubota Limited

the construction equipment space. So, we should be back to the similar margin in the second half of
this year.
Amit Hiranandani: Right. And sir, my second clarification is on th e other income. So, increase in other income was
largely due to the M2M gains, right?
Bharat Madan: So, it is a mix of two elements. One, the overall treasury surplus has increased because of this money
flowing in from the sale of railway business. So, we got those funds. So, this is a higher corpus we
had. So, that also led to the increase in othe r income. And second obviously was the mark-to-market
improvement because of interest rate cuts which RBI did. So, the impact of both combined is reflected
in the other income.
Amit Hiranandani: Right. And sir, what is the CAPEX outlook for this fiscal?
Bharat Madan: So, like we mentioned last time also, it is still in the range of Rs.350-400 crores, which is the organic
one, other than the investment which will do for the acquisition of land for Greenfield plant.
Amit Hiranandani: Presently, your current dealer coun t is 1,600, right? And can you gi ve a breakup based on zone wise
-- east, west, north and south?
Bharat Madan: So, we do not have the ready number, but we can as k the investor relations team, they will share it
with you, the region wise breakup.
Amit Hiranandani: Great, sir. Thank you, sir. All the best.
Moderator: The next question is from the line of Mi tul Shah from DAM Capital. Please go ahead.
Mitul Shah: Yes, sir. Thank you for the opportunity and congra tulations on a very strong operating performance.
So, my first question is on market share for this. De spite launching new products, of course, it is in
a very initial stage. Our market share continues to s lide. So, is it related to the market competition or
anything to do with the inventory correction? And similarly, inventory is now also as indicated by
Neeraj around four and a half weeks compared to industry inventory would be somewhere 47-48

days. So, we are much better off. So, now onwards, where do you see market share bottoming out?

Neeraj Mehra: So, hi, Mitul. Neeraj this side. So, you have spoken of the product introductions. So, the product introduction happened in the fourth quarter which wa s the Promaxx series. And as I have mentioned in my earlier comments, Farmtrac market share is gradually increasing.

Moderator: Sorry to interrupt. Mr. Mitul Shah, I would like to request you to please mute your handset while the management is answering.

Neeraj Mehra: Thank you, Mitul. As regards to Kubota and Powert rac, there is no as such new product introduced in the past. This month only we have introduced Ku bota, the 42 HP series and certain changes in the higher HP ones. And as mentioned earlier, the Wetland series is planned for introduction in September end, early October. So, the results of that we will actually see coming in from Quarter 4 as well as in the next year. As regards to the market share, yes, the market share has to a certain extent declined. Apart from various other factors, one of the key reasons is the industry swing. The industry swing has actually impacted severely the market share of EKL. The contribution of the EKL stronger markets to a very large extent has come do wn by about 5%-6%, which has actually impacted the market share. But having said that, I think this swing of industry should taper down in the coming months because industry growth started happening from September last year onwards and we should definitely see improvement in growth in market share in the ensuing quarters.

Mitul Shah: As you said rightly, last year Septembe

r onwards, industry started growing and particularly from October onwards, it was a very high growth fr om South and West. So, now October onwards, probably this disparity between South and West and th e other regions may not be there. So, that is also quite positive as we have also got impacted because of the regional disparity in growth. So, considering that, second half, how one should look at compared to first half for the industry in terms of the… as we know, it would be like flat to mar ginal growth, but disparity-wise, what is your view on the regional growth, sir?

Neeraj Mehra: So, see, you rightly said, Mitul, because H2 last year was a 15% growth. So, this year, it will probably be a very marginal single-digit growth, or it might ev en remain at par. So, if it remains at par also, we are looking at a 4%-5% growth for the entire year. So , I think this disparity to a very large extent should tone down starting September and October. Wh at has actually happened is now the industry, because of certain subsidies and other things, has started growing substantially in the eastern part of the country. So, that is another concern for us, but we are working on that. But I think this disparity, which is continuing for the past 10 or 11 months no w, should subside as we enter into September and October.

Mitul Shah: Last question is on construction equipment side. As you highlighted, there was a inventory correction because of this emission norm and our production and dispatches were lower in terms of wholesale. So, can you give roughly a ballpark number between re tail versus wholesale for the quarter for us or for industry? And where do you see that QoQ improvement for construction equipment in Q2 and Q3? That is the last question. Thanks.

Sanjeev Bajaj: Yes. Hi, Mitul, Sanjeev Bajaj this side. So, for o ur business, largely, it is a retail-backed business. So, our numbers on wholesale and retail do not diffe r much and our channel inventory is also less than 30-days normally, and we try to always maintain that. It could be occasionally just start of the season, dealers might take a few machines extra, but generally, we try to maintain that in the 20 to 25 days kind of an inventory for the dealers. So, our re tail numbers are similar to our billing numbers. Last year also, full year, it was neck-to-neck and this year also, we want to maintain it that way only.

Mitul Shah: Thanks, sir.

Moderator: The next question is from the line of Gunj an from Bank of America. Please go ahead.

Gunjan: Yes. Hi. Thanks for taking my question. Just a co uple of follow-ups. On the export side, I do read some of the European markets stepping up now. So, can you just talk about the opportunity there, what is it that we are trying to do al ong with Kubota in the European markets?

Bharat Madan: So, Gunjan, as I mentioned, most of our export s are happening to European market only, and there we are seeing a good order inflow coming in from Kubota network. So, we expect the numbers should keep improving month-on-month as we enter those markets.

Gunjan: Okay. Okay. Got it. When I look at the export bu siness, I think there were two or three parts to it. One was like you will continue to grow on the emer ging markets or Mexico, etc., which you were already working on. And then when Kubota comes in, US and Europe were going to be the largest markets. Now, if you were to just like sort of lay the opportunity… I know a lot of it will unfold over a period of time when the engine plant comes, etc., but what is really the sort of three to four-year target that we are looking at on th e exports? Right now, I mean, I un derstand that engine plant needs to commission. But any broad targets around that?

Bharat Madan: So, Gunjan, as I mentioned, our mid-term plan was to take the exports to roughly around 15% of our total revenue. So, obviously, export r

e alization is also better. But in terms of opportunity, today, last
year, we did about 5,500 tractors, and this year we are looking at 25%-30% increase. I think we expect the similar numbers of grow th will continue in the next three-four years. So, the opportunity
will continue to be ther e. And there is a plan from Kubota side also to make India a production base
for certain products. Obviously, that will materialize only when your Greenfield facility gets set up.
So, there is still some time away. But I think in the long term, we expect the number will continue to
look better and it can anyway be 20,0 00-30,000 tractors in the long run.
Gunjan: Okay. Got it. And on the component side, there is this mention of warehousing, which has already
begun in India for the Kubota global supply chain. Ca n you share more on this like, what is it the
revenue contribution if at all coming in last year or this quarter and how should we think about that
ramp up coming through on the supply chain servicing from India?
Bharat Madan: I think last year was close to Rs.100-150 crores of revenue and this year, we are looking at about
Rs.250 crores of revenue coming from component ex ports. So, I think still it is a work-in process.
So, I think we are still working on developing more vendor base, who can cater to this business. But
as of now, the development is slow, because like I said, on the margin side, the major change will happen once your localization happens . Because just by doing a trading activity through vendors will
not really give that sort of marg in. So, that is why the major push has not been there so far. But Escorts Kubota Limited

obviously, the parallel team is working on developi ng the vendor base and the numbers will again
keep improving year-on-year.
Gunjan: Okay. So, on this, I assume there is not much margin at the moment?
Bharat Madan: Yes, this is essentially a pass-through mechanism right now. We are sourcing from vendors and just
trading in and supplying to Kubota. So, unless we start making certain components, which is a plan,
where the margins will be better and comparable to the normal margins whic h allow to an unrelated
entity. So, I think it will take some time. We are doing some manufacturing locally right now, but there is not much.
Gunjan: Okay, got it. On TREM V, any update, because now we are getting closer to the timelines for
implementation, right, so, what is the conversation, what are we expecting on the regulation to come
through?
Bharat Madan: So, I think from the Tractor Manufacturing Associa tion side, they had a meeting with the Ministry
of Road and Transport and they already given their proposal. So, I think the proposal given was that
from 25 to 50 HP segment, there should not be any change in the emission norm immediately. And on the balance segment, they can still explore if they can do those changes and move to TREM V.
Now, issue is the ministry had indicated they will come up with the final decision on this. They are
expecting middle of this month actually. So, once you get clarity on that, maybe we will have a better
picture with us. But chances are 25 to 50 HP may get exempted or deferred.
Gunjan: Okay. I mean, those are the sort of conversations. I mean, government is open to deferring it out is the industry understanding, right?
Bharat Madan: Yes, that is right.
Gunjan: Okay. Got it. Thank you. I w ill join back the queue.
Moderator: The next question is from the line of Vaishnavi from Craving Alpha Wealth Fund. Please go ahead.
Vaishnavi: Thank you for the opportunity again, sir. I have two-three follow-up questions. First one was in the
last quarter, 70% of exports was routed through Kubo ta market. However, this quarter, as you
mentioned, it was 52%. Is there any change that you can mention?
Bharat Madan: No, it depends on the order inflows because we also have been exporting to other m

arkets where
Kubota network is not existing. They were our earlier distributors, which we continue to export. So,
it all depends on the network and the order intake you get from various countries. So, it can vary. But
the larger part is still goi ng to the Kubota network. Escorts Kubota Limited

Vaishnavi: My second question was sales growth on the year-on -year. If you can give us a target that we are
planning to achieve for FY26?
Bharat Madan: Sorry, can you repeat your question? It was not very clear.
Vaishnavi: Sir, my question was regarding the sales growth y ear-on-year, which we are planning or targeting to
achieve by FY26?
Neeraj Mehra: So, Vaishnavi, currently, our volumes with respect to last year are more or less at par. So, the thought
is that in the coming months, we will actually grow in line with the industry or outgrow the industry
marginally, depending on how the industry performs from a regional perspective. So, the intent is for
the FY26, we end at a higher volume growth with respect to last year.
Vaishnavi: Thank you, sir.
Moderator: The next question is from the line of Vishakha Maliwal from ICICI Secu rities. Please go ahead.

Vishakha Maliwal: Hi, thank you for taking my question. Maybe part ly repetitive, but regarding the medium-term 15% target for export, are there any specific init iatives that you are taking for this?
Bharat Madan: Yes, so as we mentioned, I think there are multiple levers which we are deploying now. One, obviously is the export of the finished products wh ich we are doing from India. As we mentioned, the numbers of export to Kubota is continuously increasing and that will continue to happen in the future too. The second, as we talked about is the component sourcing from India, which is also getting increased as the vendor base gets es tablished there. And third is the service export which we will be doing, which essentially is setting up the shared se rvices for them in India, both for R&D as well as for ID services. There also, the work has started and already the billing has started. So, there also we see a good opportunity in the next 4-5 years, the nu mbers will improve. So, all these will lead to going back to the number what we talked about, 15% of the top line which is the target which we intend to achieve through combination of these.
Vishakha Maliwal: Got it, sir.
Moderator: The next question is from the line of Gunjan, Bank of America. Please go ahead.
Gunjan: Yes, hi, thanks for taking my question again. I ju st had a clarification that you now mentioned that 20% of your agri-machinery revenues are non-tractor, right? Is it possible to get a rough breakup of what is it from, let's say, engine, implements, spares , just rough idea would help because I think these are all revenue lines which are growing faster, I would think?
Bharat Madan: Spares and lubricants which is the larger part there. Then, the agri-solutions which is farm equipment bit and the engine is still the smaller part. So, all these three combined to give out 18-20%.

Gunjan: So, spares would be what, 10-12%?
Bharat Madan: Yes, roughly 10% you can say.
Gunjan: Okay. And engine would be a low single digit?
Bharat Madan: Yes, engine is still low, and the numbers were not very high there. So, I think last year we did about 20,000 engines and probably similar. La st year, there was a change of emission norms, a lot of pre-buying happened in the first quarter last year. So, th is year, post emission norm changes, the demand slightly slowed down because the cost increases. Bu t yes, it will remain in the similar range this year.
Gunjan: I am just trying to understand, spares would grow in sync with how the tractor business is growing. Implements is where the growth outlook is strong given we are adding new products with Kubota's help. And

engine, is this something which is sizable or this is external, I mean, who is the customer base here?
Bharat Madan: So, in engine, there are two segments. One is the power segment, where engines are used for generators. So, the OEMs who make generators use our engines for making those gensets. The second segment is the OEM segment. So, like Kubota is the largest supplier of engines to the industrial equipment sector. So, that is the segment where they use engines of Kubota in India and also of Escorts in certain construction equipment machinery OEMs, who use those engines. So, both these segments, I would say 50-50 to day is the overall volume.
Gunjan: Okay, got it. Thank you so much.
Bharat Madan: And Marine is another one. So, in Marine also, lik e for powering those power boards, so these engines get used. So, marine is another category where the engines go.
Gunjan: Okay, got it. Thank you.
Moderator: The next question is from the line of Amit Goela from Rare Enterprise. Please go ahead.
Amit Goela: Yes, Bharat, hi. Bharat, you might have answered this question earlier, but I was just wondering one thing. I was going through the presentation. You have 1,600 dealers now with Kubota also coming in. So, should not your access to the southern markets and all get slightly better so that you can have your market share improve now, like with the new products and everything in place?
Neeraj Mehra: So, hi, Amit ji. This is Neeraj Mehra this side. So, yes, you are very right. With the 1,600 dealers in place, our volume will actual ly improve as we said in our earli er comments. We are introducing a south special series in Powertrac in the last week of September or early October. So, that should actually help Powertrac. Currently, in the Powertra c and Farmtrac series, th e product range suitable

for paddy applications was an issue. With this range coming in and with a substantial number of dealers being there, we should see th e volumes and market share growing.
Amit Goela: Okay. Thank you so much and all the very best.
Neeraj Mehra: Thank you.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand over the conference to Mr. Prateek Singhal for closing comments. Thank you.
Prateek Singhal: Thank you, ladies and gentlemen, for being present on this call. For any feedback or queries, feel free to write to us at investor.relation@escortskubota.com . Thank you very much and have a good evening.

Moderator: On behalf of ICICI Securities Limited this concludes this conference. Thank you for joining us and you may now disconn ect your lines. Escorts Kubota Limited

Call: Nov 2025

Escorts Kubota Limited
Registered Office - 15/5, Mathura Road , Faridabad - 121003, Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

November 07, 2025

BSE Limited
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Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495 NSE - ESCORTS

Sub: Transcript of Earning Conference Call held on November 04, 2025

Dear Sir/ Ma'am,

Pursuant to Regulation 30 read with sub-para 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on No vember 04, 2025, for discussing the earning performance of the Company for the quarter and half year ended September 30, 2025. The same has been uploaded on the Company's website at the below link:
https://www.escortskubota.com/investors/financials
Kindly take the same on record.
Thanking you,
Yours faithfully,
for Escorts Kubota Limited

Arvind Kumar Company Secretary
Encl.: As above

"Escorts Kubota Limited
Q2 FY '2 6 Earnings Conference Call"
November 04, 2025

MANAGEMENT : M R. BHARAT MADAN – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER – ESCORTS KUBOTA
LIMITED
MR. NEERAJ MEHRA – CHIEF OFFICER , TRACTOR
BUSINESS DIVISION – ESCORTS KUBOTA LIMITED
MR. SANJEEV BAJAJ – CHIEF OFFICER ,
CONSTRUCTION EQUIPMENT BUSINESS DIVISION –
ESCORTS KUBOTA LIMITED
MR. SANJEEV GARG – HEAD FINANCE & CPMO –
ESCORTS KUBOTA LIMITED
MR. PRATEEK SINGHAL – INVESTOR RELATIONS AND
ESG – ESCORTS KUBOTA LIMITED

MODERATOR : M R. RISHI VORA – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Earnings Conference Call of Escorts Kubota Limited hoste d by Kotak Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rishi Vora from Kotak Securities Limited. Thank you, and over to you, Mr. Rishi.

Rishi Vora: Thanks, Asha. Good evening. On behalf of Kotak Securities Limited, I welcome you all for Escorts Kubota Q2 and H1 FY '26 Earnings Conference Call. I also take this opportunity to welcome the management team from Escorts Kubota Limited. Today, we have with us Mr. Bharat Madan, Whole -Time Director and Chief Financial Officer; Mr. Neeraj Mehra, Chief Officer, Tractor Business Division; Mr. Sanjeev Bajaj, Chief Officer, Construction Equipment Business Division; Mr. Sanjeev Garg, Head Finance and CPMO; and Mr. Prateek Singhal, Investor Relations and ESG.

We will start the call with brief opening remarks from the management, followed by Q&A.

Before we start, I would like to add that some of the statements made by the company in today's call will be forward-looking in nature and are subject to risks as outlined in the annual report and investor releases of the company. Over to the management for their opening remarks. Thank you.

Prateek Singhal: Thank you, Rishi. Good evening, everyone, and thank you all for joining us today. Few highlights of company's standalone financial performance for the quarter ended September '25 are as follows: Operating revenue from continuing operation at INR 2,777.4 crores, up by 22.6% year-on-year. EBITDA at INR 363

.2 crores, up by 56% Y -o-Y. EBITDA margin in Q2 at 13.1%, up by 280 basis points year-on-year.

PBT from continuing operations at INR431.1 crores, up by 55.2% year-on-year. Net profit PAT from continuing operation at INR 321.2 crores, up by 6.1% year-on-year. Please note that corresponding quarter last fiscal include a onetime tax impact of INR91 crores on account of changes in long -term capital gain tax provision and the effect of brought forward losses for merged companies. Adjusted for this normalized profit grew by 51.7% Y -o-Y. EPS stands at INR29.19 as compared to INR 29.71 Yo-Y.

On consolidated basis, company financial performance for the quarter ended September '25 is as follows: revenue from continuing operation at INR 2,791.6 crores, up by 22.6% Y -o-Y.

EBITDA at INR 359.7 crores with margin of 12.9%, up 279 basis points Y -o-Y. Net profit from continuing operations at INR 318.1 crores, and adjusting the impact of INR 91 crores, normalized profit grew by 52.1% year-on-year.

Moving on to the segmental business performance. On the tractor business, in Q2 FY '26, total industry domestic plus exports, was at 3 lakh tractors, up by 28% as compared to the Escorts Kubota Limited

corresponding quarter last year. Our total tractor volume was at 33,877 tractors, up by 30.3% as against 25,995 tractors in the corresponding quarter previous year, resulting in a 20 basis market share gain. Total share at the en d of Q2 FY '26 stand at 11.28%.

On the domestic front, the tractor industry in Q2 FY '26 was at 2.75 lacs tractors, up by 30.7% against corresponding quarter last year driven by preponement of the festive season, continued government support, reduction in GST rate and favorable agriculture conditions, including adequate water level reservoirs.

On the domestic front, our sales stood at 32,329 tractors, up by 30.5% compared to 24,768 tractors in the corresponding quarter previous year. We have grown in line with industry , and this growth was supported by new product launches and range of customer-focused initiatives.

Looking ahead in FY '26, we expect the tractor industry to sustain its growth trajectory delivering a low double -digit growth rate for the full fiscal year, led by healthy water level reservoir, anticipated robust crop yield, higher minimum support prices and improved terms of trade.

On the export front, tractor industry in Q2 FY '26 at 25,600 tractors, up by 4.4% as compared to 24,500 tractors in the corresponding quarter. On export volume, our export volume at 1,548
tractors, up by 26.2% as against 1,227 tractors in the corresponding quarter. During the quarter, sales to Kubota global network account for approximately 52% of our total exports.
Non-tractor revenue comprising of Agri Solution business, engine business and service and the
spare part business in Q2 FY '26 constitutes 17% of Agri Machinery segment revenue as against 18% in the corresponding and the sequential quarter.
Agri Machinery Products segment revenue came at INR 2,432.9 crores, up 29.1% as against
INR1,884.2 crores in the corresponding quarter. EBIT margin for Agri Machinery business were
up by 368 basis points at 12.8% as against 9.1% in the corresponding quarter. Margin expansion was supported by easing material costs, better operating leverage and c ost control measures.
Coming on to the construction equipment business. In Q2 FY '26 served industry volume covering cranes, backhoe loader, mini excavator and compactors, declined by approximately 4% as compared to the corresponding quarter last year. This was largely driven by the crane segment, which was down around 13% year-on-year. Our total volume at CE business were at 1,146
machines as compared to 1,394 machines in the corresponding quarter.
Mini excavators continue to gain traction with our market share increase by 151 basis points,
which now stands at 18.5%.

Construction equipment segment revenue came at INR 338.1 crores
as against INR 379.9 crores in the corresponding quarter. EBIT margin for the quarter ended
September '25 came at 3.8% as against, 9.3% in the corresponding quarter, mainly down due to lower production as compared to last year where inventory building happened to enable transition to the higher emission norms.
The construction equipment industry has been navigating a challenging environment currently, primarily due to extended monsoon season and lower- than-expected mobilization of
infrastructure projects on the ground. The industry is, however, expected to recover in the

remaining part of this fiscal year as the government is committed to infra investments and new
projects are being started across the nation. Industry momentum is expected to pick up gradually
and we aim to prepare to take the opportunity.
Now I will request the moderator to open the floor for the Q&A.
Moderator: Thank you very much. The first question is from the line of Gunjan Prithyani from Bank of
America. Please go ahead.
Gunjan Prithyani: Just first question on the industry. If you can share a bit more color on what are we seeing on the ground in terms of the sentiment. There's clearly been a step-up in the growth guidance, right, from mid-single digit to now low double digit. So a little b it more color on what we are seeing
regionally, what we are seeing in terms of HP -wise and the sustainability of this going forward
for the remainder of the year?
Neeraj Mehra: Hi, Gunjan, this is Neeraj Mehra. So as already mentioned by Prateek, yes, we see an upswing
in the industry. And we're looking at this year to end at double -digit growth -- a marginal growth
in the double digits. Yes, post the GST reforms introduction wherein 7% GST was reduced. We
have seen a lot of buoyancy in the market.
This buoyancy cause there, primarily account of good rainfalls and other macroeconomic positive parameters. But with the reduction in the tractor prices, this buoyancy has actually
increased which actually will help the industry grow further over the next 6 months.
As regards the regional flavor, the industry is actually growing substantially in the southern part
of the country and the western part of the country, primarily. It has shown some growth in the
northern part of the country. The northern part was not -- was kind of stagnant prior to
September. But it has now started showing some positive movements. So overall, there is a
growth across the country.
But the major movement in Q2 came in from the southern part as well as the Western part. On
the HP side that you asked, what has actually happened, it's early days per se as yet. But post the introduction of the GST -the revised GST slab rates, we've seen a shift in the segment wherein the customer is actually moving towards a slightly higher horsepower tractor.
So when I say higher horsepower tractors, the inclination is now for them to move into the 50
HP or 55 HP or 45 HP bracket because now in the price of a 38, 40 HP tractor, he can actually purchase a higher HP tractor. And with a slightly higher HP tractor, it's a kind of a multi -utility
tractor wherein he can utilize the tractor in all applications, agri and otherwise. So I hope I've answered all aspects of your question.
Gunjan Prithyani: Sure. This is very helpful. Just a follow -up on your market share. I mean, clearly, we've seen
some stabilization in the recent months. But in the backdrop that South and West continue to sort of do well, it is going to be essentially your product actions that will help recover the market
share?

So any early thoughts on the product interventions that we've been making over the last 6
months? How is that -- how has been th

e response to those new products? And how do we think
about market share here on given that it's still going to be more about South and West showing higher growth?
Neeraj Mehra: Okay. So I'll take a couple of minutes to explain this. So you see, we had -- we have 3 brands:
Farmtrac, Powertrac and Kubota. So Farmtrac, we are doing very well. Post the introduction of
the new series in January, the PROMAXX series, the market share is growing. Irrespective of
the region, the market share in Farmtrac is growing.
In the last call, I had shared that we would be introducing some certain new products, not an
entire series but certain new products in Kubota. And those were introduced in early August,
which it's early days yet, but the initial impact has been actually g ood. This, I'm talking on the
product interventions.
On the Powertrac side, we were to introduce a series in the latter half of this quarter. But due to certain reasons, that's been
shifted to the first half of quarter 4. So once those -- that series comes
into play. That series is primarily from the Southern market perspective. We will see a definite
positive turnaround on the Powertrac side.
Yes, the industry growth in -- substantial industry growth in the Western part and South is
actually impacting us. But you would have seen that in the last quarter, we have, to a very large extent, been able to arrest
this market share. Overall, the market share has not grown, but the
continuous decline has been able -- we have been able to arrest that in quarter 2.
And we are hopeful that as we go forward, in Kubota and Farmtrac, we'll see a positive
movement to continue. And with the new range coming in, in Powertrac, it will take some time.
But yes, we'll see positives on the Powertrac front as well.
Gunjan Prithyani: Okay. Got it. This is really helpful. Just very quick on the P&L side. This treasury income has
gone down in this quarter. I guess the railways money would have also trickled in. So any reason
why the treasury income has gone down and what sort of yield we should expect going forward?
And that will be the last question.
Sanjeev Garg: So, Gunjan, treasury income is a blend of one, the surplus money. Second, how you do the
accounting for the different products where you have invested in. So part of that portfolio, as
you know, is logged into the open -ended funds, which is a mutual fund, which is subject to mark-
to-market. So if you see in quarter 1, the overall yields had softened, leading to gain in the market
-- mark- to-market move in a positive direction.
However, in quarter 2, there is some sort of hardening compared to quarter 1. So that's where you see the mark -to-market hit
coming in. So if we take out this mark -to-market move, then we
are in the normal trajectory. So overall, on an H1 basis, if you see , there is an improvement and
the impact of R&D money, it was there in Q1 as well for 2 months, starting from May.
Moderator: The next question is from the line of Vijay Pandey from Nuvama. Escorts Kubota Limited

Vijay Pandey: I wanted to inquire about the construction equipment industry. How are you seeing any potential
recovery in the construction equipment industry, especially in the excavator business and the
PNC business?
Sanjeev Bajaj: Sanjeev Bajaj here. So we are looking at quarter 2 as a first sign of recovery because quarter 1
has been really down. So quarter 2, industry has tapered down, the slowness has tapered down. So we are expecting that by
middle of quarter 3, we should start seeing the reversal of the trend.
A couple of things which have happened during quarter 2. One is, of course, the extended
monsoon.
And also since the industry has moved from BS -IV to BS -V, there is a price escalation for the
customer and that also there was a resistance from the industry and the demand has not been so
high. Projec

ts have been mobilizing slow because of the monsoons and demand has not been so
high that it could negate the impact of pricing on the product.
So overall, the industry has gone through this tough sales in quarter 2. But we believe that the
recent announcement by government on the new projects which have been announced especially
in states like Andhra, Bihar, Maharashtra, Gujarat and various other projects which are -- which
were nonmobilized are also starting to mobilize. So we believe that demand will pick up, and
that will be a big leveler for the time to come, especially in the later half of qu arter 3 and later

in quarter 4.
So -- but on a year-on-year basis, we believe that industry will be lower than last year, but on a
single-digit drop from last year. But still, it is on a very high base compared to what it was a couple of years back. So there is no sign of worry, but it is only because of the current situation,
it looks like that there will be a little bit of dip compared to last year whole year industry.
Vijay Pandey: And sir, there was news coming out that construction equipment government will be bringing
up some incentive program for the CE industry -- update on the same? And how do you see that
would probably come in off April. So how do you see the benefit for the company and the industry?
Sanjeev Bajaj: See, those initial talks have happened. So government is inclined to do PLI schemes for domestic production. But those discussions are at a very early stage and nothing has been concluded yet.
Our Construction Equipment Manufacturers' Association, ICEMA is in regular touch with the
Ministry of Heavy Industry. But as of now, there is nothing which we can really say
conclusively.
But definitely, government has the intent for domestic production and they will continue to
promote localization of the products as well as the components. But not as of today, that clarity
will not be available as of today. I think in the next few quarters, we will see what the outcome of those discussions will be.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Can you hear me? Sorry I was on mute.

Moderator: Yes, sir. We can hear you now.
Mumuksh Mandlesha: So I just want to understand, over the medium term, the GST has reduced the prices for the tractors. I just want to understand how the affordability plays a role, whether that can release
into the demand over the longer medium term? And also because the lower price point, do you see any upgradation happening to a higher segments because the prices have come down?
And also, sir, because the customer has seen the benefit of a low prices. Do you see any change
in the discount pricing trend for the company? And also, if you can add the -- because the steel
prices have come down, do you see benefit of margin ahead?
Neeraj Mehra: Yes. Thank you for your question. So yes, in the very short term, we see a positive impact of
GST. So while answering an earlier question, I had actually mentioned that, yes, it's very early
days yet, but we have seen a shift of the customers in moving towards a higher HP product. So
higher HP in India is basically a 50 HP product. So we have seen a shift moving towards that.
So basically, in a INR7 lakh product, it's a straight INR50,000 reduction. Also, this for the
smaller farmers, or the marginal farmers, this again is an opportunity for him to buy a tractor because for the smaller or the marginal farmer, he is now getting an opportunity to purchase a tractor with a lesser amount of margin money that he has to bring in.
So also from a medium -term perspective, looking at these 2 aspects, we see that GST will play
a positive impact as we go forward. As regards to the discounts, the discounts are always there during the season time. So w

henever it's peak festive time, all the manufacturers, including us, give certain shops, certain discounts. And those are actually withdrawn once the season gets over and that will be the case this time around as well.
Mumuksh Mandlesha: And on the input cost, sir, anything on the input cost going ahead, sir?
Bharat Madan: So input costs in the last quarter, obviously, there was a bit of inflation, which is why this slightly impacted the margin. But in the coming quarter in Q3, we are going to get the benefit of deflation
in these prices. And the quantum right now, we're not sure, but this is going to be a positive
impact on the margin in Q3.
Mumuksh Mandlesha: Got it, sir. And sir, finally, sir, on the non -tractor revenue part, how do you see for next 6 to 12 months, what kind of growth we can see for that segment?
Bharat Madan: So this quarter also, we saw very good growth actually. So if you look at our Agri Solutions
business has grown more than the tractor business in first half and the last quarter 2. So only the other 2 business on engine and spare parts were more or less flattish in this 6 months. But going forward, obviously, the tractor growth comes down from the current level, which has been very,
very steep.
So and you will see the impact coming into the non-tractor business, which will really improve
in the next 6 months. So overall, I think the spread will not be significantly different. We still
have about 17%, 18% coming from the non-tractor side. So we ex pect it may move by 1% here

and there, but we don't expect to be a significant movement from this level. The tractor is also
growing. So which is, I think, also impacting this overall split.
Moderator: The next question is from the line of Rishi Vora from Kotak Securities Limited.

Rishi Vora: My first question is just wanted to get a sense on what would be the inventory levels for us and for the industry after, let's say, the month of October?
Neeraj Mehra: So thank you, Rishi, for the question. Are you talking of inventory levels as on 1st of October?
Rishi Vora: As in end of October, basically or whatever you could share.
Neeraj Mehra: So as of end of October, we are looking at a little less than 4 weeks of inventory levels with our dealers.
Rishi Vora: Understood. Understood. My second question is on the export side. We have seen a strong
growth in the first half. So any color you could give on what is driving the growth, which markets
are doing well? And going forward, where do you see the tractor, the export market settling for us? And any guidance if you could share for second half FY '26, that would be helpful.
Bharat Madan: So overall, Rishi, we had given the guidance of 25% plus growth on the export number given the lower base we had last year. And so far, we had done better on export in the first 6 months, and we expect going forward also, I think the numbers will continue to look better. So the market, especially which we are growing, is the European market where the supply is happening,
major supply to the European market only.
We also opened Mexico now where tractors will start going, some parts dispatches already happened in the first 6 months and the volume will start picking up going forward. So I think in the midterm business plan in the next few years, we have a lot of projects which are more export
focused projects from R&D side on which we are working.
So idea is to capture as many markets as we can. And that's one area of opportunity which we
see will remain for us, and there's the intent to utilize the Kubota network also for export. So we
think that's one area which will continue to do well in future too, for us.
Rishi Vora: Understood. And just on the construction equipment business. I know we have seen a sharp decline in margins also on a sequential basis. And can you just reason out wh

at has happened at least in terms of profitability? And how should we think about it going forward?
Bharat Madan: See, one other reason actually if you compare is the issue on the production level, which has been low this quarter, because you know the emission norm changes have happened. So we're still to stabilize on the volume front. And there was some inventory in the last quarter, which got cleared up. So I think going forward, in the balance second half, we expect the numbers to
start looking up now. So last year, obviously, it's not comparable because we did a lot of
inventory buildup. That's why the margin also improved. So there's
the correction which you've seen happening in the first 6 months now, especially in this year.
But going forward, I think once your numbers start moving up and the production volume is also Escorts Kubota Limited

improving now. So we expect we should be back to high single -digit level of margin and in the
balance 6 months for CE business. And last quarter also got impacted because the inflationary
impact, which, again, with the softening happening now, that will be positive impact we'll see
in the next quarter.
Rishi Vora: Understood. And just last question. Any update on the new plant? Where are we in terms of the
approvals and everything and anything that you could share?
Bharat Madan: Some land parcel, which is I think about 5%, 6%, which is still to be acquired by the government. They had some matter under litigation with certain farmers, which now the government has won in their favor. So they are in the process of completing their ac quisition. So we expect within a
month they have indicated they will complete the acquisition and then start the formalities for
transfer of land to EKL.
So let's hope, I think after -- within a month if they complete this acquisition, and we need to do
our due diligence for title and then we'll start with the formalities of the land acquisition. So
hopefully, within this fiscal, we should be able to complete everything. But the major parcel has
already been acquired by them.
I think it's only about out of 190 acres, they're seeing about 8 to 10 acres, which is still to be acquired by them. Balance is all done. But since the land -- the parcel is coming within the
overall plot area, we don't want to really go ahead until the ti me they confirm and complete their
acquisition.
Rishi Vora: Understood. And what will be the capex guidance for this year?
Bharat Madan: So this year, we had done INR350 crores to INR400 crores sort of normal capex which will
happen. And so far, in the first 6 months, we had spent proportionately in line, so we expect that
number will happen.
Rishi Vora: And next year should be higher than this, right?
Bharat Madan: Normal capex is going to be in this range early. So INR300 crores to INR400 crores sot of range
will continue as a normal capex . Greenfield obviously will be additional as and when that
happens. So that will be a over and above this normal capex .
Moderator: The next question is from the line of Vipul Agrawal from HSBC.
Vipul Agrawal: Sir, you just shared about the planned timeline . So it looks like that next year, the plant will be

up and ready by end of next year. So maybe I just want to understand, can you share what the
revenue growth trajectory for next 5 years, like covering key milestones, what's coming from domestic and how much will be coming from exports and then part supplies maybe like a longer-
term view, you can give some idea about it. And the key timeline , tentative timelines as well
like, which year we will see the maximum growth?
Bharat Madan: See the major growth in exports will come on the greenfield is up and running, and that will happen somewhere in FY '28, '29. And whether this year, we complete the land acquisition. Next Escorts Kubota Limited

year, we're going to start the project construction activity in those areas. And the initial project
estimate is that we'll be starting up in Phase 1 additional capacity for the tractor manufacturing
as well as for construction equipment manufacturing in that facility.
So really, the current capacity we have the existing location is around 170,000 tractors which
we can also balance out and increase to 200,000. So looking at the demand scenario for the next
3, 4 years, we don't expect there will be any shortfall in the capacity at the existing location .
So it's only the timeline , which will take -- lead time it will take to set up the Phase 1 facility. I
think by that time, the demand also picks up, so we can obviously adjust the timeline slightly by
year-end and can also prepone it if required. If not, then obviously, we'll go as per the planned
schedule.
Vipul Agrawal: And what kind of quantum we are expecting from this new capacity like from exports right now? Any maybe it has been like by a year or so, any changes in the earlier estimates? What kind of growth we can expect from the new plant -- from the export side?
Bharat Madan: So export, I think the major focus will be, I think, once we start exporting to the U.S. market. So right now, we are not exporting anything to U.S. market. The plan was once the greenfield goes live, at that time, we'll start the activity for export ing to U.S. market. And there's also a plan to
shift some of the global models to India, and India will be used as sourcing for those products,
so which we made only in India and will be supplying from India to the world.
And that's a plan which Kubota has to come back, and they are working on it right now. So
Kubota is going to present their midterm business plan sometime, I think, in February or March next year. So once they made it public, then we'll also formalize it and we'll also then announce
it to the public at large.
Moderator: The next question is from the line of Himanshu Singh from Baroda BNB Paribas Mutual Fund.
Himanshu Singh: Sir, I just wanted to understand that our employee cost and other expenses on a Y -o-Y basis have
kind of remained flat or declined. So just wanted to understand why and how do you see this
trajectory going ahead?
Bharat Madan: Employee cost actually has gone up if you compare with the last year and sequential quarter also because our increment cycle is from 1st of July. So that's why in this quarter, July to September,
we've seen the cost, which has gone up with about 8% to 9% on the manpower side. And as in
percentage terms, it looks like it's the same, but overall on the fixed cost basis, it has gone up.
On the other expenses, I think most of the expenses, which are variable in nature, only those have moved. Otherwise, the expenses haven't kept under check, and we expect the trend should
continue. Obviously, a lot will depend on how much we spend going forward on the marketing
and promotion efforts, and that will again depend on the market situation.
So that's something which can really impact your other expenses. So that really can go up. But the focus of the company now is on the sales growth and the acceleration on the top line. So that Escorts Kubota Limited

probably can impact in the short term on some of those expenses. But right now, I think for this
year, we don't expect any going to be a significant change.
Himanshu Singh: Okay. And sir, can you give any breakup of how much would be the fixed expense in the other expense?
Bharat Madan: See, other than the selling expenses, which are slightly variable in nature where you've got all your logistics, freight, forwarding, packing warranty, loyalty, all those expenses are coming as
part of other expenses. So I would say still 50-50 sort of split can be there, 50% can be taken as
a fixed and balance

will be variable in nature.
Moderator: The next question is from the line of Raghunandhan N. L. from Nuvama Research.
Raghunandhan N. L.: Congratulations on strong results and festive greetings. Just one question. On Kubota branded
tractors can you highlight efforts on improving the local sourcing what would be the current

share of local sourcing? And how do you see that ratio increasing next year? And do you know how would that change significantly once the new plant is up and running?
Bharat Madan: Raghu, in the Kubota tractors, the one which we're making in India, the major part which gets imported is the engine only. And since the volume for Kubota products are not very high right now. I think it is only about 10,000 to 12,000 tractors, which are K ubota -which ar e using Kubota
engine in India.
So for that volume, localizing the engine is not a viable option for us, but the investment will be very heavy and not pay back in the short term. So I think as we mentioned, the idea is to actively move to our own local engine, and we are looking at the possibility of development of products which will be sold under Kubota brand name using our platform, Escorts platform.
So that product development is underway now. So hopefully, in another 2 years' time frame, we will be launching this complete range which will be with our own engine and which will get sold under the Kubota brand name or co-branded with our brand. So that will improve the margi n
profile for the Kubota brand.
Until that time, I think it will remain under pressure overall because most of the other items in Kubota brand are imported other than tractor. So only thing what we're doing now is the transplanter as the one product line which we are localizing in India. Right now, it is getting
imported from China.
So that is getting localized now and we'll start manufacturing sometime next year, maybe for that. But this year, we've seen the demand for agri solution has been very strong, especially the harvester, I think we have been a record sale in the last 2 months, and we virtually stormed out
and there was 0 inventory now with the company, and demand has been fairly strong even going
forward the way the indications are. So obviously, as the volume go up, the trend will be to localize the parts as much as we can so that we can improve on those margins.
Moderator: The next question is from the line of Preeti Joshi from Financial Securities.

Preeti Joshi: My first question is are we planning to launch any EV tractor?
Prateek Singhal : Sorry, Preeti, we can't hear you. Can you a bit louder?
Preeti Joshi: My first question is, are we planning to launch any EV tractor? And my second one is what will
be our new capacity after expansion of greenfield projects?
Bharat Madan: So Preeti, we were already making electric tractor, but we have not launched it in domestic market because the cost of those tractors is very high, especially the battery pack itself costs you
equal to the cost of the diesel tractor.
So in India, we don't see, it will be a really good market, especially looking at the affordability
aspects of the farmers. So we were exporting those tractors to European and U.S. market. But now we have stopped that because in U.S. also the subsidies have withdrawn from the electric
vehicles. So there again, you are seeing the demand is going down.
So in the short term, we don't see any major change in the strategy unless the cost of batteries
really goes down significantly in India. And then the charging infrastructure in rural markets
have to come up, which right now doesn't exist and the kind of power you need to run those
tractors and the implements.
So going with a large tractor as of now, it doesn't look like a viable option. So we have to wait and watch and see maybe the alternate fuel technologies which companies are working on.

So
maybe those could be better option for India than electric tractors.
Preeti Joshi: And about the -- what will be our updated capacity expansion, capacity after the expansion of
greenfield project?
Bharat Madan: I mentioned our existing capacity is about 170,000 tractors, which we can expand to 200,000
with some balancing at the existing location. The greenfield in Phase 1, we are looking at setting
up 100,000 tractors capacity in the first phase. And then the sec ond phase may follow with
another similar capacity. So I think overall, we're almost doubling the capacity from the current
level what we have.
Moderator: The next question is from the line of Priya Ranjan from HDFC AMC.
Priya Ranjan: So just a couple of things. One is on the finance penetration. I mean, you have launched the
captive finance. So how is that panning out because that was one of the aspect of, say, market
share gains. So where are we? And how do we want to progress on that?
And secondly, on the agri solution, I mean, the harvester, how much we are localized and what
is the -- because you see a lot of demand, etcetera, from the harvester side. And that's a high-
value item. So what is the progress on the localization, etcetera, on that side? That is part one. I
mean let's first speak on that, then we'll move to the other one.
Bharat Madan: So first, on the captive finance company. So I think we have started the operation from end of
November last year. And right now, we are only operating in 4 or 5 states and that too with the
limited number of dealers. So this year will be more like a settl ing down phase where we are

settling down on the IT systems, which happened now developed and working. So this year, it will be a small portfolio.

Yes, we had done good in this season time also. I think last one also was -- there's a record number for them, even though it's a very small volume as of now, so then they are looking at. But they're looking at expanding on a pan India business next year. And then next year, we expect the company should be able to achieve breakeven in profitability prior to the risk costs.

And in the year after, we expect the company should be in profit.

So the penetration for captive is very low right now. Like I said, since we just started with a few states. We are not even a pan India player right now. But the idea is the captive finance typically have a penetration of anywhere between 25% to 35%. And that's where most of the manufacturers have been working on.

And our idea is also to get to the similar penetration level with our own captive finance company in the next 3 to 4 years' time frame. Now coming to your second question on harvesters. So right now, the harvesters are imported by us from Japan and Thailand. So there are some parts component, which we intend to make in India, which will be exported from India to Thailand. And Japan, which will be used by those facilities in manufacturing, and they'll supply back the finished product to us. So that is now online, we're starting in this month now in our existing facility, which is certainly for the hydraulic lift and transmission axles, which will be done in India.

So gradually, we'll move to the high-value items. And the idea is to localize it. So we'll be working on some options and exploring some contract manufacturers in India who can work with us on our design so that we can do the maximum localization. Like you mentioned, it's a high-value item. So it's almost cost INR20 lakh, INR 25 lakh in the selling price is 4 to 5x of what the tractor really sells at and the demand has been very strong. So obviously, it will make sense for us to do localization here.

Priya Ranjan: So any plan? I mean, this plan localization can be done at some -- any volume you are looking at, at that point of time, you want to localize? Or we have to

wait until the new plant comes, I mean the new land greenfield comes up, then we will probably look into it.

Bharat Madan: So if we go with the third-party manufacturing, we don't need to wait for the greenfield, and that's what we're planning to do. Right now, the localization, what we've done is in the existing facility. But there, the space will be constant. So we'll not be able to really do much over there.

Our average volume for the harvester today in the track type is about -- and you've been in 2,800 to 3,000 and this year, maybe slightly higher. So the numbers are not very high that way. Like you compare with a country like China, we harvest the market is very strong, which is 100,000 units plus. In India, the track type harvester are still low and we got about 30-odd percent market share in India.

So the idea is to move to the wheel type harvester, which is the largest segment of the harvester market in India and also low cost as for the farmers are concerned. But right now, we don't have

that manufacturing facility in India and the know -how what Kubota has is not easy to localize because it will be quite expensive to make those products in India.

So we're looking at some alternate options in India where we can mix and match and the know -how from Kubota and also use facilities in India. So those discussions are still on, we're still exploring some options. So nothing is concrete and finalized as yet, but that's the plan going forward.

Priya Ranjan: Sure. And just on the -- I mean, say, the manpower issue, etcetera, is -- keeps cropping up even the agri although we are a low -cost country, I mean, low -cost manufacturing company country, but manpower in rural area, farming, et cetera, is still a concern.

So I think the Kubota also have agrirobo and agri -- I think the drone system, etcetera, where you can at least do the pesticide, I mean the spraying, etcetera. So any thoughts on those product lines where we can bring in and this can mechanize the farming and give better yield for the agriculture side in India. So any thoughts on that?

Bharat Madan: Well, I think India still has a farm level, which is way cheaper than what you see. In Japan, the issues are totally different because they've got an aging population. So even if the people want to work in farm, they can't. So that's why they are shifting to the autonomous machine. And you'll see higher mechanization level in Japan, then probably what India will see it happening at

least in the next decade or so.
So we don't think yes, Kubota has already developed a concept machine, which is totally
autonomous, which can work actually, and it's also based on hydrogen fuel cell. But launching it in India, I think, is a far cry. I don't think that's a viable option.
Like we mentioned to one of the question earlier on the electric tractor, even though we are the first one to devel op in India, we never launched it in India where the affordability was an issue.
So I think looking at the current wage structure for the farm labor, we don't think it will be a
viable option right now. Maybe in future, if really India sees the inflation in t he farm wages,
maybe that could be one thing which we'll explore. But right now, we don't see in the short or
medium term, there's something going to happen.
Priya Ranjan: Yes. But drone side, I mean, there are a lot of companies which are working. So -- and I think...
Bharat Madan: You're spraying it manually, also is a health hazard for the operators. So that makes sense to really go for it and you get a better precision and better coverage with drones. So in our case, like we're already using sprayers now for the larger crops, we have a boom sprayer and for orchards sprayer, so we've got a separate machines, which are already available there in India.
And we are also selling some sprayers in ou

r agri solutions business. So this is also done with the machines. You don't need to have manual labor involved over there. So for the larger field, it makes sense to use drones because in India, the small fields are there, you don't have a very
large holding. So even the smaller machines still makes sense, and they are much cheaper to
operate. So drones still has an expensive proposition today.

Priya Ranjan: And the last one on the export side. I mean, the ex of U.S. Can we go to 25,000, 30,000 in, say,
next 2, 3 years, depending on the product line, product planning, etcetera?
Bharat Madan: Not 2, 3 years because the export to U.S. will start when the greenfield goes live, which will be somewhere in FY '28, '29. So after that, we are looking at our export getting a major boost because that's when the export to U.S. will start.
Moderator: As there are no further questions from the participants, I would now like to hand the conference
over to Prateek Singhal for closing comments. Thank you.
Prateek Singhal: Thank you, ladies and gentlemen, for being present on this call. For any feedback and query,
feel free to write into us at investor.relation@escortskubota.com . Thank you very much and have
a good evening. Thank you.
Moderator: Thank you very much. On behalf of Kotak Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Escorts Kubota Limited
Registered Office - 15/5, Mathura Road , Faridabad - 121003, Haryana, India
Tel.: +91-129-2250222 | E-mail: corp.secretarial@escortskubota.com | Website: www.escortskubota.com
Corporate Identification Number L74899HR1944PLC039088

February 13, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400051

BSE – 500495
NSE - ESCORTS

Sub: Transcript of Earning Conferen ce Call held on February 10, 2026

Dear Sir/ Ma'am,

Pursuant to Regulation 30 read with Para A(15) of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulati ons, 2015, please find enclosed the transcript of the conference call held on February 10, 2026, for discussing the earning performance of the Company for the quarter and nine months en ded December 31, 2025. The same has been uploaded on the Company's website at the below link: https://www.escortskubota.com/investors/financials

Kindly take the same on record.

Thanking you, Yours faithfully,
for Escorts Kubota Limited

Arvind Kumar Company Secretary
Encl.: As above

"Escorts Kubota Limited Q3 FY26 Earnings Conference Call"

February 10 , 2026

MANAGEMENT : MR. BHARAT MADAN -- WHOLE -TIME DIRECTOR & CHIEF FINANCIAL OFFICER , ESCORTS KUBOTA LIMITED
MR. NEERAJ MEHRA -- CHIEF OFFICER , TRACTOR BUSINESS DIVISION , ESCORTS KUBOTA LIMITED
MR. SANJEEV BAJAJ – CHIEF OFFICER (CONSTRUCTION EQUIPMENT BUSINESS DIVISION), ESCORTS KUBOTA LIMITED
MR. PRATEEK SINGHAL – INVESTOR RELATIONS & ESG, ESCORTS KUBOTA LIMITED .
MODERATOR : MR. MUMUKSH MANDLESHA – ANAND RATHI SHARES

AND STOCK BROKERS LIMITED

Escorts Kubota Limited
February 10, 2026

Moderator: Ladies and Gentlemen, Good Day and Welcome to Q3 FY26 Earnings Conference Call of Escorts Kubota L imited hosted by Anand Rat hi Share s and Stock Brokers L imited.
As a reminder, all participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M umuksh Mandlesha from Anand Rat hi Share s and Stock Brokers L imited. Thank you and over to you, s ir.
Mumuksh Mandlesha: Yes, good evening. On behalf of Anand Rat hi Shares and Stock Brokers, I welcome you all for the Escorts Kubota Q3 & Nine -Month FY26 Earnings Conference Call .
I take this opportunity to welcome the management team from Escorts Kubota L imited. Today, we have with us , Mr. Bharat Madan , Whole -Time Director and Chief Financial Officer ; Mr. Neeraj Mehra, Chief Officer, Tractor Business Division ; Mr. Sanjeev Bajaj , Chief Officer, Construction Equipment Business Division and Mr. Prat eek Singhal , Investor Relations and ESG.
Before we start, I would like to add some of the statements made by the company in today's call will be forward -looking in nature and are subject to risk as outlined in the annual report and investor
Releases of the company.
Now, I hand over to the " Management for the Opening Remarks ." Thank you.
Prat eek Singhal: Thank you, M umuksh. Good evening, everyone and thank you all for joining us today. We hope you had an opportunity to see the " Financial Statement " and "Earning Presentation" uploaded to the stock exchanges.
Let us begin with a Few Highlights of the Company's Standalone Financial Performance for the Quarter -ended December 2025.
Operating revenue from continuing operations is Rs.3,261.4 crores , up by 11.1% Y oY.
EBITDA is at Rs .438.7 crores , up by 30.9% Y oY, highest -ever quarterly EBITDA. Now, EBITDA margins at 13.5%, up 203 basis point s YoY.
PBT from continuing operations before exceptional item is at Rs .522.7 crores up by 37.5% Y oY.
Net profit from continuing operations came at Rs .362.4 crores , up by 24.7% Y oY.
Escorts Kubota Limited
February 10, 2026

Please note, that this quarter , there was an one-time impact of new labor code of Rs .52.5 crores. Adjusted for this net profit came at Rs .401.6 crores , up by 38.3% Y oY, highest -ever quarterly profit after tax.
EPS including discontinued operations stand at Rs .32.93 as compared to Rs .29.39 Y oY.
The board of directors has declared a one-time special dividend of Rs .18.0 per equity share of face value Rs .10 on completion of the railway business divestment.
On Consolidated basis, Company's Financial Performance for the Quarter -ended December 2025 is as follows: Revenue from continuing operations is at Rs .3,280.5 crores , up by 11.3% Y oY. EBITDA at Rs .434.7 crores with a margin of 13.3%, up 196 basis point s YoY. Reported net profit is at Rs.358.3 crores , up 11.8% Y oY, and adjusting for one -time impact from new labor code, normalized profit grew by 38.1% Y oY.
Moving on to the Segmental Business Performance, starting with the T ractor business. In Q3 FY26, the total tractor industry domestic plus export was at 3.5 lakh tractors up by 23% as compared to the corresponding quarter last year. Our total tractor volume was at 36,955 tractors , up by 13.5% as against 32,556 tractors in the corresponding quarter previous year .
On the domestic front, the domestic tractor industry reached 3.3 lakh unit s in Q3 FY26, registering 23.2% growth Y oY. This momentum was supported by favorable government policies, lower GST rate, healthy agriculture conditions including adequate water reservoir levels and state-level subsidiary

programs that enhance farmer affordability.
While the industry delivered strong growth, our domestic performance was moderated by regional disparity. The North and Central markets continued to underperform as compared to the other
regions , Other regions grew by 34.2% , and limited availability of key models impacted our sales momentum. Our domestic sales were at 35,373 tractors , up by 12% Y oY as compared to 31,585 tractors in the corresponding quarter.
Our recent product introduction, strengthening financial partnership and deeper dealer engagement help maintain healthy market share for farmt rac brand in the core geographies.
The Promax x series continue to gain traction with the order inflow now exceeding current supply level and we are scaling up our production to meet this demand.
In the coming next six -eight months, we will be launching new models and upgrades across all brands

to address key product gaps. The full market impact of this refreshed product portfolio is expected in the end of FY27 and we are confident that these initiatives will further reinforc e our competitive
position.

Looking ahead, we expect the current industry momentum to sustain its growth trajectory. Domestic tractor industry is likely to reach a new peak of around 11.5 lakh units this fiscal year. Supported by healthy water reservoir, anticipated robust crop yield , reduced GST rate, higher (MSP), minimum support price and improved terms of trade.
On "Export front, " the tractor industry in Q3 FY26 had 26 .6K tractors up by 20.1% as against 22. 1K tractors in the corresponding quarter. Our export volume was at 1,582 tractors , up by approximately 63% as against 971 tractors in the corresponding quarter. During this quarter, sales to Kubota Global Network account for approximately 68% of the total export.
On the non- tractor revenue , comprising of agri -solution business, engine business and spare parts and the service part business, in Q3 constitute around 21% of the agri -machinery segment revenue at par with the corresponding quarter and as against 17% in the sequential quarter.
During the quarter under agri -solutions business, we have introduced the Next -Gen of Rice Transplanters, KA6 and KA8 models engineered in Japan for precision, efficiency and comfort. These new models deliver higher productivity, superior planting precision and enhance operation comfort. And as we move forward, we remain committed to introduce more advanced pr oducts to the market.
Agri Machinery product segment revenue came at Rs. 2,769.6 crore s up by 14.6% as against Rs.2,416.6 crore s in the corresponding quarter.
EBIT margin for the A gri Machinery business were up by 310 basis point s at 13.5% as against 10.4% in the corresponding quarter, led by easing material costs, better operating leverage and cost control measures.
Coming on to the " Construction Equipment Business, " in Q3 FY26 industry volume across crane, back -loader, mini -excavator and compactor , declined by approximately 16 % YoY, primarily due to the higher base of last year caused by pre -buying ahead of emission norm change , coupled with extended monsoon and slower mobilization on infrastructure projects.
Our total volume for Construction Equipment business were at 1,716 machines as against 1,989 machines in the corresponding quarter and up by 49.7% as against 1,146 machines in the sequential quarter.
Construction equipment segment revenue came at Rs. 489.9 crore s as against Rs. 515.7 crore s in the corresponding quarter.
EBIT margin for the quarter -ended December 2025 came at 6.6% as against 11% in the corresponding quarter and was up by 280 basis point s as against 3.8% in the sequential quarter.

In our journey to innovation, during the quarter, company expanded its earth-moving and construction equipment portfolio with the lau

nch of Kubota U22-6 Mini -Excavator, offering
advanced precision and compact performance for urban and confined area applications.
We also showcased Hydra 15 Mining and BLX -75K backhoe loader prototypes , reflecting our focus on rugged mining requirements and next -generation fuel -efficient backhoe loader technology.
Leading the concept lineup, the Hydra -72 cranes represent a major leap in high -end lifting with a new 72 -foot beam and enhanced safety system. With this introduction, we reinforced our commitment to engineer excellence and addressing emerging customer needs.
It is worthwhile to note that the level of degrowth in the construction equipment segment is coming down gradually for our volume from around 23.7% in Q1 to 17.8% in Q2 and 13.7% in Q3 and with Jan ending at 3.7%, thus showcasing early sign of stabilization and we expect this gradual improvement to continue with the timely awarding of key infrastructure projects and better on- ground execution momentum.
The Union Budget for 2026 -27 has further reinforced positive commitment for the construction equipment industry with public capital expenditure rising to Rs. 12.2 lakh crore s. Collectively, these factors position the sector for a healthier and more robust demand environment in the coming month and the fiscal.
Now, I will request the moderator to open the floor for the Q&A.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: Thanks for taking my question. Just a couple of questions. Firstly, on the industry, I just wanted to hear your thoughts on the lumpiness of the industry, because like you mentioned, there are a lot of these state government subsidies which have come in the last couple of months ? Does this mean that as these subsidies come off, the industry will see some sort of deceleration? So, some thoughts on

how we think about F '27 and the impact of these state subsidies on the growth?
Neeraj Mehra: Hi, Gunjan. Good evening. This is Neeraj Mehra. So, yes, to a certain extent, you are right that subsidies have played a major role in the growth of the industry. But, subsidies are not the only reason. The primary driver over the last three, four months has been the impact of GST 2.0 plus adequate rainfalls and good reservoir levels. Going forward, yes, the impact will be there if the subsidies come down. But overall, the macroeconomic parameters as also mentioned by Prat eek are very positive. So, at this point of time, it is very early to comment on financial year ' 27, but we see a robust growth in Quarter 4 and also a very robust growth in Quarter 1.

Gunjan Prithyani: Okay, got it. But if you were to like sort of just crystal gaze into the F '27 number, is it fair to say that we are not sort of fearing a sudden downturn hitting us in F '27 because there has been so much bunching up? I am just trying to draw comfort. Can it be like a really down year because we have seen 20% -plus growth for industry in fiscal ' 26?
Neeraj Mehra: So, Gunjan, it will be very early to comment on the entire financial year now. So, we will have a better understanding as we get into Q uarter 1 of financial year ' 27, plus also what the forecast of the rainfalls is. All those things will play an important part. So, it is very difficult for me to comment on the overall growth or degrowth for financial year ' 27 as of now.
Gunjan Prithyani: Okay, got it. And the second question is on the export business. Can you just talk about how do we see the scale up now? I know the new capacity plan has just been announced, but if you can just share a bit more color on how do we think about the ramp up o ver the next two years , because the new plant is still going to take a couple of years given it is a Greenfield one, so,

some outlook on that as well?
Bharat Madan: Hi Gunjan, this is B harat Madan. So, I think on export, like you said, so it is not totally dependent on the new plant because even the existing plant also we are making now products which are getting exported and then that probably will continue going forward too. The new Greenfield plant was more meant for shifting some of the key models from Kubota system in other countries to India. So, that will take some time, but the normal export which is happening to the other countries within Kubota network also that will continue. So, we do expect the momentum should continue in export, even though the base now is slightly becoming higher. So, you would not see the similar growth of 50 %-60% what you see now, but still we expect it will continue to be double -digit growth in export numbers going forward even from the existing faci lity.
Gunjan Prithyani: Okay, got it. And last question fr om me on the commodity side. I mean, there has generally been a lot of commodity headwind that we are seeing in the other segments. Can you help us understand where we stand in terms of tractors? Is pressure is a big risk that we need to bear in mind? How is the commodity basket faring for tractors , and if there is any price intervention that is being taken?
Bharat Madan: So, till December though we had mostly zero impact and there is some favorable impact only on the commodity prices if you look at cumulative nine months of this fiscal . But, yes, this quarter there will be some pressure because some of the metals like copper and aluminum are getting expensive. So, we expect maybe some impact will be there. On tractor, we still do not expect it will be a significant impact. But on construction equipment, we have seen quite an impact this quarter. So, from January itself, I think we have seen the steel prices have gone up. So, which we have taken some price increase in the CE space, but I think the inflation was way more than what we had increased. So, there is some correction which we intend to do in the prices in the construction equipment space. On tractor, I think we will have to wait and watch and see what is the final outcome

coming. It takes a lag of a quarter to really negotiate and finalize the prices with the supplier. It will also depend on how the competition actually responds to that. So, based on that, we will take a call. So, if there is a requirement and the industry also passes on the prices, then we will also take the similar move.
Gunjan Prithyani: Okay, got it. So, no price action taken so far, right?
Bharat Madan: No, it is not on our overall portfolio level.
Gunjan Prithyani: Okay. Got it. All right. I will join back in the queue . Thank you.
Moderator: The next question is from the line of Ajox Frederick from Sunda ram Mutual Fund. Please go ahead.
Ajox Frederick: Hi, sir. Thanks for the opportunity. So, the first question is a slight extension of Gunjan's question. We have a probability of El Nino happening this year. My question is, are the reservoir levels enough to take us through despite a slower monsoon for the year?
Neeraj Mehra: Hi, Ajox. This is N eeraj again. So, as I had mentioned to Gunjan also, the reservoir levels are better. So, they will help substantially if El Nino actually comes into effect , because the reservoir levels are relatively better because of the last year's rain. But what impact they will have, we will actually get to know as we get into the end of Quarter 1 or when the forecast for rainfalls actually come in.
Ajox Frederick: Okay , sir, fair enough. S econdly , on the mix, we are seeing that the less than 50-HP kind of picking

up in a very small manner. But , if you look at the last three years, we have seen that kind of dipping relatively versus the others. Is there anything structurally happening in that space where we can see that

inching up further?
Neeraj : So, Aj ox, what has actually happened is post the reduction of GST on tractors, the liquidity with the farmer has actually increased. So, the farmers who were earlier looking at a 40 -HP or a sub- 40 HP tractor , are now going in for a 45 -to-50-HP tractor. So, over the last three to four months, we have actually seen a shift towards 45 -to-50 HP segment. So, that segment in the last four, five months has actually grown. It is primarily because of the additional liquidity with the farmer. So, he has an additional play to buy a higher HP tractor with the same amount of money.
Ajox Frederick: Okay. Got it, sir. That is very helpful. That is it for me. Thanks.
Moderator: The next question is from the line of Vijay from Nu vama. Please go ahead.
Vijay: Hi, sir, thank you for taking my question. A couple of questions. First, I wanted to check on the construction equipment side. So, our volume has increased sequentially. So, is it fair to assume that

now the industry is recovering and though there may be some year -on-year declines, but sequentially, we should expect a better fourth quarter and going into Q1?
Sanjeev Bajaj : Hi, Vijay , Sanjeev this side . So, yes, sequentially, we have seen there is a growth or there is a lower dip in the industry quarter -on-quarter. And we believe that the way December month has gone by, we believe that it is a sign of a reversal. However, it is yet to be seen. We believe that last year Q uarter 4 was low because BS -V products were introduced already. So, last year, Q uarter 3 was bigger than Quarter 4. This year, Q uarter 4 may be better than last year's Quarter 4 . If that happens, maybe slightly positive, then it is a clear sign of a reversal of the industry trend. We are very hopeful. The announcements of the new projects from the governments are there. It is only now we are waiting for the actual fund flow to happen to the projec ts and real mobilization on- ground, which should be visible in the fourth quarter as well as in the first quarter of next year before monsoons. So, we are quite hopeful on that.
Vijay : Sir, how is the industry exports on the construction equipment side looking after the new norms? So, our norms are now comparable to the European norms. So, are we seeing some traction there?
Sanjeev Bajaj : See, we do not have much of an exposure on the products which are exported to Europe or America. Largely, our customer base is confined to Africa, S AARC countries and Middle East. We see there is a traction , we see there is a growth, not primarily because of the emission norm changes , because most of these countries, they are still at BS -III level of products. So, we make BS -III products for these countries. But going forward, we also intend to introduce certain products which are going to go into larger markets, for example, Southeast Asia and some of the countries where BS -V certified products are being used. So, there are new platforms which we are introducing in the due course of time in the next few months, which will also give us a foothold in some of the countries where the new emission norms will take a larger share of business.
Vijay : Okay. The price increase that happened in April last year, that has been fully bought in by the customers. So, we are not seeing now any weakness because of the price increase?
Sanjeev Bajaj : Yes, on construction equipment, the industry generally introduces price increase from 1st of January every year. And last year, 1st of January, there was a dual increase – one, because of the BS -V norms change , and the second because of the annual inflation passed on to the customers. So, i t took a couple of quarters for price realization to happen. By Q3, we realized that the price has almost stabilized in most of the product categories. However, the big dampener is the slow growth. So, if the demand picks u

p, then it will be very easy for the price increases to stabilize quickly. But , when the demand is slow, of course, it takes longer time for price stabilization. That is what we have seen in our first two quarters in this year, it has been quite slow.
Vijay: Thank you and all the best for the upcoming quarters.

Moderator: The next question is from the line of Mitul Shah from P antomat h Financial Services. Please go ahead.
Mitul Shah: Yes, sir. Thank you for the opportunity and congratulations on a very strong performance. S ir, my question is again on the FY27 outlook. As we consider positive first half, maybe around 15% -17% type of growth and current inventory being one of the lowest level, which should help for the next few months , but August onwards, this year's base effect will have impact , and as we understand the monsoon 2026 will be the deciding factor for second half , but if we go into the detail in terms of the state-wise number , all the states are going to report a record high volume performance for FY26 and additionally support for few states like Maharashtra s ubsidy and all. So, in best case scenario, second half can be flattish type of number. So, full year number would be like a low single -digit growth, which will be much lower than the long -term average. What is your understanding on that, sir? Even

if the growth would not be there, then growth would not be very high, maybe not even 6- 7%.
Neeraj Mehra: Hi, Mitul. Neeraj this side. So, I think your understanding is actually good. So, you have very rightly put in all the factors in terms of the growth in terms of the first six months and post that a decline on a high base. So, I tend to agree with you, but I am being a bit cautious on giving some kind of a figure. But what all figures you have actually to a certain extent quoted , seem very, very logical and to a certain extent, looking right at this point of time.
Mitul Shah: Thanks, sir. S ir, second question is on the construction equipment side. As industry has done reasonably good on sequential basis YoY, o f course, because of the base effect, there was an impact , but still, if you look at a longer period of last four, five years or even going forward, the industry is not picking up the way other segments like recently eve n construction or commercial vehicle also started doing very strong with 20 %-30% growth. So, what are the major challenges or do you think anytime soon in next one year or two, we will see similar 20 %-30% growth possible as base has been much lower over the last many years?
Sanjeev Bajaj : Yes, thank you, Mitul. Sanjeev this side. So, yes, the growth which we had seen in financial year ' 24 was dramatic and it was really encouraging. But , if you look at the five years period, I think the CAGR has always been 8 %-9% and it is expected to grow at about 6% -7% till FY30. 20% -30% will be a big ask from the industry. But , I think the government is doing its part by allocating the CAPEX required for infrastructure development. Industry is also taking part in accommodating all the change s which are happening, especially on the emission norms and electrification of the products or whatever technological changes are expected, industry is also investing into it. If you look at the last 12 -months, I think a lot of variables were in place. Say , for example, BS -V was to be introduced, there was a price increase because of BS -V and there was extended monsoon for four, five months , and across the country, there are various places the local elections were also playing a part. Now, considering that all these factors are over for next year, we believe that next year could start with a strong base , because these variables will not be there. And if the investments from the government

continue, we believe that next year is going to be a

turnaround year for construction equipment. Till FY30, it will continue to show the momentum of 6% -7% CAGR.
Mitul Shah: Sir, related to this, any color on the served -segments within construction where we see very high growth and where the segment will still face some problem?
Sanjeev Bajaj : Yes, so within construction equipment, our served industry, we do four products ; we are into cranes, mini excavators, backhoe loaders, and compactors. So, the sectors which are expected to do well , will be connected to the roads and railways. Those sectors will definitely have the highest traction. So, the sectors which we are not available or the sectors like which are related to the construction , say, for example, the concrete equipments or material processing equipments , industries will also do well. Within our product range, we believe that cranes will grow faster. And at the same time, mini excavator has already shown signs of growth in this year and it will continue to grow next year also. Backhoe loader and compactors will grow at a nom inal rate of about 5 %-6%. But cranes and mini excavators will grow much faster.
Mitul Shah: Thank you and all the best.
Sanjeev Bajaj : Thank you.
Moderator: The next question is from the line of M umuksh Mand lesha from Anand Rat hi Share s and Stock Brokers. Please go ahead.
Mumuksh Mandlesha: Sir, congrats on the strong business. So, this is to Bharat Madan, sir. Board has consented the investment for the CAPEX for acquiring the land. And also, there is a mention about the indicative investment of 22.68 million. Just if you can run through what kind of timelines we are planning to go ahead for this CAPEX, sir.
Bharat Madan: So, M umuksh, right now , the major, I think the intent was to finish the acquisition of land this year. So, which is why the investment which is approved by the board right now is only for the land acquisition. The investment which you have mentioned in the DPR or the project report which has been submitted to UP government is more like indicative. And that assumes certain capacities which will be built up right now for tractor and construction equipment plant in the Greenfield facility. So, that will depend on the demand scenario in the market, how the volumes will ramp up. Within the existing facility also, we can take the overall production level a bit higher by 10 %-15% from the crane capacity perspective. So, it will really depend if the demand picks up strong and we expect the volume gain is happening. And then, obviously, we will be d eep on the investment in construction activity in the facility. Right now, what we indicated to the government is to start this somewhere in 2029- 30, the first commercial production. But , it can get pre-poned depending on the demand or it can get post -poned also depending on the requirements.

Mumuksh Mandlesha: Got it, sir. And even for some of the engine products also, spare parts also, would it also start around

2029?

Bharat Madan: So, engine for the existing product line, obviously, we will expand because the existing capacity in the existing F aridabad facility is there for engine, which we can ramp up to take care of the expanded facility for phase -I for the Greenfield . But as far as the Kubo ta engine line is concerned, that is not in this phase -I. So, that probably will happen in phase -II depending on again the volume which we do for Kubota products in India.

Mumuksh Mandlesha: Got it. So, then, sir, for the JVs companies, it will take more time for the margins to further improve with the engine line coming up little later?

Bharat Madan: No. So, I think there is a plan to introduce the Indian platform under Kubo ta brand name. So, that will be using Indian engines only. So, the idea is to expand the margin by localizing those products. And they are working on the quality and other aspects, which can really be suitable for putting the Kubota brand on those products. So, that is the first priority. But there, the volumes will pick up and the margins can be at par with the Indian product line , so, which is what we are trying to do first. I think engine is something which right now is a very limited usage for Kub ota, because we do only about 10,000 to 12,000 tractors which are using Kub ota engine today. So, the rest of the products which will get introduced in future will be with the local platform. So, the numbers will not really justify putting additional investment to justify that sort of volume. Unless, like I said, the export volume really picks up and then we will have to use those engines. But that will be slightly later, not in phase -I.

Mumuksh Mandlesha: Got it, sir. And in terms of spare parts, how do you see that going on?

Bharat Madan: So, we intend to put up a spare part warehouse, which will be a mother warehouse. Right now, we are using a rented facility for spare parts. You are saying component export or for spare parts sales?

Mumuksh Mandlesha: Component export

Bharat Madan: So, that is continuing. Even today, it is happening. So, that is I think the intent is to continue with that and ramp it up. So, we are adding more product s now. So, I think next year, we will see the better number coming in from component export side also , because we are putting up a line for transmission for the harvesters in the existing facility and that has started production. So, from this quarter also, I think the numbers will start looking up. So, next year almost, we will see probably the good ramp up will happen on the component export.

Mumuksh Mandlesha: Got it, sir. And so finally, just on the construction equipment, we plan to do something 15,000 kind of capacity. Currently, we have 10,000. So, just a little thought on I mean, over medium to long term,

should we expect construction equipment to be more stronger growth area for the company as there is a more bigger plan to expand then?

Bharat Madan: No. So, the idea was the existing facility is not sufficient actually space-wise. So, we are actually using a lot of rented space in the existing facility to do this production today. So, the idea is to set up a Greenfield facility. We will probably look at shifting some of this facility in F aridabad to that place and we get this facility. So, the 15,000 will be the total cumulative capacity which will be there at that time. So, some of the facilit ies in Faridabad probably will shut down after this Greenfield gets commenced.

Mumuksh Mandlesha: Got it, sir. Thank you so much for the answers.

Moderator: The next question is from the line of J inesh Gandhi from Oaklane Capital. Please go ahead.

Jinesh Gandhi: Mr. Madan, m y question is on exports of t ractor s. Now, given that this EU FTA has been signed and probably it will come into effect in another year, year and a half , does it now open up EU market for us in a material way given existing foothold of Kubota in the European market s? What else we will need to do to enable this opportunity on the European export side?

Bharat Madan: See, Europe we are already exporting and today the duty on tractor in Europe is zero. So, there is not going to be any impact of any FTA which we sign with the EU, the bilateral agreement which is signed. So, that it does not have any significant impact on the tractor industry per se. This will impact some of the component exports probably for the auto component manufacturers from India. But on tractor, it is not going to be any significant impact. But yes, if the US deal gets signed off , so, today a lot of exports are happening from Kubota, Japan to US , and on Japan, I think there is a tariff of 15%, and against that, if India comes at 18%, so even with the blended rate of the metal tariff of 50%, the blended rate will be somewhere around 22% -23% which in Japan today is about 18%. So, it is a 4-5% delta differential which will come from India. But , I think it will make a lot more sense to produce in India at a lower cost and still look at exporting to US market. So, that is the potential scenar io which in any case Kubota was working on. So, there is a plan to shift some of the products to India. So, I think that will happen for the Greenfield facility will be up and running. So, that is very much in the plan.

Jinesh Gandhi: Okay. So, the current Kubota's requirement in Europe for small HP tractors is made to India or only partly made to India and partly to other geography?

Bharat Madan: So, we are supplying from India. So, they do have some of the manufacturing in Europe also. And they are also importing some of the stuff from Thailand and Japan. But what we are supplying from India essentially is being used to compete against many supplies from India and China in those markets because they can not compete with their product portfolio with those supplies w here the cost

differential is very high. So, the Indian supplies are helping them in retaining market share in the European market. And today, I think we are looking at good numbers coming in, I think the order requirements, order book is quite good, I think from Europe today. And we are trying to level the capacities and add more product to the portfolio to continue supplying to them.

Jinesh Gandhi: Got it. Great. Thanks and all the best.

Moderator: The next question is from the line of Vikram Damani from Damani Family Office. Please go ahead.

Vikram Damani: Hi, good evening. So, you all were to publish an updated mid-term business plan as per some previous calls. Any status updates on that?

Bharat Madan : So, right now I think the parent company is to first adopt the overall mid-t erm business plan. So, we expect they will do I think sometime maybe within this quarter or maybe in the coming meeting. So, I think we are not sure. So, maybe they were supposed to do it in February. So, maybe when the adoption happens at their end, then the India plan discussion will start. So, we expect maybe within a few months, maybe in the next quarter, we should be able to come up with the final plan.

Vikram Damani: Okay . The reason why I ask is because the plant has been quite a bit of delay. So, just trying to get a sense of where we are today as a company with all the duties and everything ? So, like you said, hopefully in the next three months, we should get an updated mid-term business plan.

Bharat Madan: Yes, that is right.

Vikram Damani: Okay, thank you so much. All the best.

Moderator: The next question is from the line of Ayush Anand from Parascap Ventures. Please go ahead.

Ayush Anand: Good evening, sir. S ir, my question is, which all machines are covered under the CIE scheme and are the incentives realized based on capital subsidies?

Bharat Madan: You are asking for the construction equipment side?

Ayush Anand: Yes, sir.

Bharat Madan: Sanjeev, can you respond to that

Sanjeev Bajaj : Yes. So, if you are referring to the latest announcements in the budget about PLI, these are primarily export -substitution equipment. So, equipments which are currently are largely imported, say, for example, tunnel boring machines, we do not produce in India and it is being imported 100%. And similarly, very large cranes or crawler cranes, which are primarily imported. So, those are the

segments which government wants to substitute with the local manufacturing. And that is where the PLI has been announced… although the fine print is yet to come , but the direction is wherever we are dependent on imports 100%, those sectors need to be localized. That is the direction and that does not apply to us , because we are not in those segments as of now

.

Ayush Anand: Okay, sir. That is it from my side.

Moderator: The next question is from the line of Mitul Shah from Pantom ath Financial Services. Please go ahead.

Mitul Shah: So, thanks for the follow -up opportunities. My question is on market share. If you look at the market share fall, and then again, we started now recovering , but in overall, this scenario of last two, two and a half year s, Kubota brand has been still struggling despite Maharashtra and South doing much stronger performance in last one, one and a half year. So, where do you see the exact challenges and what could be the strategy going forward for that?

Neeraj Mehra: So, you are right, Mitul, Neeraj this side. So, yes, Kubota initially had been struggling. And that struggle, to a certain extent has reduced with the introduction of certain new products in July and August. I think the market share in terms of Kubota will improve as certain new product introductions are also lined up in the Kubota brand over the next couple of quarters. So, we will see a gradual increase in market share in Kubota, I think from H2 onwards

Mitul Shah: What is your understanding? Where is the challenge in terms of competition launching new products or any price aggression or our cost structure is some issue , so, where do you see major problem, which was not the case earlier , in fact, Kubota was doing much better till last year , and in last one and a half, two years, sudden decline has come?

Bharat Madan: So, Mitul, major I think issue is on the product side, but the product lineup is not very strong there. So, we had only two models which we are producing for Kubota in India. So, the market potential there was very limited. Second thing, most of this stuff was getting imported. Even today, like in engine , we are still importing. So, the cost structure does not really justify. So, the kind of pricing which we have for Kubota products in the market is way higher than what competition is offering today locally. So, these two factors are the key factors which are affecting the overall volume, which is why we are v ery positive if we introduce the Indian platform under that brand name, which is what the other competitors, multinational competition has done , then your profitability will increase, you will be able to compete much better and the product portfolio will a lso expand. So, today, it is a very restricted portfolio catering to only about 40-50% of the addressable market. But once you take it to level of 70- 80%, then you will have much larger opportunity. And then they can also start looking at expanding on a regional basis. Right now, they a re very focused on southern and western market, but they are not really very strong in the northern center. So, the portfolio is there, then we can also expand to these markets. So, that is in the pipeline. So, that is why I say from this year, I think we

will see the launches will start happening. Although the Indian platform will still take, I think, what year, year and a half to really come, we will get a complete range under that brand name.

Mitul Shah: Understood, sir. Thanks.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Prateek Singhal : Thank you, ladies and gentlemen, for being present on this call. For any feedback or queries, feel free to write us at investor.relation @escorts kubot a.com. Thank you very much and have a good evening.

Moderator: On behalf of Anand Rathi Share s and Stock Brokers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.